

Jubilant Foodworks Ltd. (JUBLFOOD)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Nov 2022

JFL/NSE-BSE/2022-23/115 November 15, 2022

BSE Ltd.
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: - Transcript of Earnings Conference Call

Ref: - Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/Madam,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on November 8, 2022, with respect to the financial performance of the Company for Q2 FY23, which is also available on the Company's website at <https://www.jubilantfoodworks.com/investors-financial-information>.

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E-mail id: investor@jublfood.com

Encl: A/A

1 Jubilant FoodWorks Limited Q2 FY 2023 Earnings Conference Call Transcript November 8, 2022

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2 Moderator: Ladies and gentlemen, good day and welcome to the Jubilant FoodWorks Limited Q2 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Deepak Jajodia – Vice President (Finance), Jubilant FoodWorks Limited. Thank you and over to you, sir. Deepak Jajodia: Thanks. Good evening, everyone. Welcome to Jubilant FoodWorks Q2 FY'23 Earning Call for Investor and Analyst. We are joined today by senior members of the management team, including our Chairman -- Mr. Shyam S Bhartia; our Co-Chairman -- Mr. Hari S Bhartia; our CEO -- Mr. Sameer Khetarpal and our CFO -- Mr. Ashish Goenka;. We will commence with Key Thoughts from Mr. Hari S. Bhartia; we will then turn to our CEO to share his Initial Impressions; Our CFO, Mr. Ashish Goenka will follow him with the Operational and Financial Update for the Quarter ended 30th September 2022. After the opening remarks from the management, the forum will be open for the Question-and-Answer Session. A cautionary note: Some of the statements made on today's call could be forward-looking in nature and the actual result could vary from the statement. A detailed statement in this regard is available in Jubilant FoodWorks Results Release and Earnings Presentation, both of which are available on the company's website under the Investor Relations section. I would now like to invite Mr. Hari S Bhartia to share his views with you. Thank you and over to you sir. Hari S. Bhartia: Thank you, Deepak, and good evening, everyone. Welcome to our Earnings Call. Thank you, Deepak, and Good Evening, everyone. Welcome to our earnings call. Let me start by highlighting some observations around the sense we are deriving from the current environment. On the demand side, economic activity remains resilient. We are witnessing a sustained revival in demand in the foodservice industry after the impact of covid over many quarters in last two years. The growth for us was equitable across all town classes. It has got further impetus with the onset of festive season. The Dine-in and Takeaway sales has shown strong recovery and we continue to see further opportunity for growth in this channel. The Delivery channel has continued to grow on a strong base of last year.

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3 On the cost side, the inflationary headwinds continue to persist and is driven by food and energy inflation. Notably, the CPI inflation continues to be above RBI's 6% tolerance level for three consecutive quarters. Within this food inflation continue to be ahead of Headline inflation. Within dairy products, the prices for cheese which is one of our key ingredient were at a price level not seen in last 10 years. Overall, I am pleased with how our Company continued to focus intensely on executing our strategy. The strength of our omnichannel model and continuous focus on cost optimization has helped us deliver another quarter of strong all-round performance. The focus of network expansion, as outlined at the beginning of the fiscal year continues to be on Domino's. We added 76 new stores and entered 22 new cities in India. With this, we have opened 134 new Domino's stores in the first half and are well on track to achieve the store guidance of opening 250 stores in FY23. Our continued investment in building our digital and data strengths is yielding favorable results. I am happy to share with you that app installs at 9.0 mn and own asset contribution to delivery sales were at its highest ever level this quarter. This has been possible through enhancements to our back-end technology, data analytics, menu personalization and enhanced CRM capabilities. We are positively surprised with the tre

mendous response received to our loyalty program – Domino's Cheesy Rewards. The cumulative enrollment grew to over 7.2 million since its national launch in May 2022. During the quarter, we became the first QSR Company to launch menu innovation dedicated to East India. Our team worked with a panel of renowned chefs to create an amalgamation of pizza with authentic regional taste loved by the locals. This has been possible thanks to our high store density across all regions, and therefore, we will continue with such regional menu innovation for different regions going forward. The Board, in its meeting today, also approved a restructuring exercise with regards to our international operations where all international operations will now be held in a step down subsidiary – Jubilant FoodWorks International Luxembourg. The exercise will result in simplification of structure without any change in ultimate ownership over the said subsidiaries. I am happy to share with you that Sameer has joined us in early September. Let me now turn over to him to share his initial impressions as CEO and MD of our Company. Sameer Khetarpal: Thank you, Mr. Bhartia. Good evening, everyone on the call today and thank you for making today on an auspicious day of Gupurab. As you know, I joined Jubilant FoodWorks as a CEO on 5th of September. So, I am here for the last three weeks in the quarter and total of eight weeks, I'm pleased to inform you that my

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4 learning and my transition is on track. I am receiving tremendous support from my team and all of the stakeholders. In the last eight weeks, I have been traveling across India and visited almost 100 stores, spoken with and read reviews of more than 1,000 customers and met more than 1,000 of our frontline teams, serving customers inside the stores and delivering to customers. I also visited our food tech factories and was very deeply involved in launching the East range and no onion, no garlic range in Gujarat. My focus has been to learn fast, ensure execution and continuity in our strategy. My early impressions are the following: JFL strength stems from: 1) A culture of customer-led hustle inside the store, 2) Deep domain expertise in data sciences and a very strong digital team, 3) Unparalleled physical footprint, especially not only in tier-one, tier-two cities but also in tier-three, tier-four cities 4) World-class food tech factories that manage very complex forward and reverse supply chain which is multi-temperature, and an awesome team that I have inherited. On the back of these strengths, the team at JFL delivered a very strong quarter, serving more than three crore customer orders in this quarter. Despite a very tough challenging environment, we delivered strong like-for-like growth, very consistent and industry-beating EBITDA margin, digitally acquiring customers at a new pace and loyalty is a big hit. We also added the highest ever net new stores in this quarter, and internationally teams in Bangladesh and Sri Lanka have delivered a strong quarter despite severe headwinds. On new and emerging brand fronts, I was there for many of the Popeyes store openings in Bangalore, and customers are loving Popeyes. They're coming back. And again, we have launched our own app since day 1 of brand launch in India and that is also seeing great traction. Hong's Kitchen is iterating the service and we are very pleased to inform very steady growth in orders and also customer repeat rates. It's truly building up of India's First Chinese QSR brand. I will continue to devote my time in deepening my understanding of the business and the portfolio, embedding technology at a fast pace and furthering our digital agenda, driving customer centricity, and accelerating execution in Q3. As you know, Q3 is our biggest quarter with multiple high decibel festivals, yes, that's kind of my focus. Let me now turn to Ashish to share the Financial and Operational Update for the Quarter.

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5 Ashish Goenka: Than

kyou Sameer and Good-evening everyone. The Revenue from Operations of Rs. 12,868 million grew 16.9% versus the prior year. In Dominos growth in revenue was driven by Like-for-Like growth of 8.4% along with a healthy contribution coming from our newly opened stores. Our fortressing strategy also continue to work well for us. We continue to face high inflation. This had significantly impacted our gross margins which came in at 76.2%, lower by 200 bps year-on-year and 50 bps quarter-on-quarter. We delivered EBITDA of Rs. 3,125 million, an increase of 9.2% versus the prior year. The EBITDA came in at 24.3%, lower by 170 bps year-on-year and 30 bps quarter-on-quarter. Profit After Tax came in at Rs. 1,192 million. PAT margin was at 9.3%. We added 76 new Domino's stores and entered 22 new cities during the quarter. We now serve our guests through 1,701 Domino's stores across 371 cities in India. We have started with the journey of launching regional menu based innovation dedicated to the local taste preference of a particular region. First in the series was a dedicated East India range. For the first time, we combined authentic local flavours like Kasundi, Kosha and Malai on pizza. Similar regional menu innovation in form of No Onion and No Garlic range was launched in Gujarat in West India. We believe that such innovations will go a long way in expanding the market for pizza which we have successfully done over so many years. We are continuing on our path to significantly improve user pre-order, in-order and post-order experience while advancing own-app adoption. In

this endeavor, we relooked at old onboarding journey on our app and made a resolve to make onboarding even more seamless, faster and intuitive. In the new onboarding journey, we reduced the number of steps for a new user to reach the home page from five to one. Sim number detection, OTP auto-read and background location detection were our means to achieve 1-step onboarding, but to a new customer, it is all about getting to experience their favourite brand and ordering quickly from the delectable range of menu offering. We added two new stores in Popeyes taking the network strength to eight stores. We are getting encouraging customer feedback and sensing the huge opportunity ahead, we are building pipeline and will step up store additions in H2. In Dunkin', we are pivoting to coffee-first and have opened three new outlets with coffee cues, across Delhi, Noida and Gurugram till date with one new store added during the quarter. The initial response has been encouraging. In Hong's Kitchen, we are progressing well with planned reduction in number of processes from store kitchen to our Central Kitchen developed in Greater Noida commissary. This is helping

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6 us make the model more QSR-like and significantly improve consistency, translating to higher customer satisfaction. Turning to our international markets: In Sri Lanka, despite a very difficult macro-economic backdrop, we delivered system sales growth of 37%. The growth was driven by Dine-in and Takeaway channel. The Own app contribution to Delivery Sales was 71%, an increase of 7% points year-on-year. We opened four new stores taking the network strength to 40. In Bangladesh, system sales grew by 42%, and we opened one new store taking our store count to 11. The Own app contribution to Delivery Sales was 75%, an increase of 11% points year-on-year. Turning to the updates on our sustainability front, I am happy to share with you that EV penetration in our delivery fleet has reached 31% as against 19% by end of March 2022. We have also started a program – Women on Wheels where we are facilitating driver training for women from marginalized section of the society with an intent to help them become breadwinners for their families. In closing, we are pleased with the delivery of balanced quarterly performance in the backdrop of significant inflationary challenges. As we look forward, we remain confident

in our strategy and execution, and feel that we are well-positioned to lead this exciting phase of growth for foodservice industry. With that, now let me turn to the moderator to initiate the question-and-answer session. Moderator: We will now begin the question-and-answer session. The first question is from line of Nihal Jham from Nuvama Institutional Equities. Please go ahead. Nihal Jham: Three questions from my side. The first one was that a lot of raw materials including our co-material cheese is at an all-time high. So, would we look at pricing action in case that sustains? Ashish Goenka: Thanks, Nihal. As you know we are facing multi-decadal high inflation, and cheese prices also went up in this quarter. We had instituted two rounds of price increases, one earlier this year and one towards the end of last year. Currently, we are not looking at any further price increase, and we will be looking at absorbing some of these cost increases in our margins. We are of course driving productivity initiatives across the organization to mitigate the impact. We have also started seeing stabilization and softening of some of the other commodities, especially on the fuel side and on the oil side. So, if cheese prices were to not go up further, we should be able to maintain and manage at the current level. Of course, within that, we will continue to look at pockets of tactical opportunities to enhance our value extraction, but we are not looking at any overall price increase.

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7 Nihal Jham: Moving on to the second question, we've added around 100 cities in the last three years and the aggression has been stronger than the last two quarters. What I wanted to understand is for these new cities, how does both productivity and profitability work, because I would assume a lot of these would be single store cities from the supply chain cost perspective also? Ashish Goenka: Yes, so we have been making deeper inroads into tier-three and tier-four towns, Nihal, and that's a part of a concerted strategy. We have added almost 66 new cities over the course of last 12 months. And I think the model works very well for us, because not only we see robust demand in these new cities, but because of the lower operating costs, our profitability tends to be slightly higher and better than even tier-one and tier-two, and therefore the payback tend to be lower. So, I think it kicks in a virtuous cycle of growth for us, and we continue to believe that model will continue to work for us in future. Nihal Jham: Just a last question on Domino's. As I understand, three initiatives at this point in time or something that at least we are reading or highlighting is, first, the delivery speed that we are targeting, second is obviously the menu launches, and third is on the loyalty program. Would it be possible to give a sense of these three, which you think would be the most important terms of getting new consumers or driving the engagement for the brand? Ashish Goenka: Nihal, our constant endeavor has been to continue to drive our LFL growth. And I think a combination of these initiatives is what we are targeting. And I think all of them will help us build brand salience, not only bring in new consumers to the category and our brand, but also drive frequency of our existing customers. So, I think if I were to just talk about it, I think menu innovations are largely towards attracting new consumers to the category. And delivery improvement, "Tees se Bees" program which is aimed towards giving much higher level of customer satisfaction, which is equally true for both new and existing customers. Loyalty Program again is directed towards driving frequency. But what we also believe is it also will bring in a lot of new consumers into the category. And whatever data we have seen, or the experience we have looked at in the last four to five months of having launched a program, it is helping us actually recruit a lot of new customers onto the brand as well. So, I think

all these initiatives will act on bringing in new customers to the category as well as driving frequency and satisfaction of our existing customers. Moderator: The next question is from the line of Amit Sachdeva from HSBC Securities. Please go ahead. Amit Sachdeva: Sir, my question is on the network rollout, it has been very impressive, in this demand environment, revenue growth of 17% is great and new vigor in store rollout is indeed very impressive. My question comes from what is the cost you're willing to take in doing so? For example, if I were to assume that gross margin didn't decline, then PBT would have grown by 13%, all things remaining the same, which is about 4% drag to the overall sales growth. My sense is that this

may come from small things ignoring, but coming from two impacts; store split impact, and new stores still catching up to full throughput level, but investment has already been done in rentals, etc., Now, question is that, how much drag are you willing to take in

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8 aggressively rolling out strategy? Is there a limit or guiding principle you've set in the network rollout that we will not let earning drag coming beyond this level or there is some sort of thought how to strategically think about this network expansion and how we should think about earning growth lagging the revenue growth? Ashish Goenka: So, thanks, Amit, for your question. And I think, as we've said in the past, store expansion is actually not having any negative impact on our overall margin. What is causing an impact on margin and dilution in EBITDA is largely coming from commodity inflation, and we are seeing inflation not just in commodities, but across line, as you would know, we are seeing very high level of inflation in fuel, even in manpower cost as overall inflation has gone up, minimum wages have gone up. So, I think the pressure is largely on account of the unprecedented inflationary environment that we are seeing in the economy, and not really because of store expansion. Because I think on a store expansion, we have a playbook that we have been following. And as the margins of the existing stores improve, while the new store may come in at a slightly lower margin in the beginning, but at an overall level, it does not really impact and we are able to absorb that. So, I think once the commodity cycles were to turn, we should be able to improve our profitability from here on. Amit Sachdeva: But if I may look at the other costs, I think you've done an excellent job in managing other costs, if I look at some staff costs to other expenses, I think everything is sub-below sales growth in my view. I may be wrong bit here and there, but on average, I thought that every other cost item this quarter grew less than the sales growth. So, you did actually manage other costs quite well. And I have already given the benefit of doubt that say margin did not decline, 200 basis points, the PBT growth would have been 13% in that case. So, what I'm trying to understand is that when we grow 76 stores and 250 stores a year, would it at any stage be a case where PBT or earning growth would lag the revenue growth or it is like earning dragging event for you or it is not, that is where I was coming from, how we should -? Ashish Goenka: Yes, of course, we will see a higher impact on PBT than we will see on EBITDA because of higher level of depreciation. But I think that is the cost of growth that we are willing to take, because I think what we are looking at protecting is of course our EBITDA margin, because that is a far better reflection of the operating health of our brand. Higher depreciation would also be because of the investments we are making in our commissary, because we have a very well entrenched commissary-based model and that has really worked well for us. And as we expand, we'll also be looking at expanding our commissary network. So, in fact, this year, our Bangalore commissary is under progress, and we are making substantial

investment there. So, some of these investments in store network expansion, commissary network expansion, and so the digital capabilities that we are building will of course lead to higher depreciation, and to that extent, there'll be an impact on PBT. But at an operating level, what we are guarding and monitoring very closely is to ensure that we continue to deliver a healthy level of EBITDA margin.

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9 Sameer Khetarpal: And also, Amit, the leverage in the line item below gross margin comes from G&A, as you've higher store footprint, you get leverage in G&A. commissary cost, logistics cost, and also marketing cost. So, I think from that perspective, it works well for us except for the fact that the inflation has been very high in this quarter. Amit Sachdeva: I want to just understand how you're thinking about this, because I believe some cash costs are also sitting below EBITDA line which is allocated to depreciation and interest expense as you open stores because of the accounting and hence PBT also becomes a relevant metric to look at for us as such to see that impact. But I understood the point, sir, thank you so much. Just very quickly on Popeyes Sameer, you shared your experience, you said that you visited stores and can you share some real economics and what sort of numbers you've seen so far, and what impressions you've got and how fast the store network rollout will happen in Popeyes, can you share some target for this year and next year, please? Sameer Khetarpal: It's still very early days for a brand, which is launched in India in Jan '22. Our first imperative is to get the product market fit right. I think on that front, I would say, the progress is ahead of our plans, customers are loving the product, and they're coming back for more, the repeat rates are very healthy more than 30%. We also launched Popeyes with our own app, which again shows the prowess of our digital and deep data heritage that we are building now. And again, that app is seeing great traction. So, we launched the right product with the right set of assets and right stores placed in the right areas. So, we're quite satisfied with it. I think still in year one, we would like to iterate the service, get on to aggregators, build the salience and then go from there. The guidance we have given is 20 to 30 stores. We should meet that guidance, and then reassess as we enter into the next year for rapid scale up. Moderator: The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead. Kunal Vora: My question is on the loyalty program. You mentioned that you had about 30 million orders this quarter and seven million consumers are on the loyalty program. Just wanted to understand the gap, is it because of multiple orders from same consumers smaller than qualifying order, can you help us understand how to look at the loyalty program enrollment? And also if you can provide some initial feedback on whether you're seeing higher ordering frequency, higher order value from these loyalty program consumers? Ashish Goenka: Thanks, Kunal. First of all, I think the program is doing really well, and we have looked at all global benchmarks, and we have also looked at other peers in the industry who have launched similar programs globally. I think our take rate in terms of the overall enrollment into the program, and also the contribution of orders from enrolled customers seems to be tracking very, very well. So, first of all, I think we're very, very excited and happy with what we've seen as an outcome of the launch. The full mix, just to give you a context, went live only in August, while we had launched the program in May, but it was an omni-channel program, and therefore the entire mix, and we were rolling it out in a phased manner. So, in this quarter, we have seen an overall enrollment of 7 million, roughly 1/3 of our orders in September are coming from enrolled

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10 customers, which also reflect the very high level of

engagement. Our focus going forward will be to continue to drive enrollment into the program and overall customer engagement. Kunal Vora: You have given the own app contribution to delivery fields in international markets, I think you gave 71% for Sri Lanka, you gave Bangladesh number also. What's the trend for India and what's the number if you can share that? Ashish Goenka: So, Kunal, for India also, we report OLO contribution to delivery sales. We have been tracking upwards of 98% for many, many quarters now. In terms of our overall delivery contribution, it remains the dominant channel for us and continues to grow in a very handsome manner, which augurs well for us because as we are seeing significant recovery in dine-in and takeaway, delivery continues to hold and grow. Kunal Vora: The number which I was looking for is the own app contribution, not the OLO contribution. Own app will be how much and what will be the third-party? Ashish Goenka: Kunal, we don't share that number, but I think I can tell you that we have been continuously driving our own app focus. And in this quarter, we had the highest ever own app contribution from delivery sales, and quarter-on-quarter we have seen movement from aggregator channels to our own app channel. The dominant share of our delivery and overall orders actually come on our own assets. And this is a dominant share is what I can tell you. Moderator: Thank you. The next question is from the line of Jaykumar Doshi from Kotak Institutional Equities. Please go ahead. Jaykumar Doshi: My question is on the pace of store network expansion. Now, if I look at your September 2019 quarter revenue, like about 1,265 stores, it was about Rs.988 crores, and then there is a price increase of about 15% including delivery fees. So, compare this quarter versus the September quarter, adjusted for price increase, incremental quarterly revenue run rate is about 125 to 150 crores, which translates into annual run rate of Rs. 600 crores for 400 new stores that you've added. So, is this trajectory in line with your expectations? And if not, would you consider slowing down the pace of network expansion a little bit? Ashish Goenka: So, Jay, if I've understood your question, right, you're trying to triangulate store expansion along with price increase to see whether our revenue buildup stack up. If that's the question, let me just sort of give you a bit of a color on our revenue growth. So, of course, our focus has been on driving overall revenue growth through store addition and as well as driving same-store growth. And our LFL has been very strong in this quarter at 8.4%. Now, in terms of the construct of the growth, a large part of our growth is coming from order increases, which again is good news from us, and a significantly higher volume growth. So, the growth is order-led and volume-led. Of course, a lot of these price increase has not really flown into a ticket price increase for us, because in a highly inflationary environment, consumers of course are making choices. And we are seeing these choices reflect in two aspects. One is about marginal moderation in the

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11 item per order, and second is the product mix, which the consumer buys. And, therefore, all of these price growth that we have taken over the last two years while has helped us protect margin, has not necessarily translated into an increase in our ATP. And therefore, when we look at our growth, what gives us a lot of joy and satisfaction is that our orders are increasing, and our volume is going up, which means we are seeing far more consumers coming into our brand and are engaging more with us as they are buying more products. Of course, they're making a share of wallet choice by moderating their item per order and also looking at the product mix that they buy. So, I'm not sure if that helps you, Jaykumar, but let – Jaykumar Doshi: Essentially, what you're suggesting is on your 1,250-store network that was before the pandemic, you ma

y have taken price increases, it has not translated into a proportionate revenue increase as the consumers are downtrading? Ashish Goenka: What we're seeing is order growth, volume growth. But yes, you're right. Consumers are downtrading to some extent and also reducing item per order. And also, I think it's a combination of channel mix where we are now seeing a lot more increase in dine-in as a channel. Dine-in as you know always comes with a slightly lower average ticket price. And that also is leading to a bit of a channel impact on the overall revenue. So, I think you have to look at a combination of channels and order versus BPO. Again, I'm repeating myself, but what we are seeing is order-led and volume-led, and maybe not all the pricing is translating into growth. Sameer Khetarpal: Another way to look at is this is the wallet share or the spend share. Order may be lower, but overall customers are coming back and shopping on our platform far more than before. I think that's a function of loyalty and the value offerings that we have. So, that's another lens to look at. Jaykumar Doshi: Just a follow up question on your loyalty. How do you think about the cost benefit analysis in this case? And if you could give some numbers, if you can explain the cohorts in terms of what percentage of your customers were ordering at a much lower frequency versus what percentage of your customers were already ordering at a frequency that maybe there won't be a lot of benefits, but cost associated with loyalty? Ashish Goenka: So, if you look at the economics of the loyalty programs, I think it's a very clear case of higher frequency paying back for the investment in the program. Also, since we are giving a product-free, the cost of the program tends to be much lower, because the put down cost is only the food cost of the product and not giving out entire value. So, the way we see it is that as we are able to recruit more consumers because of the loyalty program, that will help drive growth and therefore pays back to the program. And the more important benefit is the frequency increase of existing customers, which again pays back to the program. The other benefit that we are seeing of the programs is that also the churn that we were seeing in existing customer cohort also gets retained. So, for example, if there was a high user who would migrate to a medium user over a period of time, we believe that with the help of this loyalty program, we will be able to retain him at a high user level. So, the inter cohort movement also we'll be able to drive

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12 positive mix there to the help of this loyalty program. So, I think a three-fold benefit should more than pay back for the cost

of the program and we believe that it will be margin-accretive as we go along. Moderator: The next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead. Percy Panthaki: So, my question is on store addition again, and I'm restricting myself to store addition in towns, where you are sort of present since a very long time, in large towns where you would have a fairly good penetration of stores. What is the logic of opening new stores in those towns especially when you're not fully utilized on your dine-in capacity, because the delivery can anyways be supplied from any store, it doesn't matter, in fact, the customer doesn't even many times know which store is serving his delivery order? If the only logic is to reduce the delivery time from 30 minutes to 20 minutes, I'm not really sure whether that's really a huge enough advantage for us to invest in CAPEX of a new store, because we are already market leaders in terms of delivery time in India or rather Mumbai context, if I'm getting Domino's in 30 minutes versus that any other option if I order on Zomato, Swiggy, etc., it takes anywhere between 45 minutes to one hour. So, moving that 30 minutes to 20 minutes by itself, yes, it's an incremental positive. But do you think the amount of co

sts and the amount of investment you're putting in just to get this one single advantage, does it make economic sense here? Ashish Goenka: So, Percy, thanks for that question. First of all, let me upfront clarify that we are not adding stores to reduce our drive time from 30 minutes to 20 minutes. That's not the reason we are adding stores. And we have been able to achieve that 30 minutes to 20 minutes by doing a lot of process engineering at our end in terms of reducing the time for making the pizza and also defining the polygons more sharply. Are we adding stores to drive 30 min to 20 min? Answer is no. The reason we are opening more stores in the existing town is because of the growth opportunity in the white spaces which are already existing in these towns. So, there are two levels of growth. One is of course as we have seen rapid urbanization in India, and that is a macro trend, which is likely to continue, and therefore, the city peripheries will continue to grow. And therefore, enough and more white spaces still remaining in existing towns where we can open a domino store. So, that's one. Second, We've also been following a strategy of fortification in these towns. And we've explained this in great detail in the past as well, that whenever a store reaches a level of demand that it is not able to cater fully and the store KPIs start deteriorating in terms of the operational KPIs, we look at splitting the store and open another store in the same vicinity. In most cases, we have seen that when we split the store, the operating KPIs of the mother store becomes significantly better. We are able to reduce drive time, operating costs, customer experience improves, and the virtuous cycle of growth kicks in where the mother store comes back to its original level in under three years. And the child store, which already gets a head start from the mother, also recovers its investment in like any other new store in under three years. So, I think it's a virtuous cycle of growth that we have seen and the model works very well for us. So, the new store addition in tier-one and tier-two towns or

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13 existing towns is only driven for the growth opportunity that it drives or provides and not because we are choosing any operating KPI. Percy Panthaki: On this growth opportunity, can you not just sort of address by fortifying the existing stores by putting in let's say, two more kitchen staff, one more oven in the store, etc., why do you need to open a completely new store, which is going to be a much higher investment in CAPEX as well as rentals? Ashish Goenka: So, Percy, I think our entire brand is positioned on providing a great experience. I'm sure you will not be happy receiving a Domino's Pizza in 45 minutes. The whole brand has been built on the delivery promise of get your pizza in under 30 minutes. So, I don't think we at any stage we would want to compromise on the core proposition and the promise of the brand. So, I think that is a sacrosanct for us. And as I said that, if I were to keep aside consumer metrics for one second, even on purely financial metrics, if I we're to look at this model really pays back for us. And the paybacks are as good as what we get in tier-three, tier-four or any other town. So, there is no reason for us not to invest in this opportunity. Sameer Khetarpal: Also Percy we do that, what you're saying is debottleneck the store, do as much as we can in the kitchen, there is a standard playbook over there. Only when we start breaching the or nearing the laws of physics is when we split. So, like Ashish said, we put the customer value proposition and the brand promise at the center after solving for all bottlenecks and constraint and then split the store. Percy Panthaki: My second question is on margin. So, how many more quarters do you think this phenomenon of YoY EBITDA margins being down as we have seen in this quarter will continue, do you think it's a very temporary thing or this YoY EBITDA margi

ns being down can continue for a couple of more quarters? Ashish Goenka: Percy, as I was explaining earlier, almost all the entire contribution of this margin dilution is because of commodity price inflation. Because the EBITDA margins have been actually reflecting our gross margin dilution, which has reduced by 200 basis points year-on-year. So, even in the last quarter, we were expecting commodity prices to have softened this quarter which has not happened. So, I think that would be anybody's guess in terms of when do we see the commodity cycles coming back and prices moderating. So, it would be difficult to give you a timeframe, but we've already started seeing signs of some level of moderation and some level of stabilization. And if we do not get any commodity shocks from here on, we should be able to recover some of this in the quarters to come. Percy Panthaki: So, if today's prices remain where they are, then do you think that Q3 was mainly sort of the price at the beginning of the quarter being high and that's why it caused an impact and by the end of the quarter or where we sit today, the price is already low enough to nullify that margin impact or not yet?

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14 Ashish Goenka: No, if prices stay where they are today, I think our margin performance will be where we are today. Of course, we can look at some productivity initiatives, some level of operating leverage as we grow. But by and large, we could be at similar levels as we are today. Moderator: The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead. Vivek Maheshwari: A few questions. First, Sameer, you did articulate your learnings and where the strengths for Jubilant FoodWorks are. What are the areas that you think requires attention, what are the places where you think there can be a potential for improvement or reasonable improvement to significant? Sameer Khetarpal: Vivek, I see it more as the opportunities for growth and margin expansion. I think getting the new brands to accelerate faster is definitely a priority. We

are making sure we continue double down on Domino's, like I said, I will continue to do that, and lastly, the digital assets that we have is actually unparalleled. And we have an app running in Sri Lanka, Bangladesh on iOS, Android and a progressive web application. I think the opportunity to, to kind of take the physical store footprint plus digital is so immense. If you double down on that, I think that is to me is the real opportunity plus the emerging brands is where I'm focusing on. Vivek

Maheshwari: In that context, look, for Domino's, the guidance for addition and the last year addition numbers any which ways have been strong. So, one of the another question that I have had was, what is your sense on, let's say, a Hong's or EKDUM! Biryani, because that's where despite things opening up and being near normal for at least last six months, we haven't seen any buzz. We did see I think six stores closure last quarter, and this quarter we haven't seen any addition. So, what is the sense that you have either on the product or on the brand specifically Hong's and EKDUM!? Sameer Khetarpal: I've spent a lot of time to meet customers, look at their reviews, also benchmark versus the competition. So, firstly, it takes time to get the product market fit right and if you do it right, not only from a consumer standpoint, but also from a store economic standpoint. I think we are fast reaching that stage. By the end of this financial year, I believe across Dunkin', Hong's and Popeyes, we will be ready to scale faster. Where we've been focusing on is making sure we have a great tasting product, customers are coming back, and we have a store economic model that is ready for scale up. So, on all these fronts, I'm happy to note very positively that that things are going in the right direction. Vivek Maheshwari: So, does that mean that you will see store addition acceleration going ahead? Sameer Khetarpal: I think that's

all what we want. There is still about five months remaining in this year and our actions are geared towards getting a Coffee First proposition right in Dunkin', pace, product and customer value proposition, getting the story economics right in Hong's Kitchen, I think we should be ready to scale up as we enter the next year.

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15 Vivek Maheshwari: Two quick questions. One, how do you account for the loyalty program? So, as customers order, where does the promise of free pizza sits in a P&L and balance sheet, and ultimately, how will it unwind? Ashish Goenka: So, Vivek, this is accounted as discount as per the accounting norm. And we accounted basis a certain ratio of redemption based on the past trend. So, we account for that, and it unwinds as and when the customer redeems the pizza. Vivek Maheshwari: If I order pizza today, and I get a point, so it is accounted at the time of original order, or it is at the time when I redeem it after let's say sixth order? Ashish Goenka: No, so we account it at a time off for the initial order itself, but not 100%, pro-rated to the likely redemption that may happen. So, for example, if only 20 out of 100 customers are redeeming, we will account for 20% upfront. Vivek Maheshwari: But I mean, given that this is new, so you wouldn't have data as yet in terms of what the redemption would be. So, what will be the benchmark? Ashish Goenka: We of course do based on estimate, and we have also got the pilot results with us because we ran an extensive pilot for the first six months before we rolled out nationally. So, we have the pilot results with us with basis which we are accounting, and of course, we will keep doing it up as we get more data on actuals as the program matures. Vivek Maheshwari: Last observation. You have given own app contribution for really, really small markets like Sri Lanka and Bangladesh. Just curious that if you can present Sri Lanka and Bangladesh, what's the issue if you're gaining share any which ways for your own property, for India, which is like the largest one, what is the issue that you can't share that number, but you can share Bangladesh and Sri Lanka? Ashish Goenka: Vivek, feedback taken and we will certainly evaluate this internally and comeback. There are no aggregators in those markets and aggregators in Bangladesh are very, very small. We have large, entrenched aggregators in India, of course, they are very close channel partners. So, there is a certain level of sensitivity involved with that. And that is what our thinking, but I take your feedback, we will discuss internally and we'll come back. Vivek Maheshwari: I'm sure aggregators wouldn't mind if you share your data. So, I leave that with you. Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead. Arnab Mitra: My first question was on the store expansion. Let's say if you add 250-plus stores this year, any approximate ratio of how much the store splits versus completely new stores? And is the gap between LFL and SSG steady or is it increasing as store split proportion may be increasing, so I just wanted a sense on both of them.

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16 Ashish Goenka: To answer your question, our split stores are broadly 1/3 of the total stores that we've been opening. So, that ratio is by and large remain consistent, in fact, slightly lower this year than we had reported for the full year last year. And to that extent, I think the LFL and SSG gap is also steady, there is no deviation from what we have seen in the past. So, roughly 1/3 of our stores are split stores this year. Arnab Mitra: My second question was actually that, this quarter like what Amit has earlier asked, your EBITDA has grown by 9%, but your PBT is flat. So, the depreciation increase that we've seen, is it evenly split between actual depreciation increasing and increase in rent and therefore will this gap kind of continue in this phase of high store addition, unless your SSG significantly start

s improving? Ashish Goenka: Arnab, as I have explained earlier, I think the depreciation is moving in line with a) new store addition where we are investing in CAPEX and also because of the IFRS you would see lease accounting getting charged off in depreciation and interest. That's directly proportionate to the number of stores we're adding, and the investments that we're making in our commissary and digital, but a large part of the investment of course is going towards store expansion. Arnab Mitra: How is the commercial rental market right now in terms of inflation, as we look for the next one or two years? Ashish Goenka: So, we have not seen any significant inflation on the rental side. Anyways, for all our existing properties, we have long contracts in place, and the increments are directly governed by the contracts. And even for the new stores that we are opening, we are able to get fairly competitive rates given our overall presence and the strength of our business development team. So, we are not seeing any material inflationary impact on the rental side. Arnab Mitra: One last question on Popeyes. In Hong's and Ekdum! we've seen an iterative process. As you rightly said, it takes time, it's taken almost two years. Do you see Popeyes having a faster pace of iteration or it will also go through this phase before you can really commit very large

expansion? Sameer Khetarpal: A good question. I think there are two different playbooks. On Hong's, we are building the playbook, on Popeyes there is an existing playbook that we are customizing to India. So, therefore latter should be faster than developing grounds-up invention. Moderator: The next question is from the line of Avi Mehta from Macquarie Group. Please go ahead. Avi Mehta: I just wanted to understand the CAPEX numbers. So, for the first half, we've done almost close to Rs.400 crores of CAPEX. If you could help explain what has been the reason for sudden increase, it implies that per store CAPEX has risen sharply? And in turn, what would be the number that we should kind of assume for FY'23?

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17 Ashish Goenka: Thanks, Avi. So, I think overall CAPEX has followed our store our expansion. Our per store CAPEX have seen a marginal increase which is in line with inflation; we have seen about 8% to 10% increase per store. A larger CAPEX outflow has also been because of this of the opening liabilities which has got paid out this year. Overall, I would say we would be close to Rs.650 to 700 crores in terms of overall spend CAPEX this year, because a), as I said earlier, we will continue to invest in store expansion, we are also building commissary and large part of investment about close to Rs.200 crores will go into our new commissary that we are building in Bangalore, and some amount of our investment in our usual maintenance and digital assets that we are building. So, I think a combination of these three should take us to that. Avi Mehta: The second part is just following up on the earlier participant. If I look at the difference between the headline sales growth and the LFL that we give out, that number has moderated despite the store addition as a percentage actually going up. You did highlight the split stores is not the reason, that percentage has not risen. Would it mean that the new stores are taking longer to kind of flow through or any help in guidance or understanding on that? Ashish Goenka: I think our new stores continue to do well. Sometimes, it's also a function of the timing of the opening of the new stores. Most of them have been skewed towards the end of the quarter. Also, with dine-in coming in, in a big way now and growing sequentially as well as year-on-year. As I explained earlier, there is also a slight bit of channel mix that has come in. And therefore, when you triangulate all of this together, you will see a slightly higher diversion between LFL and revenue growth this quarter. Avi Mehta: Last, just a bookkeeping. If I heard you correctly, ju

st if I could infer, you would expect margins to remain at current levels if inflation does not kind of expand and it does seem that inflation is broadly kind of stabilized at this level. I'm not sure if I heard it correctly. So, I just wanted to clarify. Ashish Goenka: That's right, your understanding is correct. Moderator: The next question is from the line of Tejas Shah from Spark Capital. please go ahead. Tejas Shah: My first question is for Sameer. In your opening remarks, you mentioned the digital agenda of the company and then you spoke about very entrenched digital assets on the customer side. So, just wanted to understand, obviously, early days, but whatever sense you have, how do you see the role of tech playing on the backend and supply chain customer acquisition improving store efficiency side? Sameer Khetarpal: There are multiple pieces, Tejas to your question. Firstly, there is an element of our digital applications to acquire new customers, engage them through our loyalty programs, and make sure that they can track their orders - the full fulfillment, acquisition, fulfillment and engagement piece, that is working extremely well, and we'll roll that out to all international geographies which hasn't done and to all brands. So, that's kind of the piece over there. There is of course next

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18 version of those apps and more modules that will continue, for example, promotions could be another, personalization could be the next. So, there is a clear roadmap over there. Second, you are absolutely right, what goes inside the store or in the kitchen also needs to be digitized and automated. How we manage our stores, inventory, point of sale systems, how our manpower and the store manager is operating the store, there is big room to digitize those processes and make life simpler in our store. Third piece, you spoke about is the real back end, which I believe is our strength, and I visited the Greater Noida food tech park, and I was very impressed with the level of automation that I see not only in our production lines, but also in warehousing, where we are using advanced robotics for storing and taking out materials. Of course, there is room to make sure our logistics forward and the middle mile planning, that can be more data driven, but that is par for the course in my sense. Does it answer the three areas that you touched upon? Tejas Shah: Yes, very much. Thanks for the detailed answer. Second, obviously, all talk and based on your guidance as well, that the playbook for Popeyes was relatively simpler, and it's relatively simpler versus the other initiatives that we have. But, in this quarter in particular, store expansion has been muted. So, it seems that at best achieve a lower end of our guidance on 20 stores and not 30 stores. So, just wanted to understand, is it typically the second half of the expansion that we will do or you bet on guidance as well? Sameer Khetarpal: Again, I will not read too much into this at the moment like for any new brand to come into India even with an existing playbook. You still need to customize the taste, flavors, product, and build the brand salience, we are in that phase. I don't worry too much about it. Ashish Goenka: And I think on your question of store guidance phases, I think as I said, we are planning to accelerate in the second half, and therefore we should be at the lower end of the guidance that we had given earlier, which is 20 to 30 stores addition this year. We're also looking at opening in two more cities in the South. One of them should go live in this quarter, and we are looking at opening one more towards the end of Q4. So, we have a robust plan in place, but as Sameer said, sometimes new brands take a little longer than you plan for. But I think we are currently on track to be at the lower end of our guidance. Tejas Shah: In the previous quarter, I had asked, the Russia-Ukraine has still continued, and there's one more international chain which is actually ej

ected out of Russia. So, just wanted to know where do we stand, is there any pressure from global partner on rethinking on that investment or it continues business as usual for us there? Ashish Goenka: DP Eurasia is a listed entity. So, we wouldn't like to really make a lot of comments, but the management has recently announced that they would be limiting their investments in the Russian territory. And their primary focus now currently is on the safety and well-being of their employees and customers. So, I wouldn't want to comment any further on this.

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19 Moderator: The next question is from the line of Vishal Punmiya from Nirmal Bang Institutional Equities. Please go ahead.

Vishal Punmiya: So, my question is on innovations. So, apart from the couple of regional launches that we have done this quarter, we couldn't really see launches in other part of the country, especially in the current festive and the sporting season. So, what are the plans going forward, are there any big plans in terms of innovations and new launches? Sameer Khetarpal: I think it's a constant endeavor, Vishal. I think we started with Paratha Pizza. I want to remind all of us, right, that's where our first innovation came this year, and we've taken from there to east, then to west, and I think this quarter itself, we have planned to launch more products. I think you should hear about it very soon in November itself. Vishal Punmiya: And secondly, in last quarter we mentioned that the dine-in recovery was very close to the pre-COVID level. So, what kind of growth have you seen for this particular quarter if any? Ashish Goenka: Vishal, in terms of overall revenue, we are seeing fruitful recovery and growth over even pre-COVID period. Our dine-in recovery has been very, very robust. And both sequentially, and year-on-year, we are seeing robust growth in dine-in and dine-in plus takeaway put together as well. Vishal Punmiya: So, it still hasn't reached about the pre-COVID levels, right? Ashish Goenka: In terms of overall revenue, as I said, it has crossed the pre-COVID level, in fact, we are growing from there. But, of course, there is significant headroom for growth in the dine-in. Because we have always focused on being an omni-channel player. The good thing is that our delivery being a dominant contributor continues to deliver very robust growth for us and continue to see the momentum, and we're also seeing significant uptick in our dine-in demand, and we also see a significant headroom for growth in dine-in. And therefore, we're taking a number of dine-in in specific interventions as well to continue to ride the growth on dine-in. Moderator: The next question is from the line of Sheela Rathie from Morgan Stanley. Please go ahead. Sheela Rathie: I just had one question. Sameer, my question to you is that during your tenure at Amazon, you have been involved in the incubation and scaling of lot of new businesses, Amazon Fresh Food, and a few others. So, just wanted to understand any learnings from that experience that could help scaling of all the new businesses which Jubilant has forayed into such as Popeyes, Hong's Kitchen and EKDUM? Sameer Khetarpal: Thanks for that, Sheela. And firstly, I have to build upon the foundation that I am inheriting, right. So, I think I'm very cognizant of that versus purely applying one model on the other. Having said that, there are several learnings and especially three I would like to call out. Firstly, the customer obsession piece. And you would have seen in my narrative, and my initial time

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20 that I've spent reading about a lot of customer reviews, meeting them, in fact, reading their e-mails, answering to them. So, that's one culture I want to drive, not only in the front end, but in our commissaries and also in corporate office. So, I think that's a really long-term value creation for us. The second piece is the agenda of technology and data forward. That piece like I have again touched upon it. We are

already running five different apps in three different environments. And along with that, if you bolt-on data and customer backward thinking, I think we can grow at a faster clip. The third piece is on operations excellence. Ultimately, we are in the business of serving a customer a hot pizza, and he or she really be having a delightful meal experience. So, that needs to come together with a fast pace of growing the stores, having the culture of hustle inside the kitchens and making sure delivery is flawless and on time. So, operations excellence, continuous process improvement is something which I have not only picked up in Amazon, but also in McKinsey, GE and Hindustan Unilever. So, I will bring that to the fore. So, these are my big areas, Sheela. Sheela Rathie: If I may just ask the follow up here, which among these three would be the easiest one to do and the toughest one? Sameer Khetarpal: I think for a hot pizza on your table, all have to come together. I wish there was one silver bullet. I think there is a great momentum of store opening, right, and a culture of hustle, which like I said, which I'm inheriting, I need to build upon that. I think digital, definitely, we will move faster and forward with my experience, and bring the customer centricity. I think these two probably if I add on to the strong foundation that we have, we will deliver better in this quarter and enter next quarter far better. Moderator: We'll take the next question as the last question from the line of Robert Marshall-Lee from Cusana Capital. Please go ahead. Robert Marshall-Lee: So, I'm just wondering if you could talk more broadly about the development of the competitive environment, do you see increased pressure in particular places as we've seen some of the other quick service restaurants, KFC, etc., consolidating, so I was wondering whether you see any kind of material impact of that and how you adapt the strategy with that in mind? Ashish Goenka: India as a market presents a huge growth opportunity and the kind of macro trend we are seeing is what everyone else is also seeing. So, we're not surprised with the increase in competitive intensity. And therefore, what we are focusing on is building on our strengths as Sameer alluded to, and also stepping up our store expansion, which we have actually stepped up quite well in the last few quarters. So, we will continue to focus on the customer and continue to focus on build on our strengths and continue the pace of store expansion that we have embarked on. Sameer Khetarpal: Also, competition actually also help in growing the market. But yes, we will double down on our strengths, number one being deeply penetrated store footprint, second is digital and our own assets, and third being world-class supply chain that we have.

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21 Robert Marshall-Lee: There is an increase in competitive investment overall, but actually potentially helpful in growing the market as well, is that right? Ashish Goenka: That's right. Moderator: That was the last question for today. On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2023

JFL/NSE -BSE/2022 -23/145 February 7, 2023

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Ref: - Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on February 1, 2023, with respect to the financial performance of the Company for Q3 & 9M FY 23, which is also available on the Company's website at <https://www.jubilantfoodworks.com/investors-financial-information>

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
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Encl: A/A

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Jubilant Food Works Limited Q3 and 9M FY23 Earnings Conference Call Transcript

February 1, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the Jubilant FoodWorks Limited Q3 FY2023 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Deepak Jajodia – Vice President (Finance), Jubilant FoodWorks Limited. Thank you and over to you, sir.

Deepak Jajodia: Thanks. Good evening, everyone. Welcome to Jubilant FoodWorks Q3 and 9MFY23 Earning Call for Investor and Analyst. We are joined today by senior members of the management team, including our Chair man – Mr. Shyam Bhartia; our Co -Chairman – Mr. Hari S Bhartia; our CEO – Mr. Sameer Khetarpal; our CFO – Mr. Ashish Goenka; and our Group CFO Mr. Arvind Chokhany. We will commence with key thoughts from Mr. Hari Bhartia; we will then turn to our CEO to share his perspective. After the opening remarks from the management, the forum will be open for the question -and-answer session.

A cautionary note: Some of the statements made on today's call could be forward -looking in nature and the actual results could vary from the statements. A detailed statement in this regard is available in Jubilant FoodWorks Earning documents. We will share today's opening remarks along with the recording of the call on the stock exchange and on the company's website under the investor relation section.

I would now like to invite Mr. Hari Bhartia to share his views with you. Thank you and over to you sir.

Hari Bhartia: Thank you, Deepak, and Good Evening, everyone. Welcome to our earnings call. We are operating in a challenging macro environment. While the festive season helped us deliver record revenue in the month of October, the consumer demand momentum suddenly decelerated starting November. As a result, Domino's India reported a flat LFL growth in the quarter and our overall revenue growth was 10.3%, low by our own standards.

Our team is focused on getting the LFL growth back - by focusing on providing excellent service to our customers, doubling down on our digital assets, enrolling customers in the loyalty program and carefully planning on geographic expansion. Over the last 25 years, we have always executed with operational excellence and empowered the front -line teams of our restaurant managers while delivering high value -for-money quotient to consumers. In these years, our emphasis has always been on driving internal productivity and closely monitoring our cost structure. Notably, we continue to remain the most affordable national pizza brand, while being

3 the most profitable food service Company in India. We are doubling down on our strengths and focusing on the core businesses. In this call Sameer will share more details on this topic.

The delivery channel has grown on a strong base of last year and the dine -in and takeaway sales continue to present the opportunity for growth. I am happy with our progress in driving our digital agenda, which has helped us deliver all -time record app installs and MAU at 9.4 million and 11.3 million, respectively. Cumulative enrollments to Domino's Cheesy Rewards crossed 10.6 million mark in December and order contribution from loyal members reached 39%.

We continue to add stores at a rapid pace stores in India and have picked up pace in Sri Lanka and Bangladesh. We added a total of 73 stores in the quarter We continue to be humbled by the customer love that Popeyes is receiving and have expanded to Chennai. Year to date, JFL has added 221 stores.

On the cost side, dairy prices, particularly cheese, is at decadal high, coupled with high inflation in wheat

flour and hikes in minimum wages in many states. The team is focused on reducing wastages, driving productivity and improving efficiency with intensity.

Overall, I remain confident of getting growth back into the business by looking at how our company is focusing on providing best tasting food to our customers, innovating on price points, rapidly building out digital assets and investing in long term health of the business.

Let me now turn over to Sameer to share quarter's highlights and plan to bring LFL growth back.

Sameer Khetarpal : Thank you, Mr. Bhartia, and good evening, everyone. Thank you for joining the call today.

At the outset, I am happy to announce greater disclosures for our investors. To the extent it doesn't hurt our competitive interests, we have shared all relevant disclosures, allowing the entire investor community to understand our unique business positioning and how we are progressing. I hope you will find added disclosures enriching.

I will first start off by sharing the quarter highlights. I will then turn to sharing an update on my immediate agenda to improve LFL growth for Domino's. In the end, I will share my strategy and allied priorities with you before turning to Q&A.

The Revenue from Operations of Rs. 13,166 million grew by 10.3% versus the prior year. In Dominos, revenue growth was order driven. The Like -for-Like growth came in at 0.3%.

The historic high inflation in cheese and flour prices had significantly impacted our gross margins, which came in at 75.5%, lower by 213 bps year -on-year and 77 bps quarter -on-quarter.

EBITDA was at Rs. 2,900 million, which was lower by 8.6% versus the prior year. The EBITDA margin came in at 22.0%, lower by 457 bps year -on-year and 228 bps quarter -on-quarter. Profit After Tax came in at Rs. 886 million. PAT margin was at 6.7%.

4 Let me now turn to key operational updates.

■ Network expansion in India: We added 60 new Domino's stores and entered 16 new cities

during the quarter. We now serve our guests through 1,760 Domino's stores across 387 cities in India. We have added 193 net stores in the current fiscal year. I am happy with the rigor attached with every new store proposal, which forms the bedrock for sustained profitable growth led by network expansion.

■ We have added 12 new Popeyes stores in Bengaluru in the last 12 months, and as you are aware, in January, we opened our first Popeyes store in Chennai.

■ Our new state-of-the-art food factory in Bengaluru, likely to be commissioned by Q1FY24, is central to our network expansion strategy for Popeyes in South India. Notably, India is the first market for Popeyes globally and the only Chicken-QSR player in India to move chicken marination to a centralized facility, which ensures consistent quality and high fill rates to the store. This significantly improves the consistency of taste, visibly translating into higher repeat rates for the brand.

■ In Hong's Kitchen, we have seen remarkable progress with further enhancement in taste, improvement in repeat rates, increase in orders and record high NPS. During the quarter, we closed two stores to relocate them to near-by locations that offer both dine-in and take-away.

■ In Dunkin', during the quarter, we unveiled a new restaurant design in India as part of Inspire brand's global coffee-forward evolution. The entire brand overhaul reflects our intent to be young-at-heart, go-to-coffee destination. The coffee retail category is constantly expanding, and Dunkin' will continue to innovate fast with beverage-first and a donut as the value proposition.

■ On the digital front, all our Domino's App-related metrics are scaling record high or are holding up to high levels. App installs at 9.4 mn, MAU at 11.3 mn with a growth of 22.8%, and app ratings on Play Store and iOS at 4.5 and 4.7, respectively, are testament to a series

of periodic improvements being done with a well-structured combination of product management, technology, back-end support and necessary investments to surpass consumer expectations.

■ Domino's Cheesy Rewards program has delivered a phenomenal early response that speaks about the strength of our engagement, the power of our brand, and the supporting platform. The program crossed 1 crore enrollments.

■ International business: We see momentum in both Sri Lanka and Bangladesh. In these markets we are deploying the emerging market playbook for Domino's with cuisine localization, best value to customers, unmatched delivery credentials and digital channels as four pillars. Teams in Sri Lanka opened a record high seven new stores in a quarter taking the network strength to 47. The system sales growth was 24.9%, driven by the dine-in and

5 takeaway channel growth. In Bangladesh, system sales grew by 44.7%, driven by growth in Dine-in and Delivery channels. We added two new stores taking the store tally to 13.

New store expansion for Domino's is on track, adding sales growth and providing leverage.

Bringing LFL growth back in Domino's is top priority for me. At the outset, we have brought in greater focus by sunseting two businesses – ChefBoss and Ekdum!

For Domino's specifically, we have laid out a detailed growth plan and are executing it with rigor. In the last five months at JFL, I have noted tremendous opportunity and scope to grow even in a soft-demand environment and we are addressing this area with a sense of urgency.

■ To grow LFL, we believe that Dine-in orders has to substantially grow at an accelerated pace. Our targeted intervention for the same are two-fold:

■ Firstly, we are swiftly executing our store reimaging program to convert tenured stores as per the latest ACE design.

■ Secondly, we will continue to bolster our high value-for-money quotient with an intent to attract new customers to Dine-in with unmatched value offering. The launch of EDV at Rs 49 each as a Dine-in only proposition is a step forward in this direction.

■ Helped by the store expansion, our delivery channel continues to grow on a high base as a result of permanent habit build across cities.

To my mind, the launch of 20-minute delivery proposition in 20 zones across 14 cities is a game-changing customer-centric innovation. A series of interventions which included fortification of stores, extensive and continued training of Dominoids, kitchen re-layouting, automating ride time planning without compromising on rider safety, has helped us take this giant step in the direction of reduced delivery time. Elevated consumer experience through reduced delivery time is globally proven to deliver better customer satisfaction and lead to increased frequency across Domino's market.

Now on to my strategy and allied priorities for the business.

Over the last four months, I have met more than 500 customers, visited 200+ stores to meet our front-line teams, copiously taken note of our service on aggregators and visited our food-tech-parks.

After a deep immersion with all facets of our expansive business, understanding the inherent

strength of the operating model, while being cognizant of the emerging headwinds, I have further sharpened our strategy by re-working on our priorities.

6 Our first set of priorities relates to “Customer and Market First”. Unequivocally, this is the single biggest long term value creating pillar. The underlying objective here is to build a multi-brand and multi-cuisine food service organization. We endeavor to serve multiple occasions, innovate on formats that drive engagement and customize menu for the local customers. This will allow Domino's to scale in India, Sri Lanka and Bangladesh where the playbook is tested, grow Popeyes, address new

market opportunities in coffee through Dunkin, and capture large white spaces in the category like Chinese food, through Hong's Kitchen.

Our second set of priorities relates to Data and Technology Forward. Technology and data sciences takes customer offerings to beyond immediate physical boundaries of the store. It helps us understand our customers and deepen the relationship through loyalty programs like Cheesy Rewards and make it easier to order a pizza on a moving train. Equally, we will move forward by embedding automation in our kitchens, commissaries, and allied logistics with enterprise-grade processes. Finally, it is about building a future ready digital and technology ecosystem by combining captive capabilities, winning partnerships and thoughtful investments.

Our third priority is to continue driving operational excellence. We have to better today versus yesterday, and tomorrow versus today. Executing with excellence is a muscle and needs to be worked on every day basis, there are no short cuts here. From kitchen operations, to supply chain and logistics, procurement to project management, and to last mile operations, across brands and countries we have to have a JFL's way of execution – ‘The JFL Way’. Secondly, with our scale and scope, we have to manage complexity at lower cost, generate leverage while bringing in continuous improvements in the backward integrated sourcing supply chain with state-of-the-art food tech parks.

One critical outcome of this priority will be continuous improvement across cost lines and productivity.

Our fourth priority, essentially a pre-requisite for delivering on the first three priorities, is the foundation of people and culture. Companies built to last, have a culture and people processes that are home grown. To succeed we will need (i) engaged and inclusive front-line teams; (ii) we have to become the employer of choice; and (iii) be guided by a unique JFL culture embedded with values that last beyond us.

As we work to execute each one of these priorities, my overarching goal is to deliver sustained and profitable growth that creates greater, long-term shareholder value.

With that, now let me turn to the moderator to initiate the question-and-answer session.

Nihal Jham : Thank you so much, and good evening to the management. Sir three questions from my side. You have alluded to the slowdown in general, but are there any specific issue points either say channel wise or city wise that maybe we feel we have seen a deeper slowdown. In your opening remarks you also alluded to the first you are taking on the Dine-in channels. So if you could just give your comments on that.

7 Sameer Khetarpal: Yes, to me, I see this as an opportunity in fact I think as people are becoming more mobile so take for example we see robust demand now on moving trains ; to me it also presents an opportunity to double down on our Dine-in channel and that is where I see as an opportunity and not necessarily a slowdown, because on the delivery side loyalty , app, “Tees se Bees” all of these are accelerating that I think we need to have a sharper program focused on Rs. 49 menu and a pleasurable and welcoming store experience that we are very rapidly reimagining. So I do not see it is like a slowdown per se, I see more as an opportunity to be honest.

Nihal Jham : Coming on my second question on the margin bit, I think it is four months where we are seeing inflation specifically in our key commodities that is cheese and flour, at this juncture do we contemplate taking a price hike to protect margins or do you believe that we want to keep our value proposition in place and hopefully wait for the inflation in these commodities to come down.

Ashish Goenka : Thanks Nihal I think as Sameer alluded to in his talk ; inflation remains at a decadal high we were actually expecting a softening of

of cheese prices, which typically happens in the third quarter of every year but there were two rounds of milk price increase in this quarter so the softening that we were expecting has not happened and that has led to a contraction in our margins. At this stage we would not like to take any further price increase and we would like to continue to drive value proposition because the focus would be more on bringing volume and growth back to the level that we were anticipating and not really take up prices at this point.

Nihal Jham : Final question was that in certain media interactions there have been certain comments where we are looking at Domino's more on an absolute revenue growth rather than a SSG. So Sameer

if you could just clarify that what are the key metrics that we are looking at is it absolute growth or LFL which you highlighted also is a key criteria.

Sameer Khetarpal: I said that driving like-for-like growth in Domino's is my top priority and the reason why I say that is the other part I believe is working very well so we have a completely data and insight driven way of finding out white spaces in India to expand our network, wherever we do fortification it is based upon rock solid signs of how many catchments we have, how the store is doing, how the customer metrics are so that piece is working well and like I said where would I have liked my team to double down on is the like-for-like growth so my priority at the moment is like for like growth.

Nihal Jham : Sure, thank you so much.

Moderator : Thank you. Our next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon : Hi team. Good to see higher disclosures. First is on the loyalty, a little bit more color if you could give because it has been almost like six months of the operations if you can just comment about what is your observations on the frequency increases of your cohort, and also qualitatively what sort of new consumer should have come in thanks to loyalty.

8 Sameer Khetarpal: To me loyalty should pan out in a full year to understand its results fully but what we have learned in six months is actually very, very encouraging. Loyalty is targeted towards repeat customer so it is not targeted towards new customer we have other programs that target new customers, our high frequency and medium customer frequency base is at an all-time high and growing very rapidly in fact it is working quite well like I said the delivery as a channel, own-app ordering that continues to be very robust so that is something working well in the engine and our technology investments are therefore paying off so let me assure you whatever I have seen being in this industry for nearly a decade it is working quite well.

Manoj Menon : Understood, basically if I just to paraphrase essentially you are saying that there is some element of frequency which we are observing ; quantification probably we need to wait for another six months.

Sameer Khetarpal: Absolutely I think frequency increase is definitely there we are definitely seeing that.

Manoj Menon : Secondly when I try to disaggregate the growth let us say at a product level is it fair to say that the pain point actually would be sub Rs.100 price point.

Sameer Khetarpal : Yes, I think my take on this one is see the focus area is Dine-in, and customers at this high inflationary environment they are making choices and we do see customer come with a total bill or total amount in a mind and the total quantity and therefore they tend to gravitate towards lower price point. So as we are kind of competing for new customers we believe given our scale, our ability to deploy technology, our reach of stores ; we can actually capture that demand if we have a very strong Rs. 49 price point menu and that is where we are doubling down on . If we are the only ones who can offer a Rs.

49 menu then we should be acquiring customer at a faster rate and that is what we are correcting in our marketing communication.

Manoj Menon : What I was alluding to is that it is not really any competitive aspect particularly at that price point just the everything under sub 100 is what I was getting into.

Sameer Khetarpal: Yes.

Manoj Menon : Just quickly if I may just squeeze and dwell up on the third one. We opened 265 stores in the last 12 months so given the trajectory of revenue at this point in time where there is not much positive operating leverage is getting accrued does it make sense to slowdown expansion a bit at least for the time being.

Sameer Khetarpal: So I think we debate each store while giving an approval we look at each store as an absolute versus chasing the number so that store has to make sense, it should have the right level of payback for our capital expenditure, it has clear data points and points of interest that you use to calculate, what revenue it will have and if it make sense from an EBITDA standpoint and ROI standpoint we approve the store so there is no compulsion to do x number of stores and all our stores we believe are meeting the internal threshold and guardrail and therefore I am not wedded to a number that we have to open x number of stores. Ashish you want to add something here .

9 Ashish Goenka : Yes, just to add we will continue to follow demand because we do n't want to slowdown this virtuous cycle of growth but we will keep recalibrating and evaluating it every quarter as Sameer says there is no number to chase here but I think only thing will be chasing is demand or following demand so I think that is the guiding philosophy or principal that we are operating with.

Manoj Menon : Good luck guys thank you so much for taking my questions.

Moderator : Thank you. Our next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra : Hi. Thanks again for improving the disclosure. My first question actually is a follow on from what Manoj had asked in the previous question. So I understand you entering new cities and there is

a threshold that is getting met but almost 1/3rd of your new store opening was store split so in this environment of nearly zero LFL does it make sense to at least halt that process of store split which would increase your fixed cost for the same catchment and that increase pressure on your overall business maybe force you in this kind of an environment or you think it is not that bad and you could continue with this scenario for the time being.

Sameer Khetarpal: I keep on telling this to team - splitting the store probably is the easiest decision because it is a function of the mother store achieving a certain revenue ; it is bursting at the seams during peak hours and customer service KPIs are beginning to deteriorate. So if that is happening its an easier decision to make, which means we are leaving demand on the table and not serving it properly.

So therefore how do we preserve our capital and make sure that we are deploying it prudently we evaluate - do we need to open a 1,200 square feet store can we manage it with a delivery and carry out store. So those debates we have , but if the store is not reaching the capacity in the peak hours then we do not split the store. So the guardrail for splitting the stores are very, very clear and we do challenge like why cannot this store do more . If it reaching a certain threshold of our daily orders what can we do to bottleneck - does it need more oven and does it need more bikes so we take those calls and not necessarily make it easy for the store to split.

Ashish Goenka : And Arnab, we have also raised the threshold and become more stringent in terms of the way we are looking at splitting stores. So if you see last year, almost 40%, 45% of our stores are split store. This year,

ear, the ratio has already come down to 30%. But I think we will be doing a great disservice to the business and taking a very shortsighted view if we were not to split stores, which really need a split while keeping the customer in mind, and also the financial model works pretty well. Of course, right now, the demand environment is a bit slow, but I think the financial model works well for us, where the mother and child put together, the investment pays back in about three years odd time. So we will be far more stringent in the way we look at splitting stores. But I think wherever needed, we will continue to do that.

Arnab Mitra : So I completely understand what you said. My question was also that this target of getting to 20 minute delivery. Is that necessitating store splits in certain areas where your capacity will still be

10 there, but because you want to get to that 20 minutes, you are getting into a store split. Is that something that you want to do in this environment?

Sameer Khetarpal: No, absolutely not. I think we have been preparing for it for almost three years with the fortifications plan. It is a natural outcome of that. Now we have the density, why will we not promise faster speed. So we will not open stores just to meet 20 minute demand. I think we have the network in the big cities is what I am convinced of. We are in multiple cities, Bangalore, we have the density. Gurgaon, we have the density, Delhi, we have the density. So why will we not offer better service.

Arnab Mitra : Ok. My last question actually was on this loyalty program. So I think you have explained it last quarter, but just for our benefit. So now that the scheme is becoming large, how do you account for this additional free pizza at the end. Does it happen when the redemption happens or from the day the person enrolls you kind of start accounting for something over the life of the time period, and therefore when does the hit on the gross margin, if at all there is a hit that comes in the P&L.

Ashish Goenka : Of course, we follow the accounting norms. It is accounted as a discount and we take the impact upfront and not at the time of redemption.

Arnab Mitra : Okay understood. Thanks, that is it from my side. All the best.

Moderator : Thank you. Our next question is from the line of Amit Sachdeva from HSBC. Please go ahead.

Amit Sachdeva : Hi! Good evening everyone, thank you so much for taking my question. My question is, first, on the shape of gross margin, the way it is evolving. So if I go to pre-COVID period, you were around ballpark 75%, and as COVID happened and delivery was the main value proposition and consumer willingness to pay also expanded for a high quality food that is coming and we were willing to pay a delivery fee etc. But as COVID has sort of receded, and multiple challenges such as input prices have also come. But I see that 75% is sort of coming back for one reason or the other, but also adding to what Sameer was also saying that you want to also push Dine-in and with Everyday Value with Rs.49. I would assume that would also add to some amount of pressure on gross margin, if not anything else. So question is that whether 75 is a new normal as a strategic construct that you put together in consumer value proposition to enterprises, to how you strategically price the products, and to add to that, Popeyes I would assume, it would be a lower margin business. As the Popeyes stores grow larger and larger, that construct will also add to margins not being able to expand. Go back to where it is. So is it the right thinking, and we should now take 75 as a new normal, or how would you sort of shape our thinking there.

Ashish Goenka : So, as you see, of course, during COVID, we were seeing a highly deflationary commodity environment, and that had the benefit reflected in our gross margin, and of course, now what we are

e witnessing is decadal high inflation across the key commodities that impact our margins, namely cheese, flour and some of the others. So I think gross margin, by and large are currently governed by the commodity cycle and we do expect that in the coming few quarters it should

11 stabilize or start softening a bit. So it will be largely governed by that. We will not have an adverse impact on margin on account of our Dine-in improving or some of the new products that we were launching because one of the guardrails that we are using in the company for launch of any new products is that it should not be gross margin dilutive. So I think new product addition at Rs.49 or even coming back of Dine-in channel will not be margin dilutive. I think margins will largely be a payoff of how the commodity cycle were to behave, and as I said earlier, I think at this stage, we are not looking at any pricing interventions because we want to remain high value for money proposition to our customers, and therefore, gross margin would be directly governed by how commodity cycles behave.

Sameer Khetarpal : I mean, last point on this one is, see, when customers come in for Rs.49, their bill value per order is no less. So there, we have an opportunity to upsell, cross-sell, and I think it is a sharp call out. We want to excel on the dimension of value to customers, and therefore, we have a wide range. But that necessarily does not mean that customer only shops for Rs.49.

Amit Sachdeva : So that is very helpful, Sameer. So what you are alluding to is 75% and a bit is sort of a bottom kind of thing in very adverse circumstances, and if all things equal, it should sort of jump, it may not go to 78% when commodities were very benign, but it should sequentially move up. Is that what you are trying to sort of help us think.

Ashish Goenka : That is right.

Amit Sachdeva : And what about Popeyes impact, is it the right hypothesis that Popeyes structurally would be lower gross margin business, and as it becomes larger, it would have at least some basis points drag on gross margins.

Ashish Goenka : So I think the category structure for fried chicken is slightly different from what we have in pizza. So in the fullness of time of course, gross margin could be slightly lower, but we do not see EBITDA margins to be any different. However, given the fact that Popeyes is right now a very small contributor to overall JFL numbers, right now being only 12 stores and I think it will take some time before it really scales up. It will not have any material impact, I think, at least for the next few quarters on our overall margin profile, and of course, we will come back it starts making a more material impact, but I do not foresee any material impact of Popeyes on the overall gross margin, at least for the next four to six quarters.

Amit Sachdeva : Again, it is a bit of the margin, but just quickly trying to think through the overall EBITDA margin and over the growth construct as well. So clearly variable cost here is employee cost, which sort of expands as the store expand and some wage hikes happen in between, and you have obviously managed other overheads quite reasonably well. They have grown at least in line with revenues and not expanded much. So given that construct, would you sort of say that, like a 250, 240 store expansion that are happening in Domino's. Can that be in a construct of 24% to 25% EBITDA margin, given this is very abnormal quarter with 22% EBITDA margin. How do you think about it. Can expansion happen while maintaining 24% to 25% Ind AS margins. There are more

12 variables and it is very difficult to sort of put together to construct to it. Where I am coming from is, is there a cost of growth and which is sort of offsetting that as well, and where things can be more volatile or at least 26%

, 25% is not a normal margin, and it should tailor down or come down lower structurally.

Ashish Goenka : So two things. One, I think in current uncertain both the demand and cost environment, I think it is very difficult for us to give any sort of guidance. So I will refrain from that, but having said that, I would just want to give you some color on the new store openings. So I think the store openings that we are doing is having less impact on the post Ind AS EBITDA margin. The impact is largely seen in our PAT margins because we are taking a slightly higher debt charge. So in terms of EBITDA, the margin dilution, it is negligible in terms of opening of more stores, and I think we should be able to absorb it. Of course, the challenge remains for us is in terms of how do we step up growth more to start seeing leverage at even a PAT level. So that remains a challenge, but we should be able to absorb 200 to 250 store addition without any meaningful impact on post Ind AS EBITDA margin.

Amit Sachdeva : Okay got it. Thanks so much, that is very helpful, and all the best.

Moderator : Thank you. Our next question is from the line of Amit Rustagi from UBS. Please go ahead.

Amit Rustagi : Thank you for giving me the opportunity. Dwelling up on the last point, which we were discussing about the EBITDA margin. If we see our gross margin decline is close to 2% from Q3 FY2022, and the EBITDA margin decline is close to 4.5% - 5%. Can we say that additional 1.5% - 2% decline in EBITDA margin is a function of new store openings. While I know you have been maintaining this point, that they are not EBITDA dilutive at all.

Ashish Goenka : No Amit, I do not think it is attributable to increasing stores. As I said, the new store impact on

actually EBITDA margin is negligible. It is in the zone of 15 to 20 basis points and not more. What has impacted us more is, of course, there is a flow through from gross margin, but also the fact that some of the inflation has also been impacting all the other cost lines. That is number one. Number two, we have also stepped up our marketing investments given the slowdown in demand, we actually want to stay relevant and therefore we have stepped up our marketing investments, and third is, of course, we have prepared ourselves for a much higher level of growth. We were not anticipating this sudden slowdown in demand, and that also has a sort of bearing on the EBITDA margins, where we have sort of seen a slightly negative operating leverage instead of a positive operating leverage that we are planning for. So I think a combination of these factors is reflecting in the EBITDA margins.

Amit Rustagi : But when you are talking about reversion to previous level and improvement from here. I think mostly, you are talking about the raw material inflation coming down, but as I can see that raw material has contributed to only 2% decline in the margins so do we have more levers in hand to improve the margins from here.

13 Ashish Goenka : So one is, of course, as we get more growth, we should also be getting more operating leverage. So that should help us in improving our EBITDA margins. The other is pan-organization wide productivity drive that we are driving very, very hard to extract more efficiencies across all our lines and also reduce wastage across our cost lines. So I think that is a constant endeavor, and we are also mounting a full scale program right now to take cost out of the system and bring in more efficiency. So that should have a bearing in the quarters to come. But I will refrain from giving any guidance at this stage.

Amit Rustagi : Okay thanks a lot, and best of luck.

Moderator : Thank you. We will take the next question from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari : Hi! Good evening, again thank you for the disclosure. My first question is, we have seen pickup

in activity on promotion, discount, subsidies from platforms like Swiggy and Zomato. What is your take on this issue. So both Zomato and Swiggy are now going after instant gratification by giving, let us say, free deliveries or offering more discounts. Whereas, in your case, let us say, the program that you have is the gratification is more delayed. So how do you balance out in an environment where Swiggy and Zomato are aggressive right now.

Sameer Khetarpal : We have all forms of levers in our hands, right, from brand marketing to promotions, and also running a sharper marketing call out and event celebration like you saw this in Diwali, we had Diwali Dhamaka. So I think we want to stand for value. We want to stand for great tasting pizzas and fast delivery. Together, I think the value proposition is rock solid. So, I mean aggregators or competition will I am sure they will double down on their strength. We have to play on these core values. We are still, by far, the most valued in terms of price point in the category or even in the QSR. So I think customers will look at what is the cost to order their meal, and I generally believe we are like supremely competitive over there.

Ashish Goenka : And just to add to what Sameer said, we did extensive testing to our loyalty construct before launching it, and we had evaluated an instant gratification program as well, but that did not find favors with the customer, and that is where we launched Cheesy Rewards, and response has been very good, and also I think any membership or subscription led program, which aggregators run, actually brings complementarity to the program that we are running because our customers still continue to earn the points on our program while getting the benefit of the subscription based program on the aggregator. So we do not see that conflicting. We see it as complementing.

Vivek Maheshwari : Interesting. Second, in your opening remarks, you made a comment that post November, there was a deceleration that you have witnessed in your business. Can you just talk about how the exit numbers were compared to, let us say, quarter average of where November was.

Sameer Khetarpal : I think we do not give month wise guidance. I think let me just say this, we have tremendous opportunity to tap in areas of demand and growth. So that is not a concern for me at all.

14 Vivek Maheshwari : No that I completely understand. But anything on how the trend has shaped out. So at least directionally was December better than November.

Ashish Goenka : Certainly Vivek, December also had the advantage of, of course having the big days and the festivities. So December certainly was much better than November. But October was even better. December was better than November, but lower than our expectation.

Vivek Maheshwari : Which means Y-o-Y again, because given the seasonality your November, December comparison may not be fair. So on a Y-o-Y basis December was as much let us say good or bad as November was in a way.

Ashish Goenka : I would say much better, yes.

Vivek Maheshwari : Last one, Sameer, you mentioned about 500 customers interaction, 200 store visits. Can you just talk about, let us say, a couple of key, let us say, critical feedback that you received or things that

require your urgent attention that is what you felt after doing these visits or meetings.

Sameer Khetarpal : Good question. So firstly, as you have seen in the past we have taken calibrated price increases. We have added delivery charges. So customers do feel impact. In consumer's mind, the intensity with which we are offering the value that perception had come down. So that was the learning where we quickly introduced EDV 49. So that was one learning. Second is they gave us a lot of credit for our delivery credentials, but we realized that when they are dining out, we are not the first

choice, especially in tier one and tier two cities. While in tier three, tier four cities, we are probably the destination when it comes to dine-in. When I looked at the root causes it goes back to doing appropriate and timely reimagining and upkeep and sprucing up the store with the current times, and with competition coming in, opening newer stores, we were kind of saddled with older stores, and that is what we are correcting at a rapid pace. So two things, one is we stand for value when they constantly look for value, double down on delivery, they expect us to deliver faster, and third is they do want to celebrate their precious moments or joyous movements in their life in our stores like birthday or eating out with friends, and therefore the feedback was very clear - take it couple of notches up.

Vivek Maheshwari : Got it. Thank you Sameer and team wish you all the best.

Moderator : Thank you. Our next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra : Thanks for the opportunity. A few follow ups on your earlier comments. The first one was, clearly, you are targeting to tap into the more value segment and you just alluded to the fact that you want to improve the value proposition to the consumer. Could you help me understand - you had mentioned earlier that even at a gross margin level the Rs.49 pizzas are more accretive. But I thought you have brought down the price points from Rs.59 to Rs.49 so are we changing the way the pizza is made or anything in terms of ingredients as well where you say that this will not be margin dilutive. So that is one aspect, and the second bit is related to spends that we are doing on reimagining these stores. So today, you have about 1760 of Domino's stores how many are in

15 new format and what is the kind of cost that you can incur to turn them into these new reimagined stores.

Sameer Khetarpal : The Rs.49 price point is not dilutive, I think that is the point that Ashish was making because we do want to keep and we have a hurdle rate in terms of gross margin. So how we are handling it is and if you see the mix and match value you have to buy two items, and that is why you get Rs.49 for one product number one. Second is I think, again, firstly we do have the sourcing capabilities and the back end capabilities, right, which others do not have that allows us lower cost structure. But more importantly, when we are designing the menu and the recipes, we are innovating so that the margin is not dilutive. For sure, it is not only just discounting, it is value engineering and it is leveraging our scale to bring costs lower and therefore it is not dilutive.

Ashish Goenka : Also just to add we were already having EDV 99 and now we are saying EDV 49 which you buy two products. And, therefore we are not compromising at all on the product quality and that is always sacrosanct for us. There is no way we will ever compromise on better quality. But we are able to manage the value proposition as Rs.49 becomes far more attractive to the customer than even an EDV 99 proposition.

Latika Chopra : So what I wanted to understand is what is your hurdle rate of gross margin in your mind. So do we say that 75% to 76% is the new band of gross margins you are comfortable as a company, and even if cheese prices are to moderate, that is what we should look for considering the initiatives that you have on the Dine -in side.

Ashish Goenka : So as I said earlier, as well on gross margin it would largely be governed by the commodity cycle. So if cheese prices were to soften, we should see improvement in gross margin because the hurdle rate that we look at internally is that any product that we launch and any proposition that we launch should not be dilutive to the existing gross margins. So if there is a benefit of commodity, it will flow across all product class.

Latika Ch

opra : Sure. I know you do not want to give guidance on growth per se. But, the operating margins in this quarter, of course, are a reflection of operating leverage as well, and do you anticipate that we have seen the bottom of operating margins in this quarter. Or do you think there is more downside to go till some of these new initiatives on LFL really fructify assuming the external environment remains the same.

Ashish Goenka : So I think again it will be difficult to give any guidance at this stage given the uncertainty in cost and demand, but I would reckon that we would have pretty much hit the bottom.

Latika Chopra : All right, and the last bit long -term. So what is the target LFL that you have in mind because that is your priority that you think this business can sustain over the medium -term, and the second bit was from your assessment so far do you see that Domino's format in any way allow you to cater to more consumption occasions in terms of either the format or in terms of menu that could be accretive to the growth going ahead.

16 Sameer Khetarpal : Yes, I think the target LFL in the range of 6% to 8% and I do see that opportunity, and from your second question standpoint like I said there is a huge opportunity for lunch menu for day part, for evening snacking and we have a terrific chef team . Like I said, on one hand, we are launching Rs.49 menu on the other, we are also launching gourmet pizzas. So the opportunity to tap into many India , multiple price points, multiple customer cohorts. That to me , gives me the confidence that this is indeed possible. It is just not an aspiration.

Latika Chopra : Sure, thank you so much.

Moderator : Thank you. Our next question is from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi : Thanks for taking my questions, and thank you for improving the disclosures here. So my first question was with respect to the demand. Yes, the demand has been lower and Sameer you have also mentioned the key reasons why the demand could have been slower. But just wanted to understand that the focus on value proposition, focus on double down on dining channels, is it that there is much higher competitive intensity which is coming back, especially from local and regional players, and that is the reason why we are focusing more on the dining side or is there any other reason.

Sameer Khetarpal : I think the reason to double down on Dine -in I think is one after pandemic, we see the opportunity right. I mean, the customer habits have shifted to delivery and we want to use Tees se Bees(30 to 20 min delivery) and capitalize and fortify that. Now we have a great set of stores. We have invested in new ace design. These are inviting, and why will we not get the growth when I am a neighborhood store. So whether it is a delivery or a takeaway, and when we spoke to consumers, it was very clear at this high inflationary environment they are looking for value, and therefore, it becomes easy to marry the two. If I have a store, which is next door on my way going to the home or office. If I have great value proposition I will go in to either eat or for carry out. Stores that are not inviting, which are older, more than 7, 8 years old, they do need a refresh look and I think more I would say looking at our internal measures and what customer are telling us, less about competition.

Sheela Rathi : Understood. Just a follow up on this is currently as you have highlighted in the presentation the share of delivery is about 2/3 and Dine -in is 1/3. Is there an ideal ratio you have in mind which you would like to keep over the long run, whether it is 50 -50. Or is there something else here.

Sameer Khetarpal : In the short -run, I would want the Dine -in to get to 40%, and then take stock from there. It also helps by the way I think of some of the earlier questions, it reduces

the burden on splitting the

store. Because delivery does become a bottleneck at many stores because you cannot add number of bikes or the right time to start increasing. So I mean, in the near -term we do want to get to 40%.

Sheela Rathi : My final question would be, are we seeing some improvement in the demand trends because we have already done with the month of January. I am not looking for any numbers, but just

17 qualitatively, are we seeing an improvement with the efforts we have made and the new innovations we have done.

Sameer Khetarpal : The uncertainty continues and wherever we are focusing on whichever cities we are focusing on those are seeing a lift. So it is about deploying our internal strategy that is the only bottleneck at the moment, again like I said there is so much of untapped opportunity we need to focus on that versus only talking about the demand scenario.

Sheela Rathi : The demand trend still continues to be weak. Is that what I hear correctly?

Sameer Khetarpal : Yes, it continues to be uncertain and between like December and January there is not a material change.

Sheela Rathi : And versus November it would be much better.

Sameer Khetarpal : Yes, I think like Ashish said December was better than November . November seemed like an aberration in the whole when I look at the entire last 24 odd months.

Sheela Rathi : Thank you very much.

Moderator : Thank you. Our next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi : Hi! Good evening Sameer. Thanks for the opportunity. Just a quick two observations when I look at last 2, 3 years, we built a very solid digital asset , and then we saw the traffic is humongous and then COVID is behind. Now what we have seen over the last 5, 6 months, we are now maintaining that traffic and you are building how we can get the depth of the customers. So we started Cheesy Rewards and then now we are saying we will deliver in 20 minutes. So one observation is that we have built a strong traffic, but the retention of the customer is not visible or rather that is declining. This is just purely an observation while interacting to a few stores and on ground, and then you build saying that we are now offering that instead of Rs.99, we are giving single serving at Rs.49. So to my mind, I think the second observation, which is there and having spoken to

customers rather in my house also the price value summation somewhere is a weaning out and retention of customers is one of the big challenge or pain point for us. So is this observation correct, and that is why I am saying that 0.3% LFL growth is going to be very weak and you are saying confidently 6% to 8%. So these Cheesy Rewards and maybe you can say the 20 minutes delivery and now Rs.49 is a short-term fix. But in the long or medium -term do you think really we need to do something better or extra to get that 6%, 8% target.

Sameer Khetarpal : So let me firstly say that if we deliver a vast majority of our pizzas under 20 minutes, that is a structural advantage. It is not a short -term initiative , it takes years of preparation to build the store network and automate the store processes, have the right training and manpower tools to actually deliver on a 20 minute promise. So first is that it is not a short -term piece. One can argue about Rs.49 because competition can drop prices and create it, but at Rs.49 to maintain the gross

18 margin is again structural. I would not say it is a short -term gimmicky kind of a thing. Now specifically to your question that there are consumers, maybe like yourself, who are not driven by Rs.49 price point, they are driven by better experiences or either a wider range, looking for a gourmet pizza or looking for local flavors or something unique. That is the menu innovation that, we c

continuously want to do, and to kind of remind you, we launched Paratha Pizza then it was the East range with Kasundi, Kosha and Malai, gourmet pizzas. So we are also constantly innovating for customers who are more upwardly mobile and looking for a better experience versus value. So the beauty of our stores in neighborhood and our digital effects and CRM, we can customize our communication to the cohort that we are present in or we are targeting. Shirish Pardeshi : I think that is exactly my follow up question is that we have done the product intervention. So will you be able to share these innovations, what has come after COVID period and specifically over 17, 18 months. Is that new innovation is driving the growth, because I am not sure the product intervention what we have done actually is justifying that 0.3% LFL growth.

Sameer Khetarpal : Of course, there are other factors too. So something you see that growth in delivery, and if you tease out Dine -in and therefore we have to fix Dine -in. Would product alone satisfy, I mean the answer is no. You have to have better experience inside the store, your stores need to be modern and relevant competing with the competition. So again the strategic pillars are very simple look at customers what they are demanding in cohort they are demanding value give them the value in cohorts , there are many Indias, there are many who are looking for different cuisines, different flavors, then there are customers looking for gourmet pizzas , innovate on that dimension, engage them with technology and when the service is being delivered give a very consistent high quality service. So if we do all these three Shirish , we will be able to tap that growth. So I do not know whether I have answered your question or not. It is not one silver bullet is what I am trying to say all three have to come together.

Shirish Pardeshi : No, I understand, and you justified saying I completely think with but my industry experience tells me that and that is the last question, which I am asking you, rather than giving discount and do the customer engagement and if there is a price relevance or price commission in the consumer mind, which is where the customer retention is a big challenge why not instead of drop the delivery charge or give the straight discount or drop the prices and get the traffic back.

Sameer Khetarpal : So I take that as a suggestion. I think at the moment, like I said, we have done extensive consumer reach. They look at the landed cost to them for a similar size of meal or a pizza. So if we have to , if we are learning that we will take those calls at the moment, at least this delivery charge I think during the pandemic delivery charge has become a norm and acceptance. So why put pressures on the margin and not innovate on the menu that is our approach. If we learn something new we obviously will look at it, but at the moment, no plans to take out delivery charges.

Shirish Pardeshi : Thank you Sameer and all the best to you and the team.

19 Moderator : Thank you. Our next question is from the line of Akshen Thakkar from Fidelity. Please go ahead.

Akshen Thakkar : One slightly strategic question, and apologies if it is going to be repetitive to what you guys answered, but just help us set the context of what guardrails to gross margins on your business are, I mean, you had a period where it went up quite a bit with the introduction of delivery charges etc., and obviously you are facing the pressure, you are doing the right thing by not taking up prices, so putting pressure in near -term but when you are thinking about this business three to five years out maybe on EBITDA margins or on gross margins, whichever way you are comfortable with. Just help us understand what guardrails are what is the lower bound and upper bound that is sort of the long-term question, and the short -ter

m question really is how do we look

at the increase in depreciation for the quarter . It is significantly more than the increase in the store count and even if I adjust whatever do some calculation on Pre-Ind AS depreciation as well. That

number seems to have gone up quite a bit over year. Just wanted to understand if there is any onetime items in depreciation or that is a recurring number that we should be looking at.

Ashish Goenka : On gross margin, I think as I alluded earlier, it would be difficult to give near -term guidance. But I think in the medium -term our target would be to be at a range of 23% to 25% on the post Ind AS EBITDA margin I think that is our endeavor and if all the things fall in place, as Sameer was highlighting earlier there is no reason we should not get to that. I think your second question was on the depreciation. So I think our depreciation has largely three components almost 70% plus increase attributable to new stores - combination of both the Capex and the lease increases. This quarter I think 20% of the increase is also abnormal because we had a onetime charge accelerated depreciation for two businesses that we have taken a call to unwind this quarter, namely ChefBoss and EkDum! . So there was an artificial impact also this quarter but almost 70% of the increase is attributable to new stores around 10% attributable to the investments that we are making in supply chain and about 20% was a one -off charge that we have taken on account of accelerated depreciation.

Akshen Thakkar : Thank you.

Moderator : Thank you. Our next question is from the line of Chirag Shah from CLSA. Please go ahead.

Chirag Shah : Thanks Sameer and team for laying out your plan on the business ahead. I have just a couple of questions left. So first on the city penetration. On the store expansion, if I look at we have practically added 100 plus cities in the last two years. Now if I just try to see in context of what the food aggregators are saying, effectively 99% of their business is coming from the top 300 cities and then there is a long tail. Given that context, is there much upside left for us in terms of the geographical expansion into newer cities, and you already mentioned about the ROIs and guardrails that you have, but are the ROIs and payback period in the lower tier cities now comparable to what we have right now and is there a consumer resistance to pay for higher delivery charges.

20 Sameer Khetarpal : I think I will let Ashish answer the first part, but the second part on the consumer propensity like in tier three, tier four. So in tier three, tier four the Dine -in ratios are far stronger than tier one and tier two. So naturally in many cities, if you take Daltonganj, Karwar or Latur, we will probably be the only organized QSR player so we have become a natural destination for consumers in those cities to come and grab a meal or hang out. So the Dine -in portion is lesser. At least from a consumer survey or feedback perspective we have not seen that consumers are not willing to pay for delivery charges that has not come out, and over a period of time we have also seen as consumers get used to Domino's service they do orders so in fact the frequency also goes up. So that is our answer on tier three, tier four cities. Ashish you can answer the first.

Ashish Goenka : To add to what Sameer said and if you look at the growth profile at least in our experience we do not see a significant differential between tier three, tier four versus tier one and tier two, and in terms of new stores, Chirag, in fact the paybacks and return on investment are slightly better in tier three, tier four, simply for the reason that the operating costs tend to be much lower. While the ADS in these towns tend to be a little lower than tier one because the operating costs are low we are able to recover our Capex in under two years.

So the paybacks are less than two years.

So the economics work very well for us and therefore we do see an opportunity in these towns as we expand.

Chirag Shah : To my point that we have already crossed the benchmark that the food aggregators are talking about in terms of the revenue contribution from the cities, is there a long headroom for us to grow geographically.

Ashish Goenka : So as we have said earlier, there are clearly 500 to 600 towns which have more than 1 lakh population and to create a profitable Domino's store, we need a catchment of about 10 ,000 households so in terms of macro opportunity if you ask me there is clearly close to 600 towns in India that we can go to. Of course, we will be very calibrated in our expansion, and we have to make sure that we are getting the payback. So we will keep going to these towns as long as we are able to get our payback within two years and therefore I do see significant headroom. In terms of contribution to business of course tier one and tier two will contribute bulk of the business given the density of stores that we have in these cities . For example our top ten cities alone would contribute to bulk of our stores, but in terms of penetration and presence I do see an opportunity to keep expanding into tier three, tier four.

Sameer Khetarpal : Most of these cities are single cities, single store cities. So even I would say we have seen many towns where the store does exceedingly well and in third year, fourth year there is a pressure to add another store. So again we are guided by the economics of that individual unit that is being put in and the only reason to expand should be that we have strong demand signals.

Chirag Shah : When I look at the Capex numbers that we are talking about for the next two years, there has been a significant increase. Now of course, you are also talking about improving in -store experience. So is there a large component that we are now placing in terms of Cap ex for

21 improving the in-store experience and then there is a 500 Crores to 600 Crores number that we have put for the digital initiatives. Can you just explain where this amount would be going in.

Ashish Goenka : So, bulk of the Capex would still go in our store expansion because as we would look to expand Domino's and Popeyes. So bulk of our Capex will still go into store expansion. Relatively smaller contribution, of course is going to reimaging. We have been reimaging our stores in the last few years, but of course we will step up the pace of that reimaging. Also, a sizable chunk will also go into creation of some of our new commissaries because as I had said in the past, the last commissary we opened was in Greater Noida and that was in 2018. Since then we have significantly expanded our network and therefore we will need to keep creating back-end capacity as we expand our store network. So the first commissary which is going live next year is Bangalore that itself will entail an investment of about 250 Crores and then we would look to expand footprint or make further investment in some of other commissaries like Mumbai which may come in next year. So there is a full road map that we have to of expansion that we have planned out for the next two to three years. So we will see a slightly elevated level of Capex as we invest in creating this backend capacity. But these are typically step investments because once you invest, then you do not need investment for the next three to four years. So these will not be like recurring investment every year. This will be like more like step investment where we will see a slightly higher Capex cycle over the next two to three years before it normalizes.

Sameer Khetarpal : Also on reimaging, see, you are reimaging the customer area, and you are not reimaging the kitchen because the oven, the make line, the refrigeration, the chillers those are

reused. So it is

only the front of the house which is typically being reimaged, and in many cases also it is not the entire front of the house. So I think we look at the store and then design. So it is not as capital intensive as opening a new store.

Chirag Shah : Got it. Very clear. Just one last question on the Cheesy Rewards Program. Can you just help me explain, I mean, the cumulative membership that we now have on the Cheesy Rewards program, is 10.6 mn practically touching the MAU numbers that we have. So how much more can we extract from the Cheesy Reward membership program. That is number one, and number two when we launched this we were very clear that it would not lead to margin dilution. Now given that we are now two to three quarters into this, I mean, is there a margin impact and if not is it because of the higher frequency that is now driving it. Or is it because we are replacing other discounts with the Cheesy Rewards spend that we have.

Sameer Khetarpal : I will not compare 10.6 million enrollments of Cheesy Rewards to 11 million MAU for the very simple reason that customers come back and shop multiple times in a year and I should compare it to total customer base which we do not disclose, but that number is materially higher than the MAU. So we are acquiring customers right at a fair clip. So I think there is huge headroom, what I am delighted is the engagement of loyal member that they find this enticing enough to come back and give their share of wallet to Domino's. So that bit is exciting and the headroom is huge I will not compare this to MAU at all.

22 Ashish Goenka : Just to answer your question on margin. So number one, I think this program is more cost effective because you give a product free and that is also on a redemption based gratification which comes in after almost six orders. So if you see the overall discount that we have actually putting down in this scheme is not very high. That is number one and number two we are substituting it with other discounts, and therefore it does not have a negative impact on margins, and third is that we have also been able to calibrate and make it more targeted, therefore keeping our overall impact on margin minimal and it also pays back because we get higher frequency.

Chirag Shah : Thank you very much and all the best.

Moderator : Thank you. Ladies and gentlemen, please note we will be taking our last question now. That is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta : Thanks for the opportunity. I just wanted to clarify on the Capex bit. You had indicated last time that you are doing about 650 - 700 Crores in the next 12 months and then there was subsequent release about 900 Crores in the next 12 to 18 months. Could you just elaborate what is the Capex plan and help us understand that more.

Ashish Goenka : I think in line with what we said, in this fiscal, we will be in that zone of 650 Crores to 700 Crores and as I just explained we will have probably a similar level of Capex in the next financial year as well. If you put the two together in the next 12 to 18 months, we are looking at the number of 900 Crores, and as I explained earlier I think bulk of the Capex would be attributed to higher store openings followed by investment in our commissary followed by investment in digital and followed by some of the store reimaging that we will do.

Avi Mehta : Understood. The second question is I wanted to kind of just understand the comment that you made about increasing marketing intensity to drive demand. Just wanted to understand if this is something that you are also seeing across the industry, say, from aggregators or other brands or is this something that is just that you have done. If you could help us understand that from an

industry perspective.

Sameer Khetarpal : I cannot comment about the aggregators or competition as

I will be very anecdotal, at least for

us, from a communication standpoint towards Dine -in, we have not done that for the right reasons because of the pandemic. So now taking that as a communication targeting towards Dine -in, I think it is channeling more marketing spends towards that particular format, and at overall level where we do, we had cut back on few expenses. We will make sure that we remain relevant as customers are mobile, they order everywhere. So we will invest in. But it is not something that is going to be materially that we were not doing a quarter or two ago. It is more channeling and slight uptake in marketing.

Avi Mehta : So it is not promotions, it is more marketing.

Sameer Khetarpal : That is correct.

23 Avi Mehta : Prefect, sir. That is all from my side. Thank you very much, sir.

Moderator : Thank you. Ladies and gentlemen, that brings us to the end of today's call. On behalf of Jubilant FoodWorks Limited, we thank you for your participation. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2023

JFL/NSE-BSE

/2023-24/24 May 24, 2023

BSE Ltd.

P.J. Towers, Dalal Street

Mumbai – 400001

Scrip Code: 533155 National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of Earnings Conference Call

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on May 17, 2023, with respect to the financial performance of the Company for Q4FY23 & FY23, which is also being disseminated on the Company's website at <https://www.jubilantfoodworks.com/investors-financial-information>.

This is for your information and records.

Thanking you,

For Jubilant FoodWorks Limited

Mona Aggarwal

Company Secretary and Compliance Officer

Investor E-mail id: investor@jublfood.com

Encl: A/a

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Jubilant FoodWorks Limited Q4FY23 and FY 23 Earnings Conference Call Transcript

May 17, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the Jubilant FoodWorks Limited Q4 and FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Jajodia. Thank you, and over to you, sir.

Deepak Jajodia: Thanks. Good evening, everyone. Welcome to Jubilant FoodWorks' quarter 4 and FY '23 earning call for investor and analysts. We are joined today by senior members of the management team, including our Chairman, Mr. Shyam S. Bhartia; our Co-Chairman, Mr. Hari Bhartia; our CEO, Mr. Sameer Khetarpal; our CFO, Mr. Ashish Goenka; and our Group CFO, Mr. Arvind Chokhany. We will commence with key thoughts from Mr. Hari Bhartia. We will then turn to our CEO to share his perspective. After the prepared remarks from the management, the forum will be opened for the question-and-answer session.

A cautionary note, some of the statements made on today's call could be forward-looking in nature and the actual results could vary from the statements. A detailed statement in this regard is available in Jubilant FoodWorks' earning documents. We will share the replay of the call on the company's website under the Investor Relations section.

I would now like to invite Mr. Hari Bhartia to share his views with you. Thank you, and over to you, sir.

Hari Bhartia: Thank you, Deepak, and good evening, everyone. Welcome to the earnings call. To start with, I would like to mention that very good work has been done by our team in maintaining growth in spite of sustained food inflation weighing on consumption and food costs. On the cost side, we have found broad-based inflation across food categories during the year. To help you better appreciate the impact of inflation on some of our key ingredients, we indexed the prices to pre-COVID levels. In FY '23, the cheese prices have increased by 40%,

flour prices have increased by 28%, chicken and paper box prices have increased by 30%. This, of course, is in comparison to pre-COVID levels. The cheese prices are expected to remain elevated in the upcoming two quarters.

In this context, our actions are guided by two-pronged approach.

Firstly, we continue to strengthen our value offering. The launch of new range of Pizza Mania will help us acquire new customers. The highest priority is being given to grow orders and into like-for-like growth. At the same time, we have brought significant focus in bringing cost efficiencies and improving productivity. The strength of our unique commissary model is continuously helping us in maintaining gross margins.

Secondly, we will continue to invest in new stores and expand our network in a calibrated manner. Our new stores continue to perform well and we continue to serve unmet demand in the existing cities where we operate and also opportunities to open new stores in new cities. We also invested well ahead of time in the new commissary capacity so that we can continue to expand our network.

Transitioning to the full year, I'm pleased to share with you that we have become the first foodservice company in India to surpass turnover of Rs. 5,000 crores in the fiscal year '22-'23, while delivering industry-leading margins. As we look back, our company has traversed significant milestones with support from all stakeholders.

3 Let me take a moment to highlight two of our guiding principles in the journey:

Firstly, delighting consumers with strong focus on value and product innovation; secondly, making proactive investments to strengthen our operating model for growth.

With the strength of our brands, operational execution, leader

ship team, commitment of our people and

support from all our stakeholders, we are confident, like all other business cycles in the past, we will be the fastest to recover and emerge stronger out of this phase as well.

I now request Sameer to share with you our performance highlights and progress on initiatives.

Sameer Khetarpal: Thank you, Mr. Bhartia, and good evening, everyone. Thank you for joining the call today. I'm glad to inform that our strategy of being customer-first technology-forward is working. First, let me give the numbers. During the quarter, we had a revenue of Rs. 12,523 million, grew by 8.2% versus previous year.

We added 61 new stores in Q4 for Domino's, while the like-for-like growth was flat at -0.6%.

However, at a system-level, orders grew in double digits, like-for-like order growth was positive, indicating customers' love for Domino's as the pizza brand. We continue to grow customer base on our Domino's app with a total of 35.1 million downloads in the last financial year, 13.6 million loyal members and we continue to improve our dine-in experience and carryout experience.

Equally, in Popeyes, the customer feedback is astounding. We received very strong feedback and humbled by our response of new store openings, especially in Chennai.

Despite an increase in prices, in cheese specially, we successfully curtailed quarter-on-quarter gross margin decline to just 20 basis points. The gross margin was at 75.3%. This was driven by a series of timely interventions on the food cost line items, focus on data-led efficiencies in our operating model, and partially helped by deflation in some commodities.

The EBITDA came at Rs. 2.5 billion and EBITDA margin of 20.1%. Considering the significant change in economic environment in Sri Lanka, we have taken an impairment charge of Rs. 200 million in this quarter.

PAT before exceptional items came in at Rs. 675 million and PAT margin was at 5.4%.

Just giving the full year view of fiscal year 2022-2023, revenue from operations of Rs. 50.96 billion increased 17.7%. Domino's LFL and SSG growth came in at 8.9% and 6%, respectively. EBITDA came in at Rs. 11.6 billion, and EBITDA margin was at 22.7%. PAT before exceptional items came in at Rs. 4.029 billion and with a margin of 7.9%.

I continue to remain steadfast and bullish on our strategy of building a multi-brand food technology company with an ability to serve billions of customers in emerging economies.

Let me give you more updates with a lens on the key priorities I shared with you in our last earnings call.

The first pillar, like Mr. Bhartia also highlighted, is the customer-first and the market-first pillar. All our actions across brands are guided by keeping the interest of our customers and markets in the forefront.

For Domino's, in delivery, we raised the consumer service bar by launching a 20-minute service guarantee in Bangalore. A network of 174 stores, unparalleled hustle culture and deployment of technology to reduce processing time has helped us achieve this unique feat: the first of a kind in India and first among all Domino's franchisees globally. Bangalore became one of our fastest-growing like-for-like revenue growth in Q4 2023. In dine-in, we have stepped up our efforts to be the neighborhood store, focusing on hyper-

4 local marketing activities and re-imaging our old formats for the bottom decile stores which require refurbishment. In the next 3 to 4 quarters, we will make the experience more unified and stores more inviting for all.

In the current environment where consumers are impacted by inflation, we introduced and expanded the range of Pizza Mania. Our value range now has 13 offerings, starting at Rs. 49 but going all the way up to Rs. 169. We opened 56 new Domino's stores during the quarter and 249 net stores during the year. I'd like to bring your focus on just a single store that we closed during the year.

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is, along with an incremental drag on PAT on account of new stores, at 25 to 30 bps, is a testimony of our performance, of our newly opened stores and our science and data-based business development capabilities to identify white spaces with greater precision and serve demand by opening stores at a faster pace.

- 44% of our new stores opening in this year were in the existing cities serving a white space.

- Our fortressing strategy continues to yield the desired results and meet our internal targets.

During the year, we opened 84 new split stores.

- We entered 56 new cities in FY 2023 to expand Domino's network into 393 cities.

For Popeyes, I'm happy to share with you that the customers are loving our menu offerings. The recent launch of Hot & Messy range where we offer fried chicken in two delectable sauces, is an example of our ability to Indianize the international offering and grow the bone-in-chicken category. We are greatly encouraged by the consumer affection and love for the brand witnessed in Bengaluru, Chennai and more recently in Manipal. We will continue to cover the South systematically and look to spread out from there.

In Dunkin', during the quarter, we opened 3 new restaurants. As for the coffee-forward evolution of the brand, we now have 8 coffee-first stores.

In Hong's Kitchen, we continue to see progress with growth in orders and net promoter scores and customer love. We opened 1 new store during the quarter and taking the total tally to 13 stores.

Turning to international operations. As we celebrate our fourth anniversary of Bangladesh operations, we have stepped up the pace of store expansion in Bangladesh by opening record 4 stores, taking the network tally to 17 stores in Dhaka. In Sri Lanka, we continue to operate our business amid heightened macroeconomic challenges. We opened 1 new store and taking our network to 48 outlets.

Our second set of priority relates to data and technology-forward. Technology and data sciences take customer offerings beyond the immediate physical boundaries of our store. It's an important enabler for customers to have a unified and a seamless experience. Under this, we are working on 4 work streams which elevate customer experience, build next level platform capabilities, advanced analytics and data science, and digitizing the entire value chain from commissaries to the stores. When seen in unison, all the four workstreams help us lead the industry and thrive in this digital era.

The consumer engagement levels across different metrics continue to remain elevated. The cumulative enrollment of Domino's Cheesy Rewards grew by 28.3% quarter-on-quarter to 13.6 million and the loyalty order contribution reached 45% in March 2023. The quarterly app download was at 8.5 million, up 10.4% and MAU, monthly active users, at 11.1 million is up 22% year-on-year. During the quarter, we launched

5 a new redesigned user experience on the Domino's app, which is immersive, engaging and enhances the menu and offerings, making the customers buy more with faster checkout.

Our third priority is to continue to drive operations excellence. Last quarter, I shared my thoughts around executing with excellence around the theme, what I call as The JFL Way. We have made significant progress in further improving our operations with heightened focus on improved guest satisfaction, reduction in costs and not shying away from making long-term investments on behalf of our customers.

We have enhanced our focus on measuring and enhancing NPS scores during the peak hours by giving a seamless experience to customers, even in peak load, we will enable the virtuous cycle of growth by enhancing repeat rates.

A case in point being in Gurgaon, where we were able to deliver marked improvements in all our operating KPIs, while improving NPS leading to higher and positive like-for-like growth. We introduced environment-friendly lid

ess dine-in boxes. The use case of box with lid for dine-in where the consumption begins within seconds of receiving the order was weak. And this led to significant savings with the reduced paper consumption. We also sense opportunity when it comes to format innovation. During the quarter, we opened one new container store in an educational campus. The time it takes to open such a store is significantly lower. It is carried on wheels and the capex is a fraction of what we have for a regular large format. We are running as per schedule to commission, our largest multi-brand commissary in Bangalore. Once fully scaled-up, we would be able to serve more than 750 stores in the region.

Our fourth priority, essentially, a prerequisite for delivering the first three priorities, is the foundation of people and culture. I'm pleased to share with you that as a reflection of high-trust high-performance culture, we were recognized as great place to work, another marker of beginning of a journey to be the employer of choice. We also organized JFL's first ever hackathon with an intent to transform innovative ideas to inspiring solutions. Teams worked 72 hours in office for a 3-day-long hackathon and a coding event. These events go a long way in building an ecosystem for tech talent to innovate and thrive, plus we got meaningful needle-moving customer-facing ideas.

We also filled a critical position in the leadership team with the joining of Mr. Sameer Batra as Chief Business Officer for Domino's India. Sameer will be responsible for steering Domino's to its next phase of growth pivoted upon best-in-class customer experience, operational excellence, LFL growth and store expansion.

In closing, let me share the outlook on network growth for the next year:

While we continue to operate in a very dynamic business environment, we will continue to focus on driving LFL growth along with identifying whitespaces and serve unmet demand. As per our current assessment, we are targeting:

■ 200-225 new Domino's India stores

■ 30-35 new Popeyes stores

With that, now let me turn to the moderator to initiate the question-and-answer session.

Moderator: Thank you very much. The first question is from the line of Nihal Jham from Nuvama. Please go ahead.

Nihal Jham: Sir, 3 questions from my side. First was on the loyalty part. As you said, if you're seeing an increase in the cumulative membership, ideally, should that reflect in the improvement in the monthly active users?

6 Just trying to understand how that would play out in terms of, say, better improvement in performance for us.

Sameer Khetarpal: Sure, Nihal. I think you're probably referring to a flatter monthly active users. I think that's more seasonal. Actually we are seeing higher repeat rates like, frequency of pizza ordering is improving since we launched. And it is targeted towards the customers who are loyal, that bit we do see.

Nihal Jham: Ok. My next question is as per my understanding when someone is redeeming points that they've accumulated over the last 6 to 12 months as a part of the loyalty program, so that automatically ends up becoming free pizza that they redeem. So I'm not certain if that gets counted as 1 order or 2 pizzas are counted separately. So, when you're saying you've seen a double-digit growth in the orders as a part of

the opening statement, are we counting that and is that relevant, first and foremost? It's a clarification not a comment here.

Ashish Goenka: Look, Nihal, not very relevant because the redemption anyways are very low right now, it's a 1-year cycle, and you have to accumulate 6 pizzas to be able to get your seventh pizza free. And therefore, you have to, of course, place an order, and within that order, you'll get a pizza free. So the order count will include this order as well, but it's not very significant as of now.

Nihal Jham: Understood. The second part was that, on the cheese

inflation, as you said that there is clarity now, maybe

these prices are going to sustain. And I guess where a comment would be, right to believe that we don't try and plan any pricing action in terms of increasing prices at this point in time?

Sameer Khetarpal: So again, at the moment, no. I think we don't plan to increase or take prices at least in this current quarter. We believe these gross margins are like protected at least as I can see. So no plan to take price increases.

Nihal Jham: Just one final question was that, if you could give a sense of the number of cities we are looking at. While you mentioned 200 to 225 new Domino's store and you entered 56 cities in FY '23, any sense of the split between new cities and existing cities that we plan to enter in FY '24?

Sameer Khetarpal: For about these 200-225 stores, we will look at an opportunity set of more than 500 stores. It includes new cities, split stores and white spaces in the existing cities. The bias always is to expand in white spaces in the existing cities. That's where we have a team, that's where we get the maximum leverage, but no guidance in terms of how many new cities we'll go to next year.

Moderator: Thank you. The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari: Sameer and team, my first question is on store additions. So last year, if you look at about 1/3 of your stores were split stores. Does that number go down as we head into FY '24?

Sameer Khetarpal: So Vivek, as you know, split store proportion has already come down. Again, like I said, we are not targeting a number of split stores. Split stores decision is taken when the existing store is unable to manage the volume, the customer metrics are hurting, that gives us a trigger to split the store. And let me assure you that even when we split a store, even in cities like Noida and Gurgaon, we actually find enough white spaces because cities are expanding. So it is rarely a perfect split, right? And we continue to capture more white spaces, which is a good thing for us.

Vivek Maheshwari: So Sameer, you expect it -- the reason of asking this question was, let's say, the gap between SSS and LFL is about 3 percentage points and 1/3 of the stores are split, if that number goes down, then obviously,

7 the efficiency metrics move up. But you think that split store as a percentage will continue to be about 1/3 in that context.

Sameer Khetarpal: It may be slightly lower as we see.

Vivek Maheshwari: I see. Okay. Second, a very basic question, Sameer, when you look at, let's say, or when you promise a delivery of -- in 20 minutes in Bangalore, what is the -- let's say, if it's a, let's say, stupid question, but let's say, at 20 minutes to 30 minutes or rather 30 minutes to 20 minutes, is there a big difference in overall customer satisfaction, number 1? And number 2, how do you ensure -- I mean, what does it entail?

So store split will be one part of it, I'm guessing, but the other part will also be, let's say, if a typical store in a 30-minute delivery time line, let's say, needs x employees, then does that mean a 20-minute delivery will require, let's say, 1.2x or whatever that number is? So does that mean in 20 minutes, while customer satisfaction certainly is higher, therefore, ideally, throughput should be higher ordering frequency, but does it also imply that the margins go down in the first way? Again, it's okay if margin goes down from our perspective, but just want to understand fundamentally, how does it work.

Sameer Khetarpal: I think it's a great question, firstly, Vivek. And actually, the margin doesn't go down, and we do get more deliveries per hour from the same rider, right. And so riders actually should make more money because, see, the way this has happened is we have about 175 stores in Bangalore. We have only guaranteed 20 minutes when we believe the right

time from the store to the customer location is about 7 to 8 minutes.

So if you add 7 to 8 and 7 to 8 minutes of reverse leg, theoretically, you can do 4 deliveries per hour, right? And we are obviously not at 4. So there is huge headroom to be more efficient.

And anyway, this is the workforce we pay per delivery. So from a cost perspective, it doesn't add. From a customer perspective, it materially improves the net promoter score almost to the tune of 500 to 1,000 basis points on net promoter score uplift we have seen if you do it consistently. So that gives us the confidence that -- and like I mentioned, Bangalore did grow positive double-digit in LFL, right? And that gives us the confidence that if we double down on it, and give a consistent experience. And we will -- customers will love us, and we will be the most reliable and the fastest QSR delivery chain.

Vivek Maheshwari: Interesting. Interesting. Okay. And then last thing, Sameer, after you've taken over, we have heard a lot from you about -- on dine-in side of things. But one of the things that you mentioned on the customer experience in dine-in store, does that entail a reasonable amount on capex? Or if you can quantify how much will be the capex in case if you want to make, let's say, dine-in experience far better compared to where it is today?

Sameer Khetarpal: Yes. So there are 4 or 5 elements over there in terms of few things which don't cost money, like greetings, table service, timeliness of service, the experience of eating the pizza inside the store. These are more softer aspects, then there are a few harder aspects like reimaging the stores. These are stores which are fully written down 15 to 16 years plus in terms of ageing. Sometimes we do relocate them and there we get rental savings. In fact, the ROI is positive. Wherever we change, there is a high bar on the overall sales of the store, including the dine-in store. So we treat this reimaging as a new store internally and have the financial discipline to look at payback periods.

And these are not too many stores, right? I mean we also focus on bottom 10% store and which we always assess what is the best way to improve -- either drive the growth or improve the margin. In many cases, the answer is actually we need to do reimaging, as we call it. And there are 3 archetypes of reimaging also, right? It's not always a full break-down-the-store and then sometimes it is about highlighting the

8 elements of the pizza. Sometimes it is about fixing the facade and the entry. So there are various pieces to it and not necessarily like a full new store capex over here.

Moderator: Thank you. The next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon: Team, I got just 2 straightforward questions for clarification. One on the loyalty piece. Let's say, *ceteris paribus*, you are, let's say, you are expecting to grow same-store revenue growth at X. What is the sort of band of, let's say, incremental benefit you are likely to get in the next 12 months or so? Is it a 0% to 5% or is it 5% to 10% based on the initial reaction of the consumer behavior of the cohorts who are your, let's say, heavy users?

Sameer Khetarpal: Manoj allow the program to complete a year. After 6 orders, you earn your free pizza. The frequency overall is lower than that. So it takes a year to stabilize. We have various models around it. One thing that I can assure you is customer eating pizza more than 6 time, more than 9 times, more than 12 times in a year, that cohort is increasing in terms of absolute numbers and not in percentages. So that gives me the confidence that this program is working. Also, we see customers which have enrolled, the likelihood of churning is also materially lower. So they are, in some sense, more forgiving or more invested in the brand.

Manoj Menon: Awesome. Understood. Just one follow-up, if I may. Ar

e we then -- if I am to decode one part of your

statement. Let's say, there is a consumer who is ordering every 30th day, are we saying that we are seeing some early signs that we are able to get frequency improved to, let's say, 29 days, let's say, 1 day improvement or something like that?

Sameer Khetarpal: See, overall frequency is improving, right, since the launch. That is very clear. So therefore, one way to interpret is the mean time between a reorder is coming down. I have not done that calculation. I'm just only deducing it based upon the frequency increase. But I will do that, and probably there are certain trends that we can share in the next earnings call. I have noted it down.

Manoj Menon: Understood. Understood. Good luck. And the second question is actually on your own app, your own property. You had a great success in terms of consumers getting to download your app and your online ordering being fairly high, close to 100% now. If you could talk a little bit more about the conversion of consumers who have downloaded your app versus that they're actually using it, so the activities or actions you're taking to, let's say, to get the consumers to use your app far more than what it is today.

Sameer Khetarpal: If I understand the question. You're asking what activities or initiatives you've taken to drive improvement in monthly active users and the conversion, right? That's what I think you're asking.

Manoj Menon: That's right. Because as a consumer, I have multiple options. Let's say, I have these 3 simple options while ordering food: your app, Swiggy, Zomato and maybe ordering over the phone. So out of these 4 options, from your point of view, you would prefer, I presume, that I order only through your app?

Sameer Khetarpal: I'm here to serve customers. It doesn't matter where they come from, right? I want customers to love the pizza and the experience delivered by a Domino's delivery rider. So that's kind of my approach when I look at the channels. Now specifically, we control the experience far more in our own app, which has a dominant share of delivery. And the activities we have done are the following:

Firstly, we are in the business of serving hot pizzas, so we want the customers to visually get enticed by hot and fresh pizza, so for example, giving them the immersive experience of high-quality images, videos,

9 making the experience more efficient in terms of get to what you want. Take for example, if I order a farmhouse and a garlic bread, the top widget will be the most frequently ordered item by that customer so that in 3 or 4 clicks, she can actually check out and order.

Next being our usual sides like choco lava cake and garlic bread or crust upgrades to cheese bursts or thin crusts, those are available. Right when you select the pizza, we remind the customer, do you want to upgrade the crust or change the crust? When you are checking out, did you forget to add a garlic bread or a choco lava cake? So these elements are now been put in motion in the last quarter. And of course, topping it up with a simple cheesy reward, you see the image on the top right-hand corner, how many more pies you need to get a free pizza.

And then reminding you that, hey, you have a free pizza, why don't you redeem it? So these initiatives are done. Several more are planned, which will make the app experience more immersive and also more efficient.

Last but not the least, we did launch a spin-the-wheel where we also treat this as a platform. And one of the hackathon ideas was to gamify it and we did launch a spin-the-wheel kind of a game during the IPL time.

Manoj Menon: Understood. And one last question, if I may. Let's say, in the last 12, 24 months, is it a fair hypothesis for me to state that you would have faced, let's say, relatively higher competitive intensity in the lower-priced pizza, not necessarily less than INR100, whether it could

be less than INR100 from a competitor or it could

be regional brands or XYZ brands. Is it fair to say that you would have faced lower competitive intensity from lower-priced products versus the higher-priced products? And where are you in that journey currently? And what are you doing to tackle it?

Sameer Khetarpal: So, at Rs. 49, at least my competition is with Samosa, Idly and Vada, right, and not pizzas. So that market is much larger, Manoj, and I have always been saying that from Rs 49 entry-level pizza to a Rs 849 gourmet pizza delivered from the same store, as delectable, as appetizing for both sets of consumers, actually, the real deal over here is internal -- getting the internal teams focused on serving the white spaces, unmet demand and serving various cohorts through technology. I don't think entry-level pizza is actually a meaningful competition.

Moderator: Thank you. The next question is from the line of Amit Sachdeva from HSBC. Please go ahead.

Amit Sachdeva: Sir, given that demand environment has been challenging and like-for-like growth has turned negative, while demand remains challenging, you have obviously taken several actions, which is affordability, consumer service level and product innovation. Now as you go with this playbook, as you go into the current year, do you see that this year as a transient of gradually building demand; or it could be something like first negative becoming broadly flattish and gradually moving; or do you expect some amount of rebound can happen?

And what sort of demand environment is playing out, given the success of, say, Bangalore or some of the markets that you see these service levels are working? Do you see that as a potential for -- in the current year, your target of like-for-like growth, mid-single-digit, to be achieved on a full year basis? Or you would say that it will still take more time to do so?

Sameer Khetarpal: Yes. I think from a consumer sentiment perspective, I don't see if things will change in 1 quarter. I'm just being more near term than the question that you asked. However, I'm very much focused on the internal

10 opportunity and there's loads of it, let me assure you that. The team knows where to fix, what to fix and when to fix, where are the opportunities over there. So my first goal is to make sure all my customers who are coming to me, they are happy and they are enrolled in Cheesy Rewards.

We continue to expand stores because I believe, demand slowdown is transitory, it is not something which is cast in stone forever. And when the demand picks up or the sentiment picks up, we will be the fastest off the blocks, both in terms of driving the growth and also expanding the margin pool. So again, I'm being more calibrated at this stage because world changes very quickly, one event can cause major disruptions in food inflation or consumer sentiments. But things look more stable, Amit, versus the last earnings call.

Amit Sachdeva: Okay. That's good to hear. So for example, as you go in April and May, are you feeling little bit slightly eased up or it stays the same? Or you're saying it is at least stable, it's not worsening any further, is that the kind of message that you are trying to give?

Sameer Khetarpal: Yes, it is definitely more stable, at least from food inflation standpoint. While, cheese is elevated, but other commodities have softened. And we have more internal levers also to work upon. But some of these levers would just take a bit of time to get executed. So therefore, I'm being more cautious. Whatever seasonal upticks you get during the IPL or during the summer season holidays, etcetera, those obviously come in.

Amit Sachdeva: Sure. Sure. No, that's very helpful. Sameer, if I may just ask the interplay of, for example, fixed cost in the system and if I were to just roughly do the math, I would probably think that at store level, costs would be inflationary at

about 2% to 5% ballpark at the store level y-o-y. And in case, the like-to-like growth is, say, flattish, if not negative, do you see a scenario where margins at the EBITDA margin level, some of your

cost efficiencies and other initiatives that you could take can arrest some amount of EBITDA margin pressure? Or how one should think about the overall dynamic of gross margin staying 75%, 76% level? How one should think about this demand pressures to cost pressure at the store levels and things like that in terms of wages and rentals and things like that? How one should imagine the EBITDA margin picture for this? I'm not asking for specific guidance, but what I'm trying to say is, if things don't materially improve in demand front, is there a risk that EBITDA margin can stay or at least under more pressure? Or do you have levers to contain that?

Ashish Goenka: I think the biggest unlock for EBITDA margin improvement from here would be unlocking the LFL growth. And I think that's where the incessant focus has been on improving and driving all the levers to make sure that we start getting like-for-like growth, and therefore, operating leverage within the store. Having said that, I think we're also working on looking at every single cost line and we have actually launched a pan organization program called Vijay, where we're looking to take out cost from our systems and drive efficiency and productivity across all lines. So that to my mind, will at least ease off or will help us retain the current level of margins without it getting impacted negatively.

Amit Sachdeva: Got it. So Ashish, if I may sort of paraphrase, what you're saying is given the cost efficiencies, even if there's a lackluster like-for-like growth in the worst case also, the margin will be maintained, but if like-for-like growth happens, then probably it will be a big plus. Is that what you're trying to sort of alluding to?

Ashish Goenka: Yes. Amit, I think that's the endeavor that once like-for-like growth comes back with all the cost initiatives, we should be able to see an uptick in EBITDA. But I would refrain from giving any margin guidance because I think the environment remains very dynamic.

11 Amit Sachdeva: Sure. No, I just wanted to understand, Ashish, is that in the scenario of, say, no like-for-like growth, whether you are sort of structurally preparing for at least containing the EBITDA margin. That's what really I wanted to understand.

Ashish Goenka: Absolutely.

Sameer Khetarpal: That's always the endeavor, yes.

Ashish Goenka: So structurally, I think we're doing a lot of intervention looking at every single line of our costs, looking at extracting more value from every single line of fixed costs. So I think there is a full program in place, and that's our endeavor. Our endeavor is not only just on the cost line, but also in terms of improving our mix, getting more sharper and targeted in terms of our discount deployment. There's a lot of work happening in terms of keeping the overall health of the business at a very elevated level.

Amit Sachdeva: Sure. So in that case, the Rs. 49 pizza and affordability range, has it made a material difference in some markets? Can you give us some sort of anecdotal aspect of it that how one should think about that affordability strategy is helping you solve the problem of, say, dine-in footfalls being higher where it was targeted to how this strategy has sort of translated into some gains here?

Sameer Khetarpal: So the cornerstone of our customer value proposition is hinging on three pillars, right? So the number one, value; number two is delivery excellence; and third is the taste and the amount of cheese and topping we put in, which we launched through all-new Domino's. So firstly, Rs. 49 has not diluted our gross margin, right, which you see in our P&L this quarter. At Rs. 49, trust me from a customer mindset perspective, it is a big

hook. It has elevated the value credentials in customers' mind and therefore, they come in. And then it's an opportunity using our app, using our loyalty program and using our store experience to upsell

and cross-sell. So we have not seen the average order value decline because of this. Whatever decline we see is more because of inflation and the price increases on sentiment. So this alone does not count -

- actually the volumetric growth gives us the confidence that customers do want to come back to this brand and therefore, we have tremendous opportunity to kind of wow them with better experience and also with the Cheesy Rewards program.

Ashish Goenka: If I may just add to what Sameer said, Amit, it also allows us to recruit a lot of customers from the unorganized market. As you would know that 2/3 of the market is unorganized. So if you're able to play at that price point without any material impact on our gross margin, I think it will give us a long-term growth in terms of being able to keep converting and recruiting customers from the unorganized segment of the market.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Sameer and team, starting from the first experience, what you mentioned that you are trying to delight the customer and meet unmet consumer demand, let me be little candid and consumer-wise, sitting in Bombay, we see La Pino'z has picked up very well. Now whole science behind why La Pino'z has picked up and if I check, dipstick, within our office and my friends and consumers, the quality is one of the big thing which the local competition is offering at the price.

Now I would not say -- I'm sure since you are in the business, you know about it, the quality over a period is a big question mark for Domino's for customers is not coming. And if I look at the traffic, which has improved, so are you trying to solve the problem of quality with 20-minutes delivery or saying the redesign

12 or dine-in? So maybe I want your candid assessment that what is it that we're trying to improve the quality? Or is there any efforts we have already made?

Sameer Khetarpal: Yes. So good question, Shirish. And thank you for being candid. I think it's a consumer who is speaking as an analyst, right? So I acknowledge that. And so I think the proof of the pudding in this case, the proof of the pizza is in eating it, right? And we can talk about the value, we can talk about the store experience, we can talk about 20-minute delivery. The moment of the truth is when the customer opens the box and when she eats the pizza. So that doesn't change. I am also not saying that the delivery will compensate. And I did say that we have three pillars to our consumer value proposition, the taste and the product, which is paramount, the value and the price that we offer, and delivery. All three should come in together. One cannot replace the other. I cannot give a great tasting pizza, but after 45 minutes. That also doesn't work. So in few pockets, we have room to fix and hopefully, we can delight you with a far superior experience in Mumbai, and we are cognizant of the gaps that exist. And let me assure you, we will continue to offer the best on all three dimensions. Wherever gaps are, we will fix it.

Shirish Pardeshi: So one follow-up here, Sameer thanks for your reply -- that's helpful. But does players like La Pino's worry you because today, if I look at the scale which La Pino's has built up, I'm sure Delhi there is Oven Story, there are many examples you can take regional. But is the regional competition is one of the big thing which worries you and that's why you are -- when you sit in the drawing board or when you sit with the team, is that a driving factor?

Sameer Khetarpal: So with all humility, we operate more than 1,800 stores and we know the challenge of running a ship tight

ly, efficiently with highest amount of food safety, quality assurance and serving on the core value proposition. I'm just focused on that, Shirish, to be honest. Internally, there is tremendous opportunity. If I unlock that, I mean at Rs. 49 going all the way to Rs. 849 with the offerings of the pizza that we have, it is for my team to execute and get that growth. So honest answer, internally in my team rooms, I don't focus on competition. I focus on my customers, and I know I have a job to do over there.

Shirish Pardeshi: Okay. That's helpful. My second question, if I benchmark quarter four LFL, minus 0.6%, and if I look at from your lens, you have done lot of interventions in Bangalore about 20 minutes promise. Then you have done some redesigning of stores in Delhi NCR, which I've seen, that's a phenomenal work which is there. So if I look at minus 0.6%, what is the LFL growth, if you can add maybe quarter four some flavor in these areas?

Sameer Khetarpal: So I think wherever we have done 20-minute or redesigned the store, of course, like, we see the effects in 4 weeks, right? And that gives us the confidence. It's just that you don't have a magic wand to turn top 7 cities into 20-minute promise over time or reimagine the stores overnight. All of this takes time. It takes landlord to agree, it takes teams to get organized, get the equipment, shut down the store. So it is done in a calibrated manner. But wherever we do, let me assure you that this pays off far more than what even we internally estimate.

Shirish Pardeshi: Okay. My second and last question on the dine-in piece. I do give merit that past, company had tried to drive the margin and other things. But dine-in is one of the piece which we, for a long time, trying to stitch. What are the efforts or what are the initiatives you think and if it is residing at 36% for FY '23, where do you think this dine-in piece will move within next 2 to 3 years? And what are the initiatives which you are taking at this time to drive the dine-in experience?

13 Sameer Khetarpal: Yes. So firstly, if I have to grow in like healthy double digits, then all channels need to grow in healthy double digits, right? Because one channel is not insignificant that it can grow faster, right? These are all materially chunky channels by and itself. So for dine-in specifically, I think there are 3 or 4 things that we need to do. One is to have inviting stores, wherever the stores are older, have a better dine-in experience in terms of the staff being more courteous, being more proactive to customers, and number 3, help the customer navigate inside the store, order quickly, be efficient.

We are not going to become a fine-dining or a casual dining outlet. We will remain true to our values, we give great value, efficient service and have a comfortable environment. I think in some places, this is not right up there, and we will fix it. And so the initiatives are around same, making sure the product quality is outstanding, the service for what we stand for and what customer pays for is right up there. And the restaurant ambience is what we have promised or what we envisage when opening a new store.

Shirish Pardeshi: That's helpful. One last follow-up on the same point. Today, when I look back and I do have this monthly visit and weekly visit to certain Domino's stores, and the whole Domino's store looks like a machinery that you get the order and you run away. While you are taking these initiatives for creating that customer experience, do you think that the whole element of culture, the service delivery point, which is much different than enlightening the customers sitting in the store, so does that mean that we need to do a lot of activities to get the people, skill development in terms of culture? And therefore, is there any investment also behind it?

Sameer Khetarpal: Yes. So I think I just wanted to make an overarching stat

ement and then maybe answer your question.

See, we don't want to become fine dining or casual dining. We want to be efficient, our stores have one of the highest throughputs in the country and probably in the Domino's system. We are a culture of hustle and efficiency. That will not go away. At the same time, it should not be hurting the customer. If a customer wants to sit down for 7-15 minutes, finish her pizza, bring her friend into the store, use the washroom, want something extra on the table, we will go ahead and do it.

So therefore, I'm not stretching the boundaries of who we are beyond a certain realm, it should not hurt the customer, right? It should ease the customer is what my mantra over here is. And I think that can be done. And it will require training, of course. It will require changing some of the systems. But again, these are more, I would say, more behavioral and more training-related changes and some hardware-related changes inside the store, but nothing beyond that. We are not going to become a gourmet pizza shop.

Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: I have a few questions. Firstly, on the capex, you have done on cash flow basis about Rs. 770 crores of capex. Would you be able to give some kind of breakup on what this entails, how much of it is commissary, how much of it is new store, how much is remodeling, how much is IT, etcetera?

Ashish Goenka: So Percy, I think bulk of it is new stores. We have done one bulk capex on commissary on our new Bangalore commissary, which was about Rs. 250 crore. Other than that, most of it is attributed to new stores. And of course some amount has gone into reimaging of our stores and our digital and IT investments that we do on a regular basis.

Percy Panthaki: So Rs. 250 crores is in the cash flow of this year itself?

Ashish Goenka: That's right.

14 Percy Panthaki: Okay. Secondly, on the margin, the key takeaway I'm taking from your discussion with my friend, Amit, is that this margin this quarter of 20.1% seems to be the bottom. So, if I'm correct in assuming that, my question here is that if, let's say, a few months down the line, cheese prices come off, etcetera, what will be your response to that in terms of consumer pricing, promotions, etcetera? Will you pass on the deflation to the consumer? Or do you think that you'll retain it because you have not passed on the entire inflation itself? And in light of this strategy, where do you see your medium-term margin stabilizing? I mean, see, a couple of years ago, you had touched highs of 25%, 26% which definitely don't seem to be sustainable in the long run. On the other hand, this margin of 20% also seems to be on the lower side. So where do you think is the sweet spot for you where you will be comfortable in terms of margins?

Ashish Goenka: Percy, our constant endeavor, of course, is to improve margins. But given the dynamism that we are facing both on the commodity cycle and the reduction in ticket because of the sustained inflation and the way the consumer demand is panning out, I think it will be very difficult to give a guidance at this stage.

And as I alluded to earlier, we are structurally looking at reducing costs, becoming more efficient, becoming more leaner. And therefore, as and when the cycle turns, we should be able to take advantage of that.

Percy Panthaki: And as far as the cycle turns, I mean, do you have any kind of visibility as to when the SSSG will turn positive?

Ashish Goenka: So as also what Sameer said earlier, Percy, I think it's difficult to, again, give a prognosis at this stage.

This cyclical demand does take 2 to 3 quarters to come back. And I think it will be anybody's guess at this moment as to when we will start seeing a full recovery.

Sameer Khetarpal: And again, I would just like to add that my team sees good i

nternal opportunities for us in many places as

we look for either store expansion or within the catchment that we serve. So I'm again focused on the internal opportunity that I see and I want my team also to be fully behind that.

Percy Panthaki: Sure. And lastly, on Popeyes rollout, it's been almost 1.5 years since the first store was launched. So just wanted to understand why is the rollout so slow, only 13 stores till now. Why -- if you believe you've got the business model right, why not accelerate and add like 50, 60 stores every year?

Sameer Khetarpal: Yes. So just for context, right, we offer antibiotic-free chicken and fresh chicken, right, which is not frozen. So that takes time to build the back-end supply chain. Like for all our products, we want to fully have traceability and visibility to the origination point to the point when we serve the customers. We want to have a good control. That's what takes time more than opening store. Actually opening store is the easiest part, but fulfilling it, making sure the quality remains, it takes time. So -- and you will see a faster pace of store expansion going forward.

Percy Panthaki: Right. Just one suggestion from my side. You had given SSSG for the year. You've not given for the quarter. If you can start giving that on a quarterly basis, again, it will be very helpful.

Sameer Khetarpal: We give on annual basis. But we take that as a feedback and come back and evaluate if we should change that.

Moderator: Thank you. The next question is from the line of Jay Doshi from Kotak. Please go ahead.

15 Jay Doshi: My question is on demand and primarily because I think in one of the earlier responses, you mentioned that there is no improvement in consumer sentiment, whereas then you talked about seasonal uptick. So typically, in June quarter, for most QSR companies, we see a high single-digit sequential improvement in ADS and that's the seasonality which we've seen in Domino's also prior to pandemic. Are you seeing a similar level of uptick at this point of time? Or are you seeing no uptick at all? So what does stable environment mean? Is it like similar ADS levels just Jan Feb March quarter or a seasonal uptick?

Sameer Khetarpal: I think at the moment, it is a seasonal uptick that we are witnessing, which we do see. And India has a lot of feasts and fasts coming and those cycles can also change. IPL is another boost to the pizza eating time. So whatever seasonal upticks that we see, we are definitely seeing that.

Jay Doshi: That's helpful. Second question is, how do you think about a balance between your own app -- own platform and the market share on Swiggy, Zomato? Are you making any investment to ensure that you maintain the market share on food aggregator platforms?

Sameer Khetarpal: I did allude to this earlier, I see any customer opportunity to serve Domino's as one, right, whether it's the dine-in, takeaway, delivery through our own app or order sourcing from Swiggy or Zomato, because these are customers looking for Domino's Pizza. We control the delivery experience and we make the pizza, right, pizza box never leave our hands. So it is, to me, like that, if customers do choose to order from

Swiggy and Zomato, I do want them to give the best experience and not be partial towards one versus the other.

Having said that, there are a few pieces which are available on our app, which is for the Cheesy Rewards loyalty program, is only available on our app. So those pieces are there. But except for those, I do want to serve the customers and the experience on our own app is more in control, right? If you want to nudge a customer, let's say, a garlic bread and a choco lava cake to someone who is just ordering pizza, or change the images the way we want to, I think those are easier to execute. But for that, I think I want to serve all the customers always. In fact, I'm pushing my team to find out more ch

annels to serve the customers. Why these 4 only?

Moderator: Thank you. The next question is from the line of Ashish Kanodia from Citi. Please go ahead.

Ashish Kanodia: Sir, the first question is on the 20-minute delivery promise. So you have already rolled out to Bangalore. When you look at FY '24 end, do you see a possibility with the existing store density and the new store coming up, this being rolled out in maybe the top 6, top 7 cities as well?

Sameer Khetarpal: I do want to roll it out to top 7 cities, where for consumers it matter the most, but I will not take shortcuts in terms of doing this without the right store infrastructure, rider tracking and technology in place and most importantly, the rider and pedestrian safety. So therefore, I do want it like from an ambition standpoint, but when the infrastructure is there, we will roll out city by city.

Ashish Kanodia: So the reason why I'm asking this is, sir, is because, see, similar to Bangalore, say, in the top other 3, 4 cities, right, you still have a good store density. And I understand the point on the safety measures, right, but this will also help to drive the NPS scores and your like-for-like growth as well. So I mean, what's your ambition here from the next 12 to 24 months perspective? Do you see this -- because I'm assuming the tech is already there, right? So do you see that possibility of rolling out in the next 12 to 24 months?

Sameer Khetarpal: Yes. So I think what has happened, Ashish, is that just by bringing greater focus on it, our delivery against the promise performance has improved for 30 minutes. And therefore, cities like Gurgaon, Noida have

16 witnessed high growth. So therefore, I may need to add more stores to even get to 20 minutes now. So the long story short, on this one, be consistent and be most reliable and consistent on your delivery promises first. That's the first phase of growth that we'll get on delivery. Second is get the network and technology to expand, only then launch it. I want to do this as soon as possible, but not compromising on these elements.

Ashish Kanodia: Sure. Point taken. And the second question is on product. Now -- and both on Domino's and Popeyes, right? So firstly, on Popeyes, right, if you look at, say, our entry-level burger is at INR109 for veg, right?

So basis the consumer feedback, do you see there a need for something which is, say, at Rs. 49, Rs. 59 right, which psychologically attracts to a large consumer, something similar to what you have done in Domino's?

And second, on the product development on Domino's side is, when you look at the Domino's currently menu offering, right, there will be a timing where the demand is very high, maybe during lunch and dinner, but at the same time, there will be slots where the demand is very low because pizza as a product is consumed relatively very low during a particular time frame, right?

And I'm not talking about breakfast, I'm just looking at between, say, 11 to 10 p.m., and there could be a time between, say, 3 to 6 pm when the number of pizza ordered are relatively less. So within that, do you see a scope to kind of increase the menu beyond what we currently offer in the sides? Or do you have any examples that something of similar sort was done and which helped to increase the ADS?

Sameer Khetarpal: I think both great questions. For Popeyes -- firstly, let me once step back. See, customers are always looking for value in any country that you go to. So we have to be respectful of that and find ways to give value. At the moment, my endeavor in Popeyes is to make sure we have the right footprint in south of India, backed by the right commissary model and serve the customers with the unique sandwiches and bone-in-chicken that we have. So that itself should give me a tremendous opportunity at this stage. So definitely, I do want to attack the value segment. I'm not saying that I don't w

ant to. So that's always on the horizon. On your question on dayparts; I think it is a fact that like globally, it is ordered more in the

evening versus during lunch hour. That presents an opportunity. And I agree with you that there is more opportunity during pre-lunch and post-lunch, right, as I also see it. One of my themes on being customer and market-first is to innovate for many Indians. Teams are experimenting and sprucing up the menu as we speak to tackle these. Equally, the opportunity is on the technology side. Can I have better combos targeting CRM activities during these hours? And yes, so again, that is definitely on the anvil.

Moderator: Thank you. The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta: I just had 2 questions. One, I wanted to understand the bill per order decline. If you could clarify what drove it because you pointed that Rs. 49 pizza menu was not the material reason. So if you kind of help just understand what

drove that decline across both delivery and dine-in?

Sameer Khetarpal: So that is not on account of the Rs. 49 launch. It's more about consumer who was eating a medium pizza, is now going in for a regular pizza, right, somebody wanting additional side, they're trying to protect the amount that they spend. Rs. 49 is definitely not the answer over there.

Avi Mehta: Okay, sir. That's clear. And second, sir, if you could give just a bookkeeping, what would be the capex likely for FY '24, given the store addition guidance of 200 to 225?

17 Ashish Goenka: So Avi, I think we are in a high capex cycle right now. So even for this year FY '24, we are expecting a capex in the range of Rs. 700 crores to 800 crores because we will also be investing in our Mumbai commissary this year, like we did in Bangalore last year.

Avi Mehta: So that would be commissary would be, say, similar Rs. 250 crores, Rs. 300 crores like Bangalore?

Ashish Goenka: Yes, similar. I think we are looking at a similar Rs. 250 crores to Rs. 270 crores of investments in our Mumbai commissary as well.

Moderator: Thank you. The next question is from the line of Tejash Shah from Aventus Spark. Please go ahead.

Tejash Shah: Sameer, you spoke about that you are pushing your team to find more channels to reach out to customer.

So we have suddenly this allegedly disruptive technology, which is ONDC, which is coming our way. So

do you see it as an opportunity to have one more channel or to reach out to a larger audience? Or you

see it as a disruption because we have a very good IT infra ourselves, digital infra and kind of capital

digital infra that we have? Do you see it will empower people who are actually lagging on that side? Or do you see it as an opportunity for us to scale much faster and go beyond these 2 route to markets with

aggregators that we have?

Sameer Khetarpal: I think we do want to get on to the ONDC bandwagon. And we are organizing ourselves to launch it on ONDC. Again, my overarching piece will be wherever customers are, I want to serve them with Domino's Pizza. So therefore, if ONDC is a channel, we will obviously get on to ONDC.

Tejash Shah: Have we already locked it because there's a beta version at Bangalore going on, and we have a very good network there. So have we already participated in this?

Sameer Khetarpal: Yes. At this moment, teams are getting organized to do the technology scoping and integration. So whatever time it takes to launch, we will go ahead and do it.

Moderator: Thank you. The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.

Kunal Vora: My question is on costs. So how has the freight and delivery cost trended in FY '23? This number had jumped from Rs. 120 crores in FY '19 to all the way to Rs. 270 crores in FY '22. So if you can explain the spike, which you saw last year and where is this number in FY '23?

Ashish Goenka: That is all largely

on account of the variabilization of manpower cost, where there is a reclass, which

happens because of the way we account it. So I think underlying cost has not changed, but I think at a

headline level, because of the way the variable manpower cost is accounted for, you are seeing that

change. There'll be more detail in the annual report. So I think you'll get more color there.

Kunal Vora: Okay. And the jumps in other expenses and depreciation, like, what's driving that? It's mostly because of the store additions?

Ashish Goenka: So if you are referring to quarter 4, the depreciation increase, Kunal, is largely attributable to the store openings, both because of the asset depreciation and the ROU asset that we create on account of lease liability. The other expenses have gone up this quarter, one on account of the mix change because again, when you have a differential mix in terms of your own manpower versus variabilized manpower, it reflects in other manufacturing expenses. And also this quarter, we had deployed slightly higher level of marketing inputs because of which the other expenses seems a little high.

18 Kunal Vora: Okay. And just lastly on the Cheesy Rewards members, have their ordering frequency increased? And what has been the cost in terms of rewards and are the metrics that you've seen so far in line with what you were expecting?

Ashish Goenka: So as Sameer mentioned earlier, Kunal, the overall frequency, we are seeing some uptick. Especially in the cohorts, which are high and medium, the frequency is improving quarter-on-quarter. And therefore, we are already seeing the early signs of benefits coming through the Cheesy Rewards program. In terms of costs, this is accounted as discount upfront and is currently getting funded from our overall discount spend pool itself. So there is no incremental cost that we are incurring on this program.

Moderator: Thank you. We'll take the last question from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi: So my first question was with respect to we're crossing almost 1,800 stores now. Are we having any plans around shutting down any stores, because of various reasons, maybe move from dine-in to delivery or delivery to dine-in? So do we have any such plans next year of shutting down any stores in any parts of the country?

Sameer Khetarpal: Those are insignificant, if at all, right? I mean, we do constantly relocate our stores, right? Wherever we believe some parts of catchment has changed or the rentals have gone higher and we are not able to get better rentals, those are par for the courses, which is the relocation in the near vicinity. Other than that, I think there are shutdowns because if a mall or an area has completely like become dead, which is very far and few, Sheela.

Sheela Rath: Understood. So when you say we will be adding 200 to 225, is that the gross number? Or will that be the net number?

Ashish Goenka: It will be gross number, Sheela. But anyway our closures have not been very high. This entire year, we just closed 1 store, and we keep looking at our bottom performing stores. But I think our hit rate has been fairly good, and we do not anticipate any significant amount of closures this year.

Sameer Khetarpal: Any relocations we do, we don't report it as part of this. That's a relocation of existing store.

Sheela Rath: Understood. And, Ashish, the next question is to you with respect to the efficiencies, you talked about Vijay. So what are the kind of measures? And what are the kind of costs we are trying to address in terms of improving our efficiencies? Is it on the cost side or any other costs?

Ashish Goenka: So just to give you one example, Sheela, for example, Sameer also gave that example, we have introduced lidless boxes in dine-in. So the lid on the box in dine-in was completely redundant. And by taking that away, now, we have not only taken away

cost, but we've also made it more environmental

friendly. Similarly, we are looking at energy consumption in our stores. We have installed energy management system in each and every store. We are looking at that very, very closely.

We're looking at energy consumption in our factories. We are looking at our digital costs, our cloud costs, our IT costs, our infra costs, our connectivity costs, our manpower costs. So I think every line of cost, I think there is opportunity to optimize it, value reengineering it and in some cases, renegotiate it, given the environment that we're operating in. So I think if we do all of that well, we should be able to squeeze out significant amount of efficiency from our existing P&L.

Sheela Rath: Is there a number in mind, say, 5% or some number in mind in terms of cost savings?

19 Ashish Goenka: So we have a target, Sheela, but I will refrain from sharing it. We are working towards it. And hopefully, we will be able to deliver some efficiencies and goodness into the P&L.

Sheela Rath: Sure. And just one final question with respect to our international businesses in Nepal, Bangladesh and even Russia, Turkey, I think, how are the things panning out over there?

Sameer Khetarpal: So I did mention in my opening comments about Sri Lanka and Bangladesh. In Bangladesh, we've expanded stores. We had a strong Eid last month. I personally visited Bangladesh recently. I do see an opportunity over there. We are a larger brand over there, at least when it comes to pizzas. So I think we will continue to expand, and we see good traction in that country.

Sri Lanka, I think with regards to the macroeconomic environment, we are in a kind of a wait-and-watch mode over there. I do want my existing assets to bring the right set of return on investments and capital. So that, we are being more cautious when it comes to Sri Lanka. And in the other parts of the country, we are a minority investor in a listed company.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2023

JFL/NSE-BSE/2023-24/ 46 July 31, 2023

BSE Ltd.

P.J. Towers, Dalal Street

Mumbai – 400001

Scrip Code: 533155 National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of Earnings Conference Call

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on July 25, 2023, with respect to the financial performance of the Company for Q1 FY24, which is also being disseminated on the Company's website at <https://www.jubilantfoodworks.com/investors-financial-information>.

This is for your information and records.

Thanking you,

For Jubilant FoodWorks Limited

Mona Aggarwal

Company Secretary and Compliance Officer

Investor E-mail id: investor@jublfood.com

Encl: A/a

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Q1 FY24 Earnings Conference Call Transcript

July 25, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to the Jubilant FoodWorks Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call,

please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Deepak Jajodia, thank you, and over to you, sir.

Deepak Jajodia: Good evening, everyone, and welcome to Jubilant FoodWorks Q1 FY '24 Earnings Call for Investors and Analysts. We are joined today by senior members of the management team, including our Chairman, Mr. Shyam S. Bhartia our Co - Chairman, Mr. Hari S. Bhartia; and our CEO, Mr. Sameer Khetarpal; and our CFO, Mr. Ashish Goenka.

We will commence with key thoughts from Mr. Hari Bhartia. We will then turn to our CEO to share his perspective. After the prepared remarks from the management, the forum will be open for the question-and-answer session.

A cautionary note, some of the statements made on today's call could be forward-looking in nature, and the actual results could vary from the statement. A detailed statement in this regard is available in Jubilant FoodWorks earning documents. We will share the replay of the call on the company's website under the Investor Relations section.

I would now like to invite Mr. Hari Bhartia to share his views with you. Thank you, and over to you, sir.

Hari Bhartia: Thank you, Thank you, Deepak, and Good Evening, everyone. Welcome to our earnings call.

We held our first quarter Board Meeting in Bengaluru today, which is incidentally the city with biggest Domino's network in India, first city within Domino's ecosystem globally to offer 20 -minute delivery promise, city where we launched our first Popeyes restaurant and will also soon become the city to house our biggest commissary with regards to capacity, investments and technological advancement. Turning to our commentary on results, we continue to focus on providing value to our customer and drive order led growth. The quarter saw healthy order led growth and with concerted efforts we have been able to stem the decline in ticket on a sequential basis.

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On the cost side, lapping up a higher base, while the prices for key ingredients remain elevated, the sequential price increase has halted. Cheese prices remain high and the recent spike in vegetable prices does pose near terms risks.

In such conditions, we are focused on driving efficiency and cost savings across lines and leverage on our strengths. Thanks to our unique commissary-based sourcing and supply chain strength, we are able to offer superlative value to consumers at industry-leading margins. This also helped us in ensuring uninterrupted service to our customers despite supply tightness in some vegetables recently.

We have also stepped up the intensity of new product introductions across the price spectrum. We recently launched the spicy pizza range of new pizzas starting at an affordable price point of Rs. 179 .

As shared in the previous calls, we will continue to invest for future growth. Though we made a slow start in store network expansion, we remain committed on the full-year guidance for both Domino's and Popeyes. Our state-of-the-art multi-brand commissary in Bengaluru will commence production in August. At full capacity, it would be able to serve 750+ stores.

We are delighted and equally humbled by the unprecedented response received from our loyalty program – Domino's Cheesy Rewards. Thanks to our deep commitment to constantly identifying ways to offer more value to our customers, incredible brand trust and service satisfaction, we now have more than 16.8 million enrolled members, and their order contribution

reached 48% in June '23. This is an incredible testament to the strength of our operations and tech ecosystem to come together and champion the initiative to reward loyal members.

We remain fully committed in our relentless pursuit to raise the consumer service bar, look inwards to improve our systems and processes and work to ensure that we emerge stronger from the current rough patch.

With that, I now request Sameer to share the performance highlights and progress on our initiatives with you.

Sameer Khetarpal: Thank you, Thank you, Mr. Bhartia, and good evening, everyone. Thank you for joining the call today.

We reported revenue of Rs. 13.1 billion, up by 4.6% QoQ and 5.6% YoY. Our strategy of customer and market first, technology forward and operationally excellent is beginning to yield results. ADS for mature stores grew by 2.7%, we

arrested the decline in ticket size, app -installs, loyalty enrolments led to growth in delivery channel sales by 8.4%, and we executed efficiently to improve EBITDA margin by 97 basis points sequentially. Despite key input costs holding up, our gross margin at 76.0% expanded by 75 bps sequentially. The EBITDA margin at 21.1% increased by 97 bps sequentially. Our PAT margin came in at 5.7%. Popeyes in the last 4 months have expanded to five cities in Southern India and we continue to get love of customers, indicated by the long queues, when we open a new store. I continue to stay bullish on the growth opportunity that QSR industry presents.

Let me now share updates from the lens of our key priorities.

First being Customer and Market first.

In Domino's, we heard our customers and plugged a key portfolio gap with the launch of spicy pizza range of four new pizzas. The entry price point for this range is kept at Rs. 179. For context, our pizza mania range starts at Rs 49 and extends up to Rs. 169 with its 13 offerings. This also helped in improving ticket size.

Refreshed pizza mania range is a big success. It is an important reason for driving volume growth and is a hook to recruit new customers from the unorganized segment. Thanks to our unique commissary based sourcing model, which offers quality products at low prices without diluting gross margins.

We are an omni -channel company – we registered highest ever in -stadium sales during IPL matches, and serving customers on an moving train. Our network of 1800+ stores allows us to bolt multiple channels.

We opened 23 Domino's stores in the current quarter and entered one new city taking our Domino's India network to 1,838 stores across 394 cities. We are not revising the network guidance of 200 -225 stores and remain committed to expand our network as per our guidance.

In Popeyes, we added four new restaurants and entered two new cities – Manipal and Coimbatore during the quarter. Popeyes is now also available for order on both aggregators – Swiggy and Zomato - in addition to our own assets. This has resulted in higher share of delivery orders. In July, we also entered Hyderabad – our fifth city. We are humbled with the response received by Popeyes and are working towards opening 30 -35 restaurants this year.

In Dunkin', as you aware, coffee consumption is on the rise. We introduced two new international flavors and opened one new restaurant. We now have nine coffee -first stores, that are building a habit in their trade -area.

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In Hong's Kitchen, we continue to see robust growth in revenue with order and ticket led growth. Customers are loving the offerings from Indian -styled Chinese. We added two new stores in Delhi during the quarter taking the tally to 15 stores across three cities.

Turning to international operations, In Sri Lanka, the system sales growth was 13.1% and the Company opened two new stores taking the network strength to 50 stores. The Company introduced Domino's Roasties – stuffed roasted bread with the delightful local Sri Lankan

twist. In Bangladesh, system sales grew by 69.6% and the network expanded to 20 stores. The Company introduced Choco Breadstick. Our second set of priorities relates to Data and Technology Forward.

The consumer engagement levels across different metrics continue to remain elevated. The cumulative enrolment in Domino's Cheesy Rewards grew by 23.5% q-o-q to 16.8 million. The cohorts of users in low, medium and high frequency increased significantly. The quarterly app downloads scaled a record high of 10.0 million and MAU(App) came in at 10.3 million.

With the launch of a new, redesigned UX for our Domino's India app, consumers get an immersive experience leading to higher conversion.

The launch of re -order widget this quarter is meant for users whose primary determinant of a great pre -order experience is to quickly order their favorite customized order. She is a user who prioritizes speed of order over the application of some discount coupons. This improves conversion and drives frequency. There is clearly more work to do to fully service the demand potential of our stores. During the quarter, we analysed app open signals to decipher the demand emanating from unserviceable areas. We optimized the delivery coverage area which resulted in capturing higher demand from the existing network while upholding the high service levels.

Our third priority is to continue driving Operational Excellence.

Regardless of when the externalities in the demand environment will become a tail -wind, we are looking inwards and constantly trying to further enhance all areas of

our operations.

During the quarter, we launched several efficiency enhancement programs aimed at process simplification and productivity improvement. Christened, as Project Vijay, we have made this an organization-wide program and seeing more ideas come in, 6

every-day.

We dialled up sourcing efficiency, efforts to localize ingredients and are working to develop alternate vendors resulting in improved cost base without impacting the quality of ingredients.

New stores opened across brands, saw material improvement in month -1 sales, as we implemented a local marketing playbook.

Our fourth priority, essentially a pre-requisite for delivering on the first three priorities, is the foundation of people and culture.

One of the key actionables in this area was to control inordinately high attrition amongst the frontline teams, led to positive outcomes. A series of targeted interventions has helped us stem the sequential attrition trend. During the quarter, we launched defined career progression tracks for our frontline teams with an intent to codify various growth opportunities.

We also stepped up our focus on Diversity, Equity & Inclusion agenda as a means to further strengthen our foundation of people and culture. We now have 55 all women stores.

With that, now let me turn to the moderator to initiate the question-and-answer session.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Vivek Maheshwari from Jefferies.

Vivek Maheshwari: A few questions. First is on the dine-in side, the revenues were flat in this quarter.

What exactly is your assessment or why there is a quite a bit of a differential between delivery and dine-in, what explains that in your view?

Sameer Khetarpal: Hi Vivek. I think there's no specific underlying reasons. We want to improve our dine-in experience. We want to grow that. A lot of efforts are being on. We did see a little bit of a slowdown and slower footfalls in our mall stores. But I would again focus on our internal paths forward. We do see order-led growth, like I mentioned, we have arrested the ticket decline. We are improving the store experience, as mentioned in our presentation. We do see order growth even in our dine-in.

Moderator: We will proceed to

the next question from the line of Amit Sachdeva from HSBC.

Amit Sachdeva: Sameer, my first question is on 20-minute delivery. As you talked about in 7

Bangalore, this -- the 20-minute delivery was implemented quite ubiquitously, if I may say. And what has been the experience in Bangalore where it's fully implemented? And could you give us a path of how it is being rolled out in other markets?

What would be the scope of it now that you have sort of done the full city and how -- what time frame you're looking at? And what sort of impact it is already having if you can share some experience of that, that would be quite useful.

Sameer Khetarpal: Great question, Amit. Like I mentioned, this is a big differentiator, delivering under 20 minutes consistently. We've seen the like-for-like growth to be higher wherever we do it consistently. Bangalore continues to see higher levels of order-led growth versus other cities. And therefore, it is also reflecting in our higher growth in the delivery channel. This is one of the reasons why we continue to excel in delivery. And that's the reason why it is growing faster than dine-in.

In terms of expansion, Amit, like I said, safety first and then everything comes later. We realize that we have to add more stores, and we're finding more and more wide pockets of the city as the city is expanding. And 60% of the orders, like I said, in the rest of the country continue to be less than 20 minutes, and that's why we have higher repeat rates. So internally, we have taken a target to expand to more number of cities before in Q3 after the rainy season ends. As we expand more stores, make sure we have the right coverage in the other cities, Bangalore has been a very positive surprise for us.

Amit Sachdeva: Okay. Great. So possibly, as we approach the second half, where Q3 comes in post rain, you probably would see slightly more pervasive impact of delivery for at least helping you with like-for-like growth. Is this a fair expectation one can build on that sort of delivery initiative?

Sameer Khetarpal: Yes. I think we also, during rains, we also see a positive impact because we've strengthened our delivery infrastructure. As the rider availability comes down, we

are now better geared to manage rains. And part of the reason is we were focusing on 20-minute delivery. It makes the overall system a lot healthier.

Amit Sachdeva: Got it. No, that's very helpful for me. My second question is on Popeyes. Clearly, when I hear your commentary and that Popeyes is giving you very positive responses where you are opening and it seems that product market fit is fully achieved customer is, at least from the face of which is liking it, you also have a reasonable agenda for network rollout, 35 stores you're going to be opening this year. So my question is that what is the minimum number of stores there that you

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will feel comfortable sharing the Popeyes revenue and contribution margin etcetera separately from the overall numbers. And how has been the past quarter for Popeyes stores, if you can -- while the Domino's numbers are talked about, but can you share some operating color for Popeyes as well, how it is shaping in this quarter, how it has sort of done?

Ashish Goenka: So Amit, if I may come in, thanks for the question. Wherever we are opening stores in Popeyes, it is exceeding our internal expectations and action standards. But I think the brand is still at a very, very inceptual stage. And I think we don't feel comfortable at this stage to be sharing numbers around it. I think the network has to build to a certain meaningful scale before we can start sharing those numbers. So we will internally evaluate and maybe come back as to what stage we'll be able to share those.

Sameer Khetarpal: And in terms of operating color, our sandwich in a brioche bun, bone-in chicken, and the store opening playbook is getting better and better.

r. And that is what is causing the lines outside that you see. We are also able to sustain new store led excitement and the allied momentum. And like I mentioned, we are live on both the aggregators along with our own app, so therefore, delivery as a channel has also grown. So overall, feel good about the customer love. We, of course, need to open stores. That is the primary task for the team, and we are looking forward to opening 30 to 35 Popeyes stores this year.

Amit Sachdeva: Great. Sameer. Ashish, if I may suggest, basically, it will be great at whatever stage you are comfortable with probably if you could share the key numbers from Popeyes, whatever that scale is, if not at the corporate overhead level but it is gross margin and contribution margin level. If you can step it out from of the overall numbers, that would be very, very helpful, whenever you feel comfortable.

Ashish Goenka: We have made a note of it and will certainly come back on this.

Moderator: The next question is from the line of Nihal Jham from Nuvama.

Nihal Jham: You've been reporting the monthly active user data. What I noticed is that this quarter, we've seen a fall in the MDU number, whereas this is a quarter where you see IPL and I would assume the activations were rallying and even the data that you said there's never been a fall versus this quarter. So just wanted to understand, is it in any way a structural thing that you want to highlight on this number?

Sameer Khetarpal: No alarm here, Nihal. We've actually just relooked at our sources of traffic, and we did a quality assessment, and we reduced performance in marketing in channels

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where the quality was bad. So our conversions have gone up. Our app orders have gone up. So from that perspective, let me assure you there is not that customers are not loving our app. Our ratings have gone up, our installs have gone up. We're just more focused on channels, which give us higher conversion. So it's more about prioritization of performance marketing spend, nothing else.

Nihal Jham: Sure, Sameer, that is helpful. The second question was you've maintained, obviously, your target in terms of the number of stores for Domino's at around 200 to 225. Is this quarter a reflection just of the current environment in terms of taking it a little light and also on the 200 to 220 plus stores, would we see the concentration of being in more of our existing cities? And incrementally, the number of cities that you are historically adding on a year basis will not be similar to previous years.

Sameer Khetarpal: Yes. So firstly, I do see a healthy pipeline that is there in the system, where we have gone ahead and done the negotiation. We have given approvals as an investment committee. So the overall addition guidance of 200 to 225, I am not very concerned at the moment. This quarter, I think it's a little bit of a slow start, I admit. I think teams are prioritizing, reprioritizing where to open stores. In terms of the mix, we will continue to expand, like we said, across Tier 1, 2, 3 cities and split the stores somewhat in the proportion that we have done in the past. So no major deviation from our store expansion strategy, but whenever we open a store, we look -- we assess that individual store. It should give us the desired payback, it should be in line with our margin expectations. So I think those markets continue to be there and

at the moment, we believe 200, 225 is a good number that we are targeting .

Nihal Jham: Understood. My final question was on the inflation bit. You did mention that there is comfort especially with further increase in prices , but we do see a spike in vegetables at this point in time. So overall, despite the recent news and the spike in certain commodities, is there comfort of inflation or it still remains a concern at this point in time?

Ashish Goenka: So Nihal, I think overall, basket remains still

elevated as compared to last year. So

while we did see some moderation sequentially, especially on cheese, cheese prices do remain significantly elevated versus last year. But I think sequentially, we are seeing some moderation. And I think the recent increase in vegetable prices, again, is the area of concern. But when I look at the overall basket, I think we are seeing some level of stability at least on a sequential basis.

Moderator: The next question is from the line of Tejash Shah from Spark Capital.

Tejash Shah: My question is the extension of the previous question. So see, worst of the inflation

10 seems to be behind us, especially in the key raw materials of cheese and milk derivatives. So assuming that the trend continues and picks up in our favour for the rest of the year, how do you plan to repurpose the saving in terms of conflicting objective of margin expansion versus reinvestment that you'll have to do in the business. So how do you plan to play that kind of competing objectives that you have now from here on?

Sameer Khetarpal: Yes. So I think Tejas firstly, the inflation is not turning negative, which means compared to last year, the prices have not come down, at least, we've not seen it come down in cheese. So it may not increase at that pace or may see a slight deflation sequentially but as we look at it compared to last year basis, the price of cheese continues to be higher than that. Having said that , we are finding internal efficiencies and opportunities to improve our margins, which is reflected in the current quarter results as well .

The area of investment continues to be in Domino's India, where we'll open more stores, where we will strengthen our frontline training and infrastructure to our store managers and also in digital and technology assets. So those areas of investment, I will continue to double down on.

Tejash Shah: And my second and last question is if you can comment on the competitive landscape, mainly from the lens of regional competitors like La Pino's and OvenStory and others, and then do you track them or there is a measure that or internal metric that you have to measure our market share versus some of these regional competitors who are not in public domain, we don't have much data on those competitors.

Sameer Khetarpal: Yes. I think we do track. Firstly, and I'll keep on saying this maybe sound like a broken record. In a \$50 billion foodservice market, pizza as the category is about \$ 1 billion and we hold the dominant shares in it, and we do track that. We do track our share of expenditure. We do track our top of the mind measure metrics, and we also track shares across channels. So from that perspective, I don't think there is a concern. But for us to grow, we have to take share from other categories and convert unorganized to organized, right? So that is the job to be done by our teams.

So on that front, we are doubling down in terms of our network expansion and also the menu range like we spoke about, spicy is one piece, which is very prevalent.

And again, we are the first country within Domino's portfolio to have a spicy range again, learning from our feedback from the customers. And then our technological assets which differentiate us from the competition that you spoke about. But the larger point being pizza is a about \$1 billion category and rest there is a \$49 billion

11 market outside of it that we need to capture.

Moderator: The next question is from the line of Sheela Rathie from Morgan Stanley.

Sheela Rathie: My first question was with respect to the demand trends. Now we are about 25 days into the second quarter. So Sameer, I wanted to hear from you if we are seeing some green shoots with respect to a demand recovery? And if you could even highlight what are the trends, we are seeing in Tier 1, Tier 2 cities versus the smaller towns? So that was my first question.

Sameer Khetarpal

I: Yes. So like I mentioned in my opening remarks, Sheela, that our strategy of customer and market -first and data and technology forward is playing out across channels. To give you more color, our mature stores, ADS grew 2.7%. We believe the strategy that we have put in place is yielding results. And therefore, I'm confident

that it will only accelerate as more and more parts get executed.

So the Spicy range was one such example where we were able to arrest the decline in ticket size, get more consumers to try mid-range pizzas versus low-range pizzas. We have also instituted combos on our app and on aggregators. And therefore, as the order-led growth continues, if we improve the ticket size, this should result in better growth actually.

Sheela Rath: Understood. And in terms of markets, are we seeing any different trends or broadly the demand trends are similar?

Sameer Khetarpal: So I think it is a little bit patchy, to be very honest. Last quarter, I could see malls to be doing very well. This quarter, I saw there was a slowdown. It's hard to pick up a trend for me to say. We opened 1 store in Tier 4 city, it is doing exceedingly well. I continue to be surprised by what is the latent demand that exists in Tier 3, Tier 4 cities. Tier 1 cities as there's more back to work. You do see some of those tech institutes and educational institutes after the holiday is also picking up. So I don't have a clear trend line. It is kind of a bit kind of moving around, but I'm not teasing out anything at the moment that Tier 1 is growing faster than Tier 3, Tier 4. The Tier 4 store that we opened did exceedingly well.

Sheela Rath: Understood. And Sameer, if I may ask another question with respect to India is hosting the cricket World Cup this year. So are we having any kind of strategies that in terms of innovations, which could work out in favour for us, and you could benefit from this event?

Sameer Khetarpal: Yes and I mentioned, in the last earnings call that when Suryakumar Yadav hit a century during the T20, our sales went up. So Cricket is one occasion where friends

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and families sit together and order a pizza. We do plan to capitalize. IPL was one such event. So in fact, I shared in my opening comments that we also started offering in-stadium pizzas and that we could see the sales spike-up during the season. So definitely, we have plans to capitalize on World Cup, which is in the Q3 time frame.

Sheela Rath: And then my final question is with respect to the new innovation at INR179. Is this our endeavour to offset the inflationary pressures we are getting and introduce the new product at a higher price point versus say, INR159 earlier now, we're taking it up to INR179 and is the worst on the inflation side behind us?

Sameer Khetarpal: So Sheela, So firstly, I'm like finding these opportunities, from what customers are telling us versus looking at my portfolio out. So customers did come back that they want spicy pizza. It does well. We will add more into the range and hopefully create a property around this. And it so happened that when we looked at the price gaps in terms of what consumers were willing to pay, it was obviously higher than Pizza Mania. And when we benchmark it against competition, we continue to be the most competitive on this kind of a range. On margins, we've identified close to 75 projects internally through Project Vijay that we are tracking every Monday morning along with the leadership team, that's what give me comfort that we have enough ideas. Now we need to execute and continue to expand our margins.

Inflationary environment I felt it was cooling off, but the vegetable prices have come back and surprised everyone. So I think we're again living in very uncertain environment, be it due to natural factors or factors which are external. So I don't know how that will govern the commodity prices, something which I can't control, but

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internal efficiencies is what we are more focused on.

Moderator: The next question is from the line of Ashish Kanodia from Citi.

Ashish Kanodia: Firstly, on demand -- and I understand that sequentially, ADS has improved, but I think part of it is also attributable to just the seasonality as well as some -- maybe some bit of impact of IPL. So not necessarily looking at any numbers, but when you look at the demand environment, maybe sometime in June and then last 25 days of July, from a consumer sentiment perspective, do you see things improving versus what it was in the last 3, 4 months, 5 months? And just excluding the seasonality, right, more from a like-to-like basis, do you see that the overall consumer sentiments are improving? And I think that would be the first question, sir.

Sameer Khetarpal: I think demand environment continues to be uncertain. But I'll again bring you back to the strategy that is playing out for us which is focus on faster deliveries, focused on our own app traffic, improving the experience, improving the conversion, offer

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pizzas right from INR49, which attracts a lot of new consumers and take them along through in our Cheesy Rewards journey to come back and spend more of their wallet on our app or into the store. So those pieces actually give me the comfort that this should only improve.

Ashish Kanodia: Sure, sir. That's helpful. And the second question is in the lines of your answer. So

first on the monthly active user and maybe the Domino's Cheesy Rewards, right? Is it fair to say that as your Cheesy Rewards kind of contribution goes up, maybe the same -- the monthly active user may not see a very high growth because it's basically about conversion higher. So maybe because of your Cheesy Rewards, your conversion rates are high end. So the monthly active user's data may not be very good reflection of overall demand environment?

And the second thing was in terms of some of the strategies you have taken. So reimagining of stores in terms of improving the dine-in, so it would be great to hear your thoughts in terms of what percentage of stores you are looking to reimagine, say, maybe in this year? And secondly, have you seen similar to what you shared about Bangalore. So of the few stores which you have imagined, already, have you seen any demand improvement on those stores?

Sameer Khetarpal: Again, I will not read too much into the monthly active user base. Like I said, we just focused on more efficient channels to improve the marketing ROI. I think we continue to see new customer growth rate. Like I said, our sales continue to be order-led. Therefore, from that perspective, we do see new customers. I mean India is a country of more than 1.3 billion. Even if I look at immediate target addressable market, there are like 150 million monthly active food customers who order on food and only about 10 million are coming on to our app.

So from that perspective, there is huge headroom to acquire new customers. Of course, customers enrolled in Cheesy Rewards, they know what to expect. They are loyal, that cohort of whether they order 9 times a year or 6 times a year, that is increasing. That obviously has much higher conversion rates, very natural for the cohort. But the headroom to acquire new customers remains, and I think for a long time, our growth will also be new customer-led.

On dine-in, we are reimagining stores. The presentation does talk about, there are 1,400 stores out of 1,850, which are anyway our new Ace design or Pizza theatre design. On the balance, we are taking judicious calls on which stores to reimage. For example, if you live in north, you can go to botanical gardens in Noida near the Metro station, you will see our Advant store in Noida. So you will see those stores image. They do exceedingly well, the dine-in, weekly orders actually improved by

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15% to 20%. And we also do a thorough assess

ment when and where to do. So that

base is not high -- it's not that we are going to reimage 500 or 600 stores, that's less than 10% is what we will reimage or relocate.

Ashish Kanodia: Sure, sir. And just last bit and 2 parts first is on the milk prices, cheese prices, so there were news flow that the milk procurement prices have started to decline. So while you may not have seen any immediate impact, but given you have a relationship with the vendors for such a long time and you have better data than we have. So I mean, if this trend continues, do you expect the cheese prices at the price at which you are sourcing to decline? That's first part.

And secondly, on Popeyes, just purely from this year perspective, when you say 30, 35 stores, from a strategy perspective, would you like to go deeper into the existing market, or we will see more city being added. And the question is basically coming from the fact that the supply chain is a challenge in that category, and you're just setting up. So we have seen you expanding to 5 cities. So going forward, when we look at the balance 9 months, will it be more stores in these existing 5 cities or maybe add a few more cities. That would be all from my side.

Sameer Khetarpal: So I think the milk prices would have seen a very little or a marginal decline in an environment where typically it increases, but it continues to be higher than what it was last year. So it has not fallen. There is no deflation in milk prices or cheese prices. If it were to go down below that, I think that's a call we'll take during that time, we have not really planned for it we also did not pass on all the input cost inflation to consumers, we absorbed as reflected in our margins. But I doubt, to be honest, it will start, there will be a deflation in milk and cheese prices. I don't see it at the moment, actually.

On Popeyes, so I don't think supply chain is a challenge. We are commissioning our biggest food factory in Bangalore, like Mr. Bhartia talked about. In absence of that, we anyway work with the vendors. I think what is most important to me is open the store in the right location and in South India, our real estate team is building that pipeline.

And we have in the last 4 months itself, we have expanded beyond Bangalore to Chennai, Madurai, Coimbatore, and recently to Hyderabad. So we are looking at more cities in South India for sure, and we do -- we have drawn plans to also expand to North India. So supply chain is not the bottleneck. I just wanted to assure that.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Hi Sameer and team . Just two quick questions. As you said that the inflation has still

remained elevated, and we are trying to get the lower end of the pyramid. I mean, dining experiences is one of the things, and you focus more on the volume. Now in that sense, the 2 questions is that what is the impact of this whole refurbishment, which has happened in terms of Ace and Pizza theatre design. And will that be able to drive the volume?

Because if I look at you have introduced Cheesy Rewards, so that Cheesy Rewards is basically to improve the traffic and you are improving the dine-in experience. But then if the inflation is not going to subside, even though volume growth will be there, our margin will be still stretched.

Ashish Goenka: So Shirish, I think we have demonstrated that, a, because of the internal efficiency that we are driving despite high inflation, we have been able to sequentially improve margins. And secondly, despite a lot of focus on order-led growth and therefore focus on low price point, we had earlier also talked about the INR49 price point, which I think is unique in the country because no other competition offers such low price point, which allows customers to enter. Despite that, we have been able to again improve our margins because

we have the full spectrum of the price piano

that we play, and I think we have been able to also drive mix to our advantage.

And so despite absorbing the impact of inflation despite absorbing the fact that there were minimum wages increase throughout the country in the last quarter, we have been able to improve our gross margin by 70 basis points and EBITDA margin by 100 basis points. Combination of driving internal efficiency, and Sameer has talked about it across the organization, along with driving mix in a very, very focused manner and also targeted discounts, which improves our overall ROI around discounts.

So I think a host of these measures gives us the confidence that despite an elevated inflation, which seems to have stabilized, at least sequentially, we are not seeing too much of inflation and our continued focus on driving mix and internal efficiency will help us at least keep the margin stable or improve from here.

Shirish Pardeshi: This is again the question on volume. We have introduced INR49, and we heard Sameer, you said that INR 49 to INR159 is the sweet place where we are driving the volume, but we have also now introduced and premiumizing at INR169. So is it sufficiently enough and gives the room for the premiumization and therefore, you are again confident that the margin may not deteriorate from here?

Sameer Khetarpal: So then there are 2 different questions. Does the range give enough width and in this investor presentation, we've shared that our range starts at INR49 and goes all

the way to INR1,149. So in fact, we are the only QSR company that offer that kind of a range on the right-hand spectrum, you have the Gourmet pizza with almost 5 kinds of different cheese. And on the left hand of spectrum, you have a base INR49 product. So therefore, we have the menu width to cater to various segments and various tiers of the society and cities.

Now your question around what will happen to margins? We have demonstrated that there is no gross margin impact with entry range launch and through internal efficiencies, we've in fact been able to improve our EBITDA margin. So again, like Ashish mentioned and I also alluded, margin should remain stable or improve from here, and I don't see any concern unless until there is some unprecedented inflationary environment that we put ourselves into it.

Moderator: The next question is from the line of Percy Panthaki from IIFL.

Percy Panthaki: Two questions from my side. So firstly, on the cost efficiency plans that you have, just wanted a flavour of how much of that have you already implemented and the results of which are visible in this quarterly results? And how much you are yet to implement and that will give further sort of margin expansion in the coming quarters? Just a percentage rough sort of indication that like 60%, 70% we have implemented or whatever that number is will be okay with me.

Sameer Khetarpal: Percy great question. I think this is a constant, I would say, a never-ending battle that I tell my team that we always have to be more efficient than yesterday. And there will always be new headwinds that we will see, for example, tomato prices this quarter. So I would refrain from telling you that we are like 50% done or 70% done. I will only tell you we have a lot more opportunity. And I'm not going to leave it, and my team meets every Monday morning first thing to expand the hopper and also implement what is on our plate.

Percy Panthaki: Right, right. I understand this is always an ongoing thing, and it can continue for

many years, and it can actually be a perpetual thing. What I meant to ask is that you said that you have identified some 80 ideas, right? So I'm restricting myself to that, that there might be some ideas we have identified but yet not implemented. And that could give more margin expansion in the future. I was just trying to get a sense on how much is already i

n the bag and how much will come.

Sameer Khetarpal: Let me assure you, Percy. There are enough and more ideas that we have. And the team is steadfast focused on implementation. I'll refrain from saying whether we implemented a 40% or 60% or 20%. That would tantamount to giving a guidance for the future. But let me assure you, teams are focused on all cost line items. We know

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where to find the opportunity, and we have a name program and a leader for every initiative.

Percy Panthaki: Sure, sure. If I were to ask a slightly different question that, let's say, what is a target for a stable state margin 2 years down the line or 3 years down the line? Like you are currently at 21%. In the COVID peak, you had gone to 26% plus. So obviously, that probably was not a very sustainable margin. Neither is the current margin sustainable and probably it will be somewhere in between. But it's a very wide range. So just your thoughts on what you think this format, or this brand deserves as a sustainable stable state kind of a margin?

Ashish Goenka: Percy, I think, again, without giving any guidance, our internal endeavour in the long run will be to at least stabilize between 23% to 24%. I think that's a good state to be in. When do we get there? I think it remains a question mark. But I think our endeavour and all our efforts are towards getting to that level. I think 26% was, of course, unsustainable, 23% to 24% would be a good level to get.

Percy Panthaki: Right. My second and last question is on the dine-in. So you said that 1,400 restaurants are already under the sort of new format out of 1,800. So that's a very large percentage. And despite that, dine-in is not really picking up. So what more needs to be done from your side for the dine-in to pick up?

Sameer Khetarpal: So firstly, we need to recognize that post COVID, there is a permanent demand shift towards delivery. Therefore, you will see all QSR companies investing in their delivery channel. And thankfully, that channel works for us. I would say there are a few bottom stores that we need to correct, right? And that have seen a material decline. That number, like I said, is about less than 10%, we'll get to about 100-odd stores this year. And that is the only way out of it. And of course, making sure we execute flawlessly in terms of giving the hot pizza on the plate in time. So making sure the functional excellence continues to be high. Those are the pieces which will bring back the growth in dine-in.

Moderator: The next question is from the line of Kunal Vora from BNP Paribas.

Kunal Vora: First question on the employee cost. There has been an increase of more than 20% year-on-year, significantly higher compared to increase in sales. Is it just because of aggressive expansion and the minimum wage which you mentioned? Or is there any one-off in this?

Ashish Goenka: Kunal, three prime reasons. One of course is the minimum wage, and it's been higher this year than what we have seen in the past. Second, of course, we have expanded our store network significantly in the last one year or so. So that cost,

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again, is reflecting there. And the third is also a bit of a mix impact because the variable manpower cost reflects in other manufacturing costs. So there has been a slightly adverse mix this quarter as compared to previous quarter of last year, but overall, of course, it reduces our cost because you see we have not seen a proportionate increase in other manufacturing and other costs, so some of it is mix as well.

Kunal Vora: Understood. Okay. That's one. Second one is if you can share your thoughts on DP Eurasia stake now. The stock has come off very significantly compared to the open offer price which you had in 2021. Would you look to acquire more? Or is there a risk of write-off due to erosion in value?

Ashish Goenka: So there is no erosion in value. And we believe that the underlying

value of the

business is significantly higher than what is reflected currently. So there is no erosion in value, and we do not see any impairment risk for this year.

As far as further acquisition is concerned, I think I'm unable to give any guidance on that because our Board mandate is only to go up to 49.9% and not beyond. So I think we are very close to that number already now.

Kunal Vora: Okay. And just one last question on the financial impact of the new commissary

which is coming up next month. What kind of operating cost depreciation or cost savings or any revenue benefits we should be factoring in from the Bangalore commissary?

Ashish Goenka: Sure. So once the factory fully commissions, there will be two impacts. One, at an operating cost level, we will see some savings because we'll be in-sourcing or bringing some of our activities that we were doing through third-party we will do in-house. And because of the scale and the way the plant has been built, we will see some operating goodness flowing into our P&L, but of course, you'll have a slightly higher depreciation, but the impact will be not significant, given the fact that we will, of course, be depreciating this cost over close to 15 years. So I think net-net impact should be minimal. We'll have some operating efficiency gains and some additional depreciation.

Moderator: The next question is from the line of Varun Singh from ICICI Securities.

Varun Singh: My question is, I understand that all the vectors or the strategic intervention that we have executed to solve for kind of SSSG. So I mean, if you have to choose or like if we ask you that what would be that 1 key vector that you will give like the topmost priority to solve for the subdued same-store sales growth or to reach to 7% to 10% kind of SSSG, what would be that vector as per you sir?

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Sameer Khetarpal: Yes. I think and I may sound a bit professorial over here. There are no silver bullet over there. We have to execute on every pizza every store all the time, right? That's the hard part of managing such distributed operations.

Varun, so there is no silver bullet. But if you force me to pick one, I would say it is the culture and the people as our foundation, right? I mean when it rains, you will see some of the parts of North India were flooded. And I could see our delivery riders almost water coming to knee level actually driving and delivering pizzas. I went to store that near midnight, 11:30 - 12:00 in Gurgaon, and I was asking why your pants are folded up and they showed me how deep the water was.

So I think that's what makes the difference, ultimately. It is the passion to serve the customers. It is the Domino's spirit in terms of hustle when there are more orders and take the ownership to get to the customer. That is where we differentiate and that is the true secret sauce and not necessarily the pizza, the menu offering or the technology, ultimately, pizza has to be made with love, which is 5-star, taken to the customer in 20 minutes and served with a smile. That is the hard part.

Varun Singh: Got it. Got it. And sir, like the 1,400-odd stores, where we already have done store reimagination, how is the dine-in performance in these stores?

Sameer Khetarpal: 1,400 stores, we opened with the ACE design or pizza theatre design. So therefore, they don't need any correction. They obviously do better than the older format stores and older stores as mentioned, we are rapidly reimagining the bottom decile stores. So these stores, which are what we call as ACE design or pizza theatre design. They have higher dine-in ratios versus the other. And we do track, by the way, before and after, and we do see healthy dine-in weekly orders and also the overall weekly orders because dine-in is a big channel for new customer recruitment. So it has a big rub of effect on delivery also.

Varun Singh: Some objective measure

when you say healthy dine-in, I mean, is that like instead of 60-40, 50-50 or anything of that sort.

Sameer Khetarpal: Whenever we reimagine a store, we see it anywhere from 12% to 20% improvement in the dine-in sales.

Varun Singh: Got it. And sir, my last question is on the loyalty program. So currently, 48% we are -- I mean 48% is the revenue share. So by when you expect this to reach kind of 100%.

Sameer Khetarpal: Hopefully never, right? I mean, therefore, that would mean that we are not acquiring new customers. So like I said, there are like 120 million monthly active customers

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who are buying food on various channels. we get only 10-11 million. So for a long time to come, we should acquire new customers. When the program matures, what we've seen in other geographies, it should stabilize around 60%.

Moderator: We take the last question from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Sir, we have earlier delivered about 78% to 79% gross margin since second quarter, and we are currently at about 76%. I wanted to check if this difference largely because of food inflation or there are other elements of, say, higher competitive intensity or adverse channel mix also on this.

Ashish Goenka: Devanshu, I think those margins were largely on the back of a significantly deflated commodity environment. And that we have not seen for now almost close to 2 years. We have seen unprecedented inflation in the last 4 to 6 quarters. So I think really

not comparable. And I'm not sure when we will see those kind of commodity cycles again. And therefore, as Sameer alluded to earlier, a lot of our focus has been on driving our mix and at the same time, driving internal efficiencies to continue to improve gross margins and overall EBITDA margin.

Devanshu Bansal: And sir, as you said, 23% -24% is the endeavour on EBITDA margin front. So what would be a similar number for gross margin?

Ashish Goenka: It will be difficult to give a gross margin number because a large part of the gross margin delivery is dependent on how the commodity prices pan out. And that is why we are focusing on every line of cost to drive efficiency and drive overall productivity in the P&L. So I think it will be a combination of both, but it will come more from non - gross margin as per my prognosis, because gross margins are more difficult to drive given the commodity and inflation cycle.

Devanshu Bansal: Right. Lastly, sir, Hong's has seen 2 additions in this quarter. So just wanted to check, are we at a level where unit metrics and the product composition, etcetera, saw, and we can see sort of faster acceleration for this format?

Sameer Khetarpal: Yes, I think we are, again, very happy with the progress the team from Hong's Kitchen is doing. They are truly building an Indian style Chinese QSR format, which, again, serves across channels. They have their own delivery and also their own app. So again what they have been able to demonstrate is very high customer repeats and the love for the food. I think that having solved; I would still say that they have a bit of a job to do on demonstrating consistently high store economics. By the way, the stores that we opened in Laxmi Nagar have become one of the best stores very quickly in a span of about 2 months.

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So again, I'm giving you these anecdotes to give you my confidence on how the team is executing. But, before we go all out and open the floodgates of expansion, they have a bit of work to do, largely on the unit economics side of it, but many big rocks have been actually solved for.

Devanshu Bansal: Sure. Sir, and these -- all these formats will be supplied through common supply chain.

Sameer Khetarpal: Yes, I think this is what we bring as a horizontal capabilities as there are actually 4 capabilities. One is our manufacturing. Second is logistics because the same truck which carries dough ba

lls for Domino's can actually service the store. Number three is our technology capabilities. the same engineering team, which builds the Domino's app actually builds the other apps.

And number four is the last mile capability in terms of workforce management, delivery riders and route mapping, route planning, etcetera. So all those four capabilities are horizontal capabilities, they can be bolted on to any new brand that is an international brand, or we are developing.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today.

On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you all for joining. You may now disconnect your lines.

Sameer Khetarpal: Thank you.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

JFL/NSE-BSE/2023-24/82 October 31, 2023

BSE Ltd. P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: - Transcript of Earnings Conference Call

Ref:- Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on October 25, 2023, with respect to the financial performance of the Company for Q2 and H1 FY24, which is also being disseminated on the Company's website at <https://www.jubilantfoodworks.com/investors-financial-information>

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E-mail id: investor@jublfood.com

Encl:A/a

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October 25, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to the Jubilant FoodWorks Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Deepak Jajodia, thank you, and over to you, sir.

Deepak Jajodia: Good evening, everyone, and welcome to Jubilant FoodWorks Q 2FY24 and H1 FY24 Earnings Call for Investors and Analysts. We are joined today by senior members of the management team, including our Chairman, Mr. Shyam S. Bhartia our Co-Chairman, Mr. Hari S. Bhartia; our CEO & MD, Mr. Sameer Khetarpal; and our CFO, Mr. Ashish Goenka.

We will commence with key thoughts from Mr. Hari Bhartia. We will then turn to our CEO to share his perspective. After the prepared remarks from the management, the forum will be open for the question-and-answer session.

A cautionary note, some of the statements made on today's call could be forward-looking in nature, and the actual results could vary from the statement. A detailed statement in this regard is available in Jubilant FoodWorks earning documents. We will share the replay of the call on the company's website under the Investor Relations section.

I would now like to invite Mr. Hari Bhartia to share his views with you. Thank you, and over to you, sir.

Hari Bhartia: Thank you, Deepak, and good evening, everyone. Welcome to our earnings call. The strategic direction we have taken in the current environment can be well summarize into three broad points:

Firstly, we continue to pursue order-led growth and have also further bolstered our value offerings

Secondly, we continue to improve our systems and processes to ensure that we emerge stronger in our operations as we grow our store numbers

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Thirdly, we take a long-term view and continue to make investments for our future growth

We are happy to share that we are progressing well on all these three fronts.

In addition to the order-led growth for the past few quarters, we have now also arrested the yoy decline in average ticket size. The ticket size has started to grow sequentially for last two quarters.

The response to our loyalty program continues to delight us. 19.5 million customers have enrolled on Domino's Cheesy Rewards, and their order contribution in September was 50.1%.

As you may recall, we became the first QSR Company in India to launch regional menu innovation last year, starting with a dedicated East Range during the Durga Puja festival in West Bengal. This year again, Domino's introduced Kashundi Mutton and Prawns, thereby adapting to the local preference and this was again launched during Durga Puja festival.

We are continuously looking at improvements in the existing systems, processes and way of doing things. As a result, several structural interventions are being effected even within Domino's. This will transform us into an even more agile organization as we move ahead to realize our medium-term potential of more than 3,000 stores.

As shared with you earlier, we will continue to make the required long-term investments. We have started the work on the Mumbai commissary. However, after Greater Noida and Bengaluru, this will be the third mega commissary and the subsequent commissaries will be of a much lower CAPEX.

With that, I request Sameer to share the key performance highlights and progress on our initiatives.

Sameer Khetarpal: Thank you, Mr. Bhartia, and good evening, everyone. A warm welcome to our investor call today. My greetings to you and your family for the lovely festive season ahead.

I have organized my remarks to share

are with you four key messages from my end

where I will talk about Revenue and Channel update, Network Growth, Investments

to be future -ready and lastly on margins.

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1. By now you would have analyzed our results. It was a soft quarter. However, given the current operating environment, and when viewed in context of our strategic response, we see a multitude of green shoots:

The top line growth at 4.5% was softer than what we internally planned . But, the encouraging part is that we were able to limit any further decline in LFL growth for Domino's which came in at -1.3%. Notably, Average Daily Sales of mature stores registered sequential growth for second consecutive quarter as it grew by 1.4% qoq. We remain focused on executing our strategy on excelling on delivery - the channel delivered positive LFL growth - providing convenience in the dine -in channel, growing the app user base and investing in teams and culture.

We are on track to achieve the target to re -image 100+ stores by end of FY24.

I am happy to share with you that we have also launched our new flagship store format - ACE 2.0 - with the first inaugural store in Sector 29, Gurgaon. Similarly, we will continue to invent new formats which increase our penetration, presence and experience like we did with a container store at IIT Bombay.

2. Let me now turn towards network growth updates. We re -looked at our new store opening processes and further fortified our NSO processes by embedding even more data streams to arrive at new store locations.

For instance, we have started utilizing Out of Delivery Area pings from customers who log on to our app but are unable to identify a store nearby. This along with a series of other improvements are leading to tighter new store opening process leading to higher Week 1 and Month 1 sales than new stores opened in the prior period or when compared to stores opened two years ago . We have opened 73 stores in Domino's in H1 and are well on track to meet our guidance of 200 + new Domino's stores in FY'24.

In Popeyes, we opened 9 stores and have entered four new cities in H1. We are on track to open 30 new Popeyes stores as guided in the current financial year. The customers are enjoying the bold cajun flavors of Popeyes and we continue to remain humbled and encouraged by the response that we are getting .

In Hong's Kitchen, all metrics continue to report an encouraging progress and are ahead of our internal targets. We have opened six new restaurants in H1

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and now have a network of 18 stores across three cities.

In Dunkin', 11 out of 21 restaurants are now as per the coffee -first format.

3. Domino's is known for its strong execution and delivery experience. With nearly 1,900 stores in Domino's, the existing four regions in India were managing a very large portfolio of Domino's stores with ever growing complexity which comes with network densification.

To meet our medium -term ambition of 3,000 Domino's stores and the runway beyond, we have made adjustments to Domino's regional management structure for even sharper on -ground execution and to become even more agile as an organization. We have now invested behind three new regions to transition to a seven -region structure in Domino's. This incremental investment in the new structure will go a long way in further bolstering our key competitive advantage of best -in-class operational prowess.

The launch of custom -built dedicated app for store managers to manage their stores - This is a big thrust towards digitizing the operations which in turn is also one of the four pillars of being a data and technology forward organization. This app empowers the operations team and help everyone benefit from deeper penetration of data and technology across all layers.

The second leg of investments, as you are aware, is on building large commissaries which will help us service ever growing network in the future and

drive long term growth with industry leading margins .

We recently held the ground breaking ceremony for a new state -of-the-art commissary in Mumbai.

4. Lastly, we are aware of our responsibility to manage the short -term well while not depriving the business from making timely investments for lasting long -term benefits.

While as we discussed, a number of efforts are underway to improve the organic LFL growth and in the near term we will gain on margins from the operating leverage; through Project Vijay, we are deploying multiple levers to

re-look at our existing cost structures, systems and processes. This paves way for continuous improvement and innovation while yielding benefits on margins.

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As you aware, we have got very good traction in our Gross Margin s without effecting any price hike and were able to more than offset the impact of high inflation in vegetable .

We made a conscious choice to invest incremental operating margins this quarter in a number of areas which will improve the overall health of business in times to come . Investing in new regions, hiring more front -line team members, investing behind improving dine -in experience, continued investments in technology to improve not only consumer facing but also back of the house processes are some of the areas of investment s which will put help us achieve sustained long -term growth while delivering industry lea ding margins .

With that, let me turn to the moderator to initiate the question -and-answer session.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal Mahesh Jham: Sir, 3 questions from my side. First is on the gross margin bit. You did allude to it and while it is a small improvement versus last quarter where we are seeing a contraction and it's not that any of the raw materials have seen any deflation, what are th e initiatives which in a way have reversed the trend of gross margins despite the raw material inflation being elevated?

Sameer Khetarpal: I did allude to Project Vijay and while the inflationary trend continues to be elevated, we have looked at various internal efficiencies across all line items. To give a few examples, 1) We are using data and technology to sharpen our discounts, therefore leading to a better realization for the same product. 2) Again, we are using data and technology to sharpshoot our offers to improve penetration of combos which has led to an increase in average ticket size like Mr. Bhartia alluded quarte r-on-quarter for 2 quarters. 3) We have looked at all commodities and all materials and found ways of better buying and also local sourcing under our sustainability agenda . For example, corn we are now sourcing locally; we were earlier importing. Without affecting any change in pricing or increase in pricing, we have looked at internal efficiency and use of data technology to improve ticket size and localize to improve gros s margins.

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Nihal Mahesh Jham: Any targets you all are keeping to improv e either of the gross or EBITDA margin by a certain percentage under this initiative?

Sameer Khetarpal: I think I had shared this in my last earnings call that we believe the right place is to be anywhere 150 to 200 basis points higher than our current levels of EBITDA. We have held onto EBITDA levels this quarter versus last quarter; and last quarter, we improved by nearly 100 basis points . This quarter we did invest in the frontline teams. As we said, we got the money that we were chasing, but we chose to invest in Domino's for the future, especially in the frontline teams. And also, this quarter was affected by salary hikes. Despite the salary hikes and despite the investments, we have held onto the EBITDA margin, which I think is a very positive s

tory.

Nihal Mahesh Jham: The second question was that this is the second quarter in a row where we are seeing a big divergence between Dine -in and Delivery sales. I know Dine -in was impacted by a small proportion of stores which were renovated. But what is the read-through you al l have of this divergence? Because it was significantly positive in Q2 when you were seeing a Dine -in surge, but now since the last 2 quarters, Deliveries we are doing much better.

Sameer Khetarpal: Nihal, I think wherever we are investing, we are seeing the results. Let me just first assure you that. As you would recall, 3 quarters ago, we pushed on the pedal to get to 20 -minute delivery. We are beginning to see results. Our store densification strategy is leading to a higher share of Delivery. And we have done several initiatives behind Delivery to get positive like -for-like growth in Delivery. Dine -in is also an important area for us. India is still very young, and I keep telling t his to my team that the story is yet to even begin in India. So, improving Dine -in experiences and having more presence where customers congregate or go to, we will continue to improve on that presence. So, for Dine-in we will continue to invest on both Dine -in as we open stores and the store re -imaging is still under track. We will re -image 100+ stores this fiscal year and wherever we are re -imaging the stores, we are seeing the benefit also.

Nihal Mahesh Jham: Sure. Just the last question. We are 21 days into the World Cup. Have we seen any significant improvement in our ADS which is different from the trend that we generally see in October?

Sameer Khetarpal: It's hard to tease out pure World Cup impact, Q3 generally has a higher ADS versus Q2, and we see that during India matches and we see that during Dussehra, etc.

So, still early, just few, about 3 weeks of data in Q3 and which was also a headwind of Navratra. But yes, India matches we definitely see an uptick.

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Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Please go ahead.

Shirish Pardeshi: Just 2 questions in the beginning. We have been able to arrest further decline in LFL. Starting this month or if I look back 2 quarters, we started with the menu innovation, we started with Cheesy Rewards, and we started with analytics. Does that mean the second half would be significantly better? Because the second half of last year was very weak. Is that the LFL is in our control saying that directionally it will be in a positive territory for the second half starting from Q3?

Sameer Khetarpal: Definitely our endeavor is to have positive LFL, Shirish. I will not give guidance over here. But, what I will for sure assure you with is that many of our initiatives like zeroing on delivery, improving our delivery accuracy and convenience, investing behind stores re-imaging, Cheesy Rewards, always being ahead on the curve of technology versus the competition, those put us in good stead to be at least ahead, both in terms of same-store growth and the margins versus the competition. I would still say that not everything is also rosy because the inflation level has not come down, we were hit by vegetable prices in the last quarter. So, it is hard to still declare victory, but I am more optimistic to be very honest in the second half.

Shirish Pardeshi: My second question is on the Slide #9. You have mentioned that you have re-imaged 33 stores and you are on track to re-image 100 stores by FY24. Why this is back ended in the second half, that's one question. And to follow-up what is it that you can qualitatively give us because you have mentioned that higher LFL had significantly improved customer experience? So, in terms of quantitative, anything you can share with us?

Sameer Khetarpal: I think it's a little bit of getting organized to do this. Firstly, re-imaging a store is harder than opening a new s

tore because you have to take an existing store, shut it down, break it, and then build it from scratch. So, it's a little more complicated than opening a new store where you get a bare shell, and the crew comes in and builds it up. Having said that, Q3 is a season where we have very big days. In fact, starting August, we start getting into season. Therefore, Q4 is the best time to kind of do this from a loss of store days' perspective, and post Diwali that we get a little bit of a window before the New Year, and then in the second half of January - February, we get a window. We have chosen so that these took the loss of store days and the impact is minimal to the business. That's the only reason. We have planned it that way.

Shirish Pardeshi: What is the difference in the ACE 2.0 stores versus ACE store?

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Sameer Khetarpal: We are constantly innovating, Shirish, to make our experiences better. Let me firstly say where there is no difference. There is no difference in the area, but there is a difference in the amount of furniture or the covers we have been able to put in the same area. So, they are better ergonomically designed for Dine-in. Second, we have been able to optimize the back of the house to improve our processes. For example, as much as possible, the delivery associates don't enter from the front. They enter from the back, and they leave from the back. Similarly, we have made the point of sale or the counters more amenable, more colorful. We have a bit of private seating like a booth sitting also wherever we can. So, it is an upgraded version of ACE design. The stores have slightly more comfortable furniture, more covers in the store, back of the house is more designed to segregate delivery but have high amount of delivery also and yet the experience is very functional. I think they are more modern and contemporary. Every 4 or 5 years, the design or the palette for design changes, we are adopting to more vibrant, more colorful designs without adding to CAPEX or store sizes.

Shirish Pardeshi: My last question on Popeyes. By when you think you will be able to share some quantitative numbers on Popeyes in terms of store dynamics, its ADS and other things, we already now crossed 20.

Ashish Goenka : Shirish, I think the brand is still at a rudimentary stage. It is still early days. We will allow it to mature to some level of critical mass before we are able to start sharing the numbers.

Sameer Khetarpal: They have just completed a year and I think many of the stores have not even completed a year. But let me assure you from the opportunity of chicken and the product, the palate, the taste and our ability to now go to even the smaller cities in south. For example, Madurai, Manipal, Coimbatore. These are all massive successes for us and we remain bullish that we have at least found the right product for Indian consumers and the format also.

Moderator: The next question is from the line of Tejash Shah from Spark Capital. Please go ahead.

Tejash Shah: A couple of questions from my side. Sameer, store opening has definitely improved on QoQ basis, but looking at the target of 200 -225, the ask rate from second half looks high. So, just wanted to know any insights you can share why we made it the second half heavy this year? And what are the chances of us meeting the upper end of the target of 225 stores?

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Sameer Khetarpal: Tejash, the band is 200 -225, it's hard for me to be so precise, whether we will end up at 200 or 225 and obviously, we want to open the stores in the right locations, Tejash. If you even see our historical performance, the Q1 is typically slower because we are mapping our strategies and we are building the pipeline. As I communicated in the last call that the number of '23 was an aberration because we were getting more organized. You see the pace from '23, we moved to 50. I am confident that we will definitely be closer to

200 or more than 200 or closer to 225

in that ballpark where we will end up. The more important thing over there is to open stores in the right location with high quality and we are finding enough pipeline for Domino's to do that.

Tejash Shah: Second, in Bengaluru, it has been almost 2 quarters or more than 2 quarters since we rolled out (tees se bees)30 to 20 min . Last quarter, you highlighted how the SSG in Bengaluru city is trending far higher than our company average. If you can share some similar numerical or qualitative insights on consumer experience or Total Promoter Score, how everything is panning out in that city?

Sameer Khetarpal: Not only that but we are also improving or marching towards 20 -minutes strategy in several other places also which I had shared last time as well . So, wherever we get to a certain threshold of 65% to 70% of deliveries under 20 minutes, our like -for-like growth in those cities are positive. In fact, Tier -1 cities this quarter were positive in terms of our like -for-like growth purely on account of a very superior deliveries. Despite being the rainy seasons , we were able to deliver one of the best performances on delivery this quarter.

Tejash Shah: And last one if I may. We have opened 22 Popeyes stores over 6 cities. Just wanted to get some insight on why we are spreading the store count so thin among so many cities instead of going deeper into the existing city or state.

Sameer Khetarpal: It's not a question of choice for me , it is AND . We have invested in a commissary in Bengaluru. In Bengaluru, we have 12 stores. Wherever we are finding opportunities, take for example, when we opened in Chennai, we found opportunity in Madurai, from Bengaluru, we found opportunities in Manipal and Mysore so we are looking at all big towns to cover and completely organize in terms of our Business Development pipeline, logistics support, store teams to cover entire South India and we will be expanding beyond that too, of course. I don't think that it is like we are spreading ourselves thin and we will open stores to cover the entire cities. Wherever we find good property which suits our customer profile, we will go ahead and make that investment. The important thing to note is whether our

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customers are liking our offerings and the answer to that question is yes.

Moderator: The next question is from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh: Sir, my first question is on like -for-like average daily sales for matured stores, which is positive, but it has come down to 1% compared to the 3% level where it was during the last quarter. Any reading out here?

Sameer Khetarpal: This quarter had a few headwinds. Other than that, there is no particular reason. I would say that it is not that we did not execute well. But I think the positive side is it is growing. It is now in 80,000, which I believe is a good benchmark for the category and the industry for the size and the footprint that we have. No particular reason to be between 3% or 1%, to be honest.

Varun Singh: Sir, my next question is on the Dine -in segment. I understand the store re -imagination and faster delivery is helping plus I think the more fine -tuned menu that you make through regionalization from kind of shifting regionalization from 4 structures to 7 structures, etc., that will help to improve SSG, but still, given a

significant chunk of our revenue from delivery; one simple observation of mine was that there is a significant pressure on stores to deliver the product to customers. As a consequence, you see a significant amount of, for example, the boxes, etc., inside the store, which makes the Dine-in experience relatively not as superior compared to Pizza Hut which is also aiming to become a relevant player in the value segment where we already belong to. Other than the re-imagination plus ACE 2.0 design, regionalization

of menu, I just wanted to understand that given this both delivery which is our strength but also having a cost of customer experience for the Dine-in set of cohort of customers, given this context, when do you expect meaningful recovery in Dine-in in our business? Maybe 1 or 2 quarters down the line or what should be that green shoot for you; for example, after store re-imagination of X level, or how should we read that when a positive or a significant meaningful recovery in the Dine-in business for us to happen?

Sameer Khetarpal: I wish I could mathematically tell you this quarter, this week, this day, this time. I will refrain from doing it, but more importantly, whenever we re-imagine, we get high double-digit growth in terms of Dine-in. I think some of the things that you are pointing out, we have to get sharper on correcting delivery or segregating delivery and Dine-in and this is one of the reasons for ACE 2.0 that I alluded to is to segregate even sharper. It's not something that we have learned right now. I think we are getting better with our designs in this space - 1,200 square feet - we want

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to operate in. Third, I think the Dine-in also, we are looking at our processes. We have constituted a massive mystery audit exercise that we do in the teams. We have gone ahead and trained multiple of our restaurant managers and the men and women who are at the counter how to upsell, cross-sell, and also serve the customers. This is a massive process, not only store design but on multiple levels that we are fighting. I am very encouraged by the results that we are seeing by the way. While there is a general sentiment leading to lower ticket sizes, I would say we have seen the sharpest increase in ticket size actually in Dine-in. That gives me the confidence that wherever we are investing behind, we are beginning to see results. Unfortunately, it's hard for me to say it's in the next quarter or 2 quarters later, but let me assure you, it is not also a 5-year program that we are working on. Varun Singh: And just one last question. Our pace of new city addition, that has also come down to kind of 2 or 3 cities since the last maybe 2-3 quarters. Anything to read out over here, or do you think that 15 to 16 new city addition is a normal course which may be from next quarter onwards?

Sameer Khetarpal: Firstly, we are reaching 400 cities; we are the most penetrated QSR chain. We are not slowing it down purposefully. In fact, we have always been very positively surprised by all the new stores in lower tiers, that we opened because we become, in some sense, a destination in that city to go to. As we speak over here, our teams are in the market scouting for new cities that we need to enter to. We are not discriminating against one city versus the other. Our goal remains a certain threshold of sales at CAPEX and the store economics model. If that makes sense, we will open stores. We are not shying away from opening stores in new cities.

Moderator: The next question is from the line of Robert Marshall -Lee from Cusana Capital. Please go ahead.

Robert Marshall -Lee: I am just trying to understand the labor cost dynamics as far as it can be operational leverage that you have seen. Are you able to break down what's happened in a kind of more like -for-like labor basis and separate it out from new ventures, can you give this specific disaggregate the changes in labor cost that we have seen over the last couple of years?

Ashish Goenka: If I have got your question right, Robert, you are saying can we deleverage the labor cost?

Robert Marshall -Lee: Yes, as we have seen a lot of operational leverage below the EBITDA line, from the payroll costs in particular and we can see why the depreciation costs have gone

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up in terms of the investment you have made and so on. But in terms of breaking down the cost of the rise of your labor force, could you help t

o explain why that's been so steep?

Ashish Goenka: If you look at a slightly longer -term period, I mean a couple of years, then of course, there has been a structural change in our labor cost itself. They have moved to more variabilized manpower costs. A part of that cost has shifted to manufacturing and other costs in the way we report. And therefore, there has been a reclass of

labor cost into that. But of course, this has been a phenomenon which happened almost 6 -8 quarters back. So, if you look at a more short -term phenomena, whether you are looking at it versus the last quarter or last year, then this structural change is not reflected there. What is reflecting there is, of course, the efficiency that we have been able to drive in our overall cost structures as part of the Project Vijay which Sameer was alluding to earlier. And of course, there has also been a headwind on account of the wage inflation. And the third of course, is the investment that we have made. It's part of the new structure that we talked about. I think if you were to look at it, we have headwinds on account of the fact that we have bolstered our regional structure, there is a headwind on account of wage inflation and of course, tailwind as we have driven our efficiency harder.

Robert Marshall -Lee: So, if you were to desegregate that year, what are you seeing on a like -for-like store basis in terms of labor inflation?

Ashish Goenka : See, of course the underlying increase in wage costs is in line with the minimum wages increases and the salary increases that are in there, which are typically in the range of 8% to 9%. And we have not seen any abnormality there and therefore we have been able to absorb that, as I said, partly on account of the fact that we have been driving higher efficiencies as well.

Robert Marshall -Lee: And so, what is your expectation from here so given the higher growth that you've been seeing in the personal expenses versus other areas, are you expecting that to sustain at a high level?

Ashish Goenka : I think we should be able to continue with the levels that we are. There will be some pluses and minuses, but I think by and large we will be able to land at the levels that we are currently.

Moderator : Thank you. The next question is from the line of Percy Panthaki from IIFL. Please go ahead.

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Percy Panthaki : Sir, I just wanted your view on a medium term, let's say over a 5 -year period averaged out, what do you think strong brand like Domino's could sort of generate as a LFL growth?

Sameer Khetarpal : Yes. I think it's a question that we model all the time, Percy. So, 5% to 6% growth is in the real m. That's what my belief is driven by 3 factors. One is we are multi -channel or rather Omni channel across Dine -in, carry out, aggregator, our own app and we are adding more channels like IRCTC etc. to the same store. So, there is enough headroom to grow across channels. Second piece is the use of technology mix, debottlenecking of store and with 20 -minute delivery, some of these pieces also get impetus. And number three is at some point in the future, I'm not saying right now, we'll also take calculated price increases, right and therefore together with this three, I think anywhere from 5% to 6% is a good number to aspire.

Percy Panthaki : Right, sir. And see next quarter anyways, your base becomes favorable. So, hopefully if all goes well, your LFL on a YOY number will turn positive, but what I wanted to understand is also how this translates to overall growth because between LFL and SSSG, there may be a difference of anywhere between 2% -3% and then again what happens is that the new stores which you open at a lower throughput versus the company average. So, if you're adding number of stores in the region of about 10% to 12%, I'm saying let's say averaged over the next 5 years or so and there is a 5% -6% LFL, in my calculation that should trans-

late to a 10%

to 12% kind of an overall sales growth, so would that be sort of in the ballpark of what you also have modeled?

Sameer Khetarpal : Our internal push is to get closer to 15%. That's how we modeled and 5% to 6% of LFL and about 12% through network expansion which is new stores and stores not yet included in LFL base. If we can get these two, then we get closer to 15%.

Percy Panthaki : Right. And this would be only on Domino's and what you do on the other stores, other formats would be over and above this, right?

Sameer Khetarpal : Of course, that is correct.

Percy Panthaki : My second question is on the other brands, Hong's Kitchen and Popeyes. What would be your medium -term targets, let's say 5 years out, how many stores would you think that Hong's would have?

Sameer Khetarpal : So, I think I'll talk about Popeyes right where the model is internationally proven. Chicken is a large market and we have a benefit of learning from through the sharp

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brand proposition and the experience of RBI, which is our partner and who owns brand Popeyes. So, therefore we have a good start. We've said that we'll get to 250 odd stores right in the medium term. On Hong's, like I did mention that it is beating all our internal targets, but I will refrain from giving any such guidance till

the time I'm comfortable and I've seen the store in multiple locations at a base of 40 to 45 stores which have been operating for at least 6 months for me to give a very sharp answer on that one. So, maybe in a couple of quarters I will be able to give you a good answer on Hong's also.

Moderator : Thank you. The next question is from the line of Ashish Kanodia from Citigroup. Please go ahead.

Ashish Kanodia : Sir, just on Popeyes, right, I just wanted to understand that if you have to take this 30-store expansion in FY24 to maybe 70 -80 stores in FY25 right. What is the biggest maybe bottleneck or what's the equation which you're trying to solve? Because from a real estate perspective at least my understanding is given that you have 1900 Domino's store, the understanding of real estate market is much better. You are already opening 200 -220 Domino's stores. So, is it just that the demand environment is muted or is it the supply chain? What would be that equation which you need to solve if you have to surprise on Popeyes to expand in next year?

Sameer Khetarpal : I think we have a very strong project execution team which can open 100 stores in a quarter and we have delivered those numbers. So, that is not the constraint. I think the constraints are 1) the Domino's has a far higher top of the mind awareness and recall versus Popeyes, right. So, you have to open stores more in a naturally footfall congregating area, so that is one constraint. So, we're very conscious of where we open the stores. 2) As we enter the new cities, we also want to open larger flagship stores because that's how you build the brand. The best building of brand is where customers see a large frontage and they walk into the store. So, that will have to rely on that tactic. 3) The supply chain. We use fresh chicken; we do in-house marination and all of these require a strong backend food factory and logistics to supply at the right temperature. So, those are the constraints, right. I think what the good part is we have a good consumer value proposition and therefore it is a matter of time to get to the supply chain and also the right store location that's where we want to be.

Ashish Kanodia: Sure. That's helpful. And I believe the supply chain will partly get addressed through the Bangalore commissary, right, sir?

Sameer Khetarpal : For South, it will be Bangalore. Then for North, we will look at Greater Noida facility

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or some other facility. So, I think it is again like Domino's network is built through support from regional commissaries. We will follow the same model and leverage the same infrastr

ucture across brands.

Ashish Kanodia : The second bit was on the demand. So, I think during the call, you talked about 2 - 3 things. One is that Tier -1 cities are doing relatively better, they kind of reported positive like-for-like growth and then also on the last 20 -25 days demand if I read it correctly, I think what you're saying is on some of the days when you have Dussehra or India matches, you are seeing that uptick in demand but the core underlying demand which is excluding some of these days continues to remain muted. Is that understanding correct and any other differences you see in demand that or maybe how big is the difference in demand in say Tier -1, Tier -2 cities versus smaller cities?

Sameer Khetarpal : I was more alluding to the point that we invested behind store densification, delivery infrastructure, back of the house processes to improve our delivery credentials and performance in Tier -1 cities, which led to positive growth, that was the fundamental point I was making. But I think your question is broader. How are we seeing the demand especially in light of festive season and World Cup? Like I said on days where India is playing, we do see an uptick. We also are able to go inside the stadium and actually create big opportunities for serving or taking store inside the stadium. So, those pieces are actually working quite well for us. We just got off Navratra and the last few days have been good for us. Let me just stop here and not give any more color for the current quarter.

Ashish Kanodia : Sure, sir that's helpful. And lastly, we discussed earlier on new product development in terms of adding new venues of footfalls within Domino's, while pizza is more kind of a meal, how can we add more products? So, just on the new product development, I wanted to get a sense, if there is anything in the pipeline to kind of add new footfall driver and secondly is when you look at the kitchen especially from a Domino's Pizza perspective, the kitchen is much simpler, right? So, is the existing infra of Domino's store network agile enough to add new products, that would be the last question?

Sameer Khetarpal : Yes, I call our kitchen a platform where we can launch multiple items. Our core oven and a make line is actually very versatile to handle multiple products over there, and we've shown that from the same make line and the oven we can produce

choco lava cake, we can produce garlic bread or a sandwich or a pasta or a wonderfully tasting pizzas. So, I would say we are at the moment not thinking of

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adding any equipment to the store. Having said that, India is a land of opportunities and customers are looking for experiences across day parts. We have a good pipeline of products internally and this quarter for the first time we launched mutton and prawns right into the pizza toppings for each. And we also had Champaran mutton, which is a dish in Bihar. So, we'll continue with our themes on many Indias or serving local taste. That is one piece. There are other opportunities that the team is very actively working on, will be launched in this quarter and in upcoming quarters, but we'll announce it once we have launched.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: So, I have just one question on margin. So, if we look at the margins pre COVID, we used to do around 16% -17% - pre-Ind-AS-116- and you mentioned the margin, let's say in the near term you're modeling at around 15%. And I presume that this split stores which may not be a very big factor pre COVID and both Popeyes as well as Hong's Kitchen is an additional stuff. So, I think a few years back you used to mention the drag on margins because of newer additions. So, any number would you like to give on that front that how much margins is being compromised because of these new initiatives plus split stores and

this gap of 200 basis points versus pre COVID levels. How should one look at it? Thanks.

Ashish Goenka: So, Resham, I think we would not like to put a number in terms of what is the investment behind the new opportunities. I think suffice to say that there is no incremental basis for an investment that is going into these new brands. And as I've said in the past as well that if that number becomes material, of course we will come back and make a disclosure, but as of now, they're pretty much in line with what we have been doing over the last 2 years. And of course, I think comparing margins pre COVID to now, I don't think would be fair because there's so much which has happened in between. I think the business structure has changed significantly. The cost lines have shifted materially. We have had an unprecedented level of inflation over the last couple of years and we are still reeling with that. It's not that it has softened. So, I think those margins are not even comparable. And of course, we have an operating leverage in our business given the fact that we have been having negative LFL for the last couple of quarters. I think a lot has changed in the business pre -COVID to now. The good news is that of course even despite the challenges in inflation and operating leverage, we have been able to hold on to our EBITDA margin for the last 2 quarters, at the same time growing our gross margins. So, things should only improve from here, and as

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Sameer was also saying that this is despite the fact that we've also made investments for growth on our overall regional structure as well.

Moderator: Thank you. The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.

Kunal Vora: My first question is on Cheesy Rewards. So, it's been about 6 quarters since the launch and you have hit almost 20 million customers. What percentage of customers has actually claimed rewards by ordering more than 6 times and what is your assessment of the cost and benefits now? And do you see a need to make any adjustments to the program?

Sameer Khetarpal: Yes, there's always a room to innovate, right? I think firstly for a QSR company in India, this is a historic first that we launched a Cheesy Rewards loyalty program with full fanfare with the media campaign behind. We also celebrated one year of Cheesy Rewards this quarter with the TV campaign. And it just shows that we are invested behind this particular program in terms of what it delivers. Nearly half of the orders come from customers who have enrolled themselves to this loyalty program. And in fact, our new customer addition through the app has been the highest. And my fundamental belief is that a lot of this is also word of mouth and new customers enrolling on the Cheesy Rewards program and ordering. So, I think it's a very positive thing as we see. Customers who have gotten to 6 pies and therefore claimed one free pizza are actually the customers where stickiness is tremendously high. There will be days or occasions when our service will fail. It could be a rain delay, it could be a store shutdown, it could be an oven breakdown. There will be days when for a very high frequency customer, one in like say 100 occasions a service may not be up to the standard. Therefore, these customers who claim Cheesy reward as a benefit actually are the most loyal customers. They

are more forgiving. They understand who we are and have some of the highest NPS ratings in our system. So, very satisfied with the program, we will continue to see how do we grow this and make this more meaningful to the customers and we are learning also from worldwide Domino's, which are also doubling down behind this program.

Ashish Goenka : Yes. I'm just saying that on your question on cost and benefit, I think the benefit far outweighs the cost because as Sameer was saying, we see reduced churn on account of the existing customers.

We also see a much higher frequency of the customers who are re-enrolled into the program versus who are not. Also, there was a lot of concern when we had launched the program and I remember these earlier

calls where there was a fear that our discounts would really go up because of this program. But we've demonstrated that we've actually been able to optimize on our discount which is reflecting in the gross margin improvement while running the program and expanding the program. So, the cost benefit clearly weighs in favour of the benefit.

Sameer Khetarpal : In fact, this is the best customer to give discount to. So, you are actually sharp shooting your discount to customers who are most loyal, who come back, who want to give you a larger share of wallet. So, from that perspective, I feel this is the best laser sharp targeted discount strategy.

Kunal Vora : If you can share like some insights on how many actually are able to claim because of the 20 million and that number was 7 million a year back, is it like 10% -20%, any insights which you can provide on how many are actually claiming and what kind of expense you're incurring?

Sameer Khetarpal : We will refrain from sharing the number, but let me assure you that number is significant, right? So that number is quite material and ever growing.

Kunal Vora : Understood. My second and last question is on the growth potential on a 4-year CAGR basis, store addition is about 10% like sales CAGR is about 8%, operating profit is flat. So, while the longer-term outlook, medium term outlook you mentioned like LFL growth can be 5% -6%, store additions can be strong and many of the factors which you mentioned is positive were existing even 4 years back. What's gone wrong in the last 3-4 years and what's giving confidence that in the next few years you can actually get to that 5% -6% LFL and 15% plus growth?

Sameer Khetarpal : Yes, I think it's a little bit laid out in our strategies. I will not be able to do justice to the question in this call on fully delayering what happened in last 4 years. I think we are opening stores at a faster clip in better locations with higher sales per store for the new stores. Our technology assets are beginning to give result. Our conversion, monthly app usage, Cheesy rewards program are at an all-time high. Number three, we didn't have new brands. And while I always talk about Popeyes, I don't talk about the other two for certain reasons but let me just say we have a much better portfolio of brands than what we had 4 years ago. And I think this team is far stronger, digitally savvy and operationally agile, and we have enough levers like 20 minutes to kind of grow at a much faster clip than what we have done in the past.

Kunal Vora : Thanks. Just a follow up on this. Would you think the rise of aggregators has given way for more unorganized competition and has that played a role? Is that a big

reason or you think that's not really a reason for the slow growth?

Sameer Khetarpal : No, I don't think so, to be honest. We want to serve customers wherever they go, right and that's been our strategy. And whether it's aggregator, we were one of the first ones to go on to aggregators in the Domino's system. We invested far ahead versus the competition on our own app and we are improving dine-in experiences. We are on IRCTC. So, from that perspective, I think we want to go where customers are and these are neighborhood stores which can serve all the consumer needs and that's what we are executing on. So, aggregator is a good thing for ecosystem and delivery is growing, right. At the end of the day, they've also democratized delivery. So, I'm thankful to them for their partnership.

Moderator : Thank you very much. We'll be able to take one last question. We take the last question from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman : So, firstly, just in terms of volume

growth, can you give us a sense that pre-COVID to now, what would be the rough level of volume growth for the company and maybe for perspective even for the industry? And the reason I ask that is because we've had several moving parts, right. We've got some changes take place because of COVID. We've had obviously very sharp inflation and changes in

pricing. So, I just wanted to understand and volume growth at a system level or another way to put it if that would be better in just number of pizzas sold?

Sameer Khetarpal : We don't give that but let me give you some color. From an order standpoint, this was our best quarter ever from the order that we served. Our delivery order volume has been one of the best in this quarter in a long time, when I look back 4 or 5 quarters. So, from that perspective, it should give you color that the volume growth is real for us and we invested behind this particular growth 4 quarters ago by launching our value range of pizzas or relaunching our value range of pizzas at 49 etc. So, all of these, we are confident that along with the commissary model, we will stand for value and stand for great taste and fastest delivery when it comes to ordering at your home or your workplace, so volume growth continues to be strong.

Aditya Soman : Understand. And just to follow up on that. So, when you talk about sort of some pressure on ticket prices overall, we are not specifically for this quarter, but in general I think would it be fair to assume that part of it is just or is it people consuming smaller pizzas or lower value pizzas which is the way to think of it?

Sameer Khetarpal : So, I think ticket size is yes, customers have chosen to downgrade from a large to medium or medium to regular. We do see that trend. But volumetrically the items

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or quantities per order is not degrowing, right. So, they are still consuming the same amount of number of items, but they're choosing a lower price for each item which actually works for us to be very honest in the current demand environment that at least we are retaining our customers. We're growing the customer base, and their frequency continues to grow.

Aditya Soman : Understand, very clearly. So, just to be clear, we have higher total number of orders, lower order value because people are ordering lower value pizzas, not necessarily less pizza. Would that be right?

Sameer Khetarpal : That's correct. And also like I said, the decline in ticket size has also been arrested and we have grown on the ticket size for the last 2 quarters.

Aditya Soman : Understand and would this be an industry phenomenon, or this is something that is specific to Domino's?

Sameer Khetarpal : I will wait for others to declare the result and compare notes, so we believe that it is our use of technology data and our processes, but I'll wait to for others to declare their results.

Moderator : Thank you very much. We'll take that as the last question.

Sameer Khetarpal : Thank you.

Moderator : On behalf of Jubilant FoodWorks Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2024

JFL/NSE -BSE/202 3-24/119 February 7 , 2024

BSE Ltd.
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of the Earnings Conference Call

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In furtherance to our letter no. JFL/NSE -BSE/2023 -24/1 14 dated January 31, 2024 and pursuant to Regulation 30 of the Listing Regulations , please find enclosed herewith the Transcript of the Earnings Conference Call for Analysts and Investors held on January 31, 2024 for quarter and nine months ended December 31, 2023 .

The transcript is also being disseminated on the Company's website at <https://www.jubilantfoodworks.com/financial-information/earnings-call-transcript>
This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E -mail id: investor@jublfood.com
Encl: A/a

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Q3 FY24 and 9M FY24 Earnings Conference Call Transcript Date: January 31, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Jubilant FoodWorks Limited Q3 FY '24 and 9M FY'24 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Deepak Jajodia, thank you, and over to you, sir. Deepak Jajodia: Good evening, everyone, and welcome to Jubilant FoodWorks Limited' Q3FY24 and 9MFY24 Earnings Call for Investors and Analysts. We are joined by our Board Members - Mr. Shyam S. Bhartia, our Co-Chairman, Mr. Hari S. Bhartia and our CEO & MD, Mr. Sameer Khetarpal. We will commence with key thoughts from Mr. Hari Bhartia and then turn to our CEO & MD to share his perspective. After the opening remarks from the management, the forum will be open for the question-and-answer session. As you are aware, Jubilant Foodworks Netherlands B.V., wholly owned subsidiary of the Jubilant FoodWorks Limited has launched a cash offer to acquire the remaining issued and outstanding share capital of DP Eurasia, not already held by JFN. On conclusion of the open offer, as per the advice by our auditor – Deloitte - required accounting would be done as per Ind AS 110. As a result, JFL has continued to consolidate its investment in accordance with the provisions of Ind AS 28 and accounted for its investment considering a lag of three months period after considering the necessary adjustment for material transactions from the latest financial statements of DPEU up to the reporting period of the Group. As of today, basis the market purchases and offer acceptances received from DPEU shareholders, JFN will have 79.02% shareholding. Therefore, JFN has also given a notice to the London Stock Exchange for cancellation of listing and trading of shares of DPEU which would take effect on or shortly after 8.00 a.m. UK Time on February 28, 2024. Therefore, today's call is meant for discussing our India business only. We will organize a separate call to give you an update on our International Business.

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A cautionary note, some of the statements made on today's call could be forward-looking in nature, and the actual results could vary from the statement. A detailed statement in this regard is available in Jubilant FoodWorks earning documents. I would now like to invite Mr. Hari Bhartia to share his views with you. Thank you, and over to you, sir. Shyam Bhartia: Thank you, Deepak, and Good Evening, everyone. Welcome to our earnings call. The team at JFL is focused on basics, investing in the right areas to get growth back in Domino's, building capabilities for the future and scaling Popeyes. We are happy to

share that we crossed the milestone of 2,000+ store network for the brands in India and are progressing well on our network expansion plans. We observed softer demand, particularly post Diwali and in December, while November was strong. 1. Delivery has become the most preferred channel, driven by consumer preference for convenience. The channel is significantly ahead of its pre-covid performance and this plays to our advantage 2. Focused efforts on combo sales and initiatives to drive consumer up-trade resulted in highest ever ticket in last nine quarters. Notably, this is an organic improvement given no price increase in last six quarters 3. We were able to deliver record performance during the festive season with world cup finals and Diwali being bigger than previous year, however, the performance was subdued on non-occasion days. As a Company, we continue to have incessant focus to improve performance despite demand volatility 4. The current slowdown appears cyclical, mirroring the impact of inflation on mass discretionary consumption and doesn't

change our outlook of food service industry With the positive outlook of foodservice industry, we continue to stay focused on our strategic direction. It is based on a simple premise - serve the ever-changing consumer with highest quality product at the lowest cost. This is reflected in initiatives undertaken by the team: 1. Latest brand refresh for Domino's – 'It happens only with Pizza'– aimed at serving two broad purposes:

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a) Reimagine brand as a companion for every joyful moment for the new generation b) Grow share of pizza occasions – with Domino's being leader in pizza category, we intend to increase Pizza's occasion share in \$51 billion foodservice market, where pizza is just \$1 billion. 2. Commissioned Jubilant Food Park Bangalore in November. With each new commissary we are advancing and pushing the limits of back-end efficiencies. With the envisaged benefits, the expected payback will be within 4 years. At closing, I would like to share that we have always adapted continuously to circumstances beyond our control, while being thoughtful and deliberate in our spending. This current rough patch will be no different. With that, I request Sameer to share his perspective on the quarter gone by and progress on our initiatives. Sameer Khetarpal: Thank you, Mr. Bhartia, and good evening, everyone. A warm welcome to our investor call today and wish you all a Happy New Year. I would like to start with sharing some highlights, Domino's gained share and delivery continues to be LFL positive, as improved proportion of orders were delivered under 20 minutes. As mentioned in our previous calls, we have a distinct advantage here and our network in top-metros allows to take advantage. To win share of occasions and love of younger generation, Domino's launched a category development initiative - 'It Happens Only With Pizza'. We will continue to invest behind the brand and grow the category, as nearly 2/3rd of foodservice industry in India is unorganized. Moving to updates for our Domino's App. The MAU was 10.5 million and customer-conversion was the highest ever as we launched better experience on coupon application, cart and payments. This will continue to improve. Cheesy rewards enrolled customer base grew by 102.8% yoy and are now at record 21.5 million. Customers can now also order their favorite pizza through customers apps integrated on ONDC. Domino's opened 40 stores and enters Q4 with its strongest pipeline, on track to open 200 stores in the financial year. Pace of store opening in Popeyes improved materially with opening of 10 new stores. Customers in Mysore, Mangalore,

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Cuddalore and Mohali are also now relishing the bold Cajun flavors of Popeyes. We continue to witness long queues outside the store when we open the store and are confident of making Popeyes India's fastest QSR to achieve revenue of Rs. 1,000 crores. Hong's Kitchen added four new stores and is scaling ahead of our plans. Dunkin' also added four new stores and we are happy to note the progress on coffee-first strategy. Led by Project Vijay, gross margins have improved by 118 bps and despite a negative LFL, EBITDA was at 20.9%. The Jubilant Food Park in Bangalore is now fully operational and we expect to sustain the goodness in gross-margins. Overall, we will stay focused on growing the market, bringing innovation in products and in technology, capturing white spaces to expand, and building a strong culture and team at JFL. I recognize that biggest question on the minds of our shareholders will be why the LFL is negative, despite festivities in quarter-three. LFL is -2.9% due to negative LFL in Dine-in while delivery continue with its positive LFL growth trajectory. The decline in Dine-in started in 2017 when aggregators started to build their food delivery business. During covid, dine-in suffered heavily and after a brief period of outperformance in H1FY23, it has been on a declining trajectory. This is an industry-wide trend. As we gro

w delivery, we will continue to improve our dine-in experience and reimagine stores at a healthy pace. We continue to witness sales in dine-in as the experience improves. Several more measures are being executed. Once the cycle for mass consumption turns, we should start seeing the benefits of dine-in being supportive of the overall growth without any cannibalization. Let me now share our thoughts on two key updates from Q3 and the rationale behind them. Firstly, as I shared, we invested on repositioning of the brand with 'It happens only with Pizza'.

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As leaders in pizza segment (with nearly 2/3rd of the share) we need to expand the category and win and get more share of occasions. In a \$50 billion food services market, share of Pizza-category is only \$1 billion. Platform of It Happens Only with Pizza allows Pizzas to gain share from categories not limited to QSRs and international food. The investment behind the category development is being funded through savings generated on account of Project Vijay. With inflation stabilizing, we believe that the time is right to invest behind the category and gain further salience. Secondly, what drives our conviction to opt for an asset heavy CAPEX model of commissary rather than tying up with multiple vendors to build our supply chain. A major reason why are we successful as Mr. Bhartia said is because we are able to deliver highest quality food products at the lowest cost. The recently commissioned Jubilant Food Park Bangalore is the largest and the most prestigious food processing unit, adding unprecedented new capabilities for business growth across multiple brands at JFL. This facility is designed to serve 750+ Domino's stores, and 300 stores of Popeyes, Hong's Kitchen, and Dunkin'. In addition to the usual Dough manufacturing and the Cold Warehouses at our Supply Chain Centers, the Bangalore Food Park has large factories for chicken toppings and chicken marination, bakery products manufacturing, seasoning manufacturing and a state of the art Central Kitchen. It gives us a unique cost advantage along with end-to-end value chain control as food supply chain has to be managed even more carefully. With 4 years of payback, we have a strong business as well as a financial rationale to continue building an even stronger competitive advantage over peers. As we speak, the construction on Mumbai Food Park is in

progress and these investments are quintessential for our continued outperformance and for long term success.

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To sum-up we will continue to invest in our customers, grow Popeyes, scale through technology and in our employees. We are confident of the turnaround in Domino's and will fund most of this through internal efficiencies. With that, let me turn to the moderator to initiate the question-and-answer session. Moderator: Thank you very much. We will now begin the question and answer session. We have a first question from the line of Manoj Menon from ICICI Securities. Manoj Menon: Good performance in the context of consumption, what we are otherwise observing, maybe except jewellery, maybe an exception. So Sameer and team, a couple of questions or clarifications. One, if you could give some more quantitative color on the loyalty program. While I understand the enrolment has been impressive, but the assumption, let's say, 12, 15 months back was that -- this is likely to result in market share gains for you, essentially either it's frequency improvement or consumers walking back to. And actually, that was the experience we kind of read and understood about what happened to DPZ, the U.S. company. So any color on the loyalty because it's been a good, I think, 15, 18 months of implementation? Sameer Khetarpal: Yes, Manoj, I think you have been very consistently asking about loyalty, and I appreciate that. So, we have 21.5 million enrolled members. A large majority of them have actually gotten 1 pie, 2 pie and again, a material of them, a good proportion of them also

have gotten their first pizza free. So if you recall, pizza frequency is three in India and to earn a free pizza, you need 6 pies. So the customers who have gotten 6 pies, that base has gone up materially, Manoj. And we continue to see that base grow and that base is very sticky. The base of customers ordering 9-plus pizza, 6 to 9 pizza is almost up by 10% when I look at year-on-year. So that is kind of helping us gain market share, right within the category. To me, I owe this a lot to this program. Secondly, I think the frequencies have not gone up to the extent that we want, but they have definitely moved when I look at it in the 18-month period. For the last couple of quarters, it has been flat. I attribute more of this to softer demand environment and dine-in being slow. So, I would have expected this to start resulting in positive like-for-like growth. Online is positive, like I said, because this program is largely online, while it is available offline, but most customers prefer it online. Therefore, the online part of the business is positive like-for-like. But, I wish we are able to take the proposition on dine-in also. So therefore, we can get the

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benefit of this loyalty program in dine-in also, while it is available in dine-in. It just feels harder for customers to imagine, visualize versus doing this on their phone. Manoj Menon: Understood. Just one clarification. So is it fair to then make a statement of hypothesis that the current performance what we're actually seeing on the online part of our delivery part of your business, is fully baked in, all the benefits of loyalty is visible currently, right, or maybe material portion of it? Sameer Khetarpal: These benefits are beginning to flow through. We are seeing very strong stickiness of our customers on our app or even with aggregators, right? Because even if customer order on an aggregator app, to claim for the free pizza, they have to come back to Domino's app. In fact, we are thinking of strengthening the program in line with what U.S. has done. So there is a program already underway, how can we invest more behind this program.. Manoj Menon: Understood. Secondly, Sameer if I heard the number correctly, I think about 80% of all deliveries are now less than 20 minutes, right? Sameer Khetarpal: About 70% deliveries are under 20 minutes. Manoj Menon: Okay, understood. Sameer, see, one of the important agenda, which you have been driving over the last few years actually has been to, let's say, come closer to the customer, right, which has actually been split store so that you move from 30 to 20. Is it fair to say that, that journey is largely traversed with -- because what I'm trying to understand is, look, split store by definition is a drag -- I think have negative operating leverage and -- is that investment fees largely coming to and end or do you still think there is still a long way to go? Sameer Khetarpal: So let me tease this out a little bit, Manoj. So firstly, the most convenience-seeking consumers like you and I are in top 7-9 cities right? So if you were to go to Lucknow or Kanpur, there, we have done the experiment, if we move from 30 to 20 minutes, the cost benefit is not highly accretive. Of course, customers like it. And there the brand love improves. But the material benefit comes if you are in Goregaon or Andheri or Koramangala or Gurgaon, right, these are the places where we see the most convenient seeking PIN codes are, and the moment we move to 20 minutes, we see faster growth, case in point being Bangalore, where we have consistently been positive like-for-like.

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Now we have 200 stores in Bangalore. Our endeavour is not to add more stores unless and until the store is struggling and bursting at the seams. And that's a good problem to have. So I would directionally agree with your statement. But I also want to consistently give 20-minute delivery in top cities. We may have to add a few stores. The number of split stores have come do

wn because the like-for-like growth is not there. So has there been a 4% - 5% like-for-like growth, we would have added another 25, 30 stores per split, which we are not doing at the moment. Moderator: We have our next question from the line of Vivek Maheshwari from Jefferies. Vivek Maheshwari: My first question is, Sameer, you mentioned in your opening remarks that Domino's gained market share. How do you define market share or how do you measure market share in pizza category? Sameer Khetarpal: So there are 3 ways to do this. Firstly, there are publicly listed companies that will report their numbers, which is easy to do. Second is we get market share information from aggregators. And number 3 is we do our own internal tracking of market share of pizza chains. On all 3 accounts, we have gained market share within the pizza category. Vivek Maheshwari: So just a follow-up, Sameer, in the context, let's say, there are enough number of, let's say, pizza outlets who have come about, which have, let's say, store count of anywhere between 100 plus to as much as 600, 700 or even higher. How is it -- how is it that these are not impacting your market shares is something I'm unable to understand? Sameer Khetarpal: So, just to kind of take your question head on, Vivek, there are only few players with more than 100 stores. And we do have internal mechanisms of tracking store level sales, catchment level sales. Of course, will it be 100% accurate? No. But, directionally with aggregators, with listed companies and our own internal tracking, all 3 are indicating share gains. Vivek Maheshwari: Interesting. Lakshya Sharma: Vivek, If you take all 15 pizza chains in India, they account for 4,000 outlets. While, it's coming from our internal proprietary study, but since you raised an important question, I will share key excerpt from

it.

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If you see from the perspective of the outlet count, our outlet share would be around 46.8%, but, our revenue share is 69.7%. So the high throughput done by Domino's store translate to a high market share and we continue to gain share even in the current environment, and that's the point which Sameer sir was also explaining in opening remarks that gaining incremental share from, let's say, 70% to 72% in a small pizza category will lend us nowhere when seen from the perspective of how small pizza category is in the overall foodservice segment. Therefore, we invested the savings from gross margin in current quarter to develop the category and also gain share from other cuisines in the future. Vivek Maheshwari: These numbers are very helpful. So the second thing is on the dine-in bit. What is your assessment of what's happening? Because I think the whole issue around, let's say, cannibalization and all of that was perceived to be more on the delivery side. Of course, delivery has also moderated a bit, there is macro environment, but dine-in is the piece, which is quite a bit of -- has been quite under pressure. What is your assessment on that? Because you also mentioned that you are not giving up on dine-in. So what needs to change over here? Sameer Khetarpal: Vivek, as an overarching statement, we want to serve customers wherever they are, right, whether it's an ONDC, aggregator, our own app, dine-in, carryout, in a fair, on a train. So we are building multiple channels based upon a physical store infrastructure. So that is point number one. Now if I have to serve even in a moving train, the physical store is important. But your question is more specific on dine-in, what is happening? It is a worldwide trend, Vivek, if you look at U.S., Europe, including emerging Asia, the dine-in on-premise sales are declining and delivery sales are improving and where Domino's has a key competitive advantage. Now specifically, what is happening in dine-in is, India has lowest price per delivery anywhere in the world, and therefore, delivery comes out to be more convenient and relatively cheaper versus anywhere in th

e world. And we are doubling down on delivery. We should grow faster, and that is the objective over there.

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If overall dine-in share is, let's say 35%; in Tier 3, Tier 4 cities, it is about 50%. So it is still a material channel for us, and we want to invest behind it. It is hard to pinpoint that if there is one reason, which is only pinpointing to weakness in Domino's dine-in only. All we care for is we should continuously benchmark our experience, improve it, and every time the customer comes over there to get great value, and a very functional and consistent experience in the store. So therefore, we spotted about 150-odd stores, which did not meet our threshold. 66, we have already reimaged. We do see 8% to 12% growth in the store immediately and sustaining. And there are about another 50 to 60 stores that we want to reimagine. Then we get into a cycle of like a healthy pace of reimagination every year. So there is a pressure on dine-in, but it is still a significant channel and it is also a channel where we believe we can recruit more customers. And in food, seeing is believing. And the most stickiest customer that we have in our portfolio over the years, their first purchase was on dine-in. Vivek Maheshwari: Got it. And just a follow-up, and that would be my last one. Sameer, have you analyzed -- I'm sure you would have -- historically, I think the earlier management view was that cloud kitchen doesn't make sense. But what is your view given how delivery is -- and for cloud kitchen for a new brand, the biggest issue is the -- is creating brand awareness and therefore, higher take rates to aggregators, which is not a problem that you face. So do you think that for the next wave of store expansion, also because you are promising 20 minutes delivery. Do you think cloud kitchen will be a way forward at least, at least in the top 10 cities? Sameer Khetarpal: Yes. So I think I will just nuance it from cloud kitchen to what we call as the DELCO stores, right? And I think somewhere, this is the innovation done by Jubilant Foods long before I came in, and the world is more enamoured by dark stores. The highest payback and the ROCE is actually for what we call as a DELCO store. It is slightly bigger than a dark store. It is marginally more visible than a dark store, almost the same capex as that of dark store, but customers can also come and take away their orders versus not seeing it. So we have a material number of stores in top 7 cities, we do ask a question, why do we need a 1,200 square feet dine-in store when there is a store available in 0.5 km. So we take those calls. If there's a new market that has developed or there's

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a new mall that has come up, we are happy to open a dine-in and the delivery store. But the operating word for me is not dark, the best payback period in India actually is in a DELCO store, which is delivery and carryout, but visible to the customers. The rental savings is minimal, to be very honest, far more compensated by the incremental carryout sales that one gets. Vivek Maheshwari: Thankyou and all the best. Moderator: We have a next question from the line of Amit Sachdeva from HSBC. Amit Sachdeva: Sameer, my question is on the value proposition for pizza as a category. And obviously, as the inflation has been very high, and we have talked about this in the past as well, that -- there is a significant down trading in pizza category, which led to also you launching several value for money products, etcetera. And now given that phase of inflation is now quick way past, have you started to see some of that down trading that was hitting the category at least has started to sort of weigh in and come back and you see customer willingness to pay for maybe slightly higher value pizza - is increasing? Or you see still pressure on category continuing. That's the point number one, but I'll have a follow-up to that on the premium side of things, but if you can perhaps give us some update whether

the down trading has stopped in the category or not? Sameer Khetarpal: So at least as we look at data, Amit, down trading has declined in our system in the last quarter. And therefore, we saw the highest ticket size in the last 8 or 9 quarters. Now one can say how much of that is pure macro driven by customer behaviour and how much was with our efforts, hard to say, but we took several efforts to improve the ticket size. One was, we launched the Viva Roma range of gourmet pizza, which are doing very well. We relaunched it rather. It is doing materially better, becoming a very strong business just in few stores that we have launched. Second, we purposefully targeted our discounts towards more discount seeking customers and lesser towards customers who were not. So that is one piece where we saw discounts being more targeted, I would say, our regular pizzas versus Pizza Mania and therefore, we saw the increase.

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For the first time, we ran the offer of Buy 2 Get 1, across all channels, aggregators, dine-in, OA, but those were not on Pizza Mania. So we purposefully took some actions. Therefore, we are happy about the ticket size. But I am not happy about the

new customer acquisition, which if you were to target on Pizza Mania, we would have seen that. So it was a bit of a judgment call we took assuming the underlying new customer acquisition will continue to be there. And therefore, it's reflecting actually in our like-for-like growth. So we are learning from it. We are getting better at targeting our discounts. So inflation is definitely moderated but the food inflation is also not negative. Inflation is still there. Secondly, we are seeing inflation in wages, right? But, when you look at our basket of consumption, that is, oil, electricity, diesel, petrol, gas, raw materials, it is still material in terms of inflation. Amit Sachdeva: Got it. No, that's very helpful, Sameer. And I think I will take the question in the mirror image to the premium end as well. Like we have noticed in various categories, the premium side has done very well and rhetoric case at mass end -- mass end is very -- which is more impact we have seen in the consumption side. But in that pizza as a category where the marginal growth is coming from mass, but I would assume that large consumer, very frequent consumer of pizzas also would be a consumer cohort of very premium customers. But, they also perhaps seek value at some level, given that, that pie was growing at least there was a large spend there. Have you been able to monetize some of that tailwind that was coming theoretically at least we understand from distance that there was some tailwind there. But have you been able to sort of launch some new categories in Pizzas, gourmet pizza, perhaps you can comment whether it was successful or not. But was the pricing wrong or you through value offer in the gourmet pizza kind of positioning you could create so that there's a value locking which other can't offer and you can offer. Do you see some opportunity there? Or is it like very small and it's not meaningful for you? Sameer Khetarpal: So, firstly, I take your point on premiumization. And therefore investing in the right product and the processes to relaunch Viva Roma is paying benefits. You are saying, can you push the envelope further by doing price corrections? It has only been 6 weeks since we relaunched it, Amit, definitely on the cards, we're also

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seeing we look at smaller size pizzas versus larger size pizzas. So that piece, the team is experimenting as we speak. And I'm hopeful that we will invest behind it. And I think your point is around why do you have to charge prices equivalent to some of the other gourmet players? My answer to that is it is always easier to reduce prices than increase prices. So we started with a higher price point or an equivalent price point, but a competitive price point. We've been running high discounts also on that one, so almost INR300 off on a INR1

,500 ticket of orders with gourmet pizza. So that is material in terms of -- so we are using more promotion to learn, but I will not be surprised that we take some price corrections on the gourmet range to be more competitive and make it more mass. That's the point you are making. I'm also in the same camp. Amit Sachdeva: Okay. Great. That's very helpful, Sameer. Just a small bit on Hong's Kitchen, you seem more excited now about the format. And obviously, it's a small one. You opened 4 stores. Menu may have obviously stabilized and you start seeing encouraging trends. But do you sort of still talk about running that format using the same own-store format? Or is there wider options open that business model could be different for expansion here versus other formats that you've done so far? Or it would still continue in the same pace as it is going? What I mean to say is, can we see more aggressive rollout through a variety of means in this format? Sameer Khetarpal: I think, Amit, again, thanks for being consistent on this question and pushing us towards the learning on franchisee model. We are learning. In fact, one of the reasons of acquiring DP Eurasia was their unique franchisee model, which is probably to the best of my knowledge is outstanding and North Star even from anywhere in the world that we know of within the Domino's system. We will definitely learn from it. I think franchisee model at the right pace and with the right rigor, we should bring to Hong's in some of the other places, very much on the card. But right now, I want the Hong's team to have the highest throughput per store like Domino's has for Domino's anywhere in the world. Once we get that, we will definitely evaluate where to franchise. In fact, there are multiple at least internal

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strategy papers that we are writing, where we can franchise and not in the context of Hong's. Moderator: We'll take our next question from the line of Jay Doshi from Kotak. Jay Doshi: My question is generally on profitability. So in December 2020, with about 1,300 stores, you had a pre-Ind-AS EBITDA of roughly INR200 crores, that in December '23 is INR175 crores, INR176 crores with 600 more stores. So could you share some thoughts or give us some color whether even those 1,300 stores that were mature prior to pandemic that profitability or absolute EBITDA is still intact or because of weak SSSG over the last 3 years and inflationary pressure that you talked about, other than RM costs, that profitability per store has deteriorated for the mature portfolio as well. And the 600 stores that you have opened in the last 3 years, are these stores at an overall level EBITDA breakeven or essentially it is a drag on absolute EBITDA? Sameer Khetarpal: For all the new stores, we have a cash to cash payback of about 2.5 years and EBITDA positive in line with the business case. So highly positive. We don't see any deterioration from the business case when they opened, right? I want to assure you that each and every store we open is very closely tracked. We have an internal committee, which approves the store, there is a lot of groundwork that goes in and a lot of rigor that goes in approving a store. And then Deepak and team track this like a hawk month-on-month in terms of sales and actual EBITDA delivered vs the forecasts. So that process works very well. I know some of the analysts does have a hangover of the past when we have shut down the stores. Definitely, that is not happening and all our stores are on track. Now your question, I would say, a more relevant one being why has our EBITDA, which was almost 300 to 400 basis points higher earlier, why are we not at those levels? The answer over there is the like-for-like growth. Had the like-for-like growth being plus 300 basis points versus minus 300 basis points, you would have seen that 200, 250 incremental basis points of EBITDA naturally coming into our P&L. So that is the short answer, and that is a job to be done by t

he team.

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Jay Doshi: Understood. One more question, if I may. See, as a consumer -- and this question was asked earlier as well. As a consumer, we sort of feel that when we talk around and discuss, Domino seems to be losing mind share and market share at that INR400, INR500 or INR600 price point pizzas and because there are a lot of gourmet pizzerias who offer pizzas that are probably slightly more expensive than your premium portfolio and a notch below your gourmet portfolio. So is there any

thought internally to sort of work around product portfolio in not just gourmet, but at that price point where you may be losing share, both mind share and market share to gourmet pizzerias of local ones? Sameer Khetarpal: So Jay, firstly, we've launched Viva Roma to take care of a more premium segment. And our value share is higher than the transaction share on some of the aggregators. So, if I see the bigger opportunities on the transaction side, there are local pizzerias or 1Zs and 2Zs who may be offering a better promotion or a deal on a particular day. Less on the premium side. We are constantly benchmarking our portfolio of loaded pizzas and gourmet pizzas Viva Roma with the relevant competition set. Similarly, on the lower end, whether it's Pizza Mania or INR100, INR109 margarita, we are benchmarking against that relevant set. So both places we must win and have a dominant share, and that is what we are focusing on. So it is not either or for me. Yes. Moderator: We have a next question from the line of Arnab Mitra from Goldman Sachs. Arnab Mitra: My first question was when we looked at the last 2 quarter results, it did give a sense that things are bottoming out and the LFL growth is not going worse from where it was. Now this quarter, despite obviously cricket world cup, on festivity, it's actually gone more negative even though you did give the color of dine-in versus delivery at an aggregate level. So my question was, do you get a sense that things have bottomed out, they are not worsening further? Or is it that things could be worsening further, and we first need to address that problem? And if you could help us understand if there was any change in the trends after the World Cup got over in December, Jan, which helps like to look at this problem more closely?

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Sameer Khetarpal: I can't say anything conclusively at the moment, Arnab. Is January better than December? maybe marginally but not materially. December was particularly worse compared to November, which had both Cricket World Cup and Diwali. So it's hard to say just like within like the first month of the quarter, is there a material uptick whether the demand is back, we absolutely know that's not the thing. I think what we are doing internally is to capture the demand. Some of the questions being asked by other analyst friends on premiumization, having more occasions and our biggest weapon over here is taking more share from other occasions. Therefore, 'It happens only with Pizza' is a natural answer to that. So that's how we are targeting. We're confident about the internal capabilities that we are building that we should be despite demand being soft. Arnab Mitra: Understood. My second question was just related to this that in the context of this negative LFL, and SSSG may be a little worse than LFL because of store splitting, is there a case for like slowing down store expansion at least in the top 8, 9 cities where the density is already quite high? Or is that not the right way to think about it in the current environment? Sameer Khetarpal: See, why do we need a split. Split is not for the sake of the splitting. It is when the mother store is not able to serve the customers, when during peak hour, they are taking shutdowns and the delivery metrics are poorer or dine-in metrics are poor, that is what causes a split. Now if the store is not growing yoy, there's no reason to split it, right? So you're right. Therefore, we have reduced the number of split

s. And as you see in the last quarter, we expanded to 10 cities, right? These are all 10 new cities and therefore, white areas. So we do play this tactically, right? Given the bandwidth of the team, if one pocket is growing and they're not able to manage the peaks, we do go for splits. Otherwise, we have a list of cities or the white spaces that we want to go to. And there are several in the top 10 cities also that we are not even covering the entire 100% of the city. So we are focused on more white cities. Lastly, you will see on the investor deck, we are utilizing the demand signals to expand delivery service area for the existing store network also. So we realized that in this little bit of a demand-constrained environment, we have to work harder. So we have expanded the polygons and the coverage of existing stores also.

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Moderator: We have a next question from the line of Tejash Shah: from Avendus Spark. Tejash Shah: A couple of questions. First, with 113 stores of Domino's opened in first 9 months, and we're still holding on to our guidance of 200 stores, the ask rate from fourth quarter is almost 1 store per day. So just wanted to know any reason that we have bunched up the opening for the fourth quarter? Sameer Khetarpal: There are 3 reasons. Firstly, we started with a very weak quarter 1 from store opening perspective, where we were kind of fine-tuning the team, changing the team, that was done in Q1 and happy to note we have a rock-solid team driven by analytics, insights, automation. That's what we wanted to bring in. So we started in Q1. In the Q3, there were a few restrictions in construction, especially around NCR, where we had the store approvals, we had to stop the construction due to pollution measures. So therefore, the number in Q3 would have been slightly higher than 40, and that was the reason why it got delayed. So as we speak, like I said, for the first time, we are entering into the next quarter with a very large pipeline in this fiscal year. Tejash Shah: Very clear. Second question, there are 2 parts to it. So interestingly, in your recent communication, we are broadening our focus to behave like position ourselves of the category and the addressable market, we are actually targeting as a whole food service market and not only pizza. So is it a fair understanding that as you try to gain market share from other categories, subcategories, the dining proportion there will be higher. And second part to the question is that we also have been pointing that dine-in is a growth hurdle. And there's an observation that even in our recent communication, it happens only with pizza, in a campaign of, let's say, 1-minute advertisement, there is only 5 seconds, which we are actually showing customers enjoying pizza at our store. So how we plan to reshape aspiration if we are not seeding it ourselves? Sameer Khetarpal: What you saw is a first 2 overs of a test match, right? And it happens only with Pizza is a full platform. The next set of ads you will see actually will be inside the store. So we will build this across channels.

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Tejash Shah: And are we in sync of that adding more investment in the existing stores also so that dine-in experience can improve? Sameer Khetarpal: Yes. We are very much in sync. I think we want to give good experience to customers. We stand for high-quality pizzas, affordable, low-cost, and very functional experience, right, whether it's inside the store or delivery. So we do want to give good experiences. And please don't mistake it for fine dining or casual dining. In fact, wherever we are correcting the experience inside the store, we are adding more seating to the store. Because we have redesigned, we have shortened the -- we reduced the size of the kitchen. We have taken some equipment out. We have made the operations leaner, we have a better restroom experience. So it's functional, higher ROI, higher turns, and that's what we want to stand for. So please don't equate din

ing experience improvement to fine dining or casual dining experiences. Moderator: Ladies and gentlemen, we will take the last question from the line of Shirish Pardeshi from Centrum Broking. Shirish Pardeshi: Just 2 quick questions. On slide 14, when I look at you have given the cumulative Cheesy Rewards membership, which has now moved to 21.5 million over last 6, 7 quarters. I was more curious because in beginning -- in middle, you said that this program is going to do more success drawing the U.S. experience. So how do you measure the success of this program when you're setting after 7 quarters? And maybe I'm more curious what percentage of customers have already achieved 6 pizzas and redeemed the seventh one? Sameer Khetarpal: The simplest way to look at Cheesy Rewards program is that online channel is like-for-like positive and the ticket size is increasing, right? That's the best, easiest correlation you can make. While, it's hard to tease out what is the most accurate driver. But had the Cheesy Rewards program not been there, our frequency would have reduced, right? When everybody is reporting negative SSG, our frequency is not reducing. It is stable for last 2 quarters. The cohort of customers ordering 6 pizzas and 9 pizzas is increasing and customer count with almost 2 pies have increased by 10% quarter-on-quarter. So I believe this program is working for us, especially for online and delivery credential. It is a great program. We also see lesser churn rates for customers who have claimed the free pizza versus a customer who's ordered 7 times, but not

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claimed the free pizza. So it drives stickiness. And this is very consistent with learnings from Domino's U.S.A. Now the next question was on the proportion of customers who ordered like that base is growing. Unfortunately, we don't disclose that. But I measure this like a hawk in terms of how many customers have a free pizza, 6 pies but not claimed the pizza and 5 pies and 4 pies. So we track this on a weekly basis, that base is only growing. Shirish Pardeshi: Okay. I mean I was more curious in the marketing success, when we do TRP, GRPs, we measure what kind of customers we have been able to convert. So that's why I was more interested in that number. Anyway, I'll take it offline. Sameer Khetarpal: Yes, we can take it offline. Sorry, your voice is a bit muffled, Shirish. Shirish Pardeshi: One quick last question, if you permit. Hello? Sameer Khetarpal: Yes, Shirish. Shirish Pardeshi: Yes. So on Popeyes, now we have entered to 10 cities. But if I go back about 2 years, we took almost to get the model right, to get the store economics right, the product menu pricing. And now we have entered into the north. So what gives you the confidence and what parameters you decide entering into the new city? And sub question is that if you can be able to share some contours in terms of financials, what is it at this point of time? Sameer Khetarpal: Sure. The parameters are very simple in terms of 4 things. Is there a chicken eating market in that city. So 70% of Indians eats chicken. The proportion is larger in South versus some of the western parts of India. So we are cognizant how big the market is. Second is our store ROI, the payback period and the discipline of finding a store and the rental negotiations. Number three is our ability to serve the customer because, as you know, we are the only player which offers fresh chicken. And therefore, it is more juicier and tender. We use chicken, which is no antibiotic ever. And number 4 is ability to manage the operation because you have to have a crew which is trained, which knows how to fry, which knows how to change the oil and how to serve the customer. So these 4 factors we use to enter a city, the overall demand, our ability to serve and the store economics - these are the criteria.

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I think it is fair to say that we will be in top 30, top 40 cities in 12 to 18 months, right? We believe in this product, the product satisfaction scores for Popeyes in India is not the highest among the top 2, top 3 for anywhere for Popeyes in the world. So we believe in the product, we've gotten that piece right. And as you know that Popeyes in U.S. is now number two player behind Chick-fil-A and ahead of KFC. So clearly, there is something, the bold Cajun flavors lend itself well to the Indian palates and we have innovated fast. So I am happy with how the team is executing. On sharing more color on stores, I would just request the analyst friends to be more patient on this one. We are only 25 stores. Once we get to closer to 100, -- and I want to get there quickly; Once we get there, we'll be sharing more information. We're happy to take you to some of the Popeyes store and experience the bold Asian flavors of Popeyes. Shirish Pardeshi: Thank you, Sameer. I hope very soon we'll get a taste of Popeyes in Mumbai. Sameer Khetarpal: Yes Shirish. Definitely. Moderator: Thank you. On behalf of Jubilant FoodWorks Limited, we conclude the conference call. Thank you for joining us, and you may now disconnect your lines. Lakshya Sharma: Thank you. Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Mar 2024

JFL/NSE-BSE/2023-24/130 March 15, 2024
BSE Ltd.
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD
Sub: - Transcript of Webcast and Conference Call
Dear Sir/ Madam,

In furtherance to our letter no. JFL/NSE-BSE/2023-24/129 dated March 12, 2024, please find enclosed herewith the Transcript of webcast and Conference Call on Post-Acquisition Update on businesses in Turkey and Bangladesh held on March 12, 2024.
The above transcript will be available on the website of the Company at
<https://www.jubilantfoodworks.com/investors-shareholder-information-stock-exchange-filings>
This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
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Encl: A/a

Transcript for Webcast and Conference Call on Post-Acquisition Update on businesses in Turkey and Bangladesh Date: March 12, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Jubilant FoodWorks Conference Call. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Lakshya Sharma. Thank you, and over to you. Lakshya Sharma: Good Thankyou Yashashri. Good afternoon, everyone. A warm welcome to Jubilant FoodWorks' webcast and conference call for Post-acquisition update on our businesses in Turkey and Bangladesh. Today, we are joined by our MD&CEO, Mr. Sameer Khetarpal, our EVP&CFO, Ms. Suman Hegde, our Senior Vice President – Finance and CIRO, Mr. Deepak Jajodia. Please note that some of the information you'll hear during our discussion today will consist of forward-looking statements which reflect Management's current views and estimates. These forward-looking statements involve certain risks and uncertainties that could cause actual results to differ materially from those contained in the forward-looking statements. Potential risks and uncertainties include such factors as general economic conditions, business dynamics and many other factors that could cause our actual results to differ materially from those contemplated by the relevant forward-looking statements. We will now begin with our webcast and will then open up the lines for your questions. Over to you Sameer sir. Webcast Transcript Title Slide: Post-Acquisition Update on Turkey and Bangladesh Thankyou Lakshya. Good afternoon and warm welcome to all our participants in the call today. Slide: Agenda Let me start by giving you a snapshot of our agenda for the day. We have increased our stake in DP Eurasia and Jubilant FoodWorks Bangladesh and the call is meant to give you an update on these acquisitions along with its strategic rationale. I will then talk about macro economy, foodservice market and our businesses in Turkey and Bangladesh. We will then discuss pro-forma key financial metrics followed by a snapshot of the JFL network. We will then be happy to take your questions. Slide: Acquisition Summary This is a brief summary for both the acquisitions. DP Eurasia is the 6th largest Domino's franchisee having exclusive rights to operate and open Domino's stores in Turkey, Azerbaijan and Georgia. DP Eurasia opened its first store in Turkey in 1996 and began to open its franchise stores in 2000. The group took over the master franchise agreements in Azerbaijan and Georgia in 2013. It also has its own-brand COFFY in Turkey. The System Sales for DP Eurasia's continuing operations including all brands and geographies for CY 2023 was Rs. 2,897 cr. The overall cost of acquisition for 94.28% shareholding in DPEU was Rs. 1,199 crore. To fund this acquisition, we have taken facility for Rs 947 crore at Rate of Interest of ~5.39%. The balance was funded through our cash reserves. On May 10, 2022, we also completed the acquisition of remaining stake of 49% in Jubilant FoodWorks Bangladesh Limited for ~Rs. 34 crore, fully funded through our cash reserves. The revenue for 9MFY24 is ~Rs. 40 crore. In addition to Domino's, we also have rights for Popeyes in Bangladesh. Slide: Strategic Rationale The underlying objective is to build a very attractive

portfolio of brands in promising, high-growth and under-penetrated markets. We have been quietly building a unique platform which has three systems that act as a virtuous flywheel. These are: Multi-brand: The capabilities being built are all brand-agnostic Multi-country: We now have the requisite ability to export this platform to replicate the India playbook into other emerging markets while being cognizant of the fact that these countries will also help us better our performance

in India Food-tech: The third system being tech and ops play which essentially helps us win in the phygital world Both the acquisitions give effect and further strengthen the platformization at JFL. Slide: Turkey Turkey is one of the fastest growing economy in Europe and has made impressive economic gains over the past two decades. In the early 2000s, broad-based macroeconomic and structural reforms supported income catch-up towards advanced economies. This moved Turkey firmly into the upper middle-income bracket. It's a largely urban population with 75% of individuals living in urban centres and Turkey is also home to Europe's youngest population with median age of 33.6 years. Slide: Foodservice and QSR Market Turkey's Foodservice market is estimated to be ~\$18 bn and QSR market at ~\$7.6 bn comprises nearly 41% of the market. As per industry estimates, by CY 2026, the foodservice market is estimated to be ~\$28.1 bn at 15.2% CAGR with QSRs comprising 46% of the market. Domino's is the 2nd largest QSR brand and a dominant leader in pizza market with 51% market share in value terms. Slide: Key Drivers for Turkey Foodservice Market Growth What is even more comforting is the underlying growth potential of the foodservice market in Turkey driven by a triad of: 1. Strong Economy 2. Favourable Demographics 3. Increasing penetration and growth in online ordering Slide: Domino's Turkey Domino's Turkey encapsulates all traits that one will desire in a successful franchisee. They have been successful in applying a globally successful Domino's business model by adapting it to the needs of the local market. Adjusted for inflation, the CAGR(2020-2023) for System Sales of Domino's Turkey has been 20.4%. The founder-led experienced management team has a stellar track record of delivering resilient, profitable growth even in the wake of tough externalities. Slide: Continuous Improvement in Proprietary Online Ordering Platforms The continuous improvisation in their already strong data and digital capabilities help them improve share of online ordering.

Slide: Powerhouse of Menu Innovation Domino's Turkey is a powerhouse of menu innovation. Their zeal for continuous menu innovation lends them a leading market position and we are excited with the possibility of cross-pollination of ideas between the chef teams of the two markets. Slide: Domino's Turkey - Key Operating Metrics Domino's now have 690 stores in Turkey and 88% of the stores are sub-franchised. The potential for Domino's Turkey is 1,250 stores giving a huge runway for growth. The careful selection of who to sub-franchisee is the hallmark behind the success of franchisee system for them. Online order contribution has increased to 84% but has more room to grow. The dominant channel for them is Delivery with 73% channel contribution. Slide: Domino's Turkey – System Sales, Growth and LFL After adjusting for inflation, in CY 2023, system sales growth was 31% and LFL growth was 27.1%. This was despite a devastating earthquake which hit the country in early February. Slide: DP Eurasia Debt Profile The debt for DPEU was largely on account of DP Russia. On August 21, 2023, DPEU announced that it has initiated the steps to file for DP Russia's bankruptcy. The net debt as of 31st December, 2023 was 466 TRY mn and the external debt for DP Russia has been paid in August 2023. Since Turkey operations generate high cash flow and are profitable, the debt at DPEU level will reduce significantly hereon. Slide: COFFY Unlike India, coffee consumption has very high frequency in Turkey.

At least 53% of Turkish coffee consumers are consuming more than 2 coffee per day. The Coffee market in Turkey is estimated to be ~\$1.1 bn and as per industry estimates, the market will double in 5 years to ~\$2 bn end 2028. Considering the high frequency, DPEU team came up with the idea of building an own-brand that will provide COFFY without the excessive price tag

g. They came up with a unique model of having single price points for each size rather than having different price points for each beverage at every size. Slide: COFFY With a trial store opened in October 2019 in Istanbul to now being the 10th largest CAFÉ brand in Turkey with 89 stores, COFFY has demonstrated strong performance and presents an additional growth vector for us. 74% of the network is sub-franchised. With average store margins of 12-13% with payback of 2.5 years, the unit economics are very superior for COFFY. It is on track to be the 5th largest CAFÉ brand in Turkey by end of CY 2024. Slide: Leadership Team DP Eurasia has been successful in fostering an environment of entrepreneurial leadership. Aslan, having been appointed as the founding chief executive officer of the exclusive master franchisee of the Domino's System in Turkey since its inception in 1996 has ably led DP Eurasia in the last 28 years. The leadership team is well tenured and has an exceptional track record of delivering market leading performance. Slide: Bangladesh Bangladesh has a strong track record of growth and development. Over the last decade, the economic growth has averaged more than 6%, significantly lifting per-capita income despite having one of the highest population density in the world. Slide: Bangladesh Foodservice Market The Foodservice market in Bangladesh is estimated at ~\$0.9 bn. Domino's entered the market only in 2019, but is the fastest growing brand in the country.

Slide: Jubilant FoodWorks Bangladesh Limited After having achieved the requisite unit economics, with EBITDA margin in mid-single digit, payback of stores at ~3.3 years, we have accelerated the pace of network expansion. We now have 26 stores but we see the medium term potential as 200. The ADS of mature store is now nearing the levels achieved by Domino's India. Online contribution to Delivery Sales is inching up and is similar to levels of Turkey. In India, this metric has reached ~99%, paving the way for future growth. Interestingly, the channel mix in Bangladesh is heavily skewed in favour of Dine-in with 61% channel contribution in the last quarter. Slide: Leadership Team We have an excellent leadership team earmarked for Bangladesh and have recently spruced it up with Avinash now also overseeing the International Business. Slide: DPEU Pro-forma financials We have shared key metrics for DPEU for CY 2023. Since this is a franchisee-led business, it would be noteworthy to talk about System Sales, Revenue and PAT. Slide: DPEU Pro-forma financials The pro forma financials are created assuming the control was established on 1st Jan, 2023. As you can see, the acquisition is EPS accretive for us and our efforts will be to ensure that we continue to deliver sustained profitable growth across all vectors. Slide: JFL Store Network I would like to conclude with the snapshot of JFL network. To reiterate our guidance on store network; in the medium term, we intend to operate 3,000 Domino's store in India, 1,250 Domino's store in Turkey and 200 Domino's store in Bangladesh. Amongst other brands, Popeyes will reach 250 stores in the medium term and will be the

fastest to reach 1,000 crore in revenue and COFFY will be a 150 store network by end 2024.

This is one of the strongest emerging market network and brand portfolio with leadership position across all Domino's markets and a strong challenger brand in form of Popeyes and COFFY. Our continuing focus will be to draw superior strength from platformization at JFL and deliver superior top line and bottom line growth profile. With this, I will request the moderator to open the floor for Q&A. Q&A Transcript Moderator: Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Amit Rustagi from UBS Securities. Please go ahead. Amit Rustagi: Thank you, sir, for giving us really great insight into these two business

es. You have mentioned about the growth in the stores for both the formats, COFFY and Domino's. Could you give us some aspirational numbers what we start to look at from these businesses? And second thing you mentioned was the franchise model. So do you think that we will learn a lot on the franchise model and if there is a possibility of implementing some of these brands in India? Sameer Khetarpal: On franchisee model, it is a very interesting one. Amit, I'll be honest here, it has opened our eyes, right? And how much of that is applicable to India, we need to study carefully. The way the team has operated this model with a science and art combined into it, it is actually very commendable. It is actually a secret sauce and secret sauces are typically hard to replicate as easily, very difficult to lift and shift. I'm also aware of the reality in India. In QSR, there are no successful franchising model, as you would have noticed. Anybody and everybody who operated on sub-franchising have ultimately gone to company-owned, company-operated model. Having said that, this was the past. India is also changing materially. There is capital available. Other consumer-facing brand, like in jewellery or even in fashion and apparel, are beginning to teach us that this is an opportunity for a leading player like Jubilant, we need to look at this seriously. So we are evaluating. We are learning. And if there is some experiments that we need to do, we will not shy away from doing those experiments. On your first question, the track record of the team is actually to be ahead of the inflation as shared in the presentation. The system sales CAGR for 2020-2023, adjusted for inflation has been 20%+. I think that's what the number that I really care about the most. We are also, like in the process of formalizing our budgets, etcetera, as we're learning more about getting deeper into it. As we speak, the team is actually here in India. So allow us some more time to give a view.

Moderator: Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead. Arnab Mitra: Hi, Sameer. My question was that the currency has been -- Turkish currency has been depreciating continuously for many years, and the current rate versus the INR also seems to be much lower than the pro forma base, that analysis that you gave. So just wanted to understand how do you think this affects the INR business? How much is mitigated by pricing? If you could give us some sense on how to think about this currency depreciation and the impact on the profits? Sameer Khetarpal: Arnab, firstly, it's a great question. And I think that is something that we do have modelled this. You're right. Currency depreciation has been high. But let me share further color with you. When we picked up the stake, we started with 9.8. From our lens, we are more driven by the conviction behind the strength of the brand and the opportunities that the local market presents. The track record of the team is to actually beat the inflation, right, consistently and that is what they have proven. They have a very deep price increase science that they've built in. They know which markets to take how much price increase, at what time? So there's a very deep science into it. When it is viewed from the growth perspective, we care less about the currency reporting as there is no fund infusion required from our business, from our side. But more to do with how large this business can become in the local currency. And I think as long as they beat the inflation grow faster than the inflation, the volumetric growth is there, underlying volume metric growth is there. They open the stores, I think it will be accretive to us.

Fundamentally, I look at it more from a business lens versus an economic lens. Also, the recent policy changes have indicated more controlled inflation environment. But, that's very hard to control and predict. The underlying business is rock solid and grows ahead of the i

nflation and it will be EPS accretive for us. Arnab Mitra: Understood. And one last question on the franchisee model because we have not tracked any company in this model as such. So what is the key driver for margins in this business? Is there -- like India, we know QSR has very high operating leverage there is, therefore, a big margin volatility based on growth. In a franchisee model, is it a lot lesser, and any key drivers for, let's say, profitability improvement or risks that could be there to profitability in such a model? That was my last question. Sameer Khetarpal: Yes. It's a very interesting model. Firstly, just on operating expense, the rentals are lower versus India. That is one piece. Therefore, it will leave room to expand margins. Now the revenue sources for DP Eurasia are actually four. One is the sale of food to the franchisees. So they have commissaries and therefore, get centralization benefits. Second is the royalty fees. The third is technology and fourth is advertisement fee. These are the four sources of revenue for them. We will get some buying efficiencies together with Jubilant.

We also have a very good relationship with Domino's. And second is, as you would know, for a company of this size and this market cap, it doesn't make sense to be listed and therefore, we have corrected that. The elimination of overheads of being listed will also aid margin expansion. Arnab Mitra: Okay. Understood. That's it from my side. Sameer Khetarpal: Thank you. Moderator: Thank you. We have a next question from the line of Shirish Pardeshi from Centrum Broking. Please go ahead. Shirish Pardeshi: Hi, Sameer. Good afternoon. Thanks for the opportunity and Suman welcome to our world. Just a question at the beginning. You mentioned that it is underpenetrated market. What it means? In the medium term, our store expansion will be faster and we will try and capture the opportunity? Sameer Khetarpal: So here is how I look at it. Domino's is going to 1,200-plus stores in turkey. That is a real opportunity. The frequency of pizza is very close to India, which is three in a year, and we all know in U.S. it is far, far more than that. So from a frequency of pizza eating, the growth of COFFY as a brand which is present in only 16 cities versus Domino's presence in 80 cities out of 81 cities in Turkey presents a multi-decadal opportunity. So when I look at both the brands, the opportunity for growth is material, Shirish. Shirish Pardeshi: Okay. And the related question on the franchise operation. So if this franchise is primarily having a local expertise, and that's why they are into the business? Or these are the newer generation, which is trying to capture the younger population and what we see here, the brands which are rolling out faster because of the platform? Sameer Khetarpal: I would say, they have a unique recipe of recruiting franchisees over there. So many of the franchisee owners have in the past been area managers, restaurant managers, right, who understand the operations, but are entrepreneurs at heart. So as you would see, the

percentage of franchisee stores has been increasing steadily, which means that they've been also selling their corporate stores to franchisees. That is a model that they have actually perfected. So these are not large, well-capitalized businesses getting into a new business form or a new business area or a vertical. These are individuals or families whose sole mission in life is to grow the Domino's business. So it's very carefully selected. The average franchisee would hold two to three stores. But they start with one and they're obviously incentivized to open few incremental stores, but that's pretty much it. So, I would say, its

like a cottage industry but operated at scale, and that is the beauty. And that's why I am saying it's hard to replicate some of these pieces or for even somebody to copy these. Shirish Pardeshi: I do understand. Where I got a little mixed is that you said that the

re is a large food service opportunity and even aggregator is very strong enough. So I'm just trying to relate the India experience that we have here cloud kitchen that may disrupt. So going forward, should not be a problem for us. That's what you're trying to say Sameer Khetarpal: Shirish, I have not seen successful cloud kitchen models anywhere in the world now. I have tracked data. I've also been in this industry for nearly 10 years. I'm talking about e-commerce plus QSR. Very hard economics to make it work. Customers want to see the brand. Of course, you can have 15%, 20% of the stores as dark kitchens back of the alley. But ultimately, for a consumer brand, my learning is customers want to see the brand, and therefore even when consumers are ordering online, they're definitely using aggregators, but the evidence of dark store capturing share from established brands is yet to happen, at least, at least I don't see any risk from that perspective. In fact, they have a very strong playbook. Good thing is they have three aggregators. So from that perspective, there is more competition, therefore, the take rates, etcetera are more benign over there. And like I said, the rentals are cheaper. In India, the rentals, as you know, are higher. So therefore, dark store may make an economic sense from a rental savings standpoint. Over there, that differential is also not there. And COFFY, of course, is all about the location and sitting down and having coffee. Shirish Pardeshi: Okay. And last question on COFFY. If you can help us, I mean, of course, that also looks like very strong opportunity. But what kind of margin profile which this business has because you have again set out a very strong aspiration? Sameer Khetarpal: We have shared unit economics for COFFY. ADS is ~TRY 19,000. Average store margin has already reached 12% to 13%. Payback period is ~2.5 years, again, very similar. The team in Turkey, started with COFFY stores as about 1,000 square feet in size, right? And now the stores that they're opening are all more than 2,000 square feet, very high throughput, extremely high throughput per store in terms of volume. It is, like I said, very young population, coffee culture is growing massive, very high frequency. And like I said, there are no pubs available over there. So, you'll see coffee or cafe are completely full. If there is a value offering or a very simplified price point like what COFFY has done, it has actually been a rage. Shirish Pardeshi: And just last follow-up on COFFY. Is it in the mass end of the market or this is premium?

Sameer Khetarpal: It is actually targeting students and younger population. So of course, they are tighter on wallet versus somebody who's in late 30s or mid-40s going to Starbucks. So the offering is value. But I don't want you to at least compare this to Cafe Coffee Day. For example, the mascot of COFFY is a hipster rabbit. So it indicates a little bit of coolness, the colors are black and you will see, they have the widest menu in terms of hot and cold beverages. So it's very contemporary but focused on value. You would think of Caffè Nero or Costa or Starbucks, they're all in the same genre, could be moderately contemporary but highly price point. So a very unique differentiation. Again, the team has done a terrific marketing and working on consumer insights to find such a niche. Shirish Pardeshi: Okay. Thank you and all the best. Sameer Khetarpal: Thank you, Shirish. Moderator: Thank you. The next question is from the line of Tejash Shah from Avendus Spark. Please go ahead. Tejash Shah: Hi, Sameer. Good afternoon. Thanks for the opportunity. First question, upfront apology if the question is too naive. But given Turkey's currency volatility, which often reflects socioeconomic stability concerns from outside, I was just curious to know how the track record of the country regarding honouring the contractual obligation of foreign investments? Has there been any track record or past hist

ory? Sameer Khetarpal: Hi, Tejash. So I think some of the naive questions are the most deep rooted ones. So I appreciate that. I think it's a great question. But Turkey has a terrific record of two, three factors. One, a very open economy in terms of currency conversion, moving money. It's a very open economy per se. And being very close to Europe, they, in fact, have no such issues of not honouring the contracts enforced by law. It actually mirrors more advanced countries or more developed countries in that regard. So we have not seen any such challenge over there. Like I said, I visited multiple times in the last four or five months. When I look at the stores, when I look at the expansion that the city is witnessing, it only indicates that it's a fast-growing economy. So no such concerns that we've seen or even heard of. Tejash Shah: Great. Second question, you just mentioned that you have travelled four to five times in last four, five months. I'm assuming that this is also because it's an initial stage of integration. But going forward, what kind of managerial bandwidth it will consume from your side and from India team? And just associated question, you also mentioned operational and sourcing synergies also coming through. So if you can elaborate on that as well? Sameer Khetarpal: Yes. I think firstly, as you see, the team is very independent over there. And we've had a very ringside view of the team through Board representation in the business. And Aslan has been there for many years.

So from that perspective, we don't intend to make any changes to management. In fact, we love the management team over there, and they have a very strong agenda to expand Domino's to 1,200-plus stores in the medium-term and expanding COFFY. So they're very, very focused on these two aspects. They are going on track to retire the debt, which is there on their books. So therefore, it will be a debt-free company in the near term. In terms of synergies, like I said, this is about the emerging market playbook. And the sourcing synergies are there on multiple fronts, we still import a few ingredients from US that we believe we can source from Turkey. Even I'm sharing initial rough sketches. We are also evaluating can we take COFFY to more countries. We're also evaluating what can we provide them? Can we export few material from India? We have large commissaries. I think all of this is, as we speak, including technology synergies is under works. We have nearly 150 member technology team. And from that perspective, we can utilize India as a low-cost country having a very large and high-quality talent in technology. So multiple, multiple cases at work. There are more projects and Suman along with DPEU CFO – Neval, will bring in this together. Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL.

Please go ahead. Percy Panthaki: Congrats on the acquisition. Just looking for a few financials, you mentioned -- correct me if I'm wrong, that store operating margin for Turkey Domino's is 12% to 13%. Would that be the -- am I right in understanding that? Lakshya Sharma: Percy that's COFFY margins what we have shared in the presentation to depict store unit economics. Since both Domino's and COFFY are largely franchised businesses we will evaluate this business directly at PAT level. PAT what we have shared in pro forma is around 9.5%. Percy Panthaki: And would you be able to give me the sort of pre-IFRS EBITDA margin for Domino's Turkey? Lakshya Sharma: See the EBITDA margin varies for Pre-IAS-29 and Post-IAS-29 on account of very high inflation, which compresses the EBITDA margins but is offset by monetary gain above the PAT line. So for now, we will request you to look directly at the PAT level from continuing operations. Percy Panthaki: And does this PAT margin change with the Russia bankruptcy? And if so, by how much could you give us the adjusted PAT margin assuming that the debt comes down? Lakshya Sharma: So Percy,

on debt, as shared, it will definitely come down because this is highly profitable, free cash flow generating business, and we don't require any further debt for opening Corporate stores in Russia which was the case earlier. DPEU has also paid all the external debt on Russia and therefore, the net debt will continue to decline. The leverage ratio is currently 0.7, it will come down significantly by end of next year. The second part is the bankruptcy proceeding has already been initiated in Russia starting August 2023. And we'll give you the update on any potential loss which might arise out of Russia as and when the bankruptcy proceedings are closed. Percy Panthaki: Okay. And one more question from my side. If I look at the Turkey business, both the brands, in INR terms and basically take the starting point from the very first time you took an initial stake in DP Eurasia versus let's say, current last 12 months trailing business or something like that. In INR terms, what is the total system level sales growth and the same-store sales growth? Lakshya Sharma: On currency depreciation, from the monthly average of TRY:INR in CY 2023 - INR3.64 -- the currency at the current spot level has already depreciated by 27%, but there exists high growth in the local currency business. And therefore, even accounting for the depreciation impact on currency, we do see that the PAT would continue to be high. And this will be in an accretive deal, even if you were to say that the currency depreciate to even a lower level from where it is trading currently. Percy Panthaki: Okay. That's all from me. I'll take some more questions off-line with you, Lakshya. Thanks. Moderator: Thank you. The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead. Kunal Vora: Yes. Thanks for the opportunity. Can you talk about the dividend policy of DP Eurasia? Are there any reductions regarding repatriation of cash? What is the taxation policy on repatriation of dividends? And if you can give us some sense on like whether you expect some cash inflows into India in CY '24 or '25 in dollar terms? Deepak Jajodia: So as far as the dividend repatriation is concerned, we are studying that, and we will come back to you. But, the business is highly free cash flow generating. And there is very limited debt, which is currently sitting on the balance sheet. And obviously, more or less the business is largely around the sub-franchisee model, so we see, a repatriation of dividend out of DP Eurasia to India in the times to come. Kunal Vora: When did you expect that to happen? Like what would be the time line to make the investment now and let's say, incremental you not be investing. So if I purely look from a cash perspective, how do I look at the transaction? Any sense on the quantum and timeline, please? Lakshya Sharma: Kunal, we will share relevant update with you at an appropriate time. Kunal Vora: Understood. Sure. Kunal Vora: Sure. Thanks for that. And secondly, sir, you mentioned that aggregators have started in Turkey. Can you talk more about it? How is the impact of aggregators? And are they expanding rapidly? Also how does the delivery happen for Domino's? What proportion of deliveries done by Domino's versus deliveries through aggregators? Sameer Khetarpal: So firstly, there are three aggregators, Getir, Yemeksepeti and Trendyol. So no one has a hegemony in that sense. So it is also not a duopoly like what it is there in India. So from that perspective, they're kind of competing, which is good for a brand from an economic standpoint. Domino's was the first to get on boarded on all three of them. Like in India or like anywhere in the world, Domino's does its own delivery, and economics are very favorable. And given the pricing is even more opaque in Turkey because of the inflation there, like every brand is doing price adjustments almost on daily basis. So it becomes even more like a difficult versus India to have a full transparent price disc

overy. But, the share of retail asset is growing for us and between our own app and aggregators, I think it is fairly healthy, right balance between the three. Kunal Vora: If you can provide approximate mix of your own app and own assets versus. Sameer Khetarpal: We typically don't do that. But I would say that there is a very healthy mix of aggregator and own apps and between aggregators, there is no dominant player, and we have a very clear aggregator-wise strategy to gain share. Kunal Vora: Understood. That's very clear. Thank you sir. Sameer Khetarpal: Thank you. Moderator: Thank you. The next question is from the line of Avi Mehta from Macquarie. Avi Mehta: Hi, sir. Thanks for the opportunity. I just wanted to check for the synergies, you have indicated that the sourcing related synergies, the Domino's partnership from the Turkey acquisition. Would you have a quantum of the likely benefit, which could come in probably over the next year or so? Sameer Khetarpal: Yes, these are all internal plans. But, the synergies are in four areas. One is can we take COFFY to more countries. It has really established a very strong customer value proposition. Second is on technology, technology costs, harmonizing technological platforms. Number three is supply chain synergies around joint sourcing of raw materials. Turkey is a very rich agriculture economy also, very fertile land, grows a lot of oregano, jalapenos, tomato, something which we import from, olives. So we are looking at each and every line item and also opening up our commissaries in India -- sourcing from India. And then last, of course, is there will be some offshoring opportunity in the G&A cost that we will look at. Avi Mehta: Got it, sir. So the second bit is just a bookkeeping -- on the debt side, what is the currency for this debt that we have taken? And -- is there a hedging that has been done? Or if you could kind of just clarify that part, please? Lakshya Sharma: So Avi, we have taken the debt in Netherland subsidiary and debt denomination is Euro. Avi Mehta: Okay, sir. Okay, Lakshya. Thanks a lot. Thanks all from my side. Thank you. Moderator: Thank you. We'll take a last question from the line of Latika Chopra from JP Morgan. Please go ahead. Latika Chopra: Hi, thanks for the opportunity. I had a broad question on your capital allocation plans -- I just wanted to check on your capital allocation plans for your overseas ambitions going forward, do you think your hands are quite full at this point? Or you're quite open to explore more overseas geographies for Domino's? Sameer Khetarpal: Latika, my immediate task is to make sure that we integrate our business and make sure the team integrates, and we have a very well-defined value-creation plan. So I'm more focused on that right now. I think what you

should appreciate is that our emerging market playbook via India, Turkey and Bangladesh is actually coming alive and is playing out. So my immediate focus is to just focus there. If there are like great opportunities, we always evaluate. But at the moment, just focusing on what is on my current plate. Latika Chopra: Sure. Understood. Thank you. Moderator: Thank you. Ladies and gentlemen, that was the last question for today. On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Lakshya Sharma: Thank you. Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings. The readers are requested to refer the presentation used in the webcast for ready reference.

Call: May 2024

JFL/NSE-BSE/2024-25/13 May 28, 2024

BSE Ltd.
P.J. Towers, Dalal Street Mumbai – 400001
Scrip Code: 533155
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051
Symbol: JUBLFOOD

Sub:- Transcript of Webcast and Conference Call
Ref:- Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letter no. JFL/NSE-BSE/2024-25/11 dated May 22, 2024 and pursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Webcast and Conference Call for Analysts and Investors held on Wednesday, May 22, 2024 for Q4FY24& FY24 results and business updates.

The transcript is also being disseminated on the Company's website at:
<https://www.jubilantfoodworks.com/financial-information/earnings-call-transcript>

This is for your information and records.
Thanking you, For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E-mail id: investor@jubilfood.com

Encl: A/a

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Q4 FY24 and FY24 Earnings Conference Call Transcript Date: May 22, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Jubilant FoodWorks Limited Q4 FY '24 and FY'24 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Deepak Jajodia, thank you, and over to you, sir. Deepak Jajodia: Good evening, everyone, and welcome to Jubilant FoodWorks Limited's Q4 FY '24 and full year FY '24 earnings call for investors and analysts. We are joined today by senior members of the management team, including our Chairman, Mr. Shyam S Bhartia; our Co-Chairman, Mr. Hari S Bhartia; our CEO and MD, Mr. Sameer Khetarpal; and our CFO, Ms. Suman Hegde. We will commence with key thoughts from Mr. Hari S. Bhartia and then turn to our CEO and MD to start the webcast. After the opening remarks from the management, the forum will be open for the question-and-answer session. A cautionary note, some of the statements made on today's webcast and call could be forward-looking in nature, and the actual results could vary from the statement. A detailed statement in this regard is available in Jubilant FoodWorks' earning document. We will share the replay of the call on the company's website under the Investor Relations section. I would now like to invite Mr. Hari S Bhartia to share his view with you. Thank you, and over to you, sir. Hari S Bhartia: Thank you, Thank you, Deepak, and Good Evening, everyone. Welcome to our webcast. FY'24 will be regarded as a significant year in our corporate history as it is the coming together of two Domino's markets - India and Turkey - tracing a common origin with their first store opening in 1996 and eventually creating a dominant and profitable pizza franchise through early investments in own-commissaries and technology stack. We are excited by the potential of sub-franchisee-led operations in Domino's Turkey, which complements the corporate-store-driven expansion in Domino's India. We are now leading the 2 largest emerging markets opportunity globally for Domino's, this has furthered deepen our relationship with them.

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It is heartening to note that DP Eurasia has been able to build the 8th largest Cafe brand in Turkey – COFFY, in just over 2 years. With ~100 stores currently, we view COFFY as a new profitable growth lever for JFL group. In India, we are pleased to announce that despite a challenging demand environment, the Domino's team has been able to achieve positive LFL growth in Q4. This has been accomplished without any price increase. For the current quarter, we are already in the positive LFL territory and continue to gain market share quarter-on-quarter. The emerging brands are tracking as per our plan and

continued to make good progress during the year. With opening of 356 stores at the group level in FY' 24, we are proud to announce that we achieved a record milestone of average of 1 store opening per day. To further strengthen our value proposition and fuel our growth ambitions, it's critical that we continually invest across all facets of our business. This would translate to capex for new commissaries and investments in technology. Also, the delivery fee waiver would temporarily lower margins but is helping us to acquire new customers with high life time value, and ensuring future returns. We are certain that these initiatives would enhance the quality and substance of future cash flows. Offering the best value to consumers with tech-based convenience has been the cornerstone of JFL group's success all these years and we will continue to build on it as we grow the portfolio of brands. With that, I request Sameer to start the webcast. Sameer Khetarpal: Thank you, Mr. Bhartia. Good evening, a

nd warm welcome to all our participants in the webcast and the conference call today. I'd also like to welcome our colleagues from Turkey and DP Eurasia CEO - Aslan. And Suman, who is the new CFO, has joined this quarter, and it's also her first analyst call as JFL CFO. So welcome, everyone. I'll begin with an overview of fiscal year 2024, share key market-wise and brand-wise highlights. Suman will follow with a review of consolidated P&L. I will then talk about business outlook and network addition guidance for FY '25. We will then, of course, take questions from all of you. We are also changing our format of this call today. As I speak about the commentary on the webcast, you will see the slides. So I'll speak to the slides.

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The FY '24 is clearly a year of significant shift for JFL as a group. It catapults us from being India's largest foodservice company to also becoming one of the largest emerging market food services company. As we go to the next page, which gives you a snapshot of the network. The JFL Group store network across six markets and five brands is nearly three 3,000 stores. When viewed from the lens of sustainable long-term growth potential through our choice of market selection, we are positioned very well to serve 22% of the world's population, nearly a quarter as I would say. Our strategically curated cuisine segments matched with some of the best partnerships that we have with global franchise brand owners like Domino's, RBI, Inspire, and also, in-house brands like COFFY and Hong's Kitchen gives many competitive advantages to JFL as a group. On top of it, the complementarity of the business model with corporate and franchise stores puts us in a unique position to grow competitively, profitably with higher return on capital. The highlight here on this page, at least for me, is we opened 356 stores together as a group, i.e., one store a day, nearly one store a day. In Domino's, we opened 240 stores in the year across geographies. However, one of the key insights from the network update is that the Non-Domino's portfolio contributed to ~27% of the overall quarterly network growth which is a key indicator of how the combined effects of portfolio of brands - albeit at different stages of brand development - will play out in the future when viewed from the perspective of gaining share of meal occasions within the growing emerging market consumer base. Let me now move to FY'24 highlights. We've been very consistent on our four strategic pillars, which is highlighted on the left side of the page. On each of the pillar, we've made rapid strides and progressed significantly against each priority in the year gone by. The first set of priorities relates to Customer and Market First. The underlying objective here is to profitably build a multi-brand and multi-cuisine food service organization. • We turned around the Domino's India LFL trajectory in Q4 and the trend line continues to be positive • As you are aware, DPEU acquisition adds two profitable growth vectors to our portfolio – Domino's Turkey and COFFY.

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- The new brands performance is tracking as per the plan with clear path to scale-up and profitability • We also accelerated the pace of profitable expansion in Domino's Bangladesh. The next set of priority is driving Operational Excellence. The Group places inordinate focus on continuous improvement when it comes to executing with excellence and FY'24 was no exception. • The commissioning of the one-of-its-kind Jubilant Food Park in Bengaluru, significantly enhances our control over our core-value chain as we have insourced spice packaging and Chicken marination, in addition to existing set of capabilities within the Greater Noida plant. • Our customer facing operational KPIs also registered record improvement on account of multiple workstreams affected during the year such as the decision to transition from a 4-region to 7-region structure which significantly enhanced span of control a

nd led to faster decision making. A structured review cadence and purpose driven market visits by the leadership team with an intention to enable our teams serve consumers better. The next set of priority is focus on Data and Technology Forward. • We have made significant changes in the Domino's app and proof of the pudding is in the higher customer conversion • Domino's Cheesy rewards membership base is now 23.1 mn strong and roughly contributing to ~50% of orders. • The continuous digitization of operations through dedicated Rider App, OSSOM app for store teams, introduction of Tablet POS ordering are some of the many initiatives being taken with a single-minded-objective of helping store teams serve consumers better. Significant efforts were also made to strengthen the foundation of people and culture which is essentially a pre-requisite for delivering on the first three priorities.

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We were certified as Great Place to Work for the second time in a row, are in the process to codify our values and are progressing towards our sustainability targets with industry leading initiatives. Notably, we now have the largest own-EV fleet with 11,500+ e-bikes which is now 47% of our overall fleet. The successful implementation of India's first No-antibiotics-ever in poultry sourcing sets up a firm building block as we scale up Chicken offerings Now, moving to our reported consolidated performance. As you are aware, the line-by-line consolidation of DPEU was effective 1st February and hence growth figures aren't comparable to prior periods but two important highlights here are: 1. Introduction of system sales as a new metric. The sub-franchisee-owned store sales will not be part of our revenue and hence we will also be reporting the system sales to give you an understanding of the overall business scale-up. 2. This is a margin accretive acquisition and hence it elevates and will continue to positively contribute to the Group's overall profitability. The consolidated Gross Margin came in at a healthy 76.3%. Operating EBITDA margin is at 20.2% and PAT margin after excluding the net one-time gain of 1,702 million on fair valuation of equity stake held before acquiring control was 4.1%. Overall, PAT declined 34.7% year on year due to increased investments in building our network, portfolio and operational capabilities for the future. On Pre-Ind-AS-116 basis, Op. EBITDA margin came in at 12.6% and PAT margin was 5.1%. We will speak more about the underlying drivers of the margin

decline and our thinking behind the same in the subsequent slides. As you can see from the reported revenue walk, Domino's India added 1,943 million to the revenue in the year, the two-month contribution from DP Eurasia was 2,174 million and all other emerging businesses incrementally contributed 841 million to the revenue.

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To better appreciate the scale of our business, the overall revenue with DP Eurasia for full year would have been 69,289 million and the normalized constant currency growth including DP Eurasia even in FY'23 base would have been 10.8%. Similarly, the system sales would have been 80,300 million. Let's now move to key market-wise highlights. In India, Q4 revenue growth came in at 6.3%. Domino's growth was 4.9% which in turn was an order led growth at 5.5%. Let me now hop on the next slide to talk about Domino's LFL before I progress to share an update on Margins. So despite high inflation in the past and a challenging demand environment, we not only resisted the allure of taking any price hike increase in the last seven quarters but work firmly on three work streams. First was sharper on-the-ground execution with an intent to improve customer KPIs. Moving from four regions to seven, although required additional infrastructure regionally, investments in teams, but is also the key catalyst to drive necessary decentralization to take our teams and management closer to customers and our store managers. As you can see, our

customer satisfaction scores improved. Our delivery under 20 minutes performance improved, and we registered record growth in new customer acquisition. The reimage of bottom 80 store resulted in a double-digit improvement in dine-in orders. Secondly, we made a proactive decision to sharpen value equation and drive order growth. As against any price increase, we moved a step further to sharpen the value on offer to customers with a waiver of delivery fees after successfully piloting, testing, controlling, fine-tuning for nearly five months before we took the decision. Thirdly, the growth initiatives. As you are aware, through a national relaunch campaign, It Happens Only with Pizza, we are doing a 360-degree change across the brand assets, including the communication to grow share of pizza consumption and improve the brand health. This was validated with improved brand scores, top-of-the-mind recall, engagement by youth and brand love.

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We also invested behind a differentiated regional leadership team who has prior experience not only in off-line retail management but also understands the handling of online sales as well. So in a nutshell they should understand both digital and physical world. This has also contributed to turnaround in LFL trajectory. Specifically on the India segment, as was expected, these investments are weighing on our margins, but, we decided to invest ahead of growth. While the gross margin came in at 76.6%, an improvement of 135 basis points year-on-year, led by Project Vijay and commodity deflation, the operating EBITDA margin came in at 19.1%, down 100 basis points year-on-year. The savings pool created by Project Vijay across all cost lines was re-invested back into the business by giving value back to consumer through delivery fee waiver to revive growth in a subdued demand environment, and also further investments were made to build our network, operations and tech capabilities as we prepare for a market turnaround. While we are conscious that this results in a short term drag on margins, however, it will help us grow orders at a rapid pace and recruit new customers into the organised pizza category. This is reflected in the improved NCA numbers. Order growth as you are aware is the primary driver of sustained growth in the restaurant segment and this, in turn, will reduce the negative operating leverage quarter-on-quarter, lending support to margin recovery. As you can see, we are consistent with the theme of building and growing the share of pizza occasions through It Happens Only with Pizza. This is 5th in the series of It Happens Only With campaign. During the IPL time, we launched free delivery campaigns and, of course, linked it back to It Happens Only with Pizza. On expected lines, delivery continues to chart new quarterly record with delivery mix at 67.9%. Delivery channel revenue was up by 12.0%. While delivery order growth came in at mid teen levels, we saw a decline in ticket price on account of delivery fee waiver. The decline in ticket price was partially offset by introduction of packaging charges in March. The Delivery LFL growth came in at 7.8% So there is a big turnaround in the like-for-like growth in nearly 2/3 of our business.

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The highlight here is that new brands have also started to contribute to revenue growth. The contribution this quarter was 1.4% to revenue growth and is a step up from 0.2% in the last year. On the profitability trends, the Gross Margin is in a healthy range and our focus is to now sequentially improve Pre-Ind-as-116 Operating EBITDA margin through focussed cost optimisation measures and driving higher orders from stores to drive operating leverage. Let me now share key highlights from our International Segment which with the acquisition of the Turkey business on an annualised basis is 23% of our Consolidated Revenues In Turkey, Azerbaijan and Georgia, Q4 FY'24 witnessed strong market leading performance with System Sales of Rs. 5,877

million, up by 28.1%. These numbers are Post-IAS-29 and hence comparable to prior periods. Domino's Turkey LFL growth was strong at 18.0%. Domino's Turkey Delivery channel mix was stable at 74.4%. The COFFY's System Sales came in at Rs. 461 million, up by 209% and now contributes 7.9% to DPEU System Sales. The revenue contribution for the reported two months came in at Rs. 2,174 million with an Operating EBITDA of 26.5% and PAT margin of 6.2%. Moving to Domino's Bangladesh, the revenue came in at Rs. 134 million, up by 52.1% on the back of accelerated network expansion and in Domino's Sri Lanka, revenue came in at Rs. 119 million, up by 4.1% Moving to brand-wise highlights. First being Domino's. I think this slide, to me, sets the tone of our strategy and how we are positioned within the Domino's system. We continue to be the largest franchisee operating in some of the very underpenetrated high-growth market. Domino's and JFL Group partnership is long-standing relationship between the world's #1 pizza company and one of the largest emerging market franchisees. I can't think of any other parallel like this in the Domino's world.

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Here are a few things that will differentiate us from any other partnership and goes well beyond the strict contours of a franchisee-franchisor relationship as we are determined to grow in these emerging markets. Firstly, we have exclusive, full territory rights for underpenetrated, high-potential markets. We operate with one of the strongest customer-centric value equations through our unique commissary model based on the sourcing model and, therefore, controlling the significant part and the value of the back-end supply chain. In all geographies, we have developed self-delivery and our own-app

infrastructure to directly interact with customers. All these capabilities have been built grounds up both in Turkey and in India, like you know. We have a unique culture of hustle with a maniacal focus on operational execution to succeed in a store environment, which brags one of the highest throughput per store. So Turkey and India are amongst the top markets. India, of course, is one of the highest or is the highest throughput per store volume. Turkey definitely is among the top quartile within the Domino's system. Deep local expertise developed over decades across all markets and, most importantly, the long-term vision to make growth investments ahead of the curve for durable and sustainable growth. In the next slide, as you can see, these territories are strong, and we have leading position. So JFL Group operates nearly 2,800 Domino's stores now, and we have podium position across all territories. India, Turkey are large growing markets, which is one of the highest profitable metrics within the system. In Bangladesh, we recently achieved market leadership and have also registered mid-single-digit EBITDA during the year. Azerbaijan and Georgia albeit small are franchise-profitable markets with further headroom for growth. The task in our hand is to affect the turnaround in Sri Lanka business. We are on it, and we'll come back to you with an update by the year-end. We have reviewed the potential of all territories and confident to profitably scale Domino's network to 5,500 stores as we see a significant headroom to grow with immense potential in the territories that we operate in.

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Coming to Domino's in India. We are nearing 2,000 stores in Domino's. As you can see, we have accelerated the pace of new city expansion. We have added 28 new cities in the last year and now have presence in 421 cities. Technology is an integral part of our strategy, and again, last two years have been watershed years in terms of our technological transformation. As you can see on this page, we had a very clunky old-world app when we started the journey. This is a picture of how we were in 2022, a lot of customer friction, nonintuitive user flows and a lot of legacy issues. Where we've come to? As you can see

e, we have materially enhanced not only our user experience and interfaces but also tremendous back-end capabilities, which allows the teams to configure promotions, change the menu and also change the area that the store serves if there is a rain or there is an event. It has allowed us to improve conversions, and the conversion in the last quarter actually has been at an all-time high. So here are some of the metrics that we care about. App installs continue to be ~9.4 million. As you can see, typically, in Q4 the monthly active users drop as the Q3 is typically the festive period. But as you can see, we reversed the trend. Q4 is now higher in terms of monthly active users. And we continue to be on that trajectory. Cheesy Rewards cumulative membership is at 23.1 million. Rider and rider ecosystem is another capability that we have to build upon, and we are very cognizant of it. Driving further our technology agenda to digitize operations, we launched a dedicated rider app that is helping us significantly improve quality and speed of service delivery. Coming to Domino's in Turkey, Azerbaijan and Georgia. We've added 48 new stores in Turkey, Azerbaijan and Georgia. And percentage of network franchise improved by 2.1% point. The team in Turkey also launched very exciting range of Mexican pizza. As you can see, we're also showing you a glimpse of Domino's store in Turkey. Very similar to India, Turkey has its own app infrastructure and delivery infrastructure. The app installs were 0.76 million in the gone quarter, and it has a monthly active user base of ~3 million.

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In Bangladesh, we added 11 net stores and increased the network from 17 stores to 28 stores. Again, you can see through the trajectory, we are stepping up the pace. And on the right-hand side, you can see we still don't cover the full Dhaka, leave aside the entire country. So again, we have a huge headroom to grow. We've also entered two new cities in Bangladesh during the year: Narayanganj, which is on the outskirts of Dhaka, very similar to, you can say, how Faridabad is to Delhi; and Chittagong or now it is called Chattogram. Very similar to our playbook in any emerging economy, we are localizing the taste and flavours. What you see in Bangladesh is a very heavy rice-eating market. What you can see is we've launched oregano rice with the fusion of topping from Domino's. It's doing very, very well. Again, this market is primarily a non-vegetarian market. We have enhanced our garlic bread range to introduce chicken teriyaki-stuffed garlic bread and also with more flavourful and more choices of dips. Moving from Domino's in various geographies to Popeyes. Globally, Popeyes is all about product superiority with modern digital guest experience. This is how Popeyes is winning share in U.S.A., and this is how we want to progress in India as well. Through suitable adjustment to localize the flavour profile to the Indian palate or Indian consumers, I'm happy to share with you that the product fit is also now formally established. We made huge strides in improving the gross margin on the product range, and we've also evolved the portfolio and operational parameters. We also established product superiority using fresh chicken for marination in our Bangalore commissary and then applying to all stores while ensuring there are no-antibiotics-ever administered to the chicken that we serve to our customers. We have obviously accelerated the pace of expansion. So now for the last two quarters, we've added 10 stores each and with 42 stores are now present in 15 cities. We have gone through a steep learning curve and are getting better and better in our execution and unit economics with every successive store launch and every city launch. Here are a few glimpses of lines outside the store. This is day one of Chandni Chowk. We have now opened our first city in Delhi NCR. As we call it, Chandni Chowk is heart of Delhi and Delhi is heart of India. Moving to COFFY.

It's one of the fastest-growing profitable café brand, and we are excited to share with you the progress the brand has made in a short period of

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time. The idea behind COFFY is also noteworthy: quality coffee without excessive price tag in a market with high coffee consumption while being digitally first. So, the core proposition of value and digitization is targeting the youth segment well. COFFY is now eighth largest café brand in Turkey. And I think we are making rapid progress in making it amongst the top brands in that geography. COFFY also became the first amongst our new brand portfolio to have recently crossed 100th store milestone. The AWO of 2,000+ also inspires our other emerging businesses to shorten the learning curve further. We view the medium-term potential as 350 stores. There is another picture of how the stores look like. As you can see, customers sitting both inside and outside and enjoying their cups of coffee. Talking about Dunkin' and Hong's. We added 10 net stores for Dunkin'. We've pivoted successfully to beverage first strategy, and we continue to progress well by launching new products and gain new customers in the process. Hong's Kitchen, operates in a very large Indo-Chinese segment. And we added 15 net stores, launched a new chicken range along with the beverage range in Hong's. We have also stepped up

consumer engagement across all brands and markets and are confident that this will pay rich dividends in the near term as overall consumer sentiment picks up in the coming quarters. With this, I hand over to Suman to give you a quick overview of the financials, and we will come back to you to speak on business outlook and the questions that you may have. Over to you, Suman. Suman Hegde: Thanks, Sameer. Good evening, everyone. Quickly taking you through the highlights in the financials, which you would already have a chance to go through. For the Full year 2024, • Consolidated revenue increase came in at 9.6%, like for like excluding the 2 months of DPEU consolidation would stack up at 5.4% • Gross profit increase was driven by improved gross margins led by deflation and productivity initiatives • Personnel costs have seen a step-up due to min wage & salary increments in the range of 8-9% and resourcing of new stores, commissaries and tech teams

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• Mfg. & Other expenses while have seen an increase in line with new stores opening and orders increase – the operating leverage on the same due to subdued revenue growth has hit the margins • Overall interest and depreciation costs are up on the back of increased investments as highlighted earlier • Therefore, Profit before Exceptional items before Tax for FY'24 stands at 3,156 million against 4,887 million in FY23. A decrease of 35.4%. Post the exceptional entry on the one-time gain of 1,702 million on fair valuation of previously held stake in DPEU, consolidated PAT stands at 7.1%. Moving on to the Quarter 4 financials view: • Consolidated revenue increase is at 23.9%, like for like excluding the 2 months of DPEU consolidation would stack up at 6.7% • Personnel costs and Mfg. & Other expenses increase primarily driven by similar reasons as highlighted earlier for FY'24 • Interest cost increase on the back of debt taken for India and in Netherlands for the DPEU acquisition • Profit before exceptional items before tax for Q4'FY24 stands at 549 million against 534 million in Q4'FY23. An increase of 2.7%. Post the exceptional entry on the one-time gain of 1,702 million, consolidated PAT for Q4'FY24 stands at 13.3%. With that I hand back to Sameer to conclude Sameer Khetarpal: Thanks, Suman. Turning to some bit of forward-looking guidance and outlook also priorities for FY '25. I think we're still operating in an uncertain demand environment. So therefore, our focus is on volumetric growth, acquiring customers and gaining market share. We'll continue to innovate on the portfolio with our assets, get more customers, serve c

ustomers multiple times, while focusing on both value as well as the premium end of the products that we will launch across brands. We'll continuously improve our services. As the world becomes more accustomed to delivery and as the share of delivery goes up, we realize that service standards being asked by customers are also increasing. We'll continue to invest in technology and operations to meet and surpass consumer expectations.

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We'll expand occasions and category share through new brands like chicken, coffee and Indo-Chinese food. I think there is always opportunity to improve cost, be more efficient, and I am a firm believer of that, and we'll continue to do so. The annual network addition guidance for FY 2025 will be: 180 stores for Domino's India, 50 for Domino's in Turkey, 20 for Domino's in Bangladesh. In COFFY, we intend to open 70 stores. In Popeyes, our guidance stands at 50 restaurants and 25 for Hong's Kitchen. With this, I request the moderator to open the floor for Q&A. Thank you. Moderator: The first question comes from the line of Nihal Mahesh Jham from AMBIT. Nihal Mahesh Jham: Wonderful, sir. Sir, if I look at these initiatives that we've been working on, which is IHOP also splitting the business from four to seven territories and even the recently launched delivery waiver, what seems to have done pretty well is obviously the pickup in the delivery revenue. So is it that mainly the waiver of the delivery is something that has really driven the improvement in the delivery performance? And why is it that the sales on the dine-in still remain muted despite, these initiatives? Sameer Khetarpal: So firstly, I'm positive that the like-for-like growth at least for the last three months, is seeing a positive trajectory. In a subdued demand environment, it is first important to grow, whether it comes from delivery or dine-in. That's the first thing we want. And like I said, the LFL delivery growth is 7.8%. Now it is, of course, aided by a free delivery waiver. But equally, we have to execute well and, under 20 minutes-odd, ensure that our delivery promises are kept. So it is both on the back of execution. And as you can see, if the like-for-like growth for our delivery is 7.8%, it means materially different type of operations inside the store. It still has to be served and served with a better timeliness and service quality. So the on-the-ground team that you are referring to are actually helping us deliver that growth. We have taken several steps also for dine-in, some of which we have spoken about, some has been already been executed in the last month or so. And we're actually seeing that the decline in dine-in has also been arrested during lunch hour. So several things are under motion. There is a tailwind when the world is moving from on-premise to off-premise or dine-in to delivery, right? That's happening across the world. And we don't want to resist it. We want to ride on that wave. I'm confident that we will also kind of arrest the decline also in the dine-in.

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Nihal Mahesh Jham: That's helpful. Just a follow-up, is it that you get the sense that the market has become that sensitive to pricing or offers maybe that, say, giving a waiver on delivery is leading to this kind of activation and maybe there will be more activation required to keep this growth sustaining? Sameer Khetarpal: Yes. I think firstly, it's a good d problem to have if you are having growth in one channel, which is quite material at a store level. So at the moment, we believe the full potential of even free delivery campaign is not fully there. We've not reached the full potential, and yet the awareness on this particular piece is, I would say, limited and there is significant headroom on this count. Now the most important thing over there is our pace of new customers have increased materially. Now some of them will buy once, but many of them will buy three times a year. The average frequency is 3. That's what we've

seen historically. And if that happens, the compounding will begin to happen, right? Whether that compounding happens in dine-in, carryout, delivery, aggregators, right, we obviously want compounding to happen. And we are seeing a little bit early signs of upticks in repeat rates also for the new customers that are acquiring. Of course, it's very new and I don't want to comment too much. But the fundamental point I am making, Nihal, is that there is a compounding. Every customer you acquire have a lifetime value of not just one transaction, on an average of three transactions, and we are monitoring that. So of course, there are other initiatives, which once we launch, we will communicate. Nihal Mahesh Jham: Sure. Final question, if I may. You've been mentioning that, say, the last three months or at least the current quarter, you're seeing a good traction. If you could just mention, it's both delivery, dine-in and if it's a significant pickup from the 0.1% LFL we saw in Q4? Sameer

Khetarpal: From Feb onwards, we are seeing an uptick in like-for-like growth given that we are sitting in May, so therefore, I can at least comment about April. April also was positive. And in April, we took several steps on arresting the decline of dine-in, and those are also working. So I don't want to overpromise and because still it's one month of data that I'm gathering for the current quarter. But, delivery continues to grow with material headroom to even grow further. Dine-in, several steps have been taken, and those are also we are tracking and paying off. Moderator: We have the next question from the line of Abneesh Roy from Nuvama.

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Abneesh Roy: My first question is on the recent development. So we have seen India's foremost multiplex operators come out, and they are working together with one of your competitors in terms of the malls and food courts. This brings cross-promotion synergy benefits. This gives your competitor better understanding of the malls and, obviously, better rental and rental rates also. So is that a concern for you at least from a mall growth perspective? And globally, this is also quite prevalent in some of the developed markets. So what will be your thoughts on this? Sameer Khetarpal: Yes, I think it's -- I think, obviously, we'll learn and we'll let it pan out. I can -- and I've visited several malls, and we have stores, both Domino's and Popeyes, in several malls. In terms of throughput per store, Domino's are typically Number 1 or Number 2 in every mall that we operate in. It is the go-to brand when it comes to pizza for any mall operator. We get very preferential treatment in terms of location, invitation, access. So I don't think that is going to change. Ultimately, it is not about only access to space. It is also about demand and the value that we serve. So we'll stay true to the value to consumers, great-tasting pizza at a great price and Popeyes with the world's famous and best-in-class chicken. I don't see any concern we'll obviously watch closely and if there is something to learn, we will learn. Abneesh Roy: Sure. My second question is on Popeyes. So clearly, your aggression seems to be increasing. From five stores in first quarter, it became 10 in next two, and now you are targeting 12 per quarter. So two, three questions there. One is, would you go beyond these seven, eight states which you currently have? Or mostly the expansion in FY '25 will be in these seven, eight states? Second is when you say getting better with every new store and city launch, could you give some anecdotal evidence, some data points, what exactly do you mean by this?

Because clearly aggression seems to be matching this statement, but what exactly you mean by this? Sameer Khetarpal: So if you look at Jubilant FoodWorks, we have our own commissaries. And all stores of Domino's in 421 cities are served from our commissary. So we have the infrastructure to do chicken marination, sourcing of no-antibiotics-ever and multi-tempe

rate logistics. So that allows us to open store and ride on the logistics and supply chain that we build for Domino's. So therefore, it's easier that way versus some of the competition.

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And therefore, we will expand wherever the market is, and that's what we've been doing. And then, of course, when we go to a city, we then add the second and the third, so we try to serve the full city. The ambition to open stores is coming from three things. I think I alluded to it. Firstly, see, ultimately, we are in the business of serving food that customers are eating. So the first piece is the customer liking the food. Popeyes is closer to Indian palate with a bold Louisiana Cajun Flavors. Second, the battering process that Popeyes is using is unique, therefore, it makes the chicken more crunchier and tastier. And number three is the chicken sandwich, which pop stars start like Beyoncé and other celebrities have craving for. So there is something in the brand which on the food side that gives us the confidence, and the food is loved by the customers. As you can see the lines across the new stores that we opened, they opened at materially high average weekly orders. So the ultimate confidence is coming from the customer love. In parallel, of course, this is a U.S. brand coming to India. And in India, we know things work differently. Price points are different, economics are different. The capex requirement, the space requirement, manpower, everything is different. So we've taken like last year to perfect it. So we have brought down our food cost to improve gross margins. We've fine-tuned our labour model. We are actively looking at restaurant operating costs. So the underlying theme being we are more confident of building a profitable franchise, I would still say that there is huge headroom to grow. While the pace has gone from maybe four to 10 store per quarter, I think we can do even more. Abneesh Roy: Sure. Last question is on your Domino's delivery channel. It's a decent growth. And clearly, you seem to be growing faster than the other listed players. My question here is, we are seeing a lot of the quick commerce now start to charge in terms of the convenience and delivery, or they have the loyalty charge, etc, which is also indirect way of charging. So against that, when you're offering free delivery and it clearly seems to be working but not fully to the optimum level, so is this more against a regional chains? Because the listed player seems to be definitely losing market share. So if you could comment on why this has been done more towards the La Pino's kind of regional players and how is the performance versus them because those are unlisted, but you would have more clarity on their performance.

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Sameer Khetarpal: We track all competitors internally, and we have gained market share within the category. And Abneesh, I have been a very vocal advocate of category expansion -- in a \$1 billion category we are having a 70% market share, that's not the game that we are playing in. We are operating in a \$50 billion market, and we have to grow the category. So that's the task over here. Having said that, no player has opened ~180 stores in the year, LFL delivery growth of nearly 7.8% in this environment. As we track internally, we have not seen any of the competitor to have such kind of growth in other players. So we have gained share. And it is not done to La Pino's or any other player piece. It is done to grow the category. That's what we are single-mindedly focused on, our customers, and we did this after thorough analysis of nearly five months of experiments in like 40 different parts of the country to come to this conclusion. Moderator: The next question is from the line of Tejash Shah from Avendus Spark. Tejash Shah: Thanks for a very comprehensive presentation. The first question pertains to Vijay. So Project Vijay has boosted our gross margins and has offered cushion in a difficult time in recent times. So just

wanted to know, are there any more benefits which can come through this year? And second, despite these GM gains and improved LFL, EBITDA margins were lower this quarter. So is this a trade-off that we'll see between LFL growth recovery and margins going forward in the near future at least? Sameer Khetarpal: Thanks, Tejash, and good to connect with you. So Tejash, firstly, being an ex-consultant, I always see margins as an opportunity, and I see actually more margins as an opportunity across line items. So we would have delivered close to INR200 crores of savings delivered in the last year.

Actually, we're only doubling down, and the team feels there is even more to do it. We are systematically going after rentals, manpower productivity. These are some of the areas that we were not able to capture as much as we wanted last year. As you would see, the large part of it flow into gross margins for things like I've spoken about, going to lidless boxes, corn localization, smart sourcing of cheese and a bit of commodity deflation. So from that perspective, I see more over there. We've also opened up a new front on capex. We're also looking at capex reduction, partnering with landlords on investments for capex, Capex can come down by almost 15% per store. So, a firm believer that this is a big area for generating savings. And as a retail organization,

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we have to continuously be at it, including technology, G&A, electricity. We are rapidly moving from petrol bikes to electric bikes for instance. So all of those things actually add to EBITDA. Price increases, obviously, our last resort, right? Other analyst was asking, would you charge anything for platform fees or convenience fees? Passing on to consumers is our last resort. Internal efficiencies bring the smile on my face. Tejash Shah: Great. Sir, second, we have revised our medium-term target of Domino's India from earlier you used to say 3,000. Now we are targeting 4,000 stores. So could you share this key insight that would have prompted us to upgrade our guidance? And additionally, how should we think about this medium term in terms of years? Sameer Khetarpal: I mean I view it more as a kind of a 5-year period thereabout. One can debate it's four or six, but somewhere around that. Why we are revising it upwards is the following. Firstly, the teams are using data and technology. Like you see there is ~11 million monthly active users, right? And over a year, this is another like 40 million to 50 million monthly active users that log on. About 10% to 12% of our consumers still see out-of-service area where we can't deliver to them. That's the best signal we are getting. Somebody has our app but we are unable to serve because the store is not there. So we are using data and technology to put the next store. And that is giving us the confidence. Equally, and I've gone on record in saying, there are 34 airport terminals that matter. We've finally opened one more in the last year, so -- in the last quarter. So we are still present in six or 7. There are 1,000 colleges in India where we believe we can store. We are present in about eight or 9. So when I look at the opportunity and how our teams can execute with a small store format, with a lean team, delivery technology, I think the potential is a lot more, right? And I always say this to my team, I always -- if one brand in China can have 11,000 stores, we can surely have 4,000 stores in India of Domino's. Tejash Shah: Super. Sir, last one, if I may. On DP Eurasia, do they have a better experience in dine-in versus us, a? And b, how does working capital changes in the franchise model versus our cocoa model? Sameer Khetarpal: So there, the delivery contribution is about 75%. So, Domino's as a brand is largely delivery oriented, and that's the ethos of the brand. And what the team has done exceptionally well is carryout. So in India, it is more, I would say, delivery and dine-in where customers sit down. In Turkey, it is

delivery and carryout or takeaway as

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it is called. So they have wonderful offers for consumers to come into the store and carryout. On the working capital, I will request Suman to answer that. Suman Hegde: Looking at DP Eurasia given the franchisee model, there is an interplay between your capital and your working capital, right, your fixed assets. So you will have lower capex operations within, of course, DP Eurasia, but from a working capital point of view, the model of franchisees still operates with own-commissary. So all the supply of materials still happens from DP Eurasia to the franchisee. So you still have material coming in. So you would have your payables and your inventory is still sitting there because you service those stores. But of course, the receivables might be a little different because the receivables in DP Eurasia's case as against India's case, where India, it is cash, and your receivable will be two to three days of a reconciliation that happens here. There, the receivables will be in terms of royalty and the credit terms that they have with their franchise. So the receivables might be a little higher than what India will see. But it's a trade-off between working capital and actually fixed capital that we work on. So basically, we don't have too much of working capital in your book because your creditors versus receivables kind of net off. Of course, you have a bit of inventory on your book. Sameer Khetarpal: Yes, it's a very frugally run business by an entrepreneur. So each and every lira is counted with minutest of detail. So I can assure you there are no such leakages. Moderator: The next question is from the line of Vivek Maheshwari: from Jefferies. Vivek Maheshwari: Two questions. First, when I look at your presentation, it appears that in the past, in the history, if you go back 10, 15 years, you have experimented with brands and the focus was Domino's and building brands beyond Domino's, but primarily in India. When we see your presentation now, it appears that you are doing too many things, both from brand perspective and internationally, and then there is a new dimension, which is a new geography and a new brand there. I mean how do you think about the management bandwidth? And is there a risk that you are spreading ourselves too thin? Sameer Khetarpal: So no, absolutely not. We've been in fact doubling down on Domino's, in India I'm talking about. And with the playbook in Sri Lanka or Bangladesh is absolutely the same playbook. In fact, you can treat it, as in some ways, two other states of India,

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right? In terms of management bandwidth, right, but for different geographies and fully respect the nationalities over there. The only place we are like increasing the pace is Popeyes. Everything else, we have gone on record in saying that we will treat them as startups. They have startup teams, which are contained, and they have given capital to experiment. So we are very well organized in terms of leaders, chefs, marketing teams and the real estate development team. So it does not take-away management bandwidth, and we have consciously taken calls to move away from EkDum! biryani and ChefBoss. Now DP Eurasia was something that we have slowly acquired a minority stake to up to 49% and the natural logical step for the organization was to take control of the company, delist it, use the leverage of our relationship of Domino's, drive profitability. And it's a very asset-light model run by a very competent team by a founder who's run this for 27 years, joined the team as a store manager literally. So absolutely not. We are very sharp on making our choices and very clear on our strategy. Nothing has changed in my opinion. Vivek Maheshwari: Okay, sure. And just a follow-up, if you take a, let's say, three four years' view, do you think on the international side, you are done and the expansion will be more organic in those geographies? Or do you still -- are you still open for internation

al acquisition if something comes by? Sameer Khetarpal: Well, I think at the moment, we are not looking at anything. Anything that came in, we actually said no and we have our hands full. India continues to be like a big opportunity. And I'm actually amazed and positively surprised to see the opportunity in Turkey and what the team has done in COFFY. And we're still doubling down, focusing on what we have at the moment. Vivek Maheshwari: Got it. The second question, Sameer, on -- again, I know it's probably an unfair question, but I'll still go ahead and ask you. You have done well with the Domino's delivery in this quarter. But when you look at -- I just want to know your impression or reaction. When you look at, let's say, someone like Zomato's number, which in food delivery has, let's say, grown 28%, what do you think about -- because end of the day, you peg yourself as a pizza brand and, therefore, \$1 billion one. Or you say that, okay, if \$1 billion quarterly GMV Zomato is doing and growing 28%, how do you reconcile with the fact that, let's say, Domino's -- or you have done about 7.5%, 8%?

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Sameer Khetarpal: So Vivek, great question. No reason why we should not be growing faster. I think that's the point you are making. And with the delivery fee waiver, we have taken this head-on. And as you look at the numbers, you would also look at quarter-on-quarter, I think you'll get some of the answers over there. Vivek Maheshwari: Okay. Okay. Sure. And last bit on India business margins, do you think you are at somewhere close to the bottom of margins, let's say, on a pre-Ind AS basis?

Sameer Khetarpal: Yes, we believe so. Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: My first question was again on the margins. So I wanted to understand, is there a minimum level of LFL growth that you need to start recovering the margins, maybe slightly above, which you had in the entire FY '24? Or do you see it more as the first task is to get the LFL back and, therefore, more investments that you need either to get dine-in back or advertising will do it, and therefore, margin recovery is not like the primary objective at this stage? Sameer Khetarpal: No. I think as business leaders, we can't say that margin recovery is not a priority. We have to do both, right? Actually, the beauty of our business is, if you get top-line expansion, bottom line actually flows in as a large fixed cost business. Second is, there is no better way of driving this than driving like-for-like growth. Now we are seeing it in one large part of our business -- Delivery channel - and at some investment. We are recovering part of that investment in packaging charges. Part of it will be recovered as the new customer growth that we are seeing, they start coming back and eating more times. We are seeing the repeat rates howsoever small it may be for a month improving actually. So I'm confident that we should not look at this only for one quarter or so. It has a big compounding impact. Equally, I'm very focused on improving margin by reducing cost across all line items. At about 2.5% to 3% LFL on consistent basis, our margins should be closer to 21% Op. EBITDA. Arnab Mitra: That's very helpful. And my second question was just I wanted to understand this new metric that you've given on new customer acquisition. Is this a Y-o-Y metric? Is this basically the number of new customers this quarter versus a year back? And just looking at your MAU number, it looks like flat on a Y-o-Y basis, so just wanted to tie up this growth with the MAU kind of remaining smaller?

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Sameer Khetarpal: Yes. I think, I mentioned this three quarters ago also that we had shut down a few channels of where the quality of customers were -- I think this happened three quarters ago, if I'm not mistaken. Therefore, you see a blip and then you start seeing the number going up. That's the only reason. So I would rather say, please look at quarter-on-quarter, that's a more -- year-on-year is not the right metric at a large channel that we felt that was inefficient. We moved away from it. Arnab Mitra: Sir, just one clarification. This new customer acquisition is people who are ordering through your app? Or does it include those coming from aggregators for which you would also... Sameer Khetarpal: Across all channels, dine-in, our app and aggregators. Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking. Shirish

Pardeshi: Sameer, openly, there are two congratulations. One is that whatever you've done, the work has started showing positive LFL. So positive momentum has started. Second, congratulations on the DP Eurasia acquisition. I think systematically steadily you have done this. Coming back to India business. I think primarily, my question was on Slide 23, where you have given this MAU and other numbers. So partly you've answered. But what does it take -- I mean, in your understanding qualitatively, is the IHOP communication or maybe the menu innovation, because clearly I see that there are a lot of changes into the price points and innovation we have brought in. So maybe qualitatively, if you can say that what has worked, what has not worked, and obviously, innovation is a continuous process. But I was more interested looking at how this MAU number will move over next one year? Sameer Khetarpal: So Shirishji, firstly, thank you. I think the question is a good one, in my opinion, that how do you drive a faster pace of growth in an environment which continues to be demand constrained. So in such an environment, what at least in my learning for the last 19 months have been value works like magic, and delivery excellence and our operations excellence drives repeat. So if I just cut the noise, if you focus on these two, it works. The marketing job to be done is to be present in large \$50 billion market while growing the pizza category. So that's kind of the crux of how I see this, right? Then there is a premiumization happening. So therefore, we launched gourmet pizza and on the value end I hope you know we did launch INR 99 four-course meal from 11 a.m. to 3:00 p.m. during lunch hours as a dine-in only proposition. It's about a month old. And therefore, we are seeing traction in the lunch hours. So at this stage, the job

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of a market leader like us is to grow the penetration, grow the category, get new customers, grow volumetrically and gain share. If that is happening, I think you are building a very stable, high-quality business. And if the demand were to even go from negative to benign, we will grow very rapidly. So that's what we are preparing. At the same time, we have to tighten our belt count every penny and now make sure the margins expand and we generate higher cash. So these are the priorities I say for the business, specifically to drive consumer's value, delivery excellence and product innovation,. Shirish Pardeshi: Exactly. Because in your outlook, you said that volumetric growth. So obviously, reimagining the stores will create that experience. But I think are you confident that these initiatives will be able to drive that kind of volumetric growth you have in mind? Sameer Khetarpal: Yes. It does give us the encouragement that this is working. And the new customer growth rate is also telling us that this is actually something that we should double down. Having said that, like this is not the only thing we will do, right? We'll not rest from here, in fact, is giving the team to could look at the second wave, third wave, fourth wave of

driving growth. So volumetric growth is not only being in delivery, we are also beginning to see it in dine-in. So again, we have enough initiatives to make sure that we stay ahead of the demand environment. Shirish Pardeshi: Okay. My next question is on Slide 33, you have given something about Popeyes. Now we -- obviously, now gearing up and our scale will improve. But give us some qualitative

information, what is the ADS, what is the system sales or maybe LFL or maybe what is the contribution? And more importantly, what contribution we are getting from delivery or maybe this is primarily driven by the timing something more qualitative in terms of numbers. Sameer Khetarpal: Yes. I understand the ask over here, allow us to get to 100 stores I think that's what the marker that we are chasing internally. I want to make the team focused on execution. And ADS has to stabilize, right? I mean there are stores, if you visit the stores, like there is a line outside, right, and then it stabilizes. So no point comparing the ADSs at this stage. I think the one of the couple of things I do want to call out, we also launched with our own app and own delivery, very similar to Domino's playbook. You're right, dine-in is a bigger component at this stage because the marketing efforts are first done to I should know the brand, which means what is Popeyes? What is Cajun? What is Louisiana. what is New Orleans chicken? So best experience when customers come into the store. So my

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framework for growing Popeyes is know me, like me and love me. So we are still in the stage of knowing the brand what it is, what is the mystique around Cajun Flavors. So that, we believe, is happening very well. Delivery and all these channels will continue to grow, and there is huge, again, headroom to grow, and we are partnering well with these aggregators also over there. Shirish Pardeshi: Okay. And just last request, maybe now we are consolidating the DP Eurasia number. Maybe if you can give one slide what is the comps for DP Eurasia, that will be helpful for us for modelling it in? Lakshya Sharma: Shirish, we have already given you two months numbers of Revenue, operating EBITDA and PAT. So let us discuss this offline. Moderator: The next question is from the line of Vicky Punjabi from UTI Mutual Fund. Vicky Punjabi: I mean, while our understanding on giving a details on Popeyes, So what is giving the company the confidence that, I mean, that the format is working well, and you have -- I mean expanding at such a fast pace, the historical experience of Dunkin going fast aggressive and then closing down stores would not get repeated. Sameer Khetarpal: Yes. I think two separate questions to me, right? I mean the past through which we learned, should not colour our ambition for the future. That's a little bit of a philosophical answer to your question. But specifically, five things are working for -- Number one, the food and the customer feedback we are getting. The food satisfaction, product satisfactions are among the highest in the world. Second we've built a supply chain where through our unique commissary model, logistics model, we are very confident about the unit economics at an order level, Number two. Number three, with the launch of our first store, we launched our own app and delivery. Number four, the world over, because of its good taste and sandwich. In fact, this is in U.S. and many other geographies, Popeyes is like among the most preferred brands. So I think that's also due to global learning. Number five, see we got this brand about a couple of years ago from U.S. with the U.S. playbook, right, in terms of the kitchen sizes, how to manage the space requirement. We have taken some learning from the first 30 stores to fine-tune that and partnered with our global teams to make an India-centric model. So all of that work we believe is behind us, and that is giving us the required confidence. So we have to learn to walk before we can actually run and that's what

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we have done in the last couple of years. So that's giving the confidence. Its the experience which is telling us, gross margins are improving. ADSs are improving, customer feedback is improving, our capex is coming down. So these are the markets that we look at, which are true financial metrics. Vicky Punjabi: Okay. Sure. And just last one. I don't think we can generate fr

ee cash flow and there has been a capex now that you are investing behind scaling up Popeyes and then there is leverage on the books. How are we looking at free cash flow generation going forward in capex in that context? Suman Hegde: So you're absolutely right, given that and we also know that we have now debt on our books. I think what we are looking at predominantly is at an India level and the group level, of course, we have the acquisition loan also taken. As long as the return on investment coming through, we are going to continue investing. So we have investment going behind our commissaries, we have investment going behind our stores, generating more return from that investment is, of course key to also support the margin recovery that we think about. At least for the next couple of years, this will be a high capex model as we continue to expand our network, both in India and across other countries within the geographies that we manage. So at least for the next year, you won't see net of capex, you won't see any cash flow generation coming through, yes. And Turkey, whatever loans were taken, I think this came up in the Turkey conversation when we had the initial call in February on saying, how will that loan be serviced? Turkey does generate cash as stand-alone as a business. And it's also they will be servicing the debt that they have on their books by the end of the year. So we will be getting that cash also as dividends to service the loan that has been taken on the DP Eurasia acquisition. The Turkey business generates free cash flow that will be going towards taking off the servicing of the loan, taken on the DPU acquisition. India, there will be at least a couple more years of high capex expansion across the business, given the returns that we want to generate and headroom we see for growth across the emerging brands and the Domino's business. So I think it will take a couple more years before we generate that free cash flow in India. Vicky Punjabi: Sure. And so the increase in leverage, I mean, do we have any markers of where we are comfortable with in terms of leverage?

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Suman Hegde: Currently, a India business has ~0.4 leverage. I think it's a comfortable leverage in a growth market like India. We're not uncomfortable about it. I think the key metric for us is, what are we seeing what our operating EBITDA pre Ind AS is if they're growing at a healthy pace? And like I think there was an earlier question which came in saying, do you see further deterioration. We don't see further deterioration in margins. As growth comes back in, we will get the operating leverage to kick in. And the key thing that you should be really asking is, are we generating more earnings. And in a high-growth market, I think that's going to be the standard, which even from internally within the business, I track or saying what's the growth coming through? And for the investment that we're putting in, what is the earnings that the business is generating? And if then you want to exist with a 0.3 to 0.5 debt-to-EBITDA ratio, I think it's fairly healthy in this market environment. There's no harm

in having some debt in your books as long as the return is more than the interest cost that you're bearing on the same.

Moderator: Ladies and gentlemen, we will now take the last question for today from the line of Percy from IIFL. Percy: A couple of questions from my side. I just wanted to understand, firstly, what kind of margin impact do we build in for FY '25 on account of ramp-up of Popeyes or a Hong's since these formats might be sort of marginally loss-making or just about a very low margin? What would be the sort of blended average impact on the company margins on account of the ramp-up of these two formats? That is my first question. Sameer Khetarpal: A little early to comment about it. I think like I said, I don't think margin dilution should happen further, at least from this point on. I think that's the only thing I can say at this

point. We'll do the right thing, right, from a growth perspective, investment perspective, we are maniacally focused on return on investment and payback period. So those financial discipline, we will not lose. Percy: Just a clarification, when you say from this point on there won't be dilution, are you talking about Q4 level or full year FY '24 levels? Sameer Khetarpal: Q4 level, I was just saying, like it was impacted on account of headwind because of free delivery. I think we will be able to recover some and we'll be able to optimize. That's what I was referring to, and I mentioned earlier also, specifically on account of Popeyes is very hard to say at this stage.

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Percy: Secondly, on the Domino's format only if I talk about, what kind of LFL do you need in order to maintain margins at a flat FY '24 level in the next year? Like is it possible at a 3% LFL or you need a 5% LFL to maintain a flat margin? What is the math here? Sameer Khetarpal: Yes, I think 3% LFL with 21% Op. EBITDA is the broad math, and that's the number that I actually asked the teams to deliver and it's possible. Percy: Right. And last question is, as per my estimate given on whatever data you've given your dine-in SSSG this quarter would have declined somewhere in the region of 15% Y-o-Y. So that's a really huge decline. I can understand that you want to focus more on delivery and not so much on dine-in and therefore, if it's a 3%, 5% kind of decline, it's understandable. But 15% decline in this kind of a channel, what really explains that? Sameer Khetarpal: No, it is not 15%, but 10% That's also large, right? I mean, I think that's the point that you are making. So I think it is natural if you provide such heavy ammunition to one channel, which has inherent structural tailwinds where dine-in takeaway is moving to delivery. So you're fuelling a higher growth channel. So we are capturing that. So firstly, let's capture the growth. Now we are taking several steps. So therefore, I said earlier, we debated this four to five months to capture where the losses are. While we launched free delivery, we also launched a few other initiatives to arrest the decline in dine-in. So those are also under work. I'm not too worried about it, by the way on that. But firstly, get the growth of us, no matter which channel it comes from. Second is look at further leakage points. That's what we are doing and arrest it. Percy: Correct me, if I'm wrong, Sameer, basically, if as long as there is vacant capacity in your restaurants, and a customer comes and dines-in there, the incremental profit that you get from that kind of a transaction would be much more than a delivery transaction, right? Because I can understand if your capacities -- I mean if your restaurant is running at capacity and then you have to do dine-in and you have to increase seating, etc. But here, there is a huge fixed cost leverage you get if you just fill in one vacant spot in your restaurant. And I'm sure your restaurants are not at capacity, right? Lakshya Sharma: No. Percy, please understand. We have first waived off the delivery fee in Tier two-four where any way the overall delivery contribution is low. So we are trying to get the positive operating leverage back, and that's what Sameer, sir, is also trying to highlight. Next our store model is also very efficient. You understand that our cash

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to cash payback is 2.5 years as we operate - ~1,100 square feet - a high-through-put lean-store model. And therefore, if dine-in traffic is not coming on account of external demand headwinds, we have taken an initiative to grow alternate channel which is delivery business. However, on account of multiple internal initiatives, which we will call out in the subsequent quarters, even the dine-in decline would be arrested in the future. So we are more happy with 68% of the business which is delivery and is growing at 7.8% LFL rather than decline in dine-in LFL. Sameer Khetarpal: Yes, I think it is importa

nt. Our stores are efficient. Like you know, we have 1,200 about there about average square feet average store size. So of course, we want to grow in dine-in, we want to grow in delivery, right? So that remains and we're not shying away from doing this. Wherever the structural tailwinds are there, it's important to capture those. Percy Panthaki Got it sir. That's all from me. Thank-you so much. Moderator: Ladies and gentlemen, I would now like to hand the conference over to the management for any closing remarks. Over to you, sir. Sameer Khetarpal: No, thank you so much, and we extended a bit, but we also, this quarter, changed the format. I look forward to engaging with you. Thank you all. Moderator: Thank you. On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines. Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Aug 2024

JFL/NSE -BSE/2024 -25/37 August 14 , 2024

BSE Ltd.
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of Conference Call

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letter no. JFL/NSE -BSE/2024 -25/35 dated August 9, 2024 and pursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Conference Call for Analysts and Investors held on Friday, August 9, 2024 for Q1FY25 results and business updates.

The transcript is also being disseminated on the Company's Website at:
<https://www.jubilantfoodworks.com/financial-information/earnings-call-transcript>

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E-mail id: investor@jublfood.com

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Q1 FY25 Earnings Conference Call Transcript Date: August 9, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Jubilant FoodWorks Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Deepak Jajodia, thank you, and over to you, sir. Deepak Jajodia: Good evening, everyone, and welcome to Jubilant FoodWorks Limited's Q1 FY '25 earnings call for investors and analysts. We are joined today by senior members of the management team, including our Chairman, Mr. Shyam S. Bhartia; our Co-Chairman, Mr. Hari S. Bhartia; our CEO and MD, Mr. Sameer Khetarpal; our CEO of Turkey Business Mr. Aslan Saranga, our CFO, Ms. Suman Hegde. We will commence with key thoughts from Mr. Hari S. Bhartia and then turn to our CEO and MD to start the webcast. After the opening remarks from the management, the forum will be open for the question-and-answer session. A cautionary note, some of the statements made on today's webcast and call could be forward-looking in nature, and the actual results could vary from the statement. We will share the replay of the call on the company's website under the Investor Relations section. I would now like to invite Mr. Hari S. Bhartia to share his view with you. Thank you, and over to you, sir. Hari S. Bhartia: Thank you, Deepak, and Good Evening, everyone. Welcome to our earnings call. The quarter gone by was truly special as JFL has reached a significant milestone of 3,000+ store network across five brands and six countries. We also celebrated the opening the 2000th Domino's store in India, taking India's contribution to overall Domino's network at ~10%. With 2,029 stores, we are now serving consumers across 427 cities in India, we are humbled by the journey traversed together with support and trust from all stakeholders. We are excited about the vast opportunity for our brands and have ambitious plans for all brands and markets in which we operate. And through commensurate ahead-of-the-curve investments in supply chain and technology, building on consumer love, we are confident that we will achieve newer records and milestones in the future. We are very enthusiastic with the potential of brands like COFFY and Popeyes. Crossing 100 COFFY stores in Turkey and 50 Popeyes stores in India is a step to realize our multi-brand multi-country growth strategy.

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This quarter is particularly important in our growth journey, we were able to achieve 8.5% y-o-y growth in Domino's India, driven by 3% LFL growth. While there was no major improvement in the underlying demand improvement, our sharp focus on delivering value to the consumers helped us register this growth. Product innovation, Free Delivery Campaign, operational excellence through decentralized leadership team, technology integration to aid operations and supply chain are some of the initiatives that aided in delivering value to our consumers. Notably, while navigating through record inflation that affected consumers' spending choices, we didn't take any price increase since the last eight quarters and absorbed cost inflation through internal cost optimization and productivity enhancement program – Vijay. Delivery continues to scale new record, even on high base, delivery LFL recorded a growth of 12.1%. Through targeted initiatives, we were also able to grow the dine-in revenue by 4.6% qoq and +1.7% LFL qoq. The quarter also, for the first time, reflects consolidation of DP Eurasia account for all three months. We are pleased to report a solid start to FY 2025 with elevated growth and profitability trajectory. We also stepped up the pace of menu innovation, across all markets which have been met with great enthusiasm from consumers.

In terms of network expansion, we reaffirm our network guidance and you will see ramp up in pace of network expansion in the upcoming quarters. With that, I request Sameer to share the quarterly update and his perspectives. Sameer Khetarpal: Thankyou Mr. Bhartia and a warm welcome to all our conference call participants today. As always, we appreciate your interest in our Company. For context, in this quarter, we are consolidating the books for DPEU for the full three months. However, it is not in the base calculation for the quarter last year. Overall Performance It is indeed a 'milestone-quarter'. JFL delivered a strong quarter across all business lines, expansion in store network and improvement in margin trajectory. Personally for me, quality of growth is the biggest news, as the growth is order-led, and the company acquired new customers at highest-ever rate, beating the industry trend, thus, indicating the belief in our core strategy of being customer first and data-and-technology-forward. System sales for the JFL group across brands and markets, which you may be aware includes end-customer sales of corporate as well as franchise stores came in at Rs. 22.4 billion, up by 13.5% on constant currency terms at current quarter closing rate.

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Consolidated Revenue came in at Rs. 19.3 billion, up by 44.8% yoy. EBITDA margins was at 19.8%, lower by 85 bps yoy and higher by 8 bps qoq. The PAT margin at 3.1% was higher by 98 bps yoy and 68 bps qoq. The Group Store network is now 3,057 stores strong +66 stores qoq. Next, let me describe how this performance played out across India and Turkey segment. India Segment In India, the revenue at Rs. 14.4 billion was up by 9.9% yoy. EBITDA margins at 19.3% while was lower by 178 bps yoy, it was sequentially up 22 bps. Domino's growth came in at 8.5% led by record high orders, registering 16% growth yoy with LFL at +3%. Domino's Mature Store ADS for 1,644 stores at ~Rs. 80,000 was also the highest in last five quarters. Network expanded by 34 stores and the brand entered 6 new cities. I will provide more color on progress of our strategic-initiatives. • Transitioning from a 4 region to 7 region structure and 35 circles below, with each region ready to scale to a Rs. 1000-cr region and each circle led by a 'market-maker'. We are witnessing strong uptick in underlying customer metrics and there is more to achieve. • This quarter we fully completed the movement to a 'micro-services' based architecture for the customer-app. We witnessed record high MAU at 12.1 million which was up by 17.5% yoy. • The brand-refresh It Happens Only with Pizza helped us significantly improve our brand scores and is helping us win occasions and improve brand share. • In Delivery, we saw growth of 15.7% YoY, order growth of 29.5% YoY and LFL growth of 12.1%. • We increased the pace of new product introduction to drive in-store growth during lunch hours by introducing the 'best value' that a QSR chain offers i.e a Lunch Thali, a four-course meal at Rs. 99. To improve attachment of beverages, we launched a range of Chillrz. For customers looking for indulgence, we launched the globally acclaimed Domino's Cheese Volcano pizza range meant for cheese lovers, creating an excitement in the category.

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Business in Turkey We operate two brands in Turkey i.e. Domino's and COFFY and store network of 707 and 105 respectively. We added 4 and 8 stores this quarter for the two brands, respectively. 88% of the Turkey store network is franchisee-operated, which makes the model asset-lite and hence it is important to look at both system-sales and the revenue that the business earns by serving the franchisees. Domino's Turkey system sales came in at Rs. 7 billion and LFL was 10.3%. COFFY system sales came in at Rs. 656 million and LFL was 8.7%. The Revenue from DPEU came in at Rs. 4.6 billion, higher by 15.4% yoy at current currency rate. EBITDA margin came in at 25% (+871 bps YoY and -150 bps QoQ). P

AT margin was strong and accretive to Indian business, at 9.2% (+660 bps YoY and +300 bps QoQ), in line with the core thesis of acquiring the business. Key Highlights from our Emerging Brands In Popeyes, we crossed the 50-store milestone and are now serving guests across 21 cities. We filled an important gap in our offering with the launch of Popeyes Baskets. We continue to remain bullish on store expansion, customer feedback, sales and margin improvement of the business. In Dunkin', we added five net stores. The launch of Bubble Teas during the quarter helped us enhance the beverage mix and dialing up occasion led shares through Doughnuts is helping us improve Dunkin' performance and its path towards positive restaurant profitability. In Hong's Kitchen, we added five new stores taking its network to 33 stores now. The successful Hong Kong Wrap range was further bolstered with the introduction of three new wraps. The range now starts at Rs. 99. In Coffy, we surpassed the 100-store milestone and the network is now 105 store strong. The franchised store count is now 80 stores spread over 19 cities in Turkey with strong demand from franchise partners. Progress on Business Outlook I had shared with you the business outlook for FY'25 in the prior call. We are making progress on driving growth across brands and geographies, and are equally focused on driving margin expansion in India.

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It is important to emphasize here that its now 8th straight quarter of no price increase in Domino's and by waiving off delivery fee we have significantly enhanced value quotient for our consumers further. The consumers are in turn reciprocating their brand love and appreciating the outstanding value along with quality service. Equally, on margins, we are keeping a 'hawk-eye' and pushing to get the leverage in the P&L. As indicated, we expect the margins to improve from the lows of

Q4-2024. There is no change in our network guidance as indicated at the start of the year. In closing, I would like to thank my team across all geographies, for making progress and executing in a challenging demand environment. We will stay focused on our core strategy across four pillars, outlined last quarter. With that, I would request moderator to initiate the Q&A session. Moderator: We will take our first question from the line of Nihal Mahesh Jham from Ambit. Nihal Mahesh Jham: I have 3 questions. The first was what is, in your opinion, the reason of such a stark difference in the delivery and dine-in growth that we are seeing? And did the INR99 lunch menu launch have any significant impact on the dine-in performance in terms of a positive performance impact? Sameer Khetarpal: Yes, I think the first question, what's causing the divergence? Number 1, Delivery and Domino's are synonymous in terms of customer memory structures. We have doubled down on delivery, as you know, that we have always pushing the boundary. Nearly 70% of our orders are now delivered in under 20 minutes. And the free delivery campaign that we tried during the IPL only told us how much upside that is there on delivery. So a combination of brand proposition, excellence on operations, free delivery. And in general, as you would notice, world over and across all QSRs, delivery as a mix is growing. So there is also a consumer trend that we are riding on. So that's one reason. And on the dine-in and takeaway, I actually see it as an opportunity versus a weakness. And we are beginning to capture a part of that consumer cohort by launching INR99 lunch feast, which to me actually is a breakthrough innovation from giving value to the consumers in store. So that has helped in quarter-on-quarter trajectory. There is actually growth of 1.7%, like-for-like sales quarter-on-quarter, if I just look at dine-in and take away. So very focused on both delivery and dine-in. Nihal Mahesh Jham: Sure, Sameer. The second question was when you speak of improvement, ideally Q4 to Q1, we do see an im

provement if I look at historical seasonal terms. If I have to look at it on a Y-

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o-Y basis or the like-for-like trajectory, is that also seeing a decent improvement when you're looking at, say, the first month of Q2? Sameer Khetarpal: Actually, see, as an operator, I think of the world as improving week-on-week, month-on-month. That's how we run the business. See, for the last 4 quarters, there has been a decline in our dine-in weekly orders. Now from Q4, we have started going upwards. And my take is the trajectory, if we execute and give value to consumers for dine-in, continue to reiterate on the menu side, we should see the growth. And plus, we have refurbished quite a few stores. That is also playing out. Any store refurbish at least sees 10% to 12% growth in dine-in. Nihal Mahesh Jham: Got that. Just 1 final question from my side would be that ideally, for our margins, we've been looking at 21%, 22%. I just wanted to check if that is the range we are looking at for this year for the stand-alone business? Sameer Khetarpal: I think it's a good push. For the moment, I want to make sure we capture the growth, acquire new customers and serve them well. I do have that number in my mind, and we are focused on it, but I don't think it is going to be achieved in the coming quarters, for sure. Moderator: Next question is from the line of Shirish Pardeshi from Centrum Broking. Shirish Pardeshi: Congratulations for the good recovery. Starting from what we understand, most of the staple companies are trying and there is a challenge people have seen heat wave and other issues around. But that it since that past is behind, and we are now on a good wicket, so whatever strategic actions we have taken and started delivering a good fruit. My bigger question is that when I look on Slide 20, you have said that the monthly active users has moved from 10.3 million to 12 million, which is almost 2 million customers we have added. Can you qualitatively speak something because when I see the delivery part, which has fuelled the growth of 12.1%, but ADS has not grown to that level? So maybe if you can give some colour how we should read this number? Sameer Khetarpal: Shirishji Thank-you for the question. This is how I read it. For context, there is, of course, a demand slowdown and consumers are conserving their pockets. And we saw this 4 or 5 quarters ago when we saw larger pizzas being downgraded to medium and medium downgraded to regular. We have called that out. Now in this environment, the most important piece is to provide value to consumers acquire new consumers and retain our existing consumers. So therefore, it should show in our new customer acquisition and total customer base. So this nearly 15% increase in monthly active users, the result is in the sales of our mature store, which is at an all-time high in the last five quarters.

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Now in terms of quality of consumers, I generally believe consumers will go where they see great pace and outstanding value. So of course, it is early how this will pan out. We don't know. But I'm very confident that these consumers are not just deal seeking seeking consumers and who will not value great service like 20-minute delivery or pizzas like Volcano Pizza. So I'm quite confident they will say it is not that we are attracting consumers who are very poor in kind of their life cycle quality. Shirish Pardeshi: Okay. Just one follow-up. If Domino's India would have grown 8.2%. Is the value, which is coming down and volume is going up, that's the presumption, which I had? Sameer Khetarpal: That is correct and that is by design, right? And because free delivery, we brought the threshold for free delivery is INR150, right? So from that perspective, it is giving great value to consumers. And therefore somebody who once had INR150, INR155 in pocket, get like a couple of pizzas and get a free delivery versus like during COVID, when it was free delivery, the threshold used to be INR350. Shirish Pard

eshi: Okay. My second question on Domino's Cheesy Reward. Now cumulative membership has now reached almost 25 million. Would you have any numbers to say how many people have enrolled second time, third time, fourth time or maybe what was the redemption or conversion which people have reached to 6 pizzas? Sameer Khetarpal: Yes. So what we look at is cohorts of how many customers have redeemed 1 pizza, how many customers have 2 pies, 3 pies, 4 pies and the overall frequency. While the overall frequency has not materially changed, but the cohort of high-frequency customers who order almost 15x in a year, that base has materially grown. So it has provided a lot of stickiness and the churn rates or customers who would probably go to some other platform, It has definitely dented that and that was the core thesis of this launching this program - to give stickiness to consumers, and that is what it is doing. Shirish Pardeshi: To my long memory, I think somewhere I picked up the Cheesy Reward customers were contributing around 45% of the business. Is that number has changed significantly now? Sameer Khetarpal: It's more than 50%, right? So that number is obviously inching up, increasing and consumers are noticing. And once you get a free pizza, Shirishji, then it becomes like a self-fulfilling kind of a cycle where they know that this works, I'm getting a pizza, and when you have to make a choice from ordering from outside, then this becomes top of the mind. And we are seeing that in our numbers. Shirish Pardeshi: Okay. That's wonderful. Just last question on the DP Eurasia. Though you have given that INR461-odd crores you have delivered in this quarter, which has grown

almost strong double

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digit. But if we need to model this number because, obviously, we'll take 4 quarters to build the numbers. But if you can directly say that what is the quality of growth, what is the number of stores you are expanding? And maybe some direction on the same-store sales growth or LFL growth in that country? Sameer Khetarpal: So the LFL growth rate is 10.3% for Domino's, and it is 8.7% for COFFY. The quality of growth is very strong. And in fact, as a market, having now visiting every quarter, I see the strong consumer pool, young population and habit of eating out. So clearly, it is a very vibrant economy. If this was in the base, then this number, the growth would be 15.4 year-on-year. So the true base to base comparison is 15.4% growth, which is very healthy. Shirish Pardeshi: But is there any seasonality quarter 1, quarter 3 is better or quarter 4 is going to be stronger? I mean, I would understand the seasonality is also going to be there. Sameer Khetarpal: H2 is typically higher again. But when you are looking at Q1 and Q2, there could be because there was Ramadan, which was in different quarters. But I will not read, on that too much into it. And this 15.4% is a fairly representative number actually. Moderator: Next question is from the line of Percy Panthaki from IIFL. Percy Panthaki: For the stand-alone business, would you be able to tell us the adjusted EBITDA margin for political contributions, if any? Suman Hegde: Percy, if you look at our standalone business, result of 19.3%, so adjusted EBITDA could have been ~19.8%. Percy Panthaki: Okay. Understood. Secondly, I wanted to understand for Popeyes, would you be able to give us some idea now in terms of what do you see the shape of financials for the stores which have been open for more than 2 years in terms of what is the ADS and what is the restaurant operating margin that they generate for the cohort as a whole? So that we get an idea as to, I mean, how the format is performing for stores more than 2 years old. Sameer Khetarpal: Percy, we definitely want to build it. We are bullish about it. We see customer traction. And for those reasons, Percy, we are refraining from giving any guidance till we hit a store count of 100, and that's been kind of our stated position for the last couple

of quarters. But in terms of quality, we are seeing very strong uptick in orders, in our delivery growth. The baskets and the new flavour that we have launched on Hot and Messy, all of that are actually very positive. We have worked materially hard to reduce the cost of goods sold. So in fact, our gross margins are now very healthy when we look versus competition. And we have brought down the store size and capex to suite, to fit into Indian kitchens. So very confident how this has been panning

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out. It's been just 2 years in the system, and we know it takes some time to build a strong brand. But from a team management bandwidth, capital, we are fully invested behind growing this brand. Percy Panthaki: Sure. But for us, as financial market participants and when we are giving SOTP or a separate value to the format, would we be right in assuming that in the medium term, this format would be able to do restaurant operating margins similar to that of Domino's? Sameer Khetarpal: It's a different business. We should compare this to more chicken and burgers as a category, right, because the input cost is different the cost in a pizza is different versus let's say, bone-in chicken. So therefore it has different dynamics, right, from an industry structure standpoint or category structure standpoint but it should mimic peers adjusted for scale. Percy Panthaki: Understood. And finally, just wanted to understand if you can give some store guidance for Domino's India store openings for this year and next year? Sameer Khetarpal: So this year I think we have stated we are targeting 180 stores opening. And I think, at the moment, we feel confident we'll increase pace in Q2. Moderator: We have the next question from the line of Devanshu Bansal from Emkay Global. Devanshu Bansal: Many congratulations on a good delivery performance in Domino's India and a strong sequential pickup in DP Eurasia. Sir, the Domino's India volume growth is about 16%, but value growth is about 8.5%, which is almost a 7.5% decline in bill size for us in Q1. So what is the reason for this since we introduced the packaging charge as well? Sameer Khetarpal: See, we obviously are putting INR40 per order back in customers' hands or wallets. Packing charges where we have introduced are limited and does not cover even 50% of what we were charging the customers. Second is we have reduced the threshold of free delivery to INR150. So customers today can make a cart of INR170, INR180 and checkout, which is increasing the volume, which is increasing the new customer rates. We believe that will also result in repeats, because we're now having different group sizes at different occasions, whether you're ordering for a family or yourself, you get free delivery. So that is where I think we are seeing the growth. And this cycle starts playing into repeat customers and starts compounding. So that is the thesis behind that. And that is why you are seeing a higher ~INR25, INR30 drop in order ticket size. And it is by design, and we had experimented it for 6 months. Devanshu Bansal: Right. So I mean, and they should continue at least for the next 2 quarters also, right? So because Q4, I guess, we experimented, but for next 2 quarters, this decline should continue

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in bill size? Sameer Khetarpal: Quarter-on-quarter, it should not, but I think year-on-year, it will continue. Devanshu Bansal: Next question, I just wanted to understand the financials of DP Eurasia sort of better. There is a strong 40% kind of pickup sequentially, if we adjust for 3 month number that we gave in Q4. So is there a big seasonality between Q4 and Q1 there? What has driven the strong increase in DP Eurasia? Suman Hegde: Yes. You are right. It's a bit of seasonality that does kick in. And like you said, from Q1 into Q2 into Q3, H2 is also higher than H1. There's a bit of that. And of course, there is also what I think from here relative on the movement between when Eid is and when the Ramzan period is

on. So there is a factor of that also playing out between Q1 and Q2, which sees the uptick in DPEU coming? Devanshu Bansal: Got it. And likewise, gross margins have actually fallen sequentially, and it's a big fall from about 75% to 62% if we look at only the subsidiary gross margin. So what explains that? Suman Hegde: So there are two things here and I think it's good as we also understand DP Eurasia business. Gross margins of the DP Eurasia business structurally, because of the franchisee-driven business will be lower than JFL standalone Gross Margin. And that's also because a lot of their income comes from a cost markup or whatever they do with recovery from franchisees, which would be there in the cost, but the income wouldn't be a commensurate amount when you sell to normal customers. So fundamentally, this business averaging a gross margin of ~64% versus what you would see in at JFL at about 76%. Now coming to your question on why sequentially there is a drop. Sequentially, actually there is no drop in the business as intrinsic gross margin. In the first 2 months of integration, basis the way Turkey reports its number and how they conclude gross margin versus how the India requirement

on how gross margin as reported, there were some mapping changes which had to be done, which we have done and corrected for. So it was more a mapping issue, which happened in the first quarter of our integration in more in terms of understanding their ways of accounting versus ours. But if you look at an EBITDA level, it kind of square off, right? So long story short, I wouldn't worry too much about the gross margin. There's no decline in the gross margin intrinsically of the Turkey business. It's more a correction that we have done versus what we reported in Q4 for the quarter, EBITDA being at where they are. Devanshu Bansal: Understood. Suman, and then last, just a small follow-up on debt reduction, which is expected for DP Eurasia. Can you sort of highlight the time line for that?

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Suman Hegde: I wouldn't give you a firm timeline on that. I don't think I should try to give any forward outlook. But yes, it's a big focus area. A lot of the debt also of DP Eurasia, within the Turkey DP Eurasia business per se is driven on short term and how they manage the economy on the ongoing way. It's not long-term debt. It's work more on their working capital management, given the franchise model. And also given the higher inflation what we invest back into inventory to give the benefit as P&L. In the long term, we do see and from Q1, we have brought the debt down in Q2, and we see this trajectory going in as we exit this calendar year and into next year. The plan is that we should start getting dividends out of this business sometime maybe by mid or early next calendar year. Moderator: We have our next question from the line of Latika Chopra from JPMorgan. Latika Chopra: Okay. My first question was on demand. Same-store sales growth trends at 3%. Could you give us some flavour of how sequentially through the quarter, these really played out I heard you talking about the broader market remains challenging, and it's your own initiatives, which have kind of helping you outperform the category growth rates. And I'm just trying to understand, did we see an improvement gradually through the quarter, how the exit SSG numbers were like? And in your view, would you require price increases to improve this SSG? Or you still feel that the initiatives that you've taken still have more to deliver assuming the broader market remains the way it is. So just trying to sense check whether this 3% SSG can it improve towards 5-7% as we progress through the year? Sameer Khetarpal: Yes, I think, that is the endeavour over here, right? I mean you are aware of the competition set and therefore, indicating the macro demand environment. Equally, the delivery is growing for all including the aggregators. So it's kind of a 2-faced market as I see it, right? And del

ivery comes at a cost to consumers. So they are actually willing to pay the cost for convenience. So we need to first recognize the trend, organize ourselves and our resources to go behind delivery, and that's what we've done. Now clearly, 3% is higher than where the rest of the industry is landing. I think there is more juice to it, but of course, will require execution. This is not a natural tailwind in the industry and demand that is there. One has to find ways to give value to consumers, and make sure you deliver on the promise that hot pizza is delivered in 20 minutes. So I think definitely, I would agree there is more use, but it is more execution led and not necessarily macro led. Latika Chopra: Sure. And then sequentially you have not seen any material trend changing through the quarter. Is that right to assume?

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Sameer Khetarpal: So like I said in my last earnings call, we have begun to see increase in delivery growth rate, and we continue to see delivery growth rates in the positive LFL territories. That we continue to see as we enter this quarter. And despite rains, despite heat, whatever the weather conditions we are seeing an uptick in delivery, and that's what we are banking on. Then on the dine-in side, we have gotten our act together and I have been a big vocal proponent of it for the last 5 or 6 quarters that store refurbishment, dine-in experience improvement and value through lunch feast. So in several places, we are beginning to do more experiments and learning from there. Some will definitely land. But I cannot say that this 3% will go to 5% the next quarter. Latika Chopra: Sure. And within the delivery piece, has the salience of your own app contribution versus the aggregator contribution. Has the salience changed in any material way over the last 4 quarters? Sameer Khetarpal: We don't give the exact share, but qualitatively, the Domino's app, like I said, you've seen the monthly active user growth rate I can very proudly say that we have delivered the best ever conversion in this quarter on the app, and we continue to acquire new customers mostly through our own app. So from that perspective, our digital strategy, our data and technology forward approach has played out in a free delivery context even more. Latika Chopra: Understood. And the last bit, anything that you want to share on your operations in Bangladesh, any recent trends? That's the last question. Sameer Khetarpal: Yes. So I think the quarter 1 was the best ever quarter for us in terms of profitability, the Bangladesh business turned profitable at operating level, and we saw same-store growth. It is too early. In fact, the situation has been better in the last couple of days stores have started opening. Our few stores also got opened. We believe it should normalize. So a little bit wait and watch. But I'm happy to say that our stores staff is safe and we have not incurred any material loss to our store and property. And it is less than 1% of our consolidated revenues. Moderator: We'll take the next question from the line of Aditya Soman from CLSA. Aditya Soman: Clearly, with free deliveries here, we seem to be incentivizing customers to shift from dine-in to delivery. Now would this lead to some level of margin impact? Because obviously, you're incurring a fixed cost at store and this delivery comes with delivery cost. Sameer Khetarpal: Yes, for the same food size or ticket size for food, delivery is dilutive versus a customer coming and taking away the order from the store, right? So that is there, but it is also giving us positive same-store growth. So you are getting the leverage of that in the P&L. And that is what we are counting on. And as this compound and these new customers that we acquire, they start

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repeating, we get greater leverage in the stores. So in the short term, yes, and if this were to compound, we will be able to negate the impact. Plus there are several initiatives, like I said, have been a big propon

ent of Project Vijay that helps us absorb cost pressure while enhancing internal efficiencies, but price increase is definitely not on the table as I've always been saying. So this is a time to give more value, gain more share versus the competition. Aditya Soman: That's very clear. And then this MAU increase, right? So to a certain extent, the reduction in delivery threshold to 150 would also drive that conversion, right, from dine-in to delivery, because earlier people would walk into the store to get that delivery act of for a small ticket item. Now, maybe they are delivering. Would that explain some of the shift in MAU? Sameer Khetarpal: Absolutely, we ran an experiment across 12 different cities for 6 months before we arrive scientifically what should

be the delivery charge by City Tier and commensurate packaging charge -- so we did see when you do free delivery and a very low threshold for being eligible for delivery waiver, the first business that goes away is actually your takeaway business or carryout business. That's quite material -- because there is no incentive for the customer to go to the store and pick up the order. And the only friction that you have right now is packaging charge. So fully cognizant of it. And therefore, we have to work on the value leg for how to get more customers who come into the store whether dine-in or take away. So therefore, this lunch feast, or thali as we call it was launched simultaneously on Dine-in when we launched the free delivery. So that's why it was a very thoughtful intervention, more of a plan, but very thoughtful one in how we execute it. Aditya Soman: Absolutely, very clear. And maybe just 1 last follow-up on this. I mean the LFL versus SSG, is there any meaningful difference now given that the proportion of new stores adds has been coming down? Sameer Khetarpal: Yes. I think SSG is positive. So it is now closer to 2%. I have said that we are reducing the number of split stores because if LFL was negative, then the need for split comes down. And I actually hope that cycle turns around, we have more LFL and therefore, there is greater need to split, and we expand further. But if you look at last 3 quarters, at least, our new city expansion has materially increased. And because as part of our network expansion strategy, we are moving to more whitespaces because the LFL was negative, and that is willing to pay out in terms of payoff, in terms of the differential between LFL and SSG coming down. Moderator: We'll take the next question from the line of Ashish Kanodia from Citi.

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Ashish Kanodia: The first question was around the margins the delivery initiative, which you have taken. So there are a couple of for delivery fee waiver? And then secondly, your ticket size are also reducing. So at what point do you think the margins kind of start to improve? Because at least for the next 2, 3 quarters, things will remain subdued from a ticket size perspective. So first, apart from the project vijay cost initiative, is there like an LFL number, which will help you to improve the margin over the next 2, 3 quarters? That's the first question. Sameer Khetarpal: Yes, Ashish, from a margin perspective, the way we are executing this are the following. In terms of our marketing campaigns, we are focused on indulgence and you'll see throughout this month, the world-renowned Volcano Pizza that we've launched. And that obviously is more cheese, higher in ticket size, and we are seeing very strong traction of that product. Therefore, we have now followed it up with a TV campaign, which got recently launched. So our endeavour is to increase the ticket size by offering greater cheese and more indulgence to consumers. At the same time, when the free delivery is there. So that's how we're tackling it. I don't expect like a massive uptick in margin in the current quarter, but as this starts compounding, if frequency from 3 were to inch up then I will get far more leverage in my P&L, and

that is what we are gunning towards plus Project Vijay. Ashish Kanodia: Sure, Sameer. That's helpful. And second question on the Popeyes side, right, so if I compare what has happened between, say, 2Q to 1Q. There's almost 28 store addition, but at the same time, you have also entered into 16 new cities. So if you look at the next 1 to 2 years, are you looking at more in terms of getting into newer cities or the idea is to maybe double down on the existing cities because Popeyes is still scratching the surface. So I would like to get some sense on that. Sameer Khetarpal: Yes, I think it is typically can be a little bit of a misnomer because you will include Faridabad, Gurgaon, Delhi, Ghaziabad and Noida as five different cities, right? So there is a bit of that over there. So I think we are looking at the right clusters, that's how internally we track it. So Delhi NCR is 1 cluster, right? Chandigarh, Mohali, Panchkula is 1 cluster, but there will be 3 different cities. So we are focused on right locations and chicken eating markets. The number of cities are greater in South, and that's why whether it be it Mangalore or Mysore or Salem, in addition to Bangalore, Chennai and Hyderabad. So that is why you see greater footprint of cities, but these are cities with very large chicken eating population, where the brand is doing very well. Ashish Kanodia: Sure. Fair point. And just lastly, again on Popeyes, just maybe from a qualitative perspective, when you look at delivery versus dine-in performance for, say, more than 1, 1.5-year-old

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stores. Any sense on how both these things are performing? Sameer Khetarpal: Yes, I think we followed a bit of a Domino's playbook over here. We have stores in malls, which are 100% dine-in, right? We tend not to do delivery from there, and we use our high street locations to do deliveries. That is the approach we have taken. And we have a much larger mix of dine-in store. So therefore, our delivery share is lower and dine-in is higher at the moment. Moderator: We'll take our next question from the line of Sheela Rathi from Morgan Stanley. Sheela Rathi: I have 2 questions. Sameer, on the basis of all the interventions, which we have made, both on delivery and dine-in side, it seems that on the delivery side, things are starting to look up for us, but not necessarily on the dining side. So is it fair to say that next few quarters, we'll continue to see delivery growth ahead of dining growth -- or there are other thoughts around it? Sameer Khetarpal: The endeavour is to double down and capture the tailwind on our execution capabilities on the delivery side and flank dine-in and takeaway, right? So that it doesn't decline. So I would concur with the first statement that delivery should continue and will double down and there is more to do over there. And, Delivery is about 70% of our business. And on dine-in side, like I mentioned, we have at least from last quarter, arrested the decline, and we have more ideas to kind of bring consumers back into our stores. Sheela Rathi: So how many quarters we would be away from seeing a similar kind of growth in both the channels? Sameer Khetarpal: Sheela growth will be different. I think the decline in dine-in will not be there. That is what I'm saying. So I think delivery will continue to grow, that's a worldwide industry phenomenon. So I think for all QSRs in India and also outside and if you read the commentary of international brands, everybody is talking about higher proportion of business coming from delivery and carryout. Sheela Rathi: Right. Just to follow-up here, what would be differentials in the average bill value for dine-in versus delivery now, say, where it was, say, a couple of years ago? Sameer Khetarpal: Yes. So delivery has higher ticket size, even now and before. It's just that the INR40 has gone off due to delivery fee waiver so the differential has come down. Sheela Rathi: Understood. And my second and final question was you talked ab

out Popeyes strategy. Also observed that in Hong's Kitchen, we have almost doubled the number of stores. Even for Dunkin', last 2 quarters, we have been expanding the store count. I just wanted to hear your

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thoughts on what the strategy here is? Sameer Khetarpal: That's I think the strategy is clear that we prioritized Domino's and

Popeyes as our big growth factors. And we make sure that Hong's and Dunkin', they find the right customer value proposition and store economic model. And I can assure you, both are on track. In fact, Dunkin is even like more on track to kind of achieving high store-level profitability. So that is the approach, un-constrain Domino's, expand rapidly in Popeyes. Drive profitability in Hong's and Dunkin before we further expand meaningfully. Sheela Rathi: Just 1 follow-up here, Sameer. Do we have a store count target on these 2 formats for this year – Dunkin' and Hong's Kitchen? Sameer Khetarpal: We have shared a guidance. So about Hong's we'll add 20 to 25 stores. But again, these are not like a number that we are chasing as a goal. Rather we are chasing customer satisfaction scores, store throughput in terms of revenue and the restaurant level profitability. So these are the goals. Once we see it, then we'll figure out what formats are working and those formats, we can always dial up and dial down. So it is not lack of team intent or capital. It is more finding the right economic model. Moderator: We'll take our last question from the line of Manoj Gori from Equirus Capital. Manoj Gori: Yes. So we have seen some improvement based on the efforts that we have taken, especially on the LFL side. Just want to understand that the entire positive impact has been based on the efforts that we have taken out, probably we are seeing some improvement in demand environment as well. Sameer Khetarpal: So Manoj, I am a bit proponent of Domino's being ahead of the market through execution, and I think that is now playing out. And I personally don't fully understand the demand or macroeconomics, myself fully. So more focus on execution, what is in our control. I would like to believe, given how the other results have been that this is largely executing that. Manoj Gori: Sir, secondly, on the other expenses side, we have seen roughly around 20% growth. Sorry, if I may have missed, but can you highlight like what are the key main line items where we have seen the increase or probably it is because of the waiver into delivery fees? Suman Hegde: In other expenses, if you look at the increase that we've seen coming through, it's not really waiver of delivery fees, because that really more than sits on your gross margin. Predominantly, we have really invested ahead of the curve on a lot of areas. So 1 on our technology. Second, on when we decentralize from a 4 region to a 7 region structure. We have stepped up and called out in the previous quarter as well in the results that we heavily invested

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in advertising during the IPL and the World Cup season, which went in quarter 1. So there has been advertising spends also which have been stepped up. So there are a couple of expenses that we have increased intentionally, and our belief is and I'm just seeing that some of the growth coming through on that and as we go on, the levers should start coming through on these lines. Manoj Gori: So these investments should continue in the coming quarters as well? Suman Hegde: No, not so much. Like I said, some of them are investments; so technology investments, the decentralization of structure, those investments, of course, are now baked into the numbers, right? So it's not that -- we're not going to keep increasing that exponentially. Yes, is there expenses around marketing, and we have stepped up marketing and we keep calibrating that? There have been higher spend on that account. Plus in quarter 1, we also had this time higher cost in some of the stores that we were running. We had very high peak summer season across mo

st of the markets, and we did see electricity costs going up across the stores, which should moderate now as we move out of the peak summer season. So the reason for this, of course, if you see quarter-on-quarter from a leverage perspective or other expenses, we have seen that leverage benefits come through as growth has come through. But on a year-on-year basis, of course, it is higher. We've noticed that. But they're also on the back of investments that we've made. Moderator: Thank you members of the management team. On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2024

JFL/NSE -BSE/2024 -25/56 November 16 , 2024

BSE Ltd.
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of Conference Call

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letter no. JFL/NSE -BSE/2024 -25/53 dated November 11, 2024 and pursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Conference Call for Analysts and Investors held on Monday , November 11, 2024 for Q2 FY25 and H1FY25 results and business updates.

The transcript is also being disseminated on the Company's Website at:
<https://www.jubilantfoodworks.com/financial-information/earnings-call-transcript>

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E-mail id: investor@jublfood.com
Encl: A/a

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Q2 and H1 FY'25 Earnings Conference Call Transcript

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Moderator: Ladies and gentlemen, good day and welcome to the Jubilant FoodWorks Limited Q2 and H1 FY '25 Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Lakshya Sharma. Thank you and over to you, sir. Lakshya Sharma: Thank you, Darwin. Good evening, everyone. And welcome to Jubilant FoodWorks Limited's Q2 and H1 FY '25 Earnings Call for Investors and Analysts. We are joined today by senior members of the Management Team including our Chairman – Mr. Shyam S. Bhartia, our Co-Chairman – Mr. Hari S. Bhartia, our CEO and MD – Mr. Sameer Khetarpal, our CEO of Turkey Business – Mr. Aslan Saranga, our CFO – Ms. Suman Hegde. We will commence with key thoughts from our Co-Chairman and turn to our CEO and MD to share his perspectives. After the opening remarks from the Management, the forum will be open to question-and-answer session. A cautionary note, some of the statements made on today's call could be forward-looking in nature and the actual results could vary from the statement. We will also share the replay and transcript of the call on the Company's website under the Investor Relations section. I would now like to invite Mr. Hari S. Bhartia to share his views with you. Over to you, sir. Thank you. Hari S. Bhartia: Thankyou Lakshya. Good evening, everyone, and thank you for joining us. We're excited to build on the momentum from Q1 of FY25 as we move into Q2, despite facing a challenging demand environment in the foodservice and broader consumer space. Our commitment to convenience, innovation, and delivering unmatched value to consumers has positioned Jubilant FoodWorks (JFL) to gain market share and drive category growth. The results from both Q2 and H1 reflect the success of our strategy. Our investments in direct-to-consumer apps, cutting-edge technology, and our unique commissary-based sourcing model have allowed us to excel in operational excellence. Additionally, our move to 20-minute delivery is not only enhancing customer experience but also reinforcing our

commitment to quality service.

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The dedicated team at JFL remains focused on delivering exceptional value to consumers and driving growth. We have maintained price stability over the last nine quarters, absorbing inflation through cost optimizations and productivity initiatives. On top of this, we have waived delivery fees. We have also accelerated new product launches, including the popular Cheese Volcano range and Cheesiken, each crafted to meet evolving consumer preferences and to drive order growth. The shift from dine-in to delivery continues in India and abroad. With our own end-to-end delivery ecosystem—covering fleet, riders, and advanced delivery management systems—we are well-positioned to embrace this trend. We're doubling down on reducing delivery times from 30 minutes to 20 minutes and accelerating new store openings, expanding into new cities to capture growing demand. Simultaneously, we're committed to delivering value to our dine-in customers. Through new, dine-in-only menus, we're seeing order growth during lunch hours—a promising shift that signals consumer preference for dining in with us. In Turkey, our business is continuing to grow with margin improvement, and store expansion, all while navigating macroeconomic headwinds. Across all markets and brands, JFL Group's system sales for H1 reached Rs. 45.1 billion. We've added 139 net new stores, bringing our network to 3,130 stores. Over all we are pleased with our growth and increased profitability of the JFL group which benefits from the corporate owned setup in India and largely franchised network in turkey. With that I request Sameer to

share his quarterly update and his perspectives. Sameer Khetarpal: Thank you, Mr. Bhartia. Warm welcome to all our call participants today. Our strategy of doubling down on Domino's is working. To recap, we increased investment in brand building, stepped up pace up product innovation (e.g., volcano pizza, Cheesiken), reduced span of control by adding 3 regions, increased density of stores to enable 20-min delivery and relentless investments in customer facing technology. This has resulted in momentum build-up from Q1 into Q2, with August-24 as our highest month in sales. We are seeing this carry forward into Q3, driven by new customer growth and >20% order growth YoY. Domino's India scaled new record with highest orders, highest app traffic, highest conversion and highest volumetric throughput per store. Let me now share our performance summary for the quarter, help you with growth composition along with update on India and Turkey segment.

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Performance Summary Consolidated revenue stood at Rs. 19.6 billion, up 42.8% year-over-year. The growth composition is as under. DPEU revenue contributed 33.7% to the overall growth with 9.1% being the organic growth from existing business. EBITDA margin came in at 20.4%, up by 14 bps yoy and 57 bps qoq. The Group Store network is now 3,130 stores strong with 73 net additions qoq. • In Domino's we added 61 stores with 50 stores in India, 6 in Turkey and 5 in Bangladesh. • In Coffy and Popeyes we added 11 and 4 stores respectively. India Segment • In India, Revenue at Rs. 14.7 billion was up by 9.1% yoy. Domino's growth came in at 8.1%. LFL came in at 2.8% led by Domino's Delivery LFL at 11.4%. • At channel level, Delivery grew by 15.9% led by record order growth of 32.3%. This is the highest delivery volume per store. We have 36,400 riders on our rolls (platform) • Despite rains, we saw sequential growth in dine-in orders • ADS for mature stores stood at Rs. 80.2 thousand (highest in the last 6 quarters) • Gross Margin and EBITDA margins at 76.1% and 19.4% were largely flat qoq. • App traffic grew by 18.5% YoY, to 12.8 million MAU and material improvement in app-conversion; with 27.8 million loyal members. • Domino's Network is now 2,079 stores strong serving consumers across 447 cities. You will notice, that we have increased the pace of store expansion qoq (50 vs 34 last quarter) and have also entered 26 new cities in H1. As guided earlier, we continue to tap on the whitespaces with new stores and formats at university campuses, highways and airports. • In the last quarter we introduced volcano pizza, Cheesiken in South and Rs. 77 menu during August. All three interventions exceeded internal plans. Turkey Segment In Turkey, last year same quarter, on account of minimum wage hikes mandated by Government, consumption saw a huge surge and hence the business is lapping a very strong

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base. Also, with central bank's focus on bringing down inflation, there will be a transient impact, as anticipated, on demand in the near term. Overall System sales came in at Rs. 7.7 billion. Within it, Domino's Turkey System Sales was Rs. 6.9 billion. Domino's Turkey LFL growth came in at -6% on the base of 52.6% LFL in Q2FY'24. I am pleased to share with you that Domino's was awarded the recognition of being Turkey's Lovemark for the second consecutive year and for the 3rd time overall. For context, Lovemarks is a survey conducted by Ipsos to find out the brands consumers are absolutely in love with in a given category. We are humbled with the recognition which reflects deeply the brand love and support that we receive from our consumers. COFFY's System Sales came in at Rs. 651 million. COFFY LFL growth came in at -3.9% on the base of 35.3% LFL in Q2FY'24. All new stores opened in the quarter were franchise owned and the franchise mix is now at 78.4%. The Revenue from DPEU came in at Rs. 4.6 billion, flat qoq. Margins expanded with EBITDA margin at 26.1%(+110 bps qoq). PAT margin was

also strong and accretive to Indian business, at 10.5%(+130 bps QoQ). Closing Remark In closing, with six weeks into Q3, in Domino's India, we see the growth momentum accelerate, on network, we have crossed 2,100 store milestone and are maniacally focused on operations excellence to make big days bigger, increasing our investments in marketing, launching new products, making our app work harder and partnering with aggregators. With that, I would request moderator to initiate the Q&A session. Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Nihal Mahesh Jham from Ambit Capital. Please go ahead. Nihal Mahesh Jham: Sir, my first question was on the dine-in side if you look at the growth, it's a little negative similar to what it was in Q1. Just wanted to get your thoughts that the Rs. 99 menu launch has that not seen an activation in some traffic and maybe you would have expected a sequential improvement there on back of that intervention? Sameer Khetarpal: `See, let's step back and view how is Rs. 99 dine-in menu helping. So, firstly, it is an investment to draw customers into the stores during lunch hours, i.e. 11:00 AM to 3:00 PM. When I look at that window, it has obviously increased our orders for sure, in the last quarter it also increased

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the sales in that period. So, it was a specific intervention when our store sales are low, our fixed cost, manpower, electricity, everything is running. So, we believe it is the right thing. Having said that, see the movement towards delivery is far higher in

the market in terms of consumers. And therefore, that continues to grow faster. But what we are focused on is driving growth during lunch hours, that piece is working at Rs. 99. So, we are seeing order growth in our stores during lunch hours. Nihal Mahesh Jham: Understood. But maybe the time post 3:00 PM is where the drop is higher and it's in a way not compensating for the increase in traffic from 11:00 PM to 3:00 PM. Sameer Khetarpal: See, we want to successfully focus on lunch hours and we are doing more initiatives to increase that. Post that, anyway in our business we start seeing traffic increase after 3:00 PM. So, that's not an intervention we have at the moment. Nihal Mahesh Jham: The second question is in terms of the store addition, this quarter we see a lot of new format stores at the university campuses. Is it fair to believe that in the future the ADS profile of the incremental set of stores would be say similar, lower or higher, just that these are some new formats that are coming along? Sameer Khetarpal: Yes. In fact, our throughput per new stores have also increased and we keep a track on it. I think what I have gone on record in saying that the opportunity to expand in India is very large. So, for example, there are 1,000 campuses with more than 5,000 students. There are about 40 airport terminals that matter where our presence is low, during the quarter, therefore we opened stores in three airport-terminals. So, these stores are all in terms of ADS, either similar or accretive. So, we are not going to pockets with dilutive areas. So, we are very focused on getting the right ROI and payback period, and we are seeing that. So, no reason to believe these are dilutive. In fact, some of these stores in campuses become the captive or the only place to go to for dine-in for students. So, very happy with the progress, it is not dilutive at all. Nihal Mahesh Jham: Quickly one clarification, you said that the India growth momentum had accelerated in Q3 for the first 40 days, if we heard that right. Sameer Khetarpal: That's correct. So, I think we are seeing the momentum carrying through from Q1 to Q2 to Q3, led by delivery. That is correct. Moderator: Thank you. We have the next question from the line of Jay Doshi from Kotak. Please go ahead. Jay Doshi: I have a question on your order growth. Clearly in the last six months since you have waived-off delivery, it has picked up very strongly. And it's 2x your revenue growth, especially for the delivery channel. So, when you look at the numbers internally, are these new orders and new business? Or are these numbers also influenced by some shift from take away to delivery?

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And the second question is that there's a delivery waiver. How has it shaped up for you versus your own expectations on SSSG front, on order growth front, and on profitability front? That's it from my side. Thank you. Sameer Khetarpal: Yes. Jay, firstly, great questions, both of them. Of course, let me say that when you do free delivery, the incentive to go to a store and opt for takeaways is minimal. And with our focus on 20-minute delivery, the incentive is even lesser. So, we do see a decline in takeaways. And if you were to take on-premise sale in some ways, right, like it's a dine-in plus take away, with our new store design dine-in is actually growing, right, it's the take away business which is moving to delivery. So, you are right, there is a share shift. But overall delivery is growing far, far bigger than or greater than the loss in take-away. Now, how does it pan out? I think we are very positively surprised on two dimensions, the amount of order growth that we are seeing in our, like I told you two quarters ago that we had experimented in a few stores for almost six months before we came to this conclusion. So, when I look at that experiment, the order growth is much higher than we anticipated. Also, the new customer growth is much higher than we anticipated. And both these counts are actually very positive stories for us because new customers we know ultimately repeat at almost three, so the compounding will happen, or we are beginning to see in few areas. Our network is poised to deliver to customers in 20 minutes, and therefore this doubling down on order growth only increases productivity inside the store, our rider productivity and customers get better experience. So, it allows us to expand more number of stores. So, it is very positive on this account. Yes, are we paying in the form of margins? Yes, you can see we are paying in the form of margins. But to me it is a matter of time, as growth momentum picks up, we will get that margin. Also, I will give credit to the team, this would have dragged almost 150 to 170 basis point, but you do not see that drag on the P&L because we have worked on internal efficiencies to recover almost two third of it. So, I would say, very positive on new customer order growth. And on margin dilution, through internal efficiencies we have been able to shave off almost two third of the margin dilution. Jay Doshi: That is very helpful. Just one more question, please. 1Q to 2Q the SSSG trend was broadly similar. Are you expecting some uptick going into 3Q, 4Q? What's the outlook based on the last 40 days of the current quarter? Sameer Khetarpal: Yes. See, again, we always refrain from giving guidance. But given that five weeks have passed, and the big days of Diwali are behind us, we are seeing actually momentum accelerate from Q2 to Q3.

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Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark institutional equities. Please go ahead. Tejas Shah: Sir, first question is, on most operational parameters or even in our commentary, we seem relatively positive versus the larger basket of consumption, not even only QSR that we would have heard this quarter. So, would you say this optimism is primarily driven by the positive response that we are seeing to our interventions? Or our read on the demand sentiment itself is different from what the broader street has? Sameer Khetarpal: Tejas, thanks for asking that question. I am no economist to correlate to that, I will definitely firstly give credit to my team who have worked on five different elements to bring it together. Number one is, our investment in technology. So, like I said in my last few

earn ing calls that we have doubled down on our app, microservices based architecture, removing defects. So, that was one piece on our app. Second was, we moved from four regions to seven regions, therefore, we have tighter control over stores, and the service quality has improved. Number three was, three quarters ago we launched a new campaign, It Happens Only With Pizza, so we have increased our investments in marketing. Through sharp data analysis, we learned that delivery fee is a big barrier, and therefore we very carefully waived-off delivery fees but recovered it partially in packaging charges, so that gave in set of new customers. Number four, I would say that the sheer execution on big days and getting these riders onboarded through technology and the sheer will of the team, I think this is what is playing out. Lastly, we have increased the pace of product innovation as seen in Cheesiken in South India and Volcano Pizza. So, all of this is coming together. When I hear the commentary of QSR players or broader FMCG space, I think my guess is as good as yours, the sentiment is obviously quite different. So, therefore I am calibrated, but we are seeing positive momentum continue in Q3. Tejas Shah: Sir, second question, the way all these food delivery companies have built up capacity and capability, both led by their quick commerce exposure in terms of faster delivery, and then we are seeing one of the quick commerce players is now kind of cross

pollinating that in one of the food-delivery offering also as a 10-minute ready snack kind of delivery. How do you perceive this threat? And the 20-minute promise that we had started as a very discretionary fact, do you think that it will become a necessity to be competitive in the market? Sameer Khetarpal: See, customers love free speed. I am always a very big believer of that. So, firstly, we have the network to boost the limits of speed, right, on a very large menu. Our philosophy on technology

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has been that we have to ride on all sorts of technology, whether it's aggregators, ONDC, our own apps we are present everywhere. So, any technological asset or a wave that we are in, as Jubilant and we are fully prepared to go and participate in it. I genuinely believe if somebody can actually deliver faster speed with the 2,100 stores network in about 450-odd cities, it is Domino's. So, I worry less about it. I love that challenge, Tejas. And we are evaluating it. There is no reason why we will not participate in it. Tejas Shah: And Sir last one, if I may. In our store addition, Dunkin' seems to be subdued versus the rest of our portfolios, so any insights there? Sameer Khetarpal: Yes, firstly, there is tremendous opportunity in Domino's, and we intend to double-down on it. Then I have said Popeyes is one area where we will accelerate and we are opening stores, very encouraged by the results, all our stores open at a new high, and we are very satisfied with that. For Hong's and Dunkin' I want to drive store economics and profitability, right. And once that model is proven, we will definitely expand. So, there is no reason why we will not do it. But at the moment the teams are focused on getting the margins, ADS' right. And again, no cost for alarm over there, all on track, but no expansion story there either. Moderator: Thank you. The next question comes from the line of Shirish Pardeshi from Centrum Broking. Please go ahead. Shirish Pardeshi: Just one observation, over last one year we have entered into 50 new cities, and I am just trying to look at the slide which says that delivery channel revenue has grown up almost 15.9%. So, I have this question, specifically this 50-new cities, are we now getting into less than 1 lakh population, that's the growth area we have found out? And maybe if we can give how these new cities, the SSGs or LFL can happen like over next two to three quarters? Sameer Khetarpal: Yes. So, firstly, Shirish ji, I think these new cities are still very

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large cities and sometimes when we look at it internally, we actually laugh, for example we were not there in Ayodhya before, Right now, looking at data, I think we can open four or five stores in Ayodhya, to be very honest, right. One of the smart cities in Gujarat is called Dahod, right, and we were not there. So, it's one of the 20 smart cities in India. Similarly, we were not there in Vrindavan and now we have opened a store there as well. These are all high footfall cities which are becoming bigger and expanding. And I believe we can actually add more stores in these cities, and these cities are more than 1 lakh population at the moment. We not only get favorable rentals, but, these stores have higher dine-in proportion, and we are the go-to destination when it comes to international cuisine experience. On LFL, we continue to see slightly higher LFL because we had some different pricing in these cities. So, we are very, very happy with it. We will continue to expand into new cities.

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Shirish Pardeshi: The reason I was asking, the addition of 50 new cities and if I look at the Y-o-Y addition of stores is 191. So, I was more curious that 50 new cities would have started with maybe one or two stores, that's the way we should look at, or more number of stores? Because you just alluded saying that in Ayodhya you have opened four stores. Sameer Khetarpal: No, what I am saying is, sorry, maybe I was not clear. So, a new city is defined for us where earlier we have zero stores. So, whenever we open one store, that becomes an existing city. So, Ayodhya is a new city because we did not have a store over there. So, now if you open the second store, we will not count it as an existing city. Shirish Pardeshi: My second question on the DP Eurasia. I think the system sales have been little muted and even LFL. So, how we should look at the second half for the year? And maybe some more color, because almost 89% of our stores are franchised-led, so maybe in terms of revenue projection and the margin performance for next half. Sameer Khetarpal: Yes, we refrain from giving guidance, but let me give you some color. So, firstly, it continues to be a PAT accretive business as PAT margin was 10.5%. And as you see the teams continue to expand margins despite coordinated fiscal and monetary tightening by the Government. COFFY margins have also improved materially, and we are expanding stores also. So, now the quarter-on-quarter growth seems muted, largely because of higher base. I expect this to kind of change in a couple of quarters. So, there is no cause of alarm, because we could see Q2 of last quarter, last year, was a very high base for them. In fact, the average weekly throughput per store last year was very high and which was not the norm. So, again, happy with the performance. In terms of color, I would only say that the like for like should only improve from here and the team is on track to open new store, and the EBITDA margin should remain broadly in line and PAT around 10%. Moderator: The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead. Devanshu Bansal: Thanks for the opportunity and congratulations on growth acceleration in first few weeks of Q3. Sir, I wanted to check the delivery channel order count growth is at 30%, right. So, wanted to check your view on whether we are gaining share versus other participants in the online marketplace. So, if you could comment on that, please. Sameer Khetarpal: I think if you look at even the value growth, volume growth or SSG, right, of all the listed players, right, and even the store growth, so definitely we are gaining share, Devanshu, all indicators are pointing to that, and also confirmed by our own internal research. Moderator: Sir, Devanshu seems to have dropped from the queue. We have the next question from the line of Aditya Soman from CLSA. Please go ahead.

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Aditya Soman: Sir, just one question from me. I think in terms of ADS, when I

compare the ADS of let's say 1Q '24 that you reported today versus the 1Q '24 that was reported earlier, there's a gap, and it's similar for preceding quarters. So, why is this happening? Why is the ADS for older stores reported today lower than what was reported earlier? Lakshya Sharma: Aditya, we report ADS of mature stores. So, whenever an existing store – mother store - is unable to serve the consumer demand and is bursting at seams, its delivery area is split to open a new store(child store). We remove the mother store also from prior quarters in the base for like-to-like comparison on ADS trajectory and therefore we present a full series of prior quarter numbers as well to you. This is a recurring metric which we have been reporting for almost eight quarters now. Moderator: The next question is from the line of Ankit Kedia from PhillipCapital. Please go ahead. Ankit Kedia: Sir just one question, we are seeing a structural shift towards delivery from dine-in or take

away. Do you think it's time to experiment with dark stores with only delivery channels? And would the unit economics of these stores be significantly better? Sameer Khetarpal: Yes, I think that's a constant debate that we have and it's not that we have not done it. So, we have three multiple store formats. So, there are mall stores. Second, there are full high street stores, which is about 1,100 in metros and about 1,500 in Tier 3, Tier 4 cities. In the latter case, when we are entering into the city for the first time, we have larger dine-in space over there. Then what we have is a delivery and carry out store. So, the best payback period are in stores where there is not only just delivery, but where customers can walk in and carry out. So, these are 700, 800 square feet store and the kitchen size is about 400 square feet. So, what we do is we add maybe eight or 10 covers for somebody to sit and eat. Those are even more positive from an ROI standpoint. So, I think the brand power is so strong that it does not make sense for us to have dark stores. In fact, we experimented with few dark stores and in fact customer found that and walked up the stairs and said, why cannot I carry an order from here. So, we do get like some incremental sales from carry out, always good to have that in the mix. Moderator: Thank you. The next question comes from the line of Latika Chopra from JP Morgan. Please go ahead. Latika Chopra: Two questions. The first one was, if you could talk a little about the cost trends for your business in terms of raw material, it seems gross margins have been fairly stable sequentially. And also on rentals and employee expenses, if you could give us some sense on any potential levers for margin improvement from current levels where we have been for the past three quarters other than, of course, the LFL improvement. And the second question was on Popeyes, you mentioned you would look to accelerate the business there.

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Sameer Khetarpal: Latika, on the first one, the raw material price inflation overall has been benign and deflationary in some categories with the exception of vegetables where costs are elevated. Cost controls are also in place with Project Vijay, as has been called out to offset the impact. The rentals, I would say, with seven regions the teams are better positioned to scout for rentals and properties which are lower than the average for that region, so I feel good about how the teams are executing over there. But definitely wage inflation is high. And what we have done over there, we have increased our store productivity inside the store by almost 30%, 35% in the last four quarters. So, there's a concerted effort that went into it through technology, also partially aided by the increased throughput per store. So, net, net, I think what you see the dilution in margins at an EBITDA level is largely on account of mix change to delivery, and we are waving off almost Rs. 40 per order. I think that's the only thing, rest everythi

ng we have been able to kind of manage through internal efficiencies. But I do expect raw material prices to kind of go up in Q4/Q1 timeframe. So, again we have to gear up for more tightening of the belt over there and we have to find efficiencies. Popeyes, I think given that we are still in a nascent stage, we are looking at trends all over the world, Latika, how is Popeyes doing in Turkey to US, to all the other countries where they are opening. Popeyes in India stands for bold flavors and therefore a lot of new product launches and innovation around range of chicken wings, hot and messy range. And we continue to double down on it. We have also increased our pace of expansion in malls and in high-street, as we see the throughput for some of the competition, has very rapidly moved towards delivery. We are also reducing the store size so that the stores are more geared towards delivery. Very happy to note improvements on three dimensions, number one being gross margin improvement at about 50-odd stores, we are actually very close to competition over there on gross margin. Second is our store CapEx has come down, because we have localized it a lot, we have fine-tuned the equipment, we have reduced the kitchen sizes and civil work, so that work has happened. And number three is our own delivery, right. So, a large part of Domino's strength is their own rider fleet and delivery capabilities. We have been able to replicate that, and in fact within the Popeyes world we do not even measure 30-minute delivery, we only measure 20-minute delivery. Latika Chopra: Alright. Well, that's good to know. Just one follow-up on your comments on the cost structure, as you have mentioned that you expect inflation probably in Q4 and Q1. At a broader consumer industry level, we are starting to see pockets of inflation, companies trying to pass on some bit of pricing. Just trying to get comfort or better understanding that if inflation hardens, other than your cost saving measures, would you be open to consider pricing as a tool, considering the over the last now I think four to six quarters you have not seen any pricing, right, so any initial thoughts there?

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Sameer Khetarpal: Yes, we have not taken a price hike since nine quarters. We have established a very sophisticated pricing center of excellence to look at pricing in various pockets. Lot of this learning actually comes from Domino's Turkey, which because of operating in a high inflation environment has to review pricing on a fortnightly basis. So, we are shamelessly copying from what Turkey team has built and building that capability in India. And there is no reason Latika, that if inflation is high and we see pockets where we can take price increase with increased throughput per store, we will take the call at the right time. But I think the message that you should take is, we will be relentless on growth. Moderator: Thank you. The next question is from the line of Akshen from Fidelity. Please go ahead. Akshen: Congratulations on relatively stable SSSG in this environment. My question was pertaining to margins. Now, as you have indicated, SSSG is sort of inching up a bit for you in the second half. How should we be thinking about margins? So, you are at 3.5% PAT margins today on standalone, close to 3.7% on consolidated. Your peak margins have been 7%-8%. Do we see margins go back over there second half, some handle on how do we think about margins? Because right now, frankly, it feels like orders are growing because you have cut delivery charges and the margins have come off because of that. So, we have seen better order growth in revenue, it's not translating into better profit growth. So, just some better understanding over there would be really helpful. Thanks. Sameer Khetarpal: Definitely, I can talk and then Suman can share her understanding. See, off course we want margins to increase, right, it's not that we do not want margins to increase. So, when you look at PAT, there a

re two elements that have gone into PAT. One is, we had debt on our books, so there is an interest element. And second is, also we said that we were in a high CapEx cycle, so there is additional depreciation that comes in over there. Pre-IndAS-116 EBITDA is a relevant metric which we report to track progress on this front. But like I said, I do not want to lose the growth momentum at this stage. If we can gain market share, definitely. And LFL at some point will get into margins, so there is no reason why it will not, we are seeing that in pockets also. Suman Hedge: Just to add to what Sameer said, Q4 FY '24, pre-IndAS-116 EBITDA was 10.9%. And we also said with the delivery charges being taken off, with all the investments that

have gone, like Sameer said, on commissaries, on our front-end tech, on setting up a new regional structure, and the investment we did pre-cycle of momentum of growth coming back are now baked in. From there, if you see quarter-on-quarter, the last two quarters, there has been an improvement, albeit minute but still we are seeing modest expansion while we continue to keep our pricing under check. I think in this environment, and we said in the last quarter as well, it is a growth to capture and consumers are looking for value proposition. And if we get that franchise going, in time the

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margins will follow. But I think our focus right now is growth. And of course, the absolute profits that this business will generate in a market like India where demand is currently muted. So, in the short term, if you ask us a point-blank answer, I think it's not about margin being on focus. Of course, we would like to maintain and maybe modestly keep improving it through internal productivity initiatives that we take. But the focus is on doubling down on growth and getting whatever demand is out there to take. Akshen: Appreciate the answer. If I may be allowed just one follow-up. I get that prioritization of top line and growth is the right strategy at any stage in the cycle, especially now. I think where the disconnect is that when street looks at your numbers, people are thinking about a V-shaped recovery to 15%, 16% margin second half, next year, as it were. And from what you seem to be suggesting that we will be a little more gradual. I just wanted to be sure that the expectations are set right that that level of margins will come at a significantly higher ADS levels. Is that understanding fair? Suman Hedge: Yes, it will be a gradual recovery on margins because we continue to invest behind the brands, yes.

Moderator: Thank you. The next question is from the line of Sheela Rathie from Morgan Stanley. Please go ahead. Sheela Rathie: My first question was with respect to the new store format which we are opening. On an average, what would be the size of stores or what could be the range of store sizes with respect to our opening? Sameer Khetarpal: Sheela, again, it's not that we have gone into a university first time, right. I think six quarters ago we have shared a picture from container store at IIT Bombay, right. And so that model once we experimented, now we have the confidence. These are container store and we can have multiples of containers depending upon the demand. So, each container is about 600- 700 sq ft about that in that range, right. Airports is largely a food court kind of a model, so whatever space you get, 450 to 600 square feet, that is the space. University campuses, some university campuses where we can actually build a full restaurant, whatever is available. We look at how many white spaces we have, what is the student count and the footfall. So, that is what we are more focused on. The economics are very positive on all of the formats. So, we keep a threshold of payback period, and then we try to fit in whatever space is available at the right rentals. Sheela Rathie: Would it be fair to say, Sameer, that over a period of time the ADS numbers may look on the lower side, even though what we

are trying to do is optimize in terms of store expansion? Sameer Khetarpal: This is one way to look at it is if the management does not do any intervention, right. So, if we do interventions for lunch, for example, that's quite accretive. If we start selling chicken, right,

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and chicken as a percentage of sales for Domino's worldwide, it's quite material, right. And if you bring those, it will be increment. In fact, we had a very low share in the late night daypart, right, post 11:00 PM sales. So, now our stores are open from 11:00 PM to 3:00 AM. So, that is all incremental. So, I would like to challenge myself and my team, can we push the ADS up by having the right set of launches, right occasions, and of course making big days bigger, right. I mean, if you continue to do that, then the store ADS is only going to go up. Sheela Rathie: Understood. My second question was, we have done a lot of interventions, and I concur with what Suman had to say with respect to the value offerings. Are there thoughts around more intervention going into 3Q? Because, obviously, the delivery LFL growth has been strong for us, but do we need to do more interventions at the right price point, anything on the beverage side, to ensure that we can see the growth coming back in a big way? Sameer Khetarpal: Absolutely. I think, Sheela, thanks for putting words in our mouth. I think everything is an opportunity, why stop at beverage, desserts are such a big opportunity. Then why stop at desserts, chicken, rice, snacking, lunch and many more, right? These are under works which are huge, huge opportunities. I think what we have learned is consumer at this stage are seeking an enormous amount of value. And for a given threshold experience, if the value is there, then you will start becoming first among equals. And that is what we are beginning to see in our data. Sheela Rathie: And my last question, and just trying to verify, Sameer, you sounded more positive on 3Q with respect to the demand trends, or is this something to do with the base effect? Sameer Khetarpal: See, I look at store ADS and store volume, right, that's the metric what I look at, right. And where I stand is where I sit, right, so I look at quarter-on-quarter. So, from that perspective, I am more bullish on the internal performance. And base to me does not matter, right. I mean, are we improving quarter-on-quarter, that is what I am most interested in, and the answer to that is yes. Moderator: Thank you. Ladies and gentlemen, we will now take the last question, which will be from the line of Vishal Gutka from HDFC Securities. Please go ahead. Vishal Gutka: My question is specifically on new launches. I think you have really pushed the pedestal on new launches, interesting launch have come up. I have one main question, then sub-questions. So, all the response overall for a new launch and the trajectory going forward given that you called a lot of white spaces. Two specific questions, one on Domino's Cheese Volcano. So, what we have garnered from our checks is that, although the experience is excellent while dining-in, in case when you deliver at home there is some challenge that is there, how do you plan to address that? Otherwise, the product is an excellent product.

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And the second question is on cheese burst. So, recently for your hero product you have brought in some new launches, three new flavors you have brought in. So, wanted to get a sense, how is the consumers' acceptance to those products? Thank you. Sameer Khetarpal: So, thanks for the feedback, Vishal. If you do encounter any feedback in delivery, experience in delivery, let us know. Of course, this product is best experienced fresh out of the oven. But I will give credit to the teams to practice the delivery for this product for three months, right. We had to change lot of our bikes, train our workforce. Of course, there can be slippages. I am not saying there are none. So, I think, we look at the satisfaction. In

fact, this is a product that has been launched in at least 10 countries. And the customer experience or customer satisfaction scores are actually highest in India, and it has continued. We thought this will be a limited time offering, but we are very

surprised by the sales and the love that Gen-Zs have for this product, right, it is the most Instagrammed product in our portfolio. And therefore, it has continued well beyond what we thought was the right life for it. So, we have grandfathered it on our menu. So, therefore, it has exceeded our expectation. I think the consumer insight from the marketing team was that when customers think about Domino's, they think about craving, they think about cheese. And the Volcano launch proved that, and therefore we took that during Diwali and the festive period to most loved cheesy portfolio called Cheese Burst, and with Korean, Makhni and Fiery Cheese Burst flavors in pizzas, translated also to garlic bread. So, we have dramatically increased the pace of innovation giving more crave-worthy products and Instagram-worthy product to Gen-Zs. I think very happy to note, and that's why you see the confidence in our tone when we look at Q3 to-date performance. Vishal Gutka: Sir, and any more, although you are working on new launches, I think lot of ground has been covered in what do you call last six months. So, any meaningful launch shall we expect on the core pizza, or now for time being I think you are done with it? Sameer Khetarpal: I think, of course, we want to accelerate. So, these are all core pizzas, by the way, these are not Pizza Mania, these are all core pizzas. Cheese burst is type of a crust. We actually, again, through marketing insights the team realized that this is under indexed, it's a hidden jewel as we call it inside, therefore, we brought it up. So, it's again a core pizza, this is all high-quality cheese products that we are giving. And same way there is more in works, you will be surprised by the pace of the innovation. Vishal Gutka: And just one last question, Cheesiken, I believe it was launched in Tamil Nadu and Kerala, which is the other state? Because you mentioned three states, I just wanted to check the other state where you have launched.

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Sameer Khetarpal: Andhra Pradesh, Telangana, Karnataka, Tamil Nadu, and Kerala. It was launched in East also last week.

Moderator: Thank you. Ladies and gentlemen, this brings us to the end of the question-and-answer session. On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2025

JFL/NSE -BSE/2024 -25/76 February 19 , 2025

BSE Ltd.
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of Earnings Conference Call
Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letter no. JFL/NSE -BSE/2024 -25/74 dated February 12, 2025 and pursuant to Regulation 30 of the Listing Regulations, please find e nclosed herewith the Transcript of Earnings Conference Call for Analy sts and Investors held on Wednesday , February 12, 2025 for Q3FY25 and 9MFY '25 results and business updates.

The transcript is also being dissem inated on the Company's Website at:
www.jubilantfoodworks.com

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E -mail id: investor@jublfood.com
Encl: A/a

Q3 and 9M FY'25 Earnings Conference Call Transcript

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Moderator: Ladies and gentlemen, good day and welcome to the Jubilant FoodWorks Limited Q 3 and 9M FY '25 Conference Call.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Lakshya Sharma. Thank you and over to you, sir.

Lakshya Sharma: Thank you, Darwin. Good evening, everyone. And welcome to Jubilant FoodWorks Limited's Q3 and 9M FY '25 Earnings Call for Investors and Analysts.

We are joined today by senior members of the Management Team including our Chairman – Mr. Shyam S. Bhartia, our Co -Chairman – Mr. Hari S. Bhartia, our CEO and MD – Mr. Sameer Khetarpal, our CEO of Turkey Business – Mr. Aslan Saranga, our CFO – Ms. Suman Hegde. We will commence with key thoughts from our Co -Chairman and turn to our CEO and MD to share his perspectives. After the opening remarks from the Management, the forum will be open to question -and-answer session.

A cautionary note, some of the statements made on today's call could be forward -looking in nature and the actual results could vary from the statement. We will also share the replay and transcript of the call on the Company's website under the Investor Relations section.

I would now like to invite Mr. Hari S. Bhartia to share his views with you. Over to you, sir. Thank you.

Hari S . Bhartia: Thankyou Lakshya. Good evening, everyone.

The Q3FY25 was actually a really defining quarter for the company with consolidated revenue of Rs. 21.5 billion, aided by a very strong Domino's LFL growth of 12.5%. We have delivered an exceptional result in Quarter 3. This really demonstrates the strength of focused execution of our strategy and the unwavering commitment of our team members.

Our strategic framework built on two pillars is yielding results ahead of the market:

#1. Strengthening Domino's

Multiple initiatives have been taken to strengthen Domino's business. We transitioned from four to seven region structure in quarter two last year, this made our operations more agile, and

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enhanced team performance and effectiveness. We revitalized our brand with "It happens only with pizza" campaign to win on occasions and expand the pizza category.

We redefined the delivery experience with the launch of 20 -minute delivery and delivery fee waiver, fundamentally enhancing the value proposition of Domino's. Accelerated pace of product innovation to continuously delight our customers. These initiatives helped us achieve new peaks and deliver a great growth momentum to the business. In Turkey, Domino's continues to gain share and expand network.

#2. The second pillar is accelerating the path to profitability for emerging portfolio brands COFFY is on its way to become top five cafe brands in Turkey. And during the quarter, it achieved a significant milestone by becoming the first emerging brand from our portfolio to surpass 150 store mark.

In Popeyes, we expanded the network. We are equally focused on reaching the desired unit economics and payback periods. We are progressing well on our path. Even in the software demand environment, we have continued to make investments for store growth and technology and absorbed cost to deliver value to customers. We see this benefit in higher like -for-like growth in Domino's business. With consumption picking up, we are confident of our growth journey.

I will now invite Sameer to provide a more detailed perspective on our operational performance and strategic initiatives.

Sameer Khetarpal: Thank you, Mr. Bhartia. Thank you, Mr. Bhartia. Good evening, everyone. Q3 was a landmark quarter for our Company, marked by record performance for our Domino's business.

This exceptional performance is a testament to the focused on -ground execution of our strategy and the unwavering dedication of our incredible team. From our food parks and stores to our technology and delivery teams, every member of the JFL family played a vital role in delighting our customers during their countless celebrations encompassing but not limited to Diwali, Christmas and New Year. Their commitment to excellence fuels our success and positions us for continued growth.

Performance Summary

This is a quarter of new highs. Not only in Revenue but also in same store sales growth, store expansion, app traffic, app conversion, customer loyalty, new customer acquisition and highest absolute EBITDA.

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Group System Sales, our measure of overall consumer sales across our owned and franchised network, reached Rs. 24.1 billion, a healthy 6% increase quarter -over-quarter.

Consolidated revenue came in at Rs. 21.5 billion, up 56.1% year -over-year. The organic growth came in at 19.4% while the rest was on account of DP Eurasia sales not being in the base.

Standalone revenue was Rs. 16.1 billion, up 18.9% year -over-year. Our total store network now comprises 3,260 stores, with a net addition of 130 stores during the quarter with 67 net store addition in India and 63 in international markets.

India Segment

Domino's India delivered an exceptional performance this quarter, achieving its highest -ever sales.

Led by our own -app and food -tech capabilities, Revenue surged by 18.3% year -over-year, fuelled by an impressive 33.8% increase in order growth. New Customer Acquisition grew by 55.4% and we have also started to see the benefit of compounding through repeat s.

LFL sales grew by a strong 12.5% year -over-year, driven by exceptional Delivery LFL growth of 24.7%. Mature Store ADS reached a high of Rs. 85,959.

I am also delighted with the enhanced pace of targeted product innovation and proud of how operationally complex products like Cheese Volcano are also being rated very highly on delivery.

During the quarter, we introduced three new flavours to our popular Cheese Burst range, further enhancing our pizza offerings.

Learnings from US and other Domino's market suggests a strong salience of Chicken items along with Pizza. We are materially under -indexed on this salience and hence we see a big opportunity unlock. Like Pizza, wings and other chicken feast items are shareable and add to higher ticket and customer repeats. We were patiently perfecting customer value proposition in South India and have now launched the Chicken Feast range nationally starting at Rs. 99 along with a ATL campaign.

We believe this new range will drive incremental occasions and help us serve new customers.

Our digital engagement teams continues to grow, quarter on quarter with nearly 14 million monthly active users (MAU) on the Domino's India app. App installs also saw impressive growth of 28.6% year -over-year, reaching around 12 million. To help you better appreciate the scale of our rider management platform, in December, we had 46,700 monthly active riders, which

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was up by ~50% from last December, helping us meet high consumer demand. This also underscores the power of our digital platform to manage variable peak loads and allowing us to deliver in 20 minutes.

We are progressing well against our network guidance. We opened 60 net new Domino's stores in India this quarter and entered 19 new cities, ending with a total network of 2,139 stores now serving guests across 466 cities.

The competitive intensity continues to be strong along with inflationary pressures. The Gross Margin came in at 75.1%, lower by 160 bps year -on-year on account of higher food costs for some of our new product launches, inflation, sharper discounting during big-days, and the waiver of delivery charges, not in the base.

Standalone EBITDA reached Rs. 3.1 billion, up 10.6% year -over-year, with

an EBITDA margin

of 19.4%, lower by 145 bps year -on-year and flat quarter -on-quarter. Importantly, our pre -Ind-AS-116 EBITDA margin at 12.4% is improving continually since the last four quarters and was higher by 70 bps quarter -over-quarter.

While we don't separately disclose brand -wise EBITDA, we would like to mention that Domino's India Pre -Ind-AS-116 EBITDA registered mid -teen growth yoy despite free delivery and growth investments.

International Segment

In our DPEU markets (Turkey, Azerbaijan, and Georgia), system sales reached Rs. 7.5 billion, with Domino's Turkey contributing Rs. 6.7 billion followed by COFFY system sales at Rs. 801 million.

I am excited to share with you that DPEU Revenue crossed the milestone of Rs. 5 billion for the first time registering a strong 9.5% qoq growth.

We believe the economy in Turkey is headed in the right direction as the Government has brought down inflation from 64.9% a year back to 42.1%. However, this has also led to lower wage revisions. In high inflationary environment, wage revision triggers an immediate consumption boost.

Despite these headwinds, the Turkey team delivered competitive growth.

Domino's Turkey LFL growth came in at -3.2% on the base of 18.9% LFL in Q3FY'24. COFFY LFL growth came in at -2.6% on the base of 27.7% LFL in Q3FY'24.

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For the nine -month period, DPEU revenue reached Rs. 14.3 billion, with an EBITDA margin of 23.0% and a PAT margin of 7.2%.

We've achieved a significant turnaround in Sri Lanka, with record revenue of Rs. 213 million in Q3, up 65.4% year -over-year. This strong performance is entirely driven by same -store sales growth, as we strategically paused network expansion to focus on optimizing our existing stores. Key initiatives such as strategic store relocations, exciting new product launches, and focused local marketing campaigns have fuelled this impressive growth. In Bangladesh, the revenue was Rs. 173 million in Q3, up 38.6% YoY, scaling a new record.

For the nine month of FY25, Consolidated Revenue came in at Rs. 60.4 billion, up by 48.0% with EBITDA of Rs. 11.8 billion, up 42.1% year -over-year translating to an EBITDA margin of 19.6%.

In closing, we are pleased with our Q3 performance which has helped us elevate the YTD trajectory of the business and remain focused on technology, delivery, innovation in food and winning store by store and pizza by pizza.

We believe single minded focus on having technology and fast delivery capabilities are contributing to ahead of the market performance. These are strategic moats for us and we will continue to invest ahead of the curve. We see the momentum build from Q2 to Q3 and Q4 as new acquired consumers begin to compound and order more frequently from us.

With that, I will request moderator to commence the Q&A session.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: Hi, Sameer. Hi team. Thanks for the opportunity. And congrats on a good set of numbers. Sameer, the first question is, our delivery is gaining traction and then doing phenomenally well. But despite multiple interventions that you would have done in last few quarters on dine -in, that is not responding as expected. So, any insights on that? Any challenges or competitive landscape which is different from delivery here?

Sameer Khetrapal: No, I think, Tejas, firstly, I will not say it is not responding, it is actually responding. Our in -store lunch average weekly orders are highest in the last two and a half years. So, as you would recall, we have launched a Rs. 99 four course meal available only inside the store during lunch hours. And there are many stores where I get customers line up to get it. And after 3:00 PM there is little bit of a push back from customers why it is not available post 3:00 PM. So, dine -in, if you look

at our on -premise

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sales there are two components; customers who come in to eat, get their pizza, sit down and then leave; and there are customers who come in and do a take -away.

The take -away channel or the customers coming in for take -away, that helps actually moved to complete delivery, and understandably so, since delivery is free. As the bases get corrected, we are very confident the dine -in will also improve. In fact, the store experience, the new stores that have come in with higher quality materials, focus on store experience, greetings, all that is paying off. We see it in our numbers. I think it's a matter of a quarter or two you will also start seeing it.

Tejas Shah: Sure, very clear. And second and last. The LFL and margins relation here. So, LFL recovery, just wanted to understand, a very technical angle also here from here on as most of our split stores which were not part of LFL club for the last two, three years must be returning, and those are usually good locations which were split. And hence we are seeing very sharp recovery in LFL, but commensurate margin expansion is not happening, or there are any other reasons? Because we expected with this LFL much higher margins in this quarter.

Sameer Khetrapal: See, the overall demand scenario is muted, right? So, I think with that, we have taken four conscious calls to expand ahead of the market to get a market share and acquire new customers. For these four interventions are following, firstly, give more food through cheese, cheese burst and volcano pizza to customers. So, therefore, we are engaging on with Gen -Zs and we are acquiring new customers. Second intervention was to increase our marketing investments in fixed advertising above the line investments. Third is, we do not want to lose share on aggregator platforms and, therefore, we are matching the comparative discount that is happening on that platform. And fourth is free delivery, right, and partly we have recovered through packaging charges and internal tightening.

So, all these four are very conscious choices, right. And it is investment for growth and investment for new customers that we are acquiring. At anytime, I think we are very easy to kind of dial a bit down and let that flow. But I want to assure you, Domino's P&L is actually getting the leverage. Maybe slightly lower than what we would like, but these are all investments for growth and you will see compounding happening and this flowing to the bottom lines. We are very clear about how and when this flows to bottom -line.

Tejas Shah: Yes. And if I may squeeze in one last, Popeyes four store addition in the festive quarter looks underwhelming. So, any plan of scaling up there?

Sameer Khetrapal: Yes. So, I think we have drawn up a list of the top 100 locations and it is a matter of finding those

locations. So, let me assure you, the average daily sales for Popeyes is improving, margins are improving, CAPEX is actually materially low from where we started. I think getting the location is a one-way road, right. If you get a wrong location then you have to like live with it for a long time, and therefore we can open 100 stores as long as we get those 100 locations. And some of the locations, like that we opened like Pacific Tagore Garden, right, in Delhi, right, these are testimony of outstanding locations and these stores are exceeding our expectations.

Tejas Shah: Perfect. Very comforting. Thanks and all the best for coming quarters.

Sameer Khetrapal: Thank. Thank you, Tejas.

Moderator: Thank you. Next question is from Jignanshu Gor from Bernstein. Please go ahead.

Jignanshu Gor: Hi, Sameer. Congratulations on a strong quarter. I think I had one question on the gross margins. So, what has contributed to that? And do you expect improvement in gross margin as we go forward, either in the form of price increases or in terms of premiumization of installed customer

s? So, how

would you think about that?

Sameer Khetrapal: Yes. I think internally we are targeting the 100 -basis point improvement of gross margin, right, in the next two to three quarters, right, that's what we are planning to do. There are named initiatives on correction of wastages, on correction of others like packaging material, etc. So, there are multiple initiatives on that one. We are also seeing where we can tighten the discounts, right. So, definitely it should improve, in my opinion. The reason is very simple on gross margin actually, it is, we did not want to lose share, but we have gained share, as you can see from the numbers. And it's a very conscious choice. And then part of it is also delivery because there is a base you are probably comparing quarter -on-quarter, but this period generally has more discounting, right, because everybody is on air, they are giving deals. So, part of it is festive period also, which should go away starting obviously January.

Jignanshu Gor: Okay, fair. I think the second question was in a way similar to the previous one on Popeyes, right, that we had a medium -term target for 250. So, is it fair to say we are figuring out our product market fit there? Or do you think like what drivers are you looking for to determine that this is now a growth story versus still trying to find where is our positioning within the QSR space?

Sameer Khetrapal: No, I think to me there is definitely no challenge on customer value proposition, product market fit. I think there is a huge headroom driven by one large competitor in this space. I think it's purely

about execution. So, India is a 70% chicken eating market, we started in South and therefore that's the right place to start, that's where the densest of the market and highest ADS per store is there. We are presenting Kerala, Tamil Nadu, Karnataka, Telangana, these are the right places to be in. We have come to NCR; we are looking to launch in Mumbai. So, it is about finding the right location. We fixed a lot of unit economics in the last three or four months. We expanded the team. I have already put in a team that will carry it from here to Rs. 1,000 crores. So, absolutely no bearishness on the outlook for Popeyes, we just have to find the right location, that's all. And if we find 20 right locations, we will build 20 stores. And we are in several discussions with all the right properties that we want.

Jignanshu Gor: Okay, fair. Are you looking at Popeyes also as a largely delivery -led model or do you think dine -in is where that will be focused on?

Sameer Khetrapal: See, the learning from rest of the world and Domino's is that on high -street when I look at some of the great competitor brands who are more dine -in focused, their dine -in or on -premise business is declining. And delivery tailwinds are universal and world wide. So, what we have done, we have refitted our store size to about 1,200 square feet on high -street. As you know, we have our own app, our own app salience is growing, and like Domino's we deliver at Popeyes. So, delivery will grow, right, that's a universal truth. So, we have to be present in the right locations in malls where there are footfalls, and we have to be in the right locations with the right CAPEX model, delivery -led stores in the high street. And both we know how to do it. And second one is a Domino's playbook, and we are shamelessly copying over there.

Jignanshu Gor: Okay, fair. Let me settle back for more. Thank you so much, Sameer. All the best.

Sameer Khetrapal: Thank you very much.

Moderator: Thank you. The next question is from Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: Yes. Hi, Sameer and team. And, again, congratulations on a great set of numbers. Now that we have seen good evidence of your strategies working out in terms of consumer traction, would it be reasonable to expect these levels of LFLs to sustain going

ahead? Or are there some base effects and

other things which we should be cognizant of in terms of how we expect this to move ahead? And also a linked question to this is, as you rightly said, you have invested a lot to get this growth. Would you want to like dial back that investment a little bit, focus on margins and therefore that could be a reason why the LFL could be a tad lower than what you have delivered this quarter going ahead?

Sameer Khetrapal: No, I think all sets of great questions, Arnab. That's a constant balancing act we have to do as operators

of the business, right. And when we realize the like-for-like growth for the entire industry is tanking, we had to look at for some self-help measures and we went all guns blazing, right. And now we are seeing that growth. We are now balancing in terms of margins should also flow in, we should get the leverage. And trust me, the teams are focused on it.

In terms of momentum, right, we put a lot of fuel into the engine. So, it is growing. We do see growth momentum continue from Q2 to Q3 and Q4, right. So, from that perspective, I feel very good about the growth story. Margin story we will correct, like I said, I do not really worry on it. What will happen in Q1, Q2, Q3, right, some could be a base effect, but I do not think because delivery growth year-on-year is not a base effect. The way some of the stores, even after splitting we see they are coming back, getting into nearly 50-odd new cities in last three quarters is not a base effect. And in fact, I feel good about this. And the absolute profit is increasing, right, so it is not that absolute profit is coming down. So, our standalone EBITDA grew by almost 11%, right, despite investments in new brands. So, underlying business remains healthy. Margins, we can always come in. But I do not want to put off the pedal on growth. As the momentum picks up, I know this will flow through into the bottom line.

Arnab Mitra: Thanks for that detailed reply. My second question was more of a bookkeeping question. So, we are seeing a gap in the sequential trend in the pre-IndAS and the post-IndAS EBITDA margin. Could you just help me understand what has driven the trajectory change? And is it going to continue going ahead given how the accounting works? Or this should like start converging the trajectory, the direction would also start converging?

Suman Hedge: Hi, Arnab. Suman here, let me take that question. So, it is actually a very bookkeeping accounting point of view, right. We do understand in pre-IndAS 116 the rental costs are above the line. And rent costs are not increasing in line with the kind of growth we are seeing. So, if you look at the differential, predominantly all is coming from the leverage impact that we are not seeing in the post-IndAS numbers on account of leverage coming through in the P&L, it's 100% that itself, right. So, if you ask me, my view, if these kinds of growth continue, which is growth ahead of rental growth in the market, which at this point in time is lower than where our trajectory on growth is, we might see some of these headwinds going forward as well. Difficult to predict, of course, because it is an equation between two growth numbers. But this is a normative headwind. And hence, at the business we focus more on the operational EBITDA, which is the pre-IndAS number, because that's the right metric to chase.

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Arnab Mitra: Sure, that's very clear. Thanks, that's it from my side. All the best.

Moderator: Thank you. Next question is from Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi, sir. I just wanted to understand in the India business, what is the Y-o-Y decline in the average bill value? And how much of this is due to the delivery charge waiver and how much of it is due to down trading or any other impact?

Sameer Khetrpal: Yes. So, I think we do not disclose the average ticket

size. It is fair to assume the entire decline is though delivery charges, partially offset by packaging charges. So, the Domino's India revenue grew by 18% and the order grew by 34%, right, that should give you some indication. It is largely delivery, right, but it is also leading to 55% plus new customer growth, right. I think you have to look at these three in tandem, and this one customer acquired eats pizza three times in a year. So, that compounding we are seeing in our numbers because now this is the fourth quarter of free delivery. So, the customer that we acquired in Q1 of this quarter, now are we seeing those coming three times in a year? The answer to that is yes. So, therefore, I am very confident about this investment. And that to me will give us real leverage.

Percy Panthaki: Okay. So, the Average Order Value (AOV) decline is only because of the delivery charge waivers, there is no down trading. And there could be a third reason, there could be additional discounting in addition to delivery charge, so is that also one of the reasons, because 19% versus 34%, that differential is quite huge?

Sameer Khetrpal: Yes. So, I think it is there, but not too much. So, it is largely delivery-led and that is the only reason. So, what is down trading, right? Typically, we used to define down trading. If a customer eating a medium pizza goes to a regular pizza and a regular pizza goes to a Pizza Mania, right? That's how we define down trading. On the reverse, we are actually seeing an increased salience of core pizza ranges, right. Customers are moving away from Pizza Mania, right. And free delivery allows them to order more, and which we want customers to order more, if one pizza is over they want to get another pizza. It breaks the shackle of ordering more. So, I think, it is largely on account of free delivery.

Percy Panthaki: Got it. And if I look at it sequentially, that is 2Q versus 3Q, in 2Q itself this year was the delivery charge completely waived off? Or it was only partial and only in 3Q we had the full impact of delivery charge waived off?

Sameer Khetrpal: No, it was waived off during IPL last year, which was end of March 2024. So, we are almost nearing

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the anniversary of it. So, Q2 to Q3, the delivery charges have been the same.

Percy Panthaki: So, the sequential decline in gross margin of 100 basis points is mainly because of additional discounting and inflation, and has got nothing to do with any other thing?

Sameer Khetrapal: That's it. It is basically that. We invested in cheese, right, that's what we are saying, because we gave more cheese per product and that is the lever that we always have, right. So, we can always reduce the discount on those products.

Percy Panthaki: Understood. Secondly, I wanted to just touch upon international in the sense that if I do a consolidated minus standalone net profit, it is about Rs. 9 crores for the quarter and about Rs. 29 crores, Rs. 30 crores for nine months put together. So, Rs. 30 crores is about the net addition from the international business post the funding cost of the acquisition etc., etc. So, how do we look at this number going ahead into FY '26? Should we like grow it largely in line with the international top line, or is it going to have some other drivers in addition to that?

Sameer Khetrapal: No, there are no drivers. In fact, the nine-month numbers will give you an indicator of how strong the business is. We do not see any surprises over there. In fact, teams are working in this environment to have a better operating cycle and release cash from the system. We have said that by second-half of calendar year, ideally, we should also give them some dividend to. So, I think there is absolutely nothing over there, but I will let Suman give you more specifics.

Suman Hedge: Hi, Percy. Okay, so just on international business, you are right, I think in Quarter 3 we have seen a bit of

an aberration there. Now, we need to understand, I think you do, Turkey goes through hyperinflation accounting, right. There are a lot of inflation adjustment accounting entries which happen, so quarter-on-quarter we will see some increase, right. And hence Sameer alluded to the nine months number which is more representative on how the underlying performance of their business is. So, full year, like you asked, it will be more in line with the revenue growth which will come through how you should estimate the profit growth to happen, margins of course there could be slight improvement or flattish numbers. We are not estimating any declining margins coming through. But because of the nature of the business and the volatility in the accounting standards within Turkey, quarter-on-quarter we might see some aberrations.

Percy Panthaki: Even nine months basis there is about Rs. 30 crores difference between standalone and consolidated net profit. So, this is a tad lower than what we would have expected a year ago at the time of the acquisition, right?

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Suman Hedge: No, it is not actually lower than what we had expected at the time of the acquisition. Still, if you look at Turkey from a PAT margin perspective, it is highly accretive to where India standalone margins are, and that continues to be the case. Of course, we saw a bit of an aberration on Bangladesh business because where the improvement was being seen in the overall profitability, which took a hit because of the disruption on the ground. But if I look at Sri Lanka, that has improved its margins status, and even Turkey is holding on or just getting slightly better at a PAT level, right. So, full year, we should not see any deviation on that, and as well in fact it's doing better than what we were expecting in terms of expectations. The economy is strengthening, the business underlying metrics are improving, be it in terms of their inventory levels, which is ensuring that they do not have a higher cost coming out when the inflation accounting company next month in P&L, their interest costs are coming down, their debt overall is reducing. So, healthy shape of the business as the economy also recovers there. But yes, there will be variations quarter-on-quarter, which we can explain to you offline on how it works, but no real reason not concern there.

Sameer Khetrapal: Yes, I think that in summary, the Turkey business case is ahead of plan, right. So, I think the performance is ahead of the plan what we had envisaged.

Percy Panthaki: Got it, Sir. Thank you very much. That's it from me and all the best.

Sameer Khetrapal: Thank you.

Moderator: Thank you. The next question is from Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Hi, good evening. Sir, just one question from me. In your presentation, in the sort of mature store numbers, that's actually dropped for the last two quarters. This is a function of just higher stores splits?

Lakshya Sharma : Yes, Aditya, it always happens. In quarter one we have the highest number of store count. It progressively comes down by quarter four. In quarter one again of FY '26 you will see a higher store count.

Moderator: Thank you. Next question is from Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi, thanks for the opportunity. And congrats on a very good investment pick up. Sir, your aggression in market share gain is obviously not a good news for smaller competition that sort of popped up over last few years. I just want to check your views on the continuation of this ADS strategy of yours, and are we also sort of seeing initial signs of consolidation in the marketplace?

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Sameer Khetrapal: No, I think, I would say, what we control is our investments, our actions, and every company wants to grow market share, right. So, I think with that I do not want to step away from driving growth, because growth is the best help that you can

give to the business and also in terms of margins and cash flows, ultimately. So, in terms of competition, see this is how I see it when I just remove myself from my current position. The growth is definitely muted, right, for the industry and listed players

and the large players, to me, are actually doing better than some of the unlisted and smaller medium chains. There is a big question mark on dark stores. So, I do expect with this kind of environment business moving largely towards delivery, and competition of speed, whatever, 10 -minute, 20 -minute delivery increasing. Some of these business models are under threat. But that's my, more take, as somebody who works in this industry. And that consolidation opportunity to me is sooner than later. Devanshu Bansal: Understood. Very clear. Sir, the last question I sort of wanted to build on Percy's question. The difference between order growth and revenue growth in Domino's has increased over the three quarters, right. So, it was 7.5% in Q1, which increased to about 12% in Q2, and now it is 15% in Q3. So, what is leading to a continued drop in realizations for us, because delivery waiver impact was there in all the three quarters.

Sameer Khatri: Yes, I think it is more delivery growing faster, right, that's the only thing which is happening over there. The channel mix is moving towards delivery. One thing that you must note when we did free delivery, we moved to a minimum order value of about Rs. 200. Rs. 199. Earlier there were higher delivery charges before Rs. 350. So, we change that purposefully. Therefore, you see the growth in new customers on account of that. That's the only thing. Otherwise, there is no down trading happening, it's not that we are selling more Pizza Manias we are selling one single item. The items per order is not really declining. It is largely the customers have a lesser threshold in terms of ordering, so the barrier has been broken, and delivery is flowing.

Devanshu Bansal: So, just a follow-up here, because the barrier or maybe the threshold is lower. So, from a margin perspective, does that sort of temper our model or will we still be able to sustain our margins, because delivery cost for the order will remain same?

Sameer Khatri: See, to me, I see this as an investment for growth, right. Now, once you are investing for growth, the question to ask is, how will you recover? We recover on two fronts, one is when the compounding happens, SSG continues, right. And second is the further tightening of cost, right. So, like I said, we have a name program on improving margin by 100 basis points. We are looking at rentals very closely. We are looking at manpower. And we are getting the leverage in manpower. Where we are not

15 getting the leverage and there is a higher -than -expected headwind, it is the delivery cost. Because delivery at the channel is growing, which puts more pressure on riders, and therefore to keep the same service level of nearly 20 minutes, we are actually paying more to the riders during the festive season. So, that is the only headwind, which is there, which also will be corrected, in my opinion, as we find newer ways of working.

Devanshu Bansal: Understand. Sir, just last one small question. So, we have launched chicken products after sort of experimenting in the South. So, I just wanted to check if you could qualitatively share what was the kind of ADS pickup for these products we sort of saw in the South region, which gave us sort of confidence to sort of launch in pan -India?

Sameer Khatri: Yes, I will tell you what was the thesis, and give us like time till this quarter because we went on air only 10 days ago with the first time like Domino's coming out and ADL campaign focused on chicken feast. So, this is how we see our data. Among the world and also in India, North India has the highest weekly sales of stores. Yet our share in the pizza category on aggregate

is lower. Versus South where the throughput per store is lower than the North, but the share is higher. So, that explains that the customers are looking for other products along with pizzas, or they are not eating pizzas as much as they probably eat in the North. And that is the insight once we do, they are looking for more non vegetarian options. They are looking for more bone in chicken therefore we launched wings. They are looking for rice long with chicken therefore we launch Cheesiken Meals. They are looking for crunchy non -veg bites, therefore we launched Poppers and Boneless Wings. So, I think we heard the consumer, we experimented. Actually, South, after the launch, has become the fastest growing or one of the fastest growing regions among the seven regions that we have.

Devanshu Bansal: Understood, sir. Very clear. Thanks for taking the question.

Moderator: Thank you. Next question is from Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: Thanks, Sameer. So, my first question was around new city additions, you have added almost 60 cities over the last four quarters. And you have added this year in nine months almost 145 new Domino's stores. I am just trying to understand how many more cities potential you see to expand into? And how does that feed into your store addition ambition on an annualized basis over the next three, four years, considering you are moving more towards street focused kind of unit?

Sameer Khatri: Yes. Firstly, we are seeing opportunity on both, right. And I quote this example a lot, when I joined couple of years ago we had about 30 -odd stores in Gurgaon. We are now reaching nearly 50 and we

16 believe we can add another 20 more. So, densification, as cities expand, as new shopping areas, new congregation points like movie halls and other things come up, there is always more opportunity, including metro stations and highways, etc. So, firstly, we are seeing tremendous opportunity in the city where we are fully covering, like Gurgaon. Secondly, there are cities like Ahmadabad where we do not cover the whole city, there are enough white spaces, and these are not only restricted to Ahmadabad, it is Lucknow and Kanpur also.

And then the third piece is new cities, whether it is Girdi or Sasharam or Badaun or a Latur, right, so

I think definitely we see more and more opportunity of those. We are present in nearly 500. We believe there are 500 other cities that we can get to. And we are still present in the biggest district centers, right. And some of these districts are like more than 7 lakh, 8 lakh, 10 lakh population. We have not gone to the major talukas over there. So, for context, KFC in China is present in 1,000 cities, so there is definitely room to get to more.

Latika Chopra: And Sameer, any sense, I do not know how you cut it, whether the salience of Top 20 city is in your revenue mix, how has that behaved over the last five years for you, has that materially changed, if you can share some color on that? And also, in terms of profitability metrics across cities, our new cities are not margin dilutive for you necessarily.

Sameer Khetrpal: They are slightly accretive in percentage terms, lower in absolute profit, because their costs are also lower, dine-in takeaway is higher in these cities, delivery salience is lower, but throughput is lower.

So, I think Latika the best question to ask is the payback period lowering these cities, right? The answer is no. So, we continue to maintain two, two and a half years of payback period. As long as that is coming, I think that's the mother metric that we chase.

Latika Chopra: And salience of larger cities, anything that you have to share?

Sameer Khetrpal: No, I think we are expanding. Again, like how we run our new business, like I said for Popeyes, same thing the team from Domino's have done. They have a list of 1,000 stores that they want to open whatever in the n

ext three, four, five years' timeframe, right. So, as long as they get those locations, they will continue to open. So, these 1,000 locations some of them are in places dense like Gurgaon and Goregaon, and some of these are in Badaun and Latur and Girdis of the world. So, wherever we find the right location, we will open the store.

Latika Chopra: Sure. And the second thing that I wanted to check was an aggregate salience in delivery mix now, because you talked about more promotions on this channel, on these platforms as we wanted to grab

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more share. But at the same time, your own app metrics are also fairly healthy. So, could you give us some color on how this mix is trending? And what kind of differentiation is there in terms of profit between own versus aggregator platform? Thank you.

Sameer Khetrpal: Yes, I will not answer that question because I am here to serve customers so we refrain from giving mixes. Having said that, our apps are going very healthy. In fact, when I came in, I had put the entire engineering team just to focus on Domino's app. And as a result, we have the most immersive experience for pizza customers who are looking for pizza. So, you will see videos of pizzas, you will see easy user experience or user experience to upgrade to add more products, add side items, it is built for pizza. And over the years we have made it very topical, we celebrate from Valentine's Day to landing of Chandrayaan on Moon, right. So, we have become very topical in delivering to customers. And the built in CRM helps customer come back. So, that piece is working out better than our expectations.

And like I said, aggregators, we see them as ecosystem partners, we see them great channel partners.

And it's a very competitive landscape over there. And we work hard to maintain our share of improve our sales on the aggregator. So, it does not matter as long as we are getting customers, right. That's how I see. And delivery is a worldwide tailwind and with our own rider fleet of 46,000 riders, network that is ever expanding, ability to give hot pizza in 20 minutes, actually that's not the most important thing that I worry about.

Latika Chopra: Understood. Thank you so much. And all the best, Sameer.

Sameer Khetrpal: Thank you, Latika.

Moderator: Thank you. Next question is from Jay Doshi from Kotak. Please go ahead.

Jay Doshi: Hi, thanks for the opportunity. And congratulations on your great acceleration in results. I have got two questions. The first is, in this quarter we saw about 18% top line growth and 15% pre-IndAS EBITDA. Now how should we think about gap between revenue growth and EBITDA growth on a pre-IndAS basis going forward over the next two, three quarters if you continue to stay at a similar 15% plus system sales growth levels?

Sameer Khetrpal: Internally, we look at like this in the following manner. We tease out Domino's portfolio and see is that growing, and likely mentioned in our comments, is it in mid-teens and improving? So, that's how we see that particular business. On the other business, we see the overall drag to the P&L and

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the unit economics improving. So, these are the trade-off factors. Allow us maybe one more quarter, because let this stabilize because we will launch the delivery in March, maybe by next quarter we will have a much more scientific answer on that, Jay, otherwise I will be more hazarding a guess, and we are also doing a better calculation to answer your question.

Jay Doshi: Sure. Second question is, if I do some back of the envelope calculations, your dine-in order growth is about 30%, but dine-in revenues have declined by about 2%, which means that there is 25% decline in average order value for dine-in but there is no delivery fee waiver impact or anything of that sort. And if I actually were to look at absolute number, it means your dine-in average order value may have dropped.

Sameer Khetrpal:

No, no, it's not like that. Thaali is only like 11:00 AM to 3:00 PM. And it's a business with a very low base. So, that number, while it is growing healthy, I think inside the store you have to look at dine - in and take -away. Customers who come in, take the pizza, eat there and leave, and customers who just come in to take the pizza to their home. So, that is a take -away. So, dine -in business is growing very heavily, and you will see improvements coming in in the coming quarters on both dine-in plus take-away as a business. And this is only the take -away business that is kind of declining. So, there is a sub channel mix that is there between what we call as a dine -in take -away business. So, there is no massive, in fact, like you are saying, the decline in average ticket size inside the store is very marginal.

Jay Doshi: Okay. Maybe then I will take it offline. Thank you so much and good luck for the next quarter. Thank you.

Moderator: Thank you very much. We will take that as the last question. On behalf of Jubilant FoodWorks Limited, that conclude this conference. Thank you for joining us. And you may now disconnect your lines.

Lakshya Sharma : Thankyou.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2025

JFL/NSE -BSE/202 5-26/16 May 21 , 2025

BSE Ltd.
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of Conference Call

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letter no. JFL/NSE -BSE/2025 -26/13 dated May 14 , 2025 and pursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Conference Call for Analysts and Investors held on Wednesday, May 14, 2025 for Q4FY25 & FY25 results and business updates.

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E-mail id: investor@jublfood.com
Encl: A/a

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Q4FY25 and FY'25 Earnings Conference Call Transcript

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 and FY '25 Conference Call hosted by Jubilant FoodWorks Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. I now hand the conference over to Mr. Lakshya Sharma from Jubilant FoodWorks Limited. Thank you, and over to you, Mr. Sharma. Lakshya Sharma: Thank you so much, Sagar. Welcome to Jubilant FoodWorks Q4FY'25 and FY '25 earnings call for investors and analysts. We are joined today by senior members of the management team, including our Chairman - Mr. Shyam S. Bhartia, our Co-Chairman - Mr. Hari S. Bhartia, our CEO and MD - Mr. Sameer Khetarpal, our CEO of Turkey Business - Mr. Aslan Saranga and our CFO - Ms. Suman Hegde. We will commence with key thoughts from our Co-Chairman and turn to our CEO and MD to share his perspectives. After the opening remarks from the management, the forum will be open to question-and-answer session. A cautionary note, some of the statements made on today's call could be forward-looking in nature, and the actual results could vary from the statement. We will also share the replay and transcript of the call on the company's website under the Investor Relations section. I would now like to invite Mr. Hari S. Bhartia to share his view with you. Over to you, sir. Hari S. Bhartia: Thank you, Lakshya. Good evening, everyone, and welcome to our earnings call. FY '25 has been a landmark year for our company and the H2 performance has helped us set new benchmarks. We achieved significant growth and increased our market share. The Group system sales reached almost \$1.1 billion with almost one store opening every day in FY '25, and the group network now has over 3,300 stores. Reflecting on the year gone by, we took decisive action this year, making strategic investments that has supported faster growth. We took the bold step of implementing free delivery, a move that has reshaped the competitive landscape. Simultaneously, we ramped our regional office and commissary infrastructure to support our ambitious growth plans. These strategic moves have helped us in accelerating growth in FY '25 and will continue to do in the

coming quarters. While the initial impact of free delivery led to a reduction of our average ticket price, we successfully absorbed this impact, and we are now seeing the ticket price grow upwards again. This has led to a record

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high new customer acquisition, which we know compounds over the next couple of years in increased sales. And importantly, despite the increase in our delivery mix, we managed to increase Domino's India EBITDA broadly in line with revenue growth, holding firm our margins. We are also committed to find ways to expand margins in the coming quarters. Furthermore, we have accelerated our pace of new product innovation, introducing exciting new offerings and resonate with our customers and drive incremental demand. We have also maintained our aggressive pace of network expansion, bringing the Domino's experience to even more customers across the country. These strategic moves are not just about short-term gains, they are about solidifying our leadership position and creating avenues for continued network expansion. The acquisition of DP Eurasia has also now completed a year through records high system sales, healthy profitability and high free cash flow generation from Turkey, we are able to bring down their local debt. And starting H2 FY '26, we will now start funding interest cost along with reduction in acquisition debt. I want to take this opportunity to congratulate Sameer and the entire Jubilant FoodWorks team. They have risen to the challenge, embraced change and delivered an exceptional performance. I would also like to thank th

e leadership team of our brand partners, Domino's International, RBI and Inspire brands for their constant guidance and support. Also, our aggregators partners, our vendors, our service providers and the communities around all our facilities for their support in making JFL the largest QSR in the country. I must also thank you, our investors, for your guidance and feedback to fine-tune our strategy. And most importantly, I would like to thank our customers, the reason for our existence, who constantly inspire us to do better and keep us honest. Now I would like to invite our Managing Director and CEO, Sameer Khetarpal to provide a more detailed review of our performance for the quarter. Sameer Khetarpal: Thank you, Mr. Bhartia. Good evening, everyone. Q4FY25 was another exceptional quarter for Jubilant FoodWorks, building upon the momentum of a truly remarkable year. As Mr. Bhartia highlighted, our strategic decisions, our relentless focus on execution through faster delivery, providing value to the consumers through free delivery and flat menu offers, material improvement in pace of menu innovation and a culture of care and performance. This has propelled JFL to lead the industry in terms of growth and profitability. Performance Highlights and & Insights FY'25 was a year of turnaround for JFL. Despite headwinds we continue to execute better through self-help initiatives. Key highlights include: • We expanded our Group Network to 3,316 stores. The Domino's Network now stands at 3,031 stores

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across all geographies, with a net addition of 238 stores. This expansion is a testament to our confidence in the long-term growth potential of the foodservice market in the countries we operate in and our ability to execute in short-term. • Strong Revenue Growth in the wake of tougher consumer demand environment: Consolidated Revenue reached Rs. 8,142 crore. Standalone Revenue grew to Rs. 6,105 crore, a 14.3% increase. Domino's India revenue growth of 13.4% stood out powered by 7.5% LFL growth. • In Popeyes, we continue to build greater traction across cities as ADS are improving quarter on quarter and nearing their lifetime highs. We plan to share more details in our Q1 results. We believe in the Popeyes India playbook, based on a differentiated product, own-digital and delivery assets and an economic model that suits a new entrant like Popeyes. • DP Eurasia is navigating macro challenges really well with high profitability and recording market share gains. The DPEU region achieved Rs. 3,071 crore in System Sales for FY'25. Domino's Turkey FY'25 LFL of 0.4% was on a high base of 29.2%. It's important to highlight here that we share metrics for Turkey after adjusting for inflation for better assessment of our performance with regards to high inflation. • COFFY continues to make strides, with its network reaching 160 café' serving consumers across 36 cities in Turkey. At Rs. 295 crore for FY'25, its system sales contribution to DPEU system sales is nearly 10%. • As shared with you last quarter, Sri Lanka is a great turnaround story where we successfully applied our emerging market playbook and delivered highest ever revenue at 81 crore with record growth of 45.6%. • Profitable Growth: As per Pre-Ind-AS-116, consolidated EBITDA came in at Rs. 1,037 crore, resulting in a margin of 12.7%. Standalone EBITDA stood strong, with Domino's India EBITDA scaling a record high of Rs. 857 crore with an impressive 12.4% growth. Despite offering free delivery to customers, Domino's India margin at 14.5% margin was near flat year on year. DPEU also maintained robust EBITDA margins showcasing the teams' ability to manage costs and drive efficiency in a challenging environments. • I also want to highlight the progress we are making as a foodtech Company. We recently launched Elate which is India's first Android-based Point-of-sale system. Developed by our inhouse team, Elate isn't just streamlining operations, it is personalizing customer jour

neys, slashing training time, and boosting employee productivity. Strategic Focus & Outlook As we look ahead, our priorities remain clear: • We will continue to aggressively pursue growth opportunities for Domino's, leveraging our brand strength, our innovative spirit, and our unmatched delivery capabilities.

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• We are committed to build large profitable businesses through Popeyes and COFFY. • We will maintain our disciplined approach to capital allocation, ensuring that we are investing in the areas that will deliver the greatest value for our shareholders while delivering joy to our consumers. Our network guidance is as following. We will open 280 Domino's stores with a split of 250 in India, 30 in Turkey. In COFFY, we plan to open 50 cafes. And in Popeyes, we plan to open 30 stores. Thank you. With that, I will request the moderator to commence the Q&A session. Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from Vivek M. from Jefferies. Please go ahead. Vivek M.: Hi, good evening team. A couple of questions. First, more from an industry standpoint, what is your outlook? Of course, you are gaining share. But generally speaking, a lot of consumer, especially urban-focused companies are complaining about moderation in growth. So what is your outlook both from an industry standpoint and your ability to continue to gain market shares as we head into FY '26? Sameer Khetarpal: I think great question, Vivek. I would firstly like to say that what is working for us is structural. See, our focus on delivery and then therefore, pushing the boundaries on 20-minute delivery is structural, and we believe that will allow us to gain share going forward. As you can notice, we have dramatically increased our focus on

menu innovation, the amount of pace that you've seen, whether it's launch of chicken, Volcano Pizza, 3 new range of cheese burst and now Big Big Pizza, backed by a very strong media investments, we believe will continue to take the momentum. Number three was moving from four regions to seven regions. In fact, we are also testing for the eighth region as North India is beginning to reach more than Rs. 1,200 crores, we are trying to even split it further to drive the focus in micro markets. Number four being rapid expansion of stores. We have increased the pace of expansion of our stores. And last, but the culture, which to me can never be copied. So if I see these five in total, Vivek, it will sound always like self-help, but these are structural because we are operating in a very large market, which is largely unorganized. So if we keep that lens, we'll continue to penetrate, grow more as long as we stay true to these five structural initiatives that we are drawing. So, we continue to remain bullish. And therefore, I'm refraining from commenting on the overall demand sentiment. But again, looking at these levers working where the market is \$60 billion and the organized segment is \$12 billion to \$15 billion. Vivek M.: Got it, Sameer. The second one is on the dine-in bit. For the first time, of course, there is a low base and all of that, but you have been seeing a decline in dine-in revenues, dine-in takeaway revenues for the last

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several quarters. This is the first quarter where it has actually turned the corner. Do you think it is sustainable? How do you plan to build on this in FY '26? Sameer Khetarpal: See, we will never lose focus on it, right? So I think it's a yes, there is a big tailwind of delivery and with 20 minute and our own assets on delivery with so much of technological investment behind it, I think that momentum should continue, right, for some time. Now coming to dine-in, we, in fact, I want to share something more that we've taken the -- about 500 stores, which are very dine-in heavy, and we do a mystery audit on it. And in my last 2.5 years at the company, I have never seen such high scores in terms of customer satisfactio

n, the cleanliness, hygiene, service and of course, coupled with great quality food and outstanding prices. So overall, I think we will -- I am relatively more bullish on dine-in to be honest. Now on-premise sale, to the extent we get the data because we break the on-premise sale into 2 parts, dine-in and takeaway. When I joined the company, takeaway was bigger than dine-in. Now dine-in is bigger than takeaway and dine-in per-se is growing very rapidly. So takeaway is also growing -- declining rapidly because there is no reason for a customer to come to the store and take away because the delivery is free. So, I genuinely believe when some of these bases get corrected, dine-in may come back and even surprise me. So I stay very optimistic about dine-in. We are seeing for the first time order growth, right, in dine-in, backed by some of the initiatives that we've taken that Rs. 99 meal that we launched exactly a year ago now with all the marketing support, whenever I visit the stores, I see customers at 3 or 5 p.m. asking, can you give me, I got late or there are customers waiting for that particular service to start. So again, as we focus on great value to customers with superior dine-in conditions and with the new design of stores, I feel very, very good about having a large cohort or a base of customers which may want to go out and eat especially during lunch hours, which we believe we can do even better than where we are. Vivek M.: Okay. That's good to know, Sameer. And the last question is, you mentioned Domino's margins for the full year is at 14.5% and stand-alone margin for the quarter is at 11.8%. There is quite a bit of gap which persists between these 2. So one, can you explain where exactly are you losing so much? And second, what is the way forward to bridge the gap between the two? Sameer Khetarpal: So, it is, I think, Suman, can add, this is largely see investments in our emerging brands, right? And when we have like three other brands, Hong's, Dunkin' and Popeyes. And as you would see, we have already taken the stance of curtailing any or not doing any expansion in Dunkin' and Hong's. This is the call we took mid of the year and focusing majorly on Popeyes, you will see that this getting corrected. And in fact, in a couple of years, I do believe this drag should at least there should be no negative surprises from it and drag should come down by half. So very committed to this. We know where it is going. And

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some of the pieces around expansion of Dunkin' and Hong's, we've already taken, and we will see the goodness coming in or the delta between the Domino's margin and the overall JFL margin should reduce in coming quarters. That's why we are also more confident on the margin trajectory from where we sit today. Vivek M.: Interesting, interesting. That's about it. And if I have your permission, can I just ask one question to Mr. Bhartia? Sameer Khetarpal: Yes, please. Vivek M.: Okay, sure. Mr. Bhartia, there are a lot of investors who have been asking about the transaction on HCCB. So, two bits over there. One is from a group perspective, your focus on the new asset versus the existing one, especially Jubilant FoodWorks. That's part one. And part two, again, to the extent you can share your thoughts on how would the funding happen and how much of the resources need to go from Jubilant either via stake sale or via pledging. If you can share your views on both, it will be very useful. Hari S. Bhartia: No. Firstly, I can tell you my heart is in the food business, which we started almost 30 years back. And we continue to see more excitement and more growth opportunities in India. You can see from this year's results. So about focus, yes, focus will remain at Jubilant FoodWorks. On the funding of the new investment, most of the funds have been arranged. I can't share that with you. It's not possible. And soon, you will know. So I will just state that. Vivek M.: Looking forward to that. Wish you and the team al

I the very best. Moderator: Our next question comes from Tejash Shah from Avendus Spark. Tejash Shah: Hi, thanks for the opportunity and congrats on sustaining strong LFL. Sameer, just wanted to know while margins are gradually recovering, I'm curious how the management internally defines the new normal of peak margin. Do you still consider historical peak that we had because that time we had delivery charges and other structure also? Or you believe that we need to kind of, should not anchor our thoughts around that number? Sameer Khetarpal: Yes. I would say if you look at the peak at post Ind AS was peak was around 26%, right? That is obviously not a sustainable number. And see, the operator in me always sees more juice in margins everywhere, to be honest, right? And that's, when I tell my team every day, I feel there is so much more juice in leveraging data, technology and running a very tight operations. So at least, when I sleep, I worry less about margins then I'm always very thankful for growth, and I always worry less about margin. So therefore, coming back to your question, I see no reason for us that we can't improve to 100 basis points from here. And that's what Suman had also mentioned during our Investor Day, we maintain that

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stance. We are seeing leverage in the Domino's -- in Domino's in India flowing through. The drag that you see is largely on

account of new brands. And we have to invest in new brands, right? In this business, we know it takes 10, 15 years to build a very strong successful brand. Once you do it, then there is no looking back. But we are cognizant, can we do it faster? We are greedier over there. Can we do it in 5 years? That is what we are attempting to do for the first time in the, I would say, a little bit in the history of QSR in India. Tejash Shah: Sure. Very clear. Second question, the past three weeks has seen heightened geopolitical volatility. In that context, how are you evaluating the potential risk, if any, to our investments in Turkey? Sameer Khetarpal: So we view these markets very separately, right? And if you go to Turkey, they are oblivious to any political changes, whether it's Domino's or be it COFFY, which is actually a Turkish brand internally, they are not concerned about any geopolitical risk, whether it's tariffs or Russia, Ukraine or anything which is happening on India-Pakistan border. The momentum in the core market and the consumer base in Turkey continues. They are growing in dollar terms. The real GDP growth net of inflation has always been 3% to 4%. And in fact, if I look at just the macroeconomic condition, I typically don't like to talk as a CEO, I'm an operator at heart. In fact, the interest rates have been coming down. The interest rates have been tightened. And as a result, inflation has been coming down in the last 2.5 years that I have been associated. So I feel good about the macroeconomic situation in Turkey and the core thesis that we had, it's the largest consumer base outside of Russia in Europe and the youngest population with almost 3.5x, 4x of per capita GDP versus India. All of those things are intact, and therefore, you see very solid performance of both Domino's and COFFY in Turkey. So I will not worry too much about macroeconomic factors or anything geopolitical risk impacting Turkey. Tejash Shah: Sameer, the other dimension of this question was that do you foresee or you worry about any regulatory or policy pressure to revisit the investment or perhaps it's too early? Sameer Khetarpal: Not at all. We don't see anything which is there. I think nothing. Tejash Shah: Yes. Lastly, just a small request. If the time gap between the results release and call could be slightly extended, it would allow us to become more prepared and ask better questions. That's it. Sameer Khetarpal: My apologies, Tejash, we will do better on this one. The meeting got extended. We'll do better on this one. And if there are any unanswered questions that you have, p

lease feel free to reach out to Lakshya. Moderator: The next question comes from the line of Jignanshu Gor from Bernstein. Please go ahead

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Jignanshu Gor: Hi Sameer, congratulations, on the fantastic results for the stand-alone business. I wanted to check regarding Turkey and continuing with the previous conversation. How do we structurally think about that business and its margins? It has been volatile at least on a quarterly basis in the past few quarters. So do you think this is a sort of a stable view, which we can take forward at least on an annual basis? Or do you think it is still evolving? Sameer Khetarpal: So Suman, you can take that, but at least from a core market standpoint, see, this is how I track. And therefore, I feel very good about it. See, firstly, the transaction volume should grow, new customers should grow, revenue should grow. Their growth in lira terms should be ahead of the core inflation rate, which is a tick mark. And COFFY should expand at a faster pace versus Domino's, which it is, right? It's a franchisee-led model. Therefore, there is no capital layout that we have to give to open up stores. So therefore, it is high ROIC. None of this has changed. In terms of margin, it is largely accounting level change, which is valuation of inventory in a high versus low inflationary environment. We were sitting on high inventories, which get readjusted or reassessed if your inflation is high after 1 year, and therefore, you get inventory valuation gains. If I look at the core health of the business, again, as an operator, is my volume growing? Yes. Am I ahead of inflation rate in terms of my average ticket size? Yes. Are my franchisees happy and they're continuing to expand stores? Yes. Is my working capital improving? Yes. Is my debt reducing? Yes. So rest everything and it continues to be PAT accretive, right, which was our thesis. Rest everything is to me a little bit accounting. If you just look at slightly longer term in the nine -to-twelvemonth period, it should all kind of, the volatility should go away. Suman, you may just want to add like points to kind of stress upon if I have miscommunicated anything. Suman Hegde: Jignanshu, I think Sameer did cover everything, and he is absolutely right. And I think in the last call, we did mention the Turkey business, even as we manage performance, given the volatility and the hyperinflation accounting that happens there, which causes a bit of vagary in the EBITDA quarter-on-quarter, depending on how the inventory levels and debt move, we should take a bit of a longer-term perspective, right? Now what we said last time also, it's a PAT accretive business to overall JFL standalone, and we see that in the consol numbers coming to. It is a cash accretive business also given the less -- given their capital outlay is low given the franchisee model perspective. If you look at their PAT, we said last time they are normally in the range of 6% to 7%. Their full year PAT has come in the same range, and it is improving year-on-year after you account for the EBITDA variation on account of the inflation accounting. Hopefully, yes, hyperinflation should be out by another 18 to 24 months, and we'll see a more stable state of affairs for people on the street to understand the numbers. But, from a business performance perspective, again, I'll just reiterate what Sameer said, inventory levels are down. Their debt is almost half

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of what they exited at last year as the economy starts to pick up and the inflation levels come down. Their cost of borrowing is down, and we also look at refinancing options of the Turkey debt locally. And hence, overall, it's a good story on performance of it. But yes, I do realize it's a little difficult to understand the movement quarter-on-quarter given the different accounting standards that they use. But just do look at it from a nine-month YTD full year number, which we also help you understand better as we release our results. Jign

anshu Gor: Sameer, moving back to the India business and focusing on Domino's. I think we've had a fantastic performance on both online and now, on-premise. Do you see related to all the discussions which are happening by a lot of other players in the industry, any difference in growth and demand environment that you are seeing, let's say, in the larger cities or maybe the top-tier cities versus the smaller cities since I think you are one of the most spread across company with the deepest distribution. So is there any color that you can give us on the demand side that will be helpful. Sameer Khetarpal: In fact, when I look at growth of Tier-1 to Tier-4 cities and I look at it every month, there is absolutely no difference right? They're all very similar 1-2% points different when I look at order growth, right, and between each other. So we are not seeing, Jignanshu, I go back to the point, it's a \$60 billion market with only 1/3 of it is organized. --And, if you are able to create great value, great service, fast delivery and with fast free -- I call it the 3F business, fresh, fast and free, right? If you have these

three, there is enough and more growth to be taken. I absolutely see no difference between Tier-1, 2, 3 and 4. It is about, and like I read a lot of your reports and other peers that you have in this call. I think the one learning is if you give a great service, consumers are actually willing to pay more for service than products. And of course, products coming at high value with high-quality keys and products, we are seeing growth in all cities. Jignanshu Gor: Okay. Lastly, just a housekeeping question are you facing, like one of the food aggregator platforms called out a shortage of delivery drivers specific to this quarter. Is that kind of seasonality that you also see? Or is that a pressure that you're also seeing since you probably have the largest delivery fleet after them? Sameer Khetarpal: It is not easy to build these businesses, right? So especially with our own fleet and constantly pressure on getting riders. And so overall, of course, we do see pressure. It happens during the season around April when there is harvesting, right? But these are minor variances, Jignanshu. So like they don't even come to me. The teams are very capable of using data to forecast how much and how many riders they need, what will be the absenteeism. In fact, our best delivery accuracy or the delivery timeliness has been in the last couple of months ever. So I'm very happy to note that customer metrics are improving. And some bit of here and there is more noise to make. Suman Hegde: And also just to add on that, I think it helps that, one, of course, we have our own fleet. So access also to

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riders is much larger than what the aggregators will have and they will have to bring their own assets, right, which is what we invest in. And secondly, I think in our Investor Day, we did share on how we have used technology to hasten the process of even onboarding of drivers, right? So if somebody has a license, meets the criteria, it's almost like a 30 minutes to an hour and we can get them on the street with our assets. So I think a couple of things that we've also done in terms of investments, both in terms of assets and tech gives a bit of an edge to get through, of course, because there is a shortage and we know why. Sameer Khetarpal: Good point. I think what Suman is saying is we have access to a wider pool of riders who do not have bikes, right? So therefore, that can act as a buffer. Jignanshu Gor: Thank you so much. Congratulations and all the best. Moderator: Our next question comes from the line of Sheela Rathi from Morgan Stanley. Sheela Rathi: Sameer, do you agree that cost of doing delivery business is going up for us, given that there's high competitive intensity there? Second, is there's no delivery charge. Third, is we're trying to reduce time lines. Fourth, is there is inflation around labor force. And then, there

is discounting most importantly. So first is, and I hear you said this to earlier participant that we will try and bring back our margins to improve it by 200 basis points. So there's no disagreement there. But the question here is that is it getting more and more difficult to do or the cost to run a delivery business higher because now that is almost 73% of our revenue? Sameer Khetarpal: I mean Sheela, I think it's a loaded question here. —My bias is to say, yes, of course, it is difficult. But I would say in the last few years, we've really changed the game on this one. You spoke about headwinds, right? Of course, through quick commerce and direct-to-consumer channels, aggregators, big e-commerce players, we are all kind of vying for the same delivery associate. And therefore, there is pressure, especially in about 39 pin codes in India, which is the highest convenience seeking. So, I do see pressures over there, and therefore, we have to be competitive over there. Now having said that, we have our own bikes. There is a larger pool over there. Per hour delivery rate or DPH which is called Deliveries Per Hour is higher in our system because you are doing from one store to a catchment area and therefore, delivery associates can do more deliveries, therefore, earn more. We give them a restaurant and a place where they can use washrooms. They have a career path. Many of our circle heads, region heads started as a delivery associate. So there are several factors which go in favor of us, which make us, I would say, a viable option versus the

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competition that may exist. And, from a cost standpoint, coming to it, again, the operator in me tell me, of course, this will be an additional cost, but there are 20 other places where my team is executing to find those money. And of course, growth is the biggest laxer for our business. A lot of that growth flows into the bottom line because we have large fixed costs when we are running and operating stores. Sheela Rathi: Sameer, anything on discounting because the discounting has been much higher than what we have seen in the last few quarters. Obviously, it's resulting in better LFL growth. But how are you seeing the discounting? Sameer Khetarpal: Sheela, in fact, discounting has come down for us. We've always again used technology. It is discounting. So where are you reading it, if I can in fact, discounting was a tailwind to us. Sheela Rathi: I mean I see it on my app, but even in the presentation, I see that the large 6-in-1 pizza, we almost are giving 50% discount on that product. Obviously, it's an introductory product pricing but just want to hear from you how discounting is for us versus, say, last 12 months? Sameer Khetarpal: Yes. So discounting as a percentage has come down. Now of course, specifically talking about Big Big Pizza, right? So it is a Rs. 700 and Rs. 800 product, right? So it adds to my average ticket price. And therefore, my delivery cost as a percentage comes down, my insider crew cost as a percentage comes down and my rent as a percentage of that order comes down. So there are several tailwinds. It is in fact, generally, customers reach out to me, Sheela, when the things go bad. Big Big Pizza has been one such occasion where customers reach out to me that is this a pricing error? Is this a mistake? When are you going to stop it? It looks like nobody ordered so much food at such price. So again, we are gaining customers. We've been able to grow the share of large pizza by 3x in just 15 days. I would rather take that at this stage and like I said, I will find the money in terms of margin expansion. Suman Hegde: And I would just like to add to that, Sheela, and I agree what Sameer said, we constantly look at discount. Now there are two things also here, I think it's important to focus on, right? Of course, you might see a high discount. But the way we play to say what is the implication on the margin and what's the implication on the gross margin, how does

it come through to EBITDA. So yes, you might see a high discount, but if it's an item which improves the overall mix on realization for us on the top line, and also improves the margin -- gross margins that these items make, then discount or higher discount is not a bad thing from a portfolio perspective. I think playing those levers effectively is very important. And the second one, while you're seeing discounting, but it is also true that we have a back-end analytics engine, which runs to also optimize where we need to, where we are seeing certain things higher than

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you discount or you don't. So, what you see in app might not be similar for you versus what somebody else sees. I am just saying it is actually customized to that extent, which actually our tech capabilities allow us to do, which ensures that we

manage our discounts effectively rather than it looking like 50% across. I hope that answers to some extent your question.

Sheela Rath: Absolutely. I hear you. My final question is on Popeyes. Just want to hear from you in FY'26, how should we think about the rollout plan especially from a state perspective as such, which states will we be focusing on? Sameer

Khetarpal: Yes. So, from a state perspective, Sheela, we want to get to a number of like close to 100 and therefore, a lot of marketing investments then starts to look very meaningfully or have a larger base and you can buy media inventory. So that's what we are like whether it happens in 12 months and 18 months, I obsess less about it. But I want each of my new store to be accretive to on the average daily sales, which it has, I'm very delighted that when I see last 10, 15 stores, we open all are accretive, right, and very close to the ADS that we want it to be. Equally importantly, we see month-on-month growth on the ADSs and very positive SSGs in the last quarter. So we have given a guidance of 30, right? I first less whether it's 30 or 35 or 25 or even 45, we exactly know which locations to open. Geographic focus will be largely around North. South will be the biggest geographic focus, then Delhi NCR, and we are evaluating West as we speak. But no further expansion beyond this.

Sheela Rath: Understood. Thank you. Moderator: Your next question comes from the line of Nihal Mahesh Jham from HSBC

Securities. Nihal Mahesh Jham: Two questions. One is you've obviously highlighted about the customer acquisition, and that is very much laudable and visible in terms of how it has played out over the last six to twelve months. I'm not sure if there is a way of tracking, but is there a comfort that, say, when there is an improvement in sentiment that you would expect these customers to obviously step up their spending? Sameer Khetarpal: Yes, I think I would concur with it, right? So we are very

careful on the quality of business we are building, right? And these are not discount seeking. These are value-seeking customers, right, and convenience-seeking customers. So, if you see our repeat rates have remained the same. In fact, our repeat rates have begun to inch up a little right? And while it may be small, therefore, I don't want to celebrate at all. So therefore, I am very

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happy with the quality of customers we are acquiring. In fact, our install to first order rates are at an all-time high. So typically, what digital performance marketing teams will do is they will go for very high installed base and therefore, hope and pray, some percentage of customers will order. Actually, we have reversed it. Our installed base, if you look at the quarterly install of apps has kind of been thereabout. But the percentage of customers ordering has improved, which means that our offerings, our service, our reach has improved and we are acquiring better quality customers. So no concerns over there at all. Nihal Mahesh Jham: Point taken. The second question was that you mentioned about 250 stores for Domino's India. Can you just give a ballpark sense of the split? Is the

re any sense of split towards metro, non-metro, any more clarity on that? Sameer Khetarpal: Yes. So, I think like I said, we have a list of 1,000 locations, right? And out of that, some 700 to 800 is white locations where we don't serve, right? The remaining are splits, right, in the overall. So split in the overall scheme of things, not -- splits are not going to be more than 20%, right, or thereabout. In one quarter, we may do more split because we found the right set of rentals and space and the others, we will do less split because we were able to find more lucrative offers in white areas. Nihal Mahesh Jham: Got it. Just squeezing one in if possible to give an outlook on SSG for FY '26, LFL or SSG for the India business? Sameer Khetarpal: We don't give that SSG, right? And in this environment, we don't generally give that. I think overall, momentum continues and our -- the strategy that we have put in place, we are very confident about it. Nihal Mahesh Jham: Sure Sameer, thank you so much. Moderator: The next question comes from the line of Percy Panthaki from IIFL Securities. Percy Panthaki: Hi Sameer, congrats on a good set of numbers. A couple of questions from my side. So firstly, on the LFL, now it's been a couple of quarters since you've done a 12% kind of LFL. Of course, this comes on the back of a negative to flattish kind of LFL in the base. Now this base effect is there for the next 2 quarters as well. But when we come into 3Q of FY'26, we will be lapping a base of 12% LFL. So I just wanted to understand that do you see a material deceleration in your LFL growth in the second half of this year given the base effects? Or how should we be looking at it basically? Sameer Khetarpal: Yes. So I think it's tantamount, Percy to giving some kind of guidance, right? And therefore, I'm refraining from answering your question. Would base have some effect? Of course, it will have some. Does base have some effect in the current quarter?

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Of course, it does, right? But we are seeing historic highs in our customer acquisition rates, volume per store and also now repeat rates and now the average ticket prices are also beginning to improve. So therefore, the mature store ADS, if you look at, right, so that number is there, right? As long as that is there and we have like a 2-2.5-year payback period, slight moderation in like-for-like, I will worry less about it, right? So, I obsessed about the mature store ADS, the acquisition rate of customers, repeat rates and the ROI model that we have per store. Percy Panthaki: Got it. Got it. Second question is on the profits. The consol and the standalone net profit this quarter are almost exactly the same. So just wondering what we can do to really widen that gap? I mean, is it possible for us to, let's say, take a loan in India at the sort of Indian interest rates, which would be, let's say, 8% to 10%, repatriate this money to Turkey and then pay off the debt in Turkey because there, we are paying like 30%, 40% interest rate. So is that something you are considering? I mean, ultimately, the acquisition is good, but it is not yielding us any incremental PAT. That is my concern. Suman Hegde: So let me take that question, and thanks for the suggestion, Percy, and I think we'll be happy to hear we are already in implementation mode. But I agree. I think that there are a couple of things, right? When you look at consol and it's not only Turkey, we have a couple of other businesses as well, which is Sri Lanka and Bangladesh, where we continue to invest. So that also and as the trajectory of profitability on those improves, we will see that also flowing through into consol, which currently is a negative number, which offsets the profits even that Turkey has brought in. The second point of expanding the India numbers anyway, we have already spoken about it. Coming to Turkey and the loan, we have already looked at refinancing and the interest rates in Europe are even lower than India at the

current rate there, even after taking into account the euro- rupee or the euro lira translation impact. And we're already looking at refinancing the debt of Turkey. So, Turkey will not be sitting on a high cost of borrowing starting this year, which we're already in work in progress on. And the second part is overall Turkey, if we look at a couple of years ago, did not have such significant borrowing at the local level. It was not existing. They had certain restrictions on account of inflation, of course, the

Russia business that they had a few years ago, which has increased the borrowing rates. With that coming through, we also expect Turkey as a business to be at minimal or zero debt coming into next year, calendar year, I mean. All in all, you should see the overall PAT improvement between the stand-alone and consol coming through between these three businesses as they start flowing more numbers of profits into the bottom line.

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Percy Panthaki: Got it. And, just one bookkeeping question. This 200 bps of margin potential on stand-alone, which you mentioned earlier in the call, Sameer, over what time horizon is that? Suman Hegde: So, I think we said in the Investor Day as well, right? We had called out we said over the next 3 years, FY '28. And we said it's a minimum of, right? Of course, it all depends. Sameer Khetarpal: The larger point I was making is that this is not coming at the expense, firstly, we are not like losing margins and mindlessly that we know where to recover it from and not having any part. But the most important thing right now was getting growth and acquiring customers. That's the message you should take 200 basis, I feel like I said, as an operator and we say always like enough juice. Our teams have to execute, again, get it store-by-store, pizza by pizza, brand by brand. Those things are there. So I think I'll stick to Suman's guidance of like 200 basis points for minimum should come in over the next 3 years. Percy Panthaki: That is PAT level, right? Suman Hegde: No, it's an overall EBITDA level flowing through to PAT as well. Sameer Khetarpal: Financial reengineering or financial like paying our debt and therefore, getting it from interest. It was largely operational is what we mean to say. Percy Panthaki: Thank you and all the best. Moderator: Our next question comes from Ashish Kanodia from Citi. Ashish Kanodia: So the first question was on the new product development within Domino's India and on the analyst meet, you touched upon that. For example, in U.S. chicken wings is almost 18%. Now when we look at the two new product innovation beyond the pizza, the chicken wings and the Cheesiken, can you give us some sense, one, in terms of what kind of a contribution they are hitting right now, just a ballpark number? And second, are they also helping you whether to drive higher dine-ins, customer acquisition? And then also dayparts, like are you seeing more revenue share coming in during the dayparts or during snacking time, if you can also touch upon a bit on that? Sameer Khetarpal: Yes. No, Ashish, great set of question. I think there are -- you are talking about disaggregating growth into multiple vectors. So, chicken is one adjacency, which is an important vector. So, customers order pizza when they're craving for cheese and when they want to share. So chicken wings, chicken poppers, the bites range that we have and the boneless fried chicken that we've launched, right it is exceeding our expectation. In fact, I spent every Monday morning with my sourcing team to source for chicken wings because we are constrained on supply of chicken wings. So we had to ration chicken wings and in fact, stop the business in North and West to serve South and East, right? So, it will give you an indication that even like a product

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which has been launched in just 4 or 5 months is gaining traction more than that we thought. The salience of the product, obviously, is higher in East and South, where it is

a larger non-vegetarian eating market, and it is ahead of our plans. And see, I again look at this as a Rs. 1,000 crore platform. right? And I genuinely believe the range of chicken, right, as an accompaniment to pizza will definitely get to that number. It gives me all the more confidence in terms of growth rates I see in the store, attachment rates and the customer feedback that we are getting. The second vector you mentioned was what can you do for lunch, right, or late night, right? I think teams are working. We are iterating with options for lunch, and we should launch very soon, focused on the right set of markets. The Rs. 99 four-course meal lunch available in dine-in is doing very well, continues to be the growth driver over there. We have extended a different version of it at a higher price for delivery customers, that is now beginning to do well and teams are building more propositions, which are either focusing on value-seeking customers or customers looking for state IP because that's another, and comfort that is another vector we are focusing on. So multiple of these vectors in play, and you will see the continued pace on product innovation with very sharply targeting a certain occasion, meal hour or a set of consumer cohort. Ashish Kanodia: Sameer, that's helpful. The second one was on Popeyes. So almost a year back, you talked about medium-term guidance of 250 stores. This year has been around 19 stores. Next year, there is an acceleration to 30 stores. But how should we think about that 250 stores? Is it a 3-4 year phenomena where maybe next year, you are still trying to get maybe the supply chain right, as you talked about chicken sourcing, et cetera? Should we expect a meaningful acceleration, say, in '27, '28? Like I'm trying to understand the 250 store guidance, Rs. 1,000 crore revenue, is it like a 3-4 year or slightly more long term? Sameer Khetarpal: Yes I think the -- I think you definitely begin to see acceleration going forward, right? And again, like I said, we are nearing the playbook that we want to build to get to the -- firstly is to get to the right three things which are the most important. Number one is the store capex and model, that we know what is working, what is not. In 3 years, we have now a very good sense, and we've been able to bring down capex, right? We have sorted the supply chain. We are leveraging the Domino's supply chain. Therefore, that translates into gross margins, right, which are very healthy, right? The third is the customer love, right? So this is the trilogy. And these 3, therefore, I feel very good about solving like almost 80%-85% of this trilogy. We know margins will come, right, and we'll get to that number.

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So once we get more data in the next couple of quarters, we should also expand beyond that. Ashish Kanodia: Sure, Sameer. And I think this question got asked, but when I look at the standalone EBITDA and then both EBITDA and revenue and then what is there for Domino's India, so the implied revenue for other businesses is roughly Rs. 200 crores. And, when I look at the EBITDA loss for the other businesses, which would be Dunkin', Hong's, and Popeyes, it's roughly Rs. 130 crores, give or take, maybe Rs. 2 crores, Rs. 3 crores here and there. So one, is there anything else also which is sitting here beyond the store level losses? Because just at a Rs. 200 crore revenue, this Rs. 130 crores looks slightly higher. And at least my understanding is given that Dunkin' and Hong's has been there for quite some time, maybe the losses in those two formats would be bare minimum. Is it right to understand that a large part of it is in Popeyes because of the investments? Sameer Khetarpal: I would say the losses in Dunkin' and Hong's are also not less, right? So except for the fact that Dunkin' and Hong's were there and we have corrected a lot of it, and therefore, you will see more goodness coming in, in the coming quarters from this portfolio. Ashish Kanodia: Sure

, Sameer. And just last one is on the inflation side. Are you witnessing any inflationary pressure on the cheese or any of the raw materials? Sameer Khetarpal: Yes, I think we are. I think there are a few commodities which have gone up, especially in cheese, oil and coffee, right? These are the, I would say, the top three. There are some tailwinds. Flour, I think what the team is telling me also gone up, but the crop has been really good. So we expect some of the prices to moderate. We are seeing it. We have covered a few areas, right? And so at least the internal plan, again, is to beat the inflation through internal efficiencies, better utilization of our factories, lower conversion costs, lower logistics cost, right? But, I do see inflation in the manpower and wages and those things will be there. But overall, I think the inflationary environment is, I would say, relatively benign because oil prices have been stable. The crude oil prices have been stable for a long time, the power fuel has been stable. So there are certain, I worry less about inflation, what I used to worry 2 years ago. Ashish Kanodia: Sure Sameer, that's super helpful. All the best. Moderator: We'll take the last question from the line of Shirish Pardeshi from Motilal Oswal. Shirish Pardeshi: Hi Sameer, congratulations for good delivery. Just a quick question. I was just trying to understand this Rs. 99 lunch menu, I think there is a lot of noise and there is a lot of push from the management side. But in fact, our consumers has also accepted. So just more curious, in your SSG a year before and now if we calculate, what kind of delta we would have got, maybe substantial 200-300 basis points or lower than

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that? Sameer Khetarpal: See, in lunch hours, definitely order growth more than that, right? So again, the way we look at our businesses is, first, order growth comes in, which acquires new customers and the repeat follows, right? So on lunch hours, Shirishji, it is more than the number that you are seeing. But it's a very dine-in-focused product, offering outstanding value and every time I visit stores and I ask customers what got you here during lunch hours, 4 out of 7 customers actually will end up saying it was the Lunch Feast that brought us over here. So it's a very popular product. Again, we have to stay invested. I think it can be much, much larger than where it is, and we should not lose focus on building this as truly the best dine-in proposition that the entire QSR industry has to offer. Shirish Pardeshi: One follow-up here. Do you think there is some more improvement to be done or pricing adjustment towards upside potential is possible in this business? Sameer Khetarpal: I think it is always there, right? And I think consumers again, I let nowadays machines and data sciences team decide that. We are experimenting with a few areas. We will correct pricing where we have to. But broadly, we want to stand for value and not get overboard at this stage. In some pockets where we thought it was easier to correct like Volcano Pizza, we went ahead and corrected also. But not on mass, we will be very scientific, very rigorous in taking price hikes, but there is a team that is looking at it. Shirish Pardeshi: Because when talking to some few places, I think the consumer is excited and now the product is now taking off. So I would say that it's worked almost three quarters now, maybe I hope is helping us. But then I was more curious that what kind of changes it will happen, if at all, if you need to do? Sameer Khetarpal: Yes. I think I will refrain from saying that. I think, again, my bias is to look at the country into various consumer cohorts and the combination of stores, then you have channels, which is dine-in, takeaway, aggregators, our own app, then you have big days like Diwali, Christmas, Holi, etc. So, I think pricing has become a very sophisticated science than what I used to do 25 years ago. Therefore, there are several opportunities. I

will let the data sciences team to run experiments and without losing the growth, right, or the customer, we will take calibrated calls, and we have begun to take some calibrated calls. Shirish Pardeshi: Okay. One quick question to Suman. What kind of, because the initial report is coming now saying that the milk inflation and chicken inflation is expected to rise. What inflation we are working with now with both these items? Sameer Khetarpal: So I think overall basket, I was -- because I was looking at this yesterday, so let me answer and Suman can

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add. 2% to 3% is what we are working on as from our food and paper, right? So, that's raw material and packaging material. I think we will be ballpark over there. It may be higher in milk, but we have covered ourselves. It has surprised us in oil, but the palm oil and cooking oil, it has started to cool down, but we are seeing some benefits elsewhere and therefore, 2%-3%. All of that or a large part of it should be neutralized by internal initiatives. Shirish Pardeshi: Alright, thank you and all the best.

Lakshya Sharma: Thankyou. Moderator: Thank you. Ladies and gentlemen, that concludes our question-and-answer session. On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Aug 2025

JFL/NS E-BSE/20 25-26/40 August 21, 2025

BSE Ltd.
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of Conference Call
Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letter no. JFL/NSE -BSE/2025 -26/38 dated August 13, 2025 and pursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Conference Call for Analysts and Investors held on Wednesday , August 13, 2025 for Q1FY26 and business updates.

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E -mail id: investor@jublfood.com
Encl: A/a

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"Jubilant FoodWorks Limited
Q1 FY '26 Earnings Conference Call"
August 13, 2025

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FOODWORKS LIMITED
MR. HARI S. BHARTIA – CO-CHAIRMAN – JUBILANT
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MR. SAMEER KHETARPAL – CHIEF EXECUTIVE
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MS. SUMAN HEGDE – CHIEF FINANCIAL OFFICER –
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MR. ASLAN SARANGA – CHIEF EXECUTIVE OFFICER ,
TURKEY – JUBILANT FOODWORKS LIMITED
MR. BALDEV MALL – JUBILANT FOODWORKS

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Jubilant Foodworks Limited
August 13, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call, hosted by Jubilant FoodWorks Limited. As a reminder, all participant lines will be in the listen-only mode and there will be no opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Baldev Mall from Jubilant FoodWorks Limited. Thank you, and over to you, sir.

Baldev Mall: Thank you so much, Nirav. Welcome to Jubilant FoodWorks Quarter 1 FY '26 Earnings Call for investors and analysts. We are joined today by senior members of the management team, including our Chairman, Mr. Shyam Bhartia; our Co-Chairman, Mr. Hari Bhartia; our CEO and MD, Mr. Sameer Khetarpal; our Turkey Business CEO, Mr. Aslan Saranga; and our CFO, Ms. Suman Hegde. We will commence with key thoughts from our Co-Chairman and then turn to our CEO and MD...

Moderator: Sorry to interrupt you, we are losing your audio.

Management: Can you speak a little louder.

Baldev Mall: We will commence with key thoughts from our Co-Chairman and turn to our CEO and MD to share his perspectives. After the opening remarks from the management, the forum will be open to question-and-answer session. A cautionary note, some of the statements made on today's call could be forward-looking in nature, and the actual results could vary from the statement. We will also share the replay and transcript of the call on the company's website under the Investor Relations section.

I would now like to invite Mr. Hari Bhartia to share his views with you. Over to you, sir.

Hari Bhartia: Thank you, Baldev. Good evening, everyone, and thank you for joining us on our quarter 1 FY '26 earnings call. I'm pleased to share that Jubilant FoodWorks has delivered a very strong start to FY '26 despite a challenging demand environment. We expect the demand environment to improve quarter-on-quarter going forward. Our results reflect the strength of our consumer franchise, our execution and our strategic choices.

We remain focused on protecting our core value propositions, affordability, quality and convenience while driving operational efficiencies. We continue to expand our footprint, adding 71 net new stores during the quarter and taking our total net work to 3,387 stores across countries in which we operate. This expansion is aligned with our long-term strategy and reflects our confidence in our brands and in our markets.

Consolidated revenue for the quarter stood at INR 2,260 crores, marking a 17% year-on-year growth and an impressive like-for-like growth of 11.6% year-on-year for Domino's. Our continued focus on cost and productivity is yielding results with pre-Ind AS EBITDA margins improving year-on-year.

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We are also seeing fantastic response to our new innovative product offerings, Lunch Feast, Chicken sides and Big Big Pizza launched in second half of FY '25 are doing very well with consumers. Internationally, our Turkey business team continues to navigate a high inflation environment with agility and resilience. Business has generated healthy free cash flows and strong profitability.

By next quarter, we will start funding the cost of acquisition debt from Turkey. This is an important milestone for us. Jubilant FoodWorks performance is a result of disciplined execution and high-performance culture across the organization. We are building a durable future-ready business, one that balances growth with resilience and innovation with discipline.

As we move forward, our focus remains clear to deliver competitive, sustainable performance while staying true to our purpose and values. We remain

committed to delivering long-term

value and embracing the opportunities ahead with the same bold spirit that has defined our journey so far.

With that, I will now invite our Managing Director and CEO, Sameer Khetarpal, to take you through the operational and financial performance in great detail.

Sameer Khetarpal: Thank you, Mr. Bhartia, and good evening, everyone. The last quarter has been nothing short of exceptional for Jubilant FoodWorks. Our teams have executed brilliantly, delivering results

against odds, exceeding both our internal targets and our commitment to you, our investors. Across every brand and geography, our strategy is delivering compounding results. We have accelerated menu innovation, rapidly grown the share of our own digital assets, made decisive progress towards 20 -minute delivery, sharpened our focus on growth and margins in Domino's India, scaled Popeyes towards becoming India's most loved chicken brand and generated healthy cash from operations in our business in Turkey. On every one of these fronts, the quarter stands out as one of our best. Let me talk about the growth highlights first. Group system sales reached INR 2,671 crores, powered by strong consumer engagement across brands and markets. We added 71 net new stores this quarter, expanding our network to 3,387 stores across the markets. Domino's India led the way with 61 net new stores - now present in 484 cities, a clear reflection of our confidence in the long -term growth potential of the Indian QSR market without losing the short -term opportunity. Consolidated revenue grew 17% year -on-year to INR 2,261 crores, while stand -alone revenue grew 18.2% year -on-year to INR 1,702 crores. Domino's India delivered an impressive 17.7% revenue growth, driven by 17.3% order growth and 11.6% like -for-like growth. Our third consecutive quarter of double -digit like -for-like growth. Delivery like -for-like growth stood at 20 .1%, even with the full impact of free delivery now in the base. Mature store ADS reached a new high of INR 85,396, reflecting strong throughput and operational excellence. Delivery channel grew by 24.6% year -on-year, while dine-in also increased after a long time by 2.5%, supported by targeted consumer initiatives.

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On profitability and margin discipline, we continue our approach to cost reduction and capital allocation. On pre -Ind AS basis, the EBITDA grew by 18.2% to INR 292 crores with margins at 12.9%. Stand -alone pre -Ind AS EBITDA rose ahead of revenue at 22.5% year -on-year to INR 205 crores with margin expansion of 42 bps to 12%. While gross margin dipped due to a deliberate value -led pricing mix shifts, the extended IPL season and the overwhelming success of Big Big Pizza, these actions drove superior growth, stronger new customer acquisition while protecting the overall margins through operating leverage and tight cost discipline. On post -Ind AS basis, interest cost declined 17.6% year -on-year, thanks to better debt management and working capital efficiencies, further strengthening profitability and cash flows...

Moderator: Sorry to interrupt you, we are losing your audio.

Sameer Khetarpal: Okay. I can only speak louder. Effective capital management has led to meaningful bottom line improvement. Consolidated and stand -alone PAT grew by 59.8% and 29.5%, respectively. On innovation and digital engagement, for non -veg lovers, we launched Chicken Burst pizza this quarter, a new format that's already gaining traction and building on our Cheesy platform range. Our digital ecosystem continues to scale with monthly active users of about 15 million, up 21.5% year-on-year. App installs are up 19.4% to 12.3 million and loyalty members at 37 million, up 48.6%. The metrics reflect our ability to drive consumer engagement repeats powered by our technology. Popeyes moment

um is now strong with double -digit SSG growth in South Indian markets and improving restaurant profitability, both year -on-year and quarter -on-quarter. We now expanded to West with a healthy pipeline for Q2. Our investments in the business in Turkey is delivering exactly as intended, PAT accretive, cash positive and high ROCE. The business reported INR 519 crores in revenue with a 9.4% PAT margin. While LFL growth was moderated by CPI led-price lag, order volume grew healthy and profitability improved through cost discipline and capital management. Coffy in Turkey now operates in 38 cities with 167 cafes, winning on value and service. Overall, I sum up the performance , we are building -- we are agile today, ready for challenges and building a multi -brand consumer -first food tech enterprise. The focus is clear: growth and profitable growth, acceleration of innovation, digital leadership and operational excellence. With strong momentum across all our brands and markets, we entered the new quarter with confidence and conviction to do better.

With that, I request the moderator to commence the Q&A session.

Moderator: The first question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: My question is, it's been like 2.5 years since we have taken any price hikes. Now our SSG also has sort of stabilized over the last 2 to 3 quarters at a double -digit kind of a number. So what is really holding us back from taking a price hike now?

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Sameer Khetarpal: Yes. So Percy, good question. I think in a few calibrated places, we are taking price increases, firstly, right? And what you see over here is the -- our order book -- like our LFL growth in value terms is slightly ahead of order growth. That's what I mentioned. So it is happening, but I want all of our investors and analysts, friends to step back.

We are here trying to build a 5,000 store franchise, right? I think this is the time where we penetrate more, we get the throughput per store and the leverage is coming in pre-Ind AS basis. It's very easy to take price hike at this stage, right?

And I get like several proposals every day on my table. I am going in for growth, and I can see the profitability improving at a pre-Ind AS level, hopefully, at post-Ind AS and whatever gross margin decline we have, we are seeing actually the leverage coming in supply chain and multiple other places. So what you are saying, we will take it at the right time. We know where to take it. We have done the full analytics, but we'll pull the trigger when we have to.

Suman Hegde: Just to add on that, Percy, while Sameer has mentioned that we have taken calibrated pricing, the inflation is not really that high yet, right? So it is still at a benign stage, while, yes, we might look at daily inflation, but there are many other components of the food commodity basket, which we play in. So inflation is not really high. That is not really what's coming and hitting the gross margin.

Moderator: I'm sorry to interrupt you, but we are losing your audio a little bit.

Percy Panthaki: My second question is on the loyalty plan. Now it's been fairly long since we have launched it. So we are hoping that you can share some more data on this. So, I understand you do share sort of the number of customers and stuff like that.

But what I'm really looking at is that for a customer who has enrolled in a loyalty plan, how has his behavior changed versus when he was not in the loyalty plan? So does his AOV increase, does his frequency increase? If you can share some kind of numbers or some kind of data on that, it will be really helpful?

Sameer Khetarpal: So I will share three points over here, Percy. Firstly, our own assets are growing the fastest, right? So loyalty has a role to play over there. Second is frequency has begun to move up, right?

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So last year, we put free delivery, we acquired customers at an unprecedented pace. So when we calculate frequency, we calculate total number of orders divided by total number of customers, including new customers.

So that number is beginning to go up. And third is the cohort, right? So -- like in the Cheesy Rewards loyalty program, after earning six pies, you get a free pizza. That cohort, four plus is seeing the fastest growth. So, I'm giving you an analytical but a qualitative answer Percy on all three accounts without revealing the numbers, loyalty program is genuinely working is one of the important components of driving our own digital asset growth.

Percy Panthaki: I understand. What I'm -- okay, I'm not looking for numbers, but if you can tell me, see, loyalty has two or three benefits. One is that it can help recruit new customers. Secondly is that it can help increase the AOV of the existing customer or third, it can help increase the frequency of

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ordering. So if you were to rank these 3 benefits in terms of ascending order, which is giving you the most of the benefits and which is contributing to the lesser part of the overall benefits. That is what I was just looking at without any numbers.

Sameer Khetarpal: The biggest benefit of the rewards program is the long-term value of loyal customers. So it is -- not AOV, it is AOV into frequency of the loyal customers. Somebody -- so our average frequency is about three, right? Cheesy Rewards kicks in at 6, right? So, it fundamentally attracts customers -- who love Domino's, right, who or who love pizza.

And when they're making a choice, this is one of more factors -- one of additional factors other than delivery, innovation, the highest quality of cheese, et cetera, to come back to Domino's app, right? So, the way it is attacking is long-term value of customers who eat 4-plus times the pizza.

Percy Panthaki: Understood. And lastly, if I might squeeze in one question. See, we started doing this double-digit LFL from Q3 last year. So we have one more quarter of relatively low base than we hit the high base of Q3. So when we do hit that Q3 high base, how do we think of the Y-o-Y LFL going from there on? Would you say that you would endeavor to maintain the high growth irrespective of base? Or do you think the base effect does matter? And if it does, how much of an impact would that make?

Sameer Khetarpal: Percy, I will give the same answer what I gave last quarter, right? Bases do matter, right? -- but I think, again, I will request you to step back. At 3 quarters of these double-digit like-for-like growth, we will be expanding to the seams of the store in terms of operations, right? And that's what we are seeing, right?

And I think the teams have done a great job of sweating the asset, using the same -- doing lesser number of splits and growing the same store. So I think at some level, to me, splits will increase and will be obviously our payback period, ROIs, those will be intact, right? And from a base perspective, I think what is -- again, I will draw your attention to why are we growing, right? So it is not just a base effect.

We have done 5 things, right? We expanded the pace of innovation. We invested heavily in digital assets. We did free delivery. In top metros, we are the best in terms of 20 -minute delivery. And lastly, we have like expanded the teams on the ground to have daily rigor, right? Like this -- for example, this Raksha Bandhan, it was raining heavily .

We exceeded all our expectations and yet delivery metrics came ahead of what we were internally anticipating on day like that. So , the combination of factors that is not just base and therefore, we are riding on the base. I'm very confident the measures we have taken should take us beyond the base also.

Moderator: Next question is from the line o

f Nihal Jham from HSBC Securities.

Nihal Jham: Two questions from my side. The first is on the delivery dine -in divergence that we are seeing. Even if I look at our dine -in channel, we've obviously launched the INR99 and the INR149 value meals. So there is a clear -cut case of value and all the other 5 aspects that you mentioned other than the delivery charge being very much a part of the dine -in channel also.

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So what is it that is driving such a big divergence in the 2 channels? And if you say allocated to the delivery charge, is it that, that has had the maximum impact among the 5 elements that you just highlighted right now?

Sameer Khetarpal: Firstly eating at your home from QSRs, whether through a carryout or through delivery is a worldwide trend, right? And aggregators have obviously accelerated it. COVID boosted it. And consumers are looking to eat at home more and more, the QSR food, which stands for value. So that trend is intact. So that is driving one of it.

And then when it comes to delivery accuracy, delivery comfort, ease of ordering, value that we give that these are underlying factors that is fueling the delivery, right? So -- and if I want to -- if I'm pressed for time and which is happening more and more in our cities, right, we are becoming more urban, more nuclear, right, those trends, underlying demographic trends are there. That is what is fueling delivery.

On dine -in, right, so the way I want to just correct the understanding over here, Nihal, in humility. See, our on -premise includes dine -in and takeaway, right? So a customer can come in, right? I want to eat there. Just eating at the restaurant is also growing at 20%. We don't disclose dine-in and carry out, right? It's the carryout business that is like because of free delivery has moved. Otherwise, there was an incentive for customer to save INR45 -- INR45, INR50, if you -- when the delivery charges were there, with free delivery.

So I think the -- I did give a little bit of a positive undertone on dine -in. At least it is growing at a full system level. It is not declining. The reason is as we -- as the -- here, the bases are actually helping, right? And -- but overall, our dine -in trust me , has been one of the best in terms of the customer input has been the best in the last 3 or 4 years.

Nihal Jham: Understood. Just to clarify, you did say that leave apart the takeaway business, which you've highlighted earlier, the dine -in growth has been very strong, very close to what the delivery growth has been.

Sameer Khetarpal: Yes. That's correct.

Nihal Jham: That's very helpful. My second question was on -- I think only addition of one store. Just thoughts on where that brand is in terms of -- I know you mentioned that 100 store is the threshold where you start giving more data, but maybe the pace of addition was slightly lower. Where do you expect the store addition to scale up for the next full year? And even on SSG, specifically highlighting, say , South India, any comments on the rest of the country on the adoption of that brand?

Sameer Khetarpal: So I think the location strategy, product strategy, leading with both dine -in and delivery, our own delivery, our own app, that strategy is very clear. I think the slower growth in the quarter is an aberration, right? We already entered Mumbai with three stores, right? And we are building two more stores in Mumbai.

So you will see the right -- so we are -- we know where to open next 100, 150 stores. When we get the locations, we will open the stores. So nothing -- it is more about finding the location and

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negotiating on the rentals. And like I said, three stores in Mumbai are already opened, two are under construction. I am entering the quarter 2 with a reasonably healthy pipeline.

Mode
rator: Next question is from the line of Aditya Soman from CLSA.

Aditya Soman: So two questions from me. So firstly, I just wanted to understand this GM decline a little bit better because you indicated that you are pushing the value agenda, but I thought that the free deliveries now are complete -- should be in the base.

And secondly, even when I look at the free delivery, we are seeing the packing charge, for example, has gone up almost fully offsetting that free delivery amount compared with what it was two quarters -- let's say, 5 or 6 quarters ago. So I just want to understand this gross margin decline.

And then the second question is just overall also in terms of profitability for the stand-alone business, if I look at the EBIT or PAT over a sort of 3-year, 5-year period, it's basically we've seen no growth. In fact, over a 3-year period, it's a sort of double-digit decline in profit. How does one address this given that we've got very strong SSG, very strong top line numbers now, but the profitability overall remains muted?

Sameer Khetarpal: Yes. I think let me address profitability. I think you are seeing the effect of profitability in this like SSG in the profitability, PAT has grown 30% ahead of the revenue, right? So that is what we are also focusing on. And of course, the SSG has to flow into EBITDA and PAT, right? We are very clear about it. This is not a revenue business.

So I hope that addresses -- I hope you looked at that number, right? And it should improve from here. We had given that in -- over a 3-year period, we should improve by at least 200 basis points on a stand-alone basis. So that guidance remains actually, to be very honest.

Now the first question you had was on gross margin. So at least -- so I think the gross margin dilution is a result of 3 things. One is Big Big Pizza, which was we knew dilutive exceeded our expectation by almost 2x. And the IPL, it was supposed to be for a limited time in IPL. We extended it for the full IPL and also the IPL also got extended because of the border conflict. So there was that effect.

Second is we had launched chicken. Chicken per se, we want to increase the salience of chicken. There, we have taken some calibrated price increases when we looked at the gross margin. And third is we want to grow lunch, right? And the INR 99 lunch is an outstanding proposition available only in dine-in.

So these are all very strategic interventions, right? And we just sweating the assets. If lunch grows, we have to -- in dine-in, we have to do lesser splits. So it is very well calibrated. And you should look at pre-India AS results.

The second thing which we -- at least we look at internally not only the recipe cost or the food cost, we also look at the supply chain cost that is to deliver to the store. That is where we have seen maximum advantage. It is, in fact, one of the all-time lows in the -- in our history. It is

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almost 50 basis points of tailwind that we are getting just from our commissary and logistics operation.

So, we are seeing the leverage. I will not look at just the recipe cost stand-alone and look at the overall picture. And yet -- and we are also working to improve several initiatives are there, and we see an improvement trajectory in the last 3 months.

Aditya Soman: No, I understand that the gross margin. So, my question actually was on the PAT. The net income was actually on sort of a 3-year or 5-year basis, right? So if I look at net income or EBIT because the interest costs have gone up, so if I disregard interest cost, even the EBIT has declined at a CAGR of 11% on a 3-year basis, while our top line has grown 11% CAGR. So I'm just trying to understand what has led to this decline and how that will improve because 200 basis points still won't take it to what it was 3 years ago.

Suman Hegde: So let me

answer that for you, Aditya. So you're absolutely right. And there are 2 points which

I want to draw attention to here. One, at the point in time when the PAT was what it was, is the gross margin that we used to make. I think over a period of time in the last few quarters, we've also said about where and how price sensitive the Indian consumer is.

And we are seeing that across the board, right? I mean, across not only the QSR industry, if you look at any consumer-facing industry and in the environment that we operate in -- in the competitive environment we operate in much more competition than there was there 3, 4 years ago, right? And when consumers are spoiled for choice, you have to be very, very efficient on your pricing.

And hence, some of those margins of the past were not sustainable margins if you want to protect your consumer franchise and you want to look at the long-term value that you're creating as a brand. So that's one effect, which, of course, now we are saying once we rightsize it, we will improve the margins. I think there was a question previously, also by Percy on saying how we're looking at margins going forward.

We will see this coming through because we know it's an impact of mix, and we have invested, deliberately invested behind giving value back to the consumer, looked at customer acquisition, put value back in delivery. So that's one element which has impacted the PAT that you've seen in the historical 3 years back, if I compare it.

The second one is the depreciation and we keep the interest cost out of it. But we have heavily invested behind capital investments on technology, on stores. And as we have called out, with a high investment cycle behind our supply chain assets, which are our commissaries to support the growth that we will see going forward. Some of the capacities we have invested in are going to last us for the next 2 to 3 years. right?

Of course, the impact of that comes in the immediate in the depreciation line, which is what also you've seen a significant increase over. But in the long term, as the cycle we're getting off and we're getting off that cycle in FY '26, most of the investments now will be on ROIs, which are much better than manufacturing assets, right?

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This behind stores, which have a 2, 2.5-year payback. It's behind technology, which is a faster turnaround, which you are reflecting in the growth that we are seeing. We will see this improve, right? So there are 2 elements, just to summarize. One is, of course, the gross margins, which we will now start inching up, but we did take a sharp dip on it, which is, I think the industry -- across industry was important to do to get the consumer back to the fold. And the second is depreciation, which you will start seeing the leverage benefits flowing through if the growth momentum continues.

Moderator: Next question is from the line of Vivek from Jefferies.

Vivek: A couple of questions. So first is on the delivery take what you mentioned, Sameer. So the way in which you report, let's combine it together, the last -- the previous quarter, fourth quarter, you almost came to 0% to 1% this quarter, 3%. Do we expect this to -- or should we expect this to pick up as we go forward?

Because, one, of course, the base is there, plus the initiatives that you have also been undertaking. That's the first part of the question. And where do you think delivery plus takeaway settles in the medium term?

Sameer Khetarpal: Yes. So I think the first question is, yes, I think we are working -- while we -- execution on delivery will be the key, try to service the demand, but shaping the demand on dining is something that we do very rigorously and a lot of efforts have gone in. I think you will continue to see the results in my opinion. So therefore, from neutralizing to plus 2.5%, 3% to 5%, 6% is what

we are internally targeting, right?

So it should improve. But the mix of -- there is a huge tailwind on delivery, Vivek. The more supply we are able to create on delivery side, there is enough and more demand with weather vagaries, with traffic, with consumers like habit changing with app, with bank offers, right? It just that this -- I think the growth momentum is there on the delivery side.

So it is more -- we have to supply be ready at the right point at the right cost. I don't know the answer to the question number two, to be very honest. The way I look at it is I want the customer to have a great choice with us. We should be available in all channels. Our own app should offer the best, most immersive pizza eating or pizza ordering experience. And our stores, which are neighborhood stores, we will be like, what, maybe 60, 70 stores in Gurugram alone.

So in that kind of a setup, if somebody wants to eat in, take away, that's how we are building the business. And we genuinely want to shape the demands towards dine-in because it is accretive to the P&L.

Vivek: Right. And just a follow-up. So let's say, deliveries today at about 73%, where -- so basically, if, let's say, this number goes higher and higher, does that need any change in you think you -- the way in which you are building stores, the way in which you are staffing stores and so on and so forth? Or in the medium term, you don't envisage this number going up now from the level that we are currently today?

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Sameer Khetarpal: So we are constantly monitoring, right? So the 73% is an average, right? So there will be stores with 100% also. There will be stores will be less than 10% also. So, there is a -- so in urban centers, when we especially split a store, we try to go with a delivery and carryout store. This is about 800 to 900 square feet store. in rural areas or in Tier 3, Tier 2, we are opening up 1,500 because there, the dine-in. Takeaway is like more than 50% or closer to 50%. So, we are already calibrating, and we are seeing what happened 2 years ago.

So at the moment, for example, if any property which is there more than 1,500 square feet, we actually say no, right? So we don't want it. It doesn't add value. We know the business ultimately will shift towards or customer preferences will shift towards dine-in even in Tier 2, Tier 3 cities.

So we are calibrating a lot of that and getting tighter on the property and the real estate that we ask. But we are not going to open that dark store, right? So I just want to...

Vivek: Okay. Got it. And the other thing, Sameer, quite frankly, every time that we are on the call, there are a lot of questions on the margins. I think at least I totally appreciate the fact that you are going after growth. Even if it is gross margin dilutive, at least EBITDA margin numbers are showing that you're building business from a -- with a medium-term lens, if not long term.

But just because there is so much of concern on margins, do you think on the gross margin side, this quarter has been, I think, one of the lowest. Do you think you are at the bottom on gross margins? That is first part to the question. And the second part is if you still have to dissect the, let's say, 200 basis point decline at stand-alone level, how much of this will you say will be because of promotion versus, let's say, new products which are margin dilutive?

Sameer Khetarpal: So I generally believe, again, I can be wrong, but I genuinely believe that this is an aberration, right? And I do see margins improve -- gross margins improve. And having said that, I also want you to notice that our supply chain cost has been lowest ever. So actually, the delivered food cost to the store is not as bad as what you are seeing just on the recipe cost. That's one.

The second is the almost 75% of the loss is coming from the new

products that I spoke about.

So which -- and I think the sales exceeded our expectation on all 3 of them. And therefore, we have gone back in chicken, for example, taken price hikes, right? So we are calibrating that. I don't think they will go down any further in my opinion. They should ideally improve.

Vivek: Okay. And sorry, just one follow-up. Why do you say Sameer there is an aberration in this line item?

Sameer Khetarpal: Because some of the changes, I think, got together, like I said, like the Big Big Pizza exceeding our internal estimates, IPL getting extended, right? And it didn't -- like we were positively surprised by that, right? Chicken, for example, in South India exceeded our internal targets. So for example, in chicken, we have gone back and corrected the price. On Big, Big Pizza, we are now -- actually, we are reengineering the product to see can we get more gross margins, right? So that can we -- how do we make it more efficient? Can we do a few things in the factory, right? Can we make the store operations a little more leaner. So those things are under works. So that's why I feel more confident we know and then controlling like operations in stores, right, as the throughput increases. So we are using technology to map the stores, to map the inventory.

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So a lot of effort. In fact, I'm personally spending enormous amount of time in digitizing our supply chain. So those are the pieces where the wastage, delivery costs to stores, inventory excesses, those things I believe will come down, which is also sitting in the gross margin.

Pricing, I'm very, right? I just don't want to go on record. Taking price increases is going to be very calibrated. I'm going for growth and growth should give me leverage in the EBITDA lines.

Moderator: Next question is from the line of Jay Doshi from Kotak.

Jay Doshi: My first question is, when you introduced Cheesy Volcano, it was -- the introductory price was very attractive versus other products, similar products. Then you did the same with Big Big pizza and the new Chicken Burst pizza. So when you actually roll back the introductory price or take price increases, do you see the same level of traction in these innovations or it tapers off? So that's my first question.

Sameer Khetarpal: I think you're right. I think it's a loaded question. So it's therefore, a very intelligent question. I think consumers today are very savvy. They know where -- how to compare the prices and AI is only helping them like get faster earlier, they used to take 7 minutes to compare across 5 apps and call the store. Now the AI is actually doing it for them. So price increases are going to be harder for the industry. And when we did take the price, we immediately saw the elasticity, so therefore the way we...

Jay Doshi: Sir, sorry...

Sameer Khetarpal: Yes. So Jay, consumers are very smart. They have more tools to do price benchmarking. Price increases have to be very calibrated, right, very thoughtful, done in a scientific analytical manner with proper A/B testing over at least 13, 14 weeks. So that's what we do. In a few cases, like

Volcano Pizza, we have taken price increases.

In Big, Big Pizza, we did take price increase, but we saw massive elasticity against us. So we will roll back where we have to. We have to change. But the n-- again, the focus on gross margin continues, right? And through more efficient use and smarter use of analytics to get more in the bank.

Jay Doshi : Sure. One more follow -up there. Is there any possibility for you to consider platform fees because food aggregators have now...

Sameer Khetarpal: I'm dead against that. I have seen this play out like almost 15 years of my life, right? You do get a bump in 1 quarter, 2 quarter, right? Our own app is growing for a reason, right, because we kept it simple. We've kept it unhidden

price. It's very easy to do it, right? All of what you are suggesting, we can do it like tomorrow morning.

It's hard to build long -term businesses that on customer trust, where you're tightening your own belt and not pass them to. So we are going in for that. That's a clear strategy. But all the levers you are suggesting, we have it in our back pocket and technology is ready, I can roll it from midnight tonight , but we are not doing it.

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Jay Doshi : Sure. Last one on Popeyes. Now at the Investor Day, you indicated you need another 3 to 6 months to streamline a few things for Popeyes. And your last week's small interview on CNBC, you appeared sounded more confident. So could you give us sort of an update of what progress Popeyes has made in the last 6 months? And how do you sort of look at the expansion plans growth from the next 12 months perspective?

Sameer Khetarpal: I think we've made tremendous progress in the last 6 months. Five things have happened over there. Firstly, we have relentlessly focused on building the team, right . In fact, I would say what Domino's team we did about 2, 3 years ago with splitting of regions, getting physical digital leaders, we have replicated the same playbook , even just with 60 -odd stores.

Second is ruthlessly focused on getting the delivery infrastructure, right? It's very hard to do for a 60 store network, which is with a patchy coverage even in a city, right? So we've gotten that piece, and we have combined it with the Domino's team, which does this like 40,000 riders in a day at scale. So -- and we are building more and more technology to combine it. So that is number 2 thing we have done. We have fixed delivery .

Third is -- I personally spend time with the 60 restaurant managers every quarter, right, telling them what is important along with the leadership team. We train them. We are building the business in a very -- like a start -up mode. And fourth is getting the unit economics right. So a lot of effort has gone in on measurements, food cost, a lot of capex reduction, supply chain capacity buildup, automation in supply chain.

So I feel very confident that -- and now we are beginning to invest in marketing . So take, for example, we were very under -indexed on buckets, and we've gone back and fixed that. We fixed the core value proposition, how will we differentiate as a brand in this cluttered market and stand for the most loved chicken. So those pieces, we have worked, and we will see a lot of compounding happening over there.

Moderator: Next question is from the line of Manish Poddar from Invesco Asset Management.

Manish Poddar: Just one question. You all are doing well despite the macros, given the multiple interventions which you have done. If you can help me understand either qualitatively or quantitatively, how is our brand relevance on aggregators now that will be useful to understand how would it stick around when we reduce incentives or promotions?

Sameer Khetarpal: Yes. I think firstly, the relevance of aggregators and our own digital assets is for the customers wanting reliable delivery, right, and options. So that is where we come in. And that is one big tailwind and operational advantage we carry in our business. So therefore, we work very well with both the aggregators. Overall, we believe as we do mark -to-market our own estimates, we believe we are gaining share. And we want to be there wherever customers are. So if the aggregators are launching new deals, properties, new separate delivery options, we want to be there. So we are looking at the customer where the customer is and following the customer versus trying to say customer should come to me on this channel with this kind of a proposition.

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Manish Poddar: But, would you have some data to -- I'm jus

t trying to understand, let's say, when you say market

share gain within the category or at a broader level or top 10 cities, any sense how would our share stack, let's say, what it was, let's say, 12 , 18 months back versus today?

Sameer Khetarpal: See, internally, we do -- I don't want to share the numbers. But when you look at like even the listed QSRs and look at the growth, right, revenue growth, you will get it, right, yourself. So it's very easy to do, but we do have -- we have a more scientific approach where we also go to unlisted pizza players. We obviously get market share information from aggregators.

We overlay our own internal data. So I think you will be very positively surprised. See 20% like - for-like growth in delivery alone will give you that we are gaining share, right? That should -- that is, I think, the single biggest data point.

Manish Poddar: And sorry, Sameer, if I have to think about when you think about incentives, these are not, let's say, higher margins to the aggregators, but more consumer incentives. This is what -- so when you plan to -- it's more targeted advertising or targeted promotions, which will reduce over a period of time rather than, let's say, negotiate harder with aggregators because having higher share in the channel. I'm just trying to understand from a gross margin picture.

Sameer Khetarpal: Gross margin has nothing to do with the aggregator channel or any thing, right? So gross margin that you see is the price we get for an order and the food cost for that order, irrespective of where it comes from. So there's nothing to do with aggregator negotiation or anything. We work very well with aggregators.

We want to deeply partner with them on all their programs. We believe they have built a strong franchise. And we continue to invest our own technology, our own stores. It's quite complementary in my opinion.

Moderator: Next question is from the line of Aditya Vikram from DB Securities.

Aditya Vikram : It looks like a good job done. I had just one question to the point which Suman was making. You said most of the technology investments are now writing benefits or will start writing benefits in a short period of time, right? What would be an idealistic impact on the gross margin as such?

Suman Hegde: Sorry, what benefit?

Aditya Vikram: The technology benefits, what would they transpire into, right? You said in the next few quarters, we will start seeing the impact. So I just wanted to quantify it.

Suman Hegde: Okay. So okay, there are multiple areas where the technology is being deployed and you will see the implications. If you want to specifically understand because technology on store operations that we do will, of course, reflect in better employee cost productivity, so it will appear below the gross margin line.

If you talk specific ally of gross margin, where is technology being deployed. We have better conversions on our app, right? And because of the app interventions that we are doing in terms

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of consumer cohorting information that we get, in terms of ensuring that there's a good uptime for consumers, cross-selling that happens.

If you go into our app today, you'll see multiple options where we have adjusted things to help cross-sell, upsell, more targeted discounting, which is done basis on where the consumer cohort sits in a particular location or in a particular region. So all of that helps us do better smart pricing, better discounting and better conversion of consumers.

This is what we reflect in your gross margin line, right? But there's also technology investment going on behind store operations getting better behind our own delivery management system, which ensures that we get good delivery executives onto the portal, which ensures that we can deliver against our, DOT, Delivery On-Time promise.

All of that will reflect

into our below gross margin, but above EBITDA line. So that's the various kinds of technology. But specifically on gross margin, you will see it in better and more smart pricing, better and more targeted discounting and better conversion happening because of the app experience for the customer.

Aditya Vikram : Okay. But you still won't be able to quantify it as to how much will our gross margin improve now that we are not going to do a lot of technology investments, correct? Or you have some sort of an estimate, but you don't want to call out...

Suman Hegde: No, Aditya, I think one is technology investments called out, it goes -- the investment will get depreciated, which will go below the EBITDA line. So it will not come that improvement of lesser investment in technology will not go -- and we do not intend to invest lesser in technology. We only expect to get better returns on that investment that we do in technology, right, which will reflect in the gross margin line. But the technology investment -- in depreciation goes below the EBITDA line, yes.

Aditya Vikram: No, no, no. I understand the EBITDA line. I was just trying to understand that what would be the impact on the revenue and everything but based on everything which you suggested and -- okay. Should I -- question is, again, Sameer, you mentioned that you are very cautious or you

will only take calibrated price rises because of how the Indian consumer is, right? Is there any sort of experiment done on reducing the...

Suman Hegde: Sorry, Aditya, your voice is breaking...

Aditya Vikhram: Yes. So this question was specifically to Sameer. Sameer, you said you want to take a very calibrated and cautious approach when it comes to price increases, right? And you have seen -- I mean, one of the participants who was trying to understand that what is the traction whenever you increase the prices.

I just wanted to understand from the management perspective that are you all guys doing any experiment on the big size pizza where you're reducing the size because these are highly margin dilutive. Is there any sort of experiments or any sort of work going on that front as well?

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Sameer Khetarpal: So I think the -- firstly, the big pizzas come with big ticket size and therefore, give more leverage on the cost below gross margin lines, including delivery. So therefore, at a percentage terms, it may be dilutive, but absolute terms, it is accretive. So that's one piece to keep in mind, right? So second is, again, in this environment, we want consumers to get more food, get more satiated and come back.

And we are seeing that consistently, right? It is -- I mean, just anecdotally, I'm just sharing you like my peers in the industry and many customers that I know will cash hold of me on a bus station or a rail station or -- and say the Big Big Pizza is such an outstanding innovation.

So again, the idea is to grow the business, franchise it. At the same time, we are running almost 30 experiments as we speak on taking calibrated pricing. There are 30 initiatives being run to reduce cost, right? It is not about putting less cheese though. It is about can we get better at storage of cheese? Can we do better buying of cheese? Can we do better procurement of oil?

Can we reduce localization of corn, right? So I think those are the initiatives we are focused on.

And there are several such initiatives, and I am confident the opportunity continues to exist. Plus this top line growth is giving us leverage in rentals. It is giving us leverage in the G&A cost. So I remain very confident about the margin trajectory also, and I'm not too concerned about it.

Again, on pricing, like I said, we are going in for growth. It's very easy to take whatever you are suggesting at convenience fees, increase pricing, increase packaging charges, but we are not doing it.

Aditya Vikhram: Okay. I just have one feedback for you and your team, if you can. I myself a Domino's customer and we do order it for various of our friends as well. I think most of the numbers which are listed online for your stores are either inaccurate or don't work. So if you can work with -- and it causes a lot of frustration when you're actually ordering in between again and you're waiting for a very long period of time.

So if you can work with your team to ensure that the numbers which are listed on Google and your apps are at least accurate and you can ensure that we reach the stores, that probably will reduce some amount of frustration and cancellation also, I'm hoping.

Sameer Khetarpal: Yes. Firstly, my sincere apologies for the poor experience. We are on it. I think hopefully, AI will take over and then we'll not need any intervention. That's what we are building. But in the meantime, please do -- like if you can drop us an e-mail where it is, we'll correct it in like...

Suman Hegde: We are already working on it, but thanks for the feedback. It is very valid, but we are working on it.

Moderator: Next question is from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: So my first question was, Sameer, with respect to the competitive landscape. Just want to understand how the trends are and especially from the point of view of which are the areas -- we have a lead on a lot of areas, be it tech, be it delivery, be it the whole innovation. Are we seeing any catch-up game being played by competition? And any specific area you want to talk about?

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I know you talked about the market share gains in the recent quarters, but anything in specific, if you would like to call out?

Sameer Khetarpal: There's nothing, I think Sheela, we are more internally obsessed with our customers than looking at competition. Of course, we do benchmark our sales, our metrics, there are teams to it so that the customers eating at Domino's or shopping at Domino's, they get the best value and the best experience. So those things we do.

I think I will talk more internally that I think we have a huge pipeline of building product platforms, right? We continue to invest in cheesy platform, as we call it. So therefore be it Burst

Pizza, non-vegetarian pizzas, you'll continue to see that growth, huge opportunity to capture lunch, right?

Our late-night delivery has grown at a very fast. It has, in fact, doubled in last like 9 months. So we see great -- both customers looking for innovation in menu dayparts and occasions like Raksha Bandhan and Independence Day and Friendship Day, those we are like -- we are very, very bullish about the opportunity that exists with us. I only wish we can execute faster, right? So the demand is there.

Sheela Rath: Understood. Second question and the final one. You did mention about you are not looking to open dark stores. But when I look at the delivery numbers, that is 73% of revenues now, and you did say that in smaller towns, dining is over 50% in some part. So I just want to understand in metros and Tier 1 cities, is the delivery share much higher? And is there a case to have smaller sized stores? Or we still think that we will continue with the kind of stores we have been opening in the past?

Sameer Khetarpal: Nothing is horses for courses in smaller -- in the larger cities like Mumbai and Gurugram and Delhi, we tend to open smaller stores, unless until it's a virgin area, which are very few in these cities or it's a mall, for example. So we do tend to open smaller stores in these cities, which are more delivery-centric, right? But if a customer walks in and wants to eat, right, should get a comfortable air conditioner and a table and a chair to sit very functional.

So we don't penalize that somebody wanting to come in the store has to find the store. And I t

hink Sheela, a lot about food is also seeing the food being made. So that generates trust in the brand, right, and versus doing 10 brands from a dark store. So we are very clear on that one. The ROIs have to work.

And we look at -- when we look at -- when we give a store approval, it genuinely like validate how much dine-in and carryout sales will be there. On that basis, we decide the store. Store sizes have some smaller, I would say, have become smaller in large cities. That calibration is an ongoing one.

Sheela Rath: Sameer, if you could remind us what is that number now from a square feet basis?

Sameer Khetarpal: About 800 -- like see, mostly when we split a store in large or urban centers, we go in for 800, 850 stores, maximum 1,000, where we don't go definitely beyond 1,200, right? While in like I said, in Tier 3, Tier 4, we do want to give 40 to 50 covers because there is demand for dine-in in Jubilant Foodworks Limited

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those cities. So our standard size is 1,200. It has actually gone a little lower than that between 1,100 and 1,200 in the last 24-odd months. So we are constantly calibrating that.

Moderator: Next question is from the line of Latika Chopra from JP Morgan Chase.

Latika Chopra: A few questions from my side. I think the first one, just taking on from calibrating store sizes, I just wanted to get a sense on capex for you in FY '26. I heard Suman mentioning much of the commissary-led capex is likely behind us. If you could give us some color on what kind of efficiencies are you building on the capex front? That's the first question.

Sameer Khetarpal: Suman, you want to take that on guidance.

Suman Hegde: Sorry, Latika, just to understand, are you asking about how the capex -- overall capex spend of the company will look in the years going forward? Or you are specifically asking about store capex efficiency?

Latika Chopra: If you could comment on the overall capex, how you're looking at it for the medium term?

Suman Hegde: Okay. So we are coming off a high cycle of supply chain commissary capexes like we said. But we do plan to accelerate our pace of increasing the number of stores that we open. If you recall from our Investor Day also, we said that -- the plan is because we believe there's potential in the country to open the next 1,000 stores in the next 3 years, right, which will mean that there will be a higher amount of capex, which will now swing towards store openings.

We'll continue to invest behind the technology and of course, the operations on the ground to get the back-end infrastructure, be it in terms of our ERP systems, our processes, supply chain transformation, but more tech and store opening-related capexes will be where it will happen, which means your return on capital employed should typically go up because the payback cycles on these investments is better.

So that's the way we are looking at our capex spend. So it will not be a dramatic recalibration or a significant decrease in the capex cycle that we see over the next 2, 3 years. But the portfolio -- or rather the profile of the capex, which will get spent will be different and will be more faster and higher revenue generating or return-generating capex.

Latika Chopra: And Suman, at a store capex level, how should one think about on a per store basis an average capex?

Suman Hegde: So we don't really comment out on how much we spend because again, that can vary depending on the size and place of the store, Latika. But let me just give you some numbers in terms of

percentage. Over the last 3 years, consistently, we are seeing that number come down like almost every year, we see a 10% to 15% drop on the amount that we spend on the capex coming predominantly from scale and as we get better on what technologies we use. And the other vector that we really are looking at now is saying how much of the capex

do we

put in and how much can we get the landlords to invest behind, which also is a key area for us, it improves the ROI for us or the payback on our store and also brings down the amount of capex

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that we spend per store, which means we can open more stores with lesser amount of money, right? So I don't want to comment on a number because the numbers can vary, but that's the way.

Latika Chopra: Over the last 3 years on a stand-alone basis, I think you've spent on an annual basis, INR700 crores to INR800 crores per annum. So I'm just wondering if the heavy commissary capex is behind us and this absolute number on an annual basis could probably moderate. So I think that was what I was trying to gauge.

Suman Hegde: Yes. It will moderate to some extent. But like I said, it won't be a material moderation because I'm just recalibrating it from supply chain commissaries to store.

Latika Chopra: Understood...

Suman Hegde: The supply chain capacity supply to new stores, right? So now I need to also generate the return -- generate the demand to ensure I can leverage the supply chain capex, which I think is the right thing to do in the medium to long term, yes.

Latika Chopra: Understood. The second bit was in FY '25, I think, if I recollect correctly, the drag from losses from emerging formats was about 200 basis points. And I saw you mentioned that Popeyes has seen sequential improvement in profitability. So how should one think about this drag? How materially can it moderate in coming years?

Suman Hegde: So in the next -- I think, again, something we have mentioned in the next couple of years, we are looking clearly that this drag will come down substantially, at least half the drag in the next year or 12 to 18 months. That's the plan, right? While we continue to invest behind the Popeyes business.

But on both the other two brands, we are materially bringing it down by improving unit economics. Expansion, as you can well see in the numbers we have come out with, have almost come down to a trickle or stopped, right? So that's the way we can calibrate it. We are looking at over the next 2 years to at least half the drag that we are currently seeing on the overall JFL margins.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. On behalf of Jubilant FoodWorks Limited, we conclude today's conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Suman Hegde: Thank you.

Sameer Khetarpal: Thank you.

Call: Nov 2025

JFL/NSE -BSE/2025 -26/65 November 19 , 2025

BSE Limited
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of Conference Call

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letter no. JFL/NSE -BSE/2025 -26/61 dated November 13 , 2025 and pursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Conference Call for Analysts and Investors held on Thursday, November 13, 2025 for Q2FY26 & H1FY26 results.

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E -mail id: investor@jublfood.com
Encl: A/a

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"Jubilant FoodWorks Limited Q2 FY26 Earnings
Conference Call "

November 13 , 2025

MANAGEMENT : MR. SHYAM S. BHARTIA - CHAIRMAN – JUBILANT FOODWORKS
LIMITED
MR. HARI S. BHARTIA – CO-CHAIRMAN – JUBILANT
FOODWORKS LIMITED
MR. SAMEER KHETARPAL – CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR – JUBILANT
FOODWORKS LIMITED
MS. SUMAN HEGDE – CHIEF FINANCIAL OFFICER –

JUBILANT FOODWORKS LIMITED
MR. ASLAN SARANGA – CHIEF EXECUTIVE OFFICER,
– TURKEY BUSINESS
MR. APAR: - HEAD OF INVESTOR RELATIONS AND M&A–
JUBILANT FOODWORKS LIMITED

Note: This transcript has been corrected for readability, clarity and accuracy at some instances.

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Moderator: Ladies and gentlemen, good day, and welcome to the Jubilant FoodWorks Limited 's Q2 FY '26 Earnings C onference Call.

As a reminder, all participant lines will be in the lesson -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.

Please note that this con ference is being recorded.

I now hand the conference over to Mr. Apar . Thank you, and over to you, sir.

Apar : Thank you so much, Rayo. Welcome to Jubilant FoodWorks Quarter 2 FY '26 Earnings Call for investors and analysts.

We are joined today by senior members of the Management Team , including our Chairman – Mr. Shyam Bhartia , our Co -Chairman – Mr. Hari Bhartia; our CEO & MD – Mr. Sameer Khetarpal; our Turkey Business CEO – Mr. Aslan Saranga; and our CFO – Ms. Suman Hegde. We will commence with key thoughts from the Chairman, followed by remarks from the CEO and MD. After the opening remarks, the forum will be open for Q&A session.

A cautionary note before we move ahead, some of the statements made on today 's call would be forward -looking in nature, and the actual results coul d vary from such statements. We will also share the replay and transcript of the call on the company 's website under the Investor Relations section.

I would now like to invite Mr. Hari Bhartia to share his views. Over to you, sir.

Hari Bhartia : Thank you, Apar. Good evening, everyone, and thank you for joining us today for our quarter two FY '26 earnings call. We are pleased to report another quarter of well -rounded performance driven by robust top -line growth across all markets.

Our India business ha s delivered industry -leading revenue growth and a steady operating margin. Our Turkey business continues to demonstrate strong performance. It is also PAT accretive to the Group on a year -on-year basis. We are seeing improving sales on the back of a strong franchise network and portfolio innovations.

We continue to expand our network footprint with a run rate of approximately one new store per day, and we have added 93 stores during quarter two across brands and markets. And now we operate close to 3,500 st ores, out of which close to 2,500 stores are Domino 's.

In terms of our performance during the quarter, our consolidated revenue from operations increased by 19.7% year -on-year to Rs. 23.4 billion. This is on back of a consistently strong like -

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for-like grow th in Domino 's India and Turkey and large network expansion. Domino 's India delivered a strong 9.1% like -for-like growth despite the early onset of Navratri this year versus last year. Through judicious cost control measures and continuous improvement in p roductivity, we have demonstrated sequential improvement in EBITDA and PAT margins.

On a standalone basis, our pre -IndAS EBITDA margins have improved during the last two quarters, up by 37 basis points versus the same quarter last year. We continue to driv e innovation in our product portfolio. Following the successful launch of Big Big Pizza and Chicken Burst, we introduced four cheese sourdough pizzas in quarter two, which has received exceptional customer feedback.

Going forward, we remain focused on del ivering value to our customers. This has been possible because of the strong foundation that we have built with technology, supply chain, delivery capability, and most importantly, our talent and people.

We have been building future -ready organization, one that combines scale with agility, innovation with discipline, and growth with resilience. Thanks to this, we are starting to adapt artificial intelligence in our technology platform to improve productivi ty across all our

functions.

You will be happy to note that Domino 's launched Cheezilla with a breakthrough campaign ad created entirely by artificial intelligence.

Finally, in the conclusion, I would like to add that we are extremely delighted with the s teady

top-line growth across all our markets. Our India business continues to grow ahead of the market while also witnessing a consistent improvement in operating margin and PAT margin.

Our Turkey business is consistently delivering value accretion with robust pipeline growth and healthy PAT margin. Sri Lanka and Bangladesh businesses are also witnessing strong growth. Overall, our strong performance and the momentum generated in first half, we believe, has set Jubilant FoodWorks for a very promising second half.

With that, I will now like to invite our MD and CEO, Sameer Khetarpal, to provide more details on our quarter two FY '26 performance.

Sameer Khetarpal : Thank you, Mr. Bhartia. Q2 was yet another dream quarter. Domino's across geographies had a strong, positive, like-for-like growth, with India growing at 9.1%, Turkey at 5.6%, adjusted for inflation, and Sri Lanka at 81%. Popeyes also grew double-digit SSG.

In the quarter, due to like-for-like growth, we gained market share, expanded store footprint, and improved margin simultaneously. Domino's India has delivered a positive, like-for-like growth seven quarters in a row, and is now serving customers in 500 cities.

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India business, as an entity, continues to deliver double-digit top-line growth, led by strong order volume increase. The revenue from operations increased 15.8% to almost Rs. 17 billion.

Domino's India saw strong order growth 15% year-on-year and revenue growth of 15.5%. Like I said, like-for-like growth was 9.1% and delivery like-for-like growth was 16.5% year-on-year. Delivery channel revenue growth continues to be over 20%, demonstrating the lasting effectiveness of our free delivery initiative. Just to remind, it was launched five quarters ago and relentless focus on speed of delivery. JFL's network expansion is ahead of our internal plan. It aligns with our internal expectation of growth in the QSR market and our ability to gain incremental market share.

In Q2, we expanded the store network in India by 88 stores over previous quarter. Out of which there were 81 new Domino's store. YTD number for Domino's is now 149 in the financial year. During Q2, the footprint for Domino's network expanded by 16 new cities, taking the service to 500 cities. Along with this, we opened 8 new Popeyes stores out of which 4 were in Mumbai, marking the entry of Popeyes into Western part of the country.

Product innovation continues to be an important growth lever. During Q2, we launched sourdough pizza and breads, a new product form which is already gaining traction among customers.

It follows the launch of Big Big Pizza, Chicken Burst and our Flavor Burst that were launched in previous three quarters. For us, Popeyes is equal to bold flavors. To build on the reputation of most flavorful chicken brand, team at Popeyes launched Flavor Burst Burgers.

Digitally, in Q2, we achieved a major milestone. Our tech teams launched an ad monetization platform on Domino's app, through which iconic brands like Apple, Tata Neu, Flipkart, which have adopted the service, get more eyeballs and almost nearly 15 million monthly active users that come on the app. The app traffic grew 28% and loyalty member base rose to more than 40 million.

On profitability front, the pre-IndAS EBITDA margin of our India business has seen an improvement year-on-year and on quarter-on-quarter basis, through improved operating leverage and productivity gains. The team has been able to maintain a very tight cost control throughout the supply chain, which is highly commendable.

The business in Turkey exceeded our plan.

Post IAS 29, Domino's LFL came in at 5.6%,

reflecting a strong growth momentum driven by orders. The business reported Rs. 5.9 billion in revenues and a PAT margin of 10.4%.

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COFFY, as a brand in Turkey, is ramping up with compelling proposition and strategic pricing. We added five new stores for COFFY during the quarter and now operate 172 cafes.

On a consolidated basis, revenue from operations grew 19.7% year-on-year to Rs. 23.4 billion and reported EBITDA grew at 19.5% to Rs. 4.8 billion. Post IndAS, interest costs declined by 23.5% year-on-year, largely due to efficient refinancing of the acquisition debt in Turkey.

Consolidated PAT from continued operations grew 53.7% year-on-year, which validates our strategic capital deployment and relentless focus on execution.

To summarize, deeper focus on the three brands across Turkey and India as geographies, consumer-first product launches, tech-forward approach continues to power our growth across all markets and brands. We see momentum carrying forward in Q3 2026 with sales in October beating our internal plans.

I now request the moderator to commence the Q&A session.

Moderator : Sure. Thank you very much. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from Vivek M. From Jefferies. Please go ahead.

Vivek M. : Hi, good evening Sameer and team. My question to you is, we have seen how your peers have reported in the last few quarters. We see your SSS G numbers or LFL numbers have been very good. But there was also an element of base. As the base gets reset from December quarter, what number of LFL you will be happy about or that you are targeting at this point of time?

Sameer Khetarpal : Yes, great question Vivek. It is how we build our internal plan. So, we want the India Domino's business to grow closer to 15% year-on-year. That is what internally we target. Now, roughly 5% to 7% should come from like-for-like growth and we should increase 7% to 10% on the store expansion.

So, together if you really see, the number can vary from 12% to 17%, right? The upper end and lower end ranges. So, that is how we model and within 5% to 7% like-for-like growth, there should be 1% to 2% improvement in pricing or mix. So, that is how we model and about 3% to 4% in terms of underlying volume.

Vivek M. : Got it. And just a follow-up to that, Sameer while the base of, in case of let us say, delivery is going up, your dine-in still has a low base. So, I mean, this quarter was flat on a Y-o-Y basis.

Do you envisage that will pick up as we go forward now?

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Sameer Khetarpal : Yes, I think, see the work on delivery took time to scale, time to build, right? And therefore, we feel good about how delivery is growing and we believe there is more juice over there. The work on dine-in or in-store is very much underway.

Like for example, the Rs. 99, the renowned value meal that we launched for dine-in between 11:00 AM and 3:00 PM is giving us the joy. We have expanded that to delivery at about Rs. 150 during lunch hours. So, long story short, there are several initiatives which are in works to increase in on-premise sales and very soon we will be launching our offerings during that, plus the focus on lunch, right? Lunch as a percentage of sales, dine-in and takeaway as a preferred channel is much higher during lunch hours versus dinner hours where delivery is much higher.

Vivek M. : I see. Okay. And the second point is, on the GST bit, you were not direct beneficiary but there was an input side benefit. Can you just elaborate on what exactly was the quantum benefit and what have you done with that, let us say, saving or whatever?

Sameer Khetarpal : Yes, I think our internal estimates, while we were at a 5% regime and

and we continue to be at a

5% regime with no input tax credit. Having said that, we are thankful to the government to bring down the GST on some of the input like the ingredients like cheese and sauces that we get from 12% to 5%. And therefore, the weightage of that in our mix is about 50 basis points in terms of margins.

Like the purpose of this initiative is to expand consumption in India. And we have passed on this selectively, like deeper into our products. Like for example, in Big Big Pizza, we had taken the price increase to Rs. 899. We have brought it down post-GST reduction to Rs. 799. So, on selective products, we have taken some deeper cuts. But at the moment, to drive consumption, especially, also during festive period, we have passed it on to the consumers.

Vivek M. : Okay. Sure. And lastly, Sameer, when we look at GST cuts, obviously it is not that the customer will be using the same money in the same category. Do you think that we have seen, in case of autos, a pickup in demand? Do you expect categories like yours should also benefit now in coming times?

Sameer Khetarpal : 100%, Vivek. I mean, if Diwali was an indicator, right? I think, while the auto sales boomed, pizza also was eaten in abundance. See the consumption is good for us. And through multiple initiatives of the government, be it interest rate coming down, income tax rates coming down, and also GST benefits, ultimately, it will boost consumption, right? And I am quite hopeful. And we are seeing that in places also, the demand for eating out will only go up.

Vivek M. : Got it, Sameer. Wishing you and your team all the very best. Thank you.

Sameer Khetarpal : Thank you, Vivek.

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Moderator : Thank you. The next question is from Jay Doshi from Kotak. Please go ahead.

Jay Doshi : Hi, thanks for the opportunity. Just continuing on Vivek's question, just following up. One is, in the 45 days so far, is the growth trajectory ahead of your estimate of 5%, 7% or in-line? And how does it make you feel about the rest of the quarter?

Second question is, see, last year, you had double-digit LFL in the last four quarters. And you saw certain margin expansion at the pre-IndAS level. This year, for the next four quarters, that

LFL growth you are targeting would be lower. In that case, how should we think about the Y-o-Y margin expansion trend for the company? Over a four-quarter period, not quarter-to-quarter. And the last question would be, could you sort of, give us some sense of progress of Popeyes, especially on ADS trends in unit economics?

Sameer Khetarpal : Yes. So, I will try and answer all the three questions, but I may ask you to remind one of them if I forget. So, Jay, like I said, October has been a very good month for us, it continued, it was ahead of our plans.

Having said that, the last year Diwali was at the last day of October and the momentum post Diwali which exists because of Bhai Dooj and Chhath Pooja and Gujarat, right, all of those will come into the base in November.

So, at the moment, I continue to be confident about the numbers, the way October has gone. December was again a very high base for us. So, I fully understand your intent behind the question that this is the quarter that will really prove our growth hypothesis.

At the moment, I remain very confident looking at how October has gone. So, I am not giving you a particular number saying yes or no to it, but we are ahead of our plan, right?

And the second, I think, see, there were two interventions which were there on the margin side. One was free delivery and as a result, delivery mix continued to increase in our portfolio, right? So, that was one headwind.

For the first time, we are beginning to see the ticket size increases, right, which augurs well with the margin standpoint. And second headwind, we launched certain products with

th very aggressive

pricing, which were cheesy and therefore to counter that, we launched more premium products like sourdough pizza, which come in at higher margin.

And we believe now we are shifting mix, which was driving volumetric growth towards mix that is driving more ticket size. So, therefore, I do expect margins to improve. I think we stand by Jubilant FoodWorks Limited

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our guidance that we have given or that what Suman gave during Investor Day that we should improve 200 basis point, right, Suman?

Suman Hegde : Over three years.

Sameer Khetarpal : Over a three year period that we are very confident of achieving and you are beginning to see some bit of it reflecting in the coming quarter and we will do more in the current quarter. And the last piece on Popeyes, very delighted with the double digit growth. The product is now truly being loved by many, many customers.

Performance in Mumbai has totally surprised us, exceeded all expectations and Bangalore and Chennai continue to grow on ADS. Very, very strong performance and as a result, underlying profitability is also improving.

Again, we will come back once we reach 100 stores. We will give a full color on how it is and at the moment we are focused on getting to 100 stores. But in terms of ADS, in terms of profitability, the goal for the team is to hit the industry average ADSs and beat the gross margins that are there in the industry.

Then we know we have a very scalable platform and we know how to open stores, you can open stores very quickly. And we are not far from that goal.

Jay Doshi : One last if I may, could you sort of also talk a little bit about your market share in pizza? There was a phase where you were losing your market share to maybe the likes of La Pino 'z. So, if you can sort of comment a little bit on that?

Sameer Khetarpal : Yes, I think it is a great question and internally while unlike FMCG where AC Nielsen or Kantar do a very detailed job of GT and MT, we have to rely on our own databases and internal sources. So, I think from some of the listed players you can compare the number of stores opened and the average daily sales, right?

We have disclosed our mature store ADS upwards of Rs. 82,000 - Rs.83,000, right? This is on a base of nearly 1,700 stores that we have disclosed. I was in the Western market last week and I went to quite a few stores of competition including the names that you are taking.

We are materially ahead in terms of number of stores opening and also the ADS per store. So, our internal estimates suggest whatever between 65% to 70% market share, we continue to be there and growing.

Same news we also get from the aggregators to the extent they share the news. I think the opportunity to me is there is a growing opportunity on the premium end of the pizzas which is Jubilant FoodWorks Limited

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more gourmet, wood fired, sourdough and therefore, I believe the team has done a great job of bringing in a sourdough pizza into the mix.

So, that is the fastest growing subcategory and now we are playing over there too. And we are very happy with the results. In fact, we are surprised by the uptick in Tier-2, Tier-3 cities of a product like this. We thought it is more metro but we are very surprised how India is consuming.

Jay Doshi : Thank you very much, and good luck.

Sameer Khetarpal : Thank you Jay.

Moderator : Thank you. The next question is from Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki : Hi, sir. Again just a question on the margin. I know you have given a guidance of 200 basis points over three years but just wanted to understand it in a little more granular fashion in terms of what are going to be the drivers to this 200 basis points because in the last three, four quarters also we have had several sort of positive initiatives which should have

driven the margin, but

have not. So, going ahead, what would be the margin drivers?

Sameer Khetarpal : I think Percy, I would first like to correct the remark that the last few quarters have not driven. I think you do not see the Domino's P&L it has driven, right, there is a drag of new businesses and we have like three new businesses there and we have corrected that also, by the way you will see sharper correction over there in the coming quarter. But having said that, Domino's margins have been improving.

Suman Hegde : Overall, also it has.

Sameer Khetarpal : Overall also, right? Overall also it has improved and Suman can give more details. The breakup was very simple, we have to recover 100 basis points from gross margins through mix, through other procurement initiatives, so that is one. If we grow 5% to 7% consistently, right, the leverage is coming in, at least in rental lines, other lines will also come.

We have taken very calibrated price increase that is flowing through and the other cost line items that we track internally like G&A cost, supply chain cost, that is beginning to give us a lot of leverage and there is far more juice over there.

So, again, Percy it is a conscious choice that we have taken to get growth. Some of these initiatives, like I said, are more policy decisions that we can take. We have chosen not to do, we have chosen to invest in growth and as a result, we can open nearly like 1,000 stores in the next three years, right?

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So, we will be materially a very different business, right, and we have not added cost at the center. We have not added cost in our supply chain, right? Our payback periods for new stores is only improving because we are getting more margins. So, you have to think of a business, take a three-year view and then you model the P&L, you will see the results.

Percy Panthaki : Understood. Understood. Yes, that is all from me. Thanks and all the best.

Sameer Khetarpal : Thank you, Percy.

Moderator : Thank you. The next question is from Nihal Mahesh Jham from HSBC. Please go ahead.

Nihal Mahesh Jham : Yes, hi Sameer. Good evening and congratulations on the strong performance. I had three questions. The first one was again on margins that, last quarter you mentioned there were three reasons, primarily because of which your margins had got impacted. There was obviously the aggression on Big Big Pizza, offers on chicken and also the extended IPL. And the expectation somewhere was that at least on a GM perspective, the improvement from Q1 to Q2 would be much better off given a lot of these one-offs sort of normalize and even you took a price hike for most of the quarter for the Big Big Pizza. So, just wanted to understand that, did you have to keep the activation going, or where is it that it was invested back?

Sameer Khetarpal : Yes, I think, firstly we executed on those initiatives. On Big Big Pizza, we did take a reversal, right, and in terms of pricing, to pass on the GST benefits, though it was like almost end of the quarter, and there is some inflation that we have been hit on the cheese prices, because milk prices post the Maharashtra election have really shot up. Having said that, we will continue to improve gross margins this quarter.

Nihal Mahesh Jham : Got that. Second bit again, on the OpEx side, you could just highlight the initiatives which led to this kind of a reduction in the cost base, and how do we see that sustaining?

Sameer Khetarpal : Yes, I think there are four initiatives over there on the operating cost cycle. So, one is our supply chain cost, right? So, we are driving massive automation, and the higher sales per store is getting leverage over there.

So, that is one straightforward piece. Second is, we have launched initiatives on store manpower and the delivery cost. So, those are yet

to, in fact, kick in. Store level productivity, we have

gotten a lot, but on delivery side, we are beginning to frame our initiatives.

Third is, I have been the most hated employee in the company from a G&A standpoint, right, so I track it like a hawk, and in fact, we are beginning to get G&A productivity and G&A leverage.

So, I would say these are the broadly three initiatives, plus there are ongoing initiatives in terms

of electricity, LPG, store level consumable cost management, which I am not naming.
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Similarly, on Popeyes, right, there is a massive drive to improve gross margins, because the stores are building their playbook, we have controlled wastages, we have controlled oil consumption, we have controlled product wastages, we are sourcing better.

So, as we gain scale and the business grows, that margin will grow. Lastly, in sourcing, so a lot of the seasoning that you get along with pizzas is manufactured at Bangalore, those capacities we are adding on. The Popeyes marination which we had outsourced, now we have insourced it. So, other stuff like that is also there, because we have the commissaries and the scale, without adding CAPEX, we are actually bringing some of these cases instead.

Nihal Mahesh Jham : So, final question, despite launching the Rs. 99 menu more than a year back, what is the growth in the core dynamic? Leave apart some of the business that we have shifted to delivery, which was takeaway. So, what is the core issue there? And are you looking at more than 250 stores as in Domino's giving you added 140 in first half? Thank you.

Sameer Khetarpal : Yes. So, you have to think of the customer ordering in three ways, right? So, one is the most known is the delivery where I sit at home and I order in. Second is I go to a store which is called delivery and dine-in and I eat there inside the store. So, it is a dine-in experience.

And third is I come to the store, I do not eat there, but I get it packed and take away from home, I take away to my home or any workplace that I eat. So, delivery, I mentioned grew more than 20%. Dine-in grew 14% last quarter and takeaway declined by 19%. So, that business we know, the takeaway business will continue to decline.

For the very simple reason, we are giving 20 minute and free delivery. So, the incentive for the customer to come to the store and do a takeaway is less. We have invested in our stores in terms of look and feel, service and also our product is best experience when it is fresh out of the oven. So, we believe that at least the dine-in will be able to claw back and takeaway once the bases get corrected and Rs. 99, of course, during lunch hours attempt. So, confident about that, we have several initiatives. We will not leave that because we are a neighborhood store and there are occasions when you either it is impulse purchase or a value offering like Rs. 99 will draw footfalls to the store.

Nihal Mahesh Jham : Just on the store adds, if you can. Thanks.

Sameer Khetarpal : Store what, sorry, sorry, I missed that.

Nihal Mahesh Jham : You have added 140-ish stores of Domino's.

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Sameer Khetarpal : Yes. I think it is less about the guidance, right? So, we are committed to about 900 stores, like we said, in the three years, right? So, that target does not change. In terms of store adds, we may grow a little faster. But we want to make a fundamental shift in ops, right? If you see our track record, we have opened most number of stores in Q3 and Q4, right?

And we want to open most number of stores in Q1 and Q2. Because we are not in the business of opening stores, we are business of operating stores. So, more stores we open before Christmas, big days, Dussehra, Diwali, that is when you get more sales. So, there is no upward revision of

our store opening. I think what the guidance that we have given, we will stick by the guidance and if we do end up opening more stores because the return on investment is making sense, we will go ahead and open.

Nihal Mahesh Jham : Thanks, Sameer.

Moderator : Thank you. The next question is from Avi from Macquarie. Please go ahead.

Avi: Yes. Hi, sir. Just one question on Turkey. Is there seasonality in the margin profile and or not?

And how should we look at it from a full year perspective? That is the only question I have.

Suman Hegde: So, let me take that, Avi. No, there is not really any seasonality per se. Of course, quarter one for Turkey has a minor seasonality from a growth perspective. So, quarter one is big for them.

It is post-Ramadan. It is also when the holiday seasons are up. So, that is where you can see some leverage benefits coming through in margins.

But otherwise, they have fairly standard margin profile at an EBITDA level. The only thing that can impact it and we have to look at it in the sense, given it is a hyperinflation economy, there are a couple of accounting adjustments that happen.

So, there is something on monetary gain loss where your balance sheet gets restated. So, depending on how much inventory they are holding at a certain point in time, right, and how that gets revalued into the P&L, there could be some seasonality impact of that. But from an underlying business performance, there is not much of a seasonality impact on EBITDA margins.

Avi: Got it, Suman. Suman my question is more from first half, second half, because the base year,

our FY '25, we saw very sharp variation. So, I just wanted to understand what that was, the way things are, because you only have four quarters of performance to compare, hence the question s.

Suman Hegde : You are talking about PAT margins? You are talking about PAT margins?

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Avi: EBITDA margins. EBITDA margins. So, I get it. Operating performance should be, first half is a better metric to look at it from a full year perspective, is the right takeaway? Is that?

Suman Hegde : Yes, it is. But like I said last year, because the year, if I look at the calendar year for 2024 of Turkey, they started at a very high inflation level and at very high stock levels of inventory, because the prices were increasing every week literally on their commodities, and hence they were sitting on very high inventory levels, which kind of gets flushed into the P&L.

So, you saw a lot of up and down in the P&L in the last calendar year. This year, they had a more steady state of inflation. So, we have not seen that much of an up and down in terms of their margin, EBITDA margin profile.

Last year also, PAT margins saw a bit of an up and down because of some tax -related reasons in the country dynamics. So, you should not see any of those variances going forward. It will be more steady state going forward on EBITDA margins.

Avi: Okay. Thanks a lot, Suman. That is it.

Moderator : Thank you. The next question is from Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah : Hi, Sameer and team. Thanks for the opportunity. Sameer, you called out two interventions that impacted margins earlier, free delivery and then more focus on value launch. But somewhere this initiative has also helped us to unlock the demand and deliver robust LFL versus industry.

So, now on this base to deliver LFL which should be healthy, would you need to unlock more benefits or the current status is good enough in terms of consumers ' value proposition?

Sameer Khetarpal : Hi, Tejas. Great question. I think this is a constant balancing act the team has to do, right? And I think there are three vectors, right? One is you have to open new stores in new cities in white areas, right? So, that drives organic expansion, I would say. And therefore when you open those

stores, you get the leverage on the fixed cost in terms of supply chain and also the G&A cost. So, that is good for us.

The second is the, you mentioned, to drive same store growth, we have several levers and initiatives that are there like so innovation, we believe, should drive, right? And on the free delivery side where there are a few things in our back pocket that we do not think we need to pull in those.

And if we get growth constraint and then we will, of course, like go hell for leather for growth, right? So, we are unapologetic about our growth plans. And the third piece is margins, right? And we are in the business of generating free cash flows. So, that has to come.

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And therefore, from that perspective, we know our growth story, especially the promise of the accuracy of delivery, the service of our 100% mozzarella cheese and high quality products at a great value. That core flywheel is working for us and therefore we have to expand margins right to fuel our expansion ambition. So, it is a constant balancing act, right? And the teams have to juggle all three balls in the air and balance them every day. Sorry for a philosophical answer.

Tejas Shah : No, no, I got my answer. Commentary and your enthusiasm also on the call today is it because of QSR this season. So, first of all, what is your read on demand on ground? And is it largely our micro efforts or bottom -up efforts which is helping us to gain market share? And second, are you seeing any divergence in demand in areas which are IT sector dominated, especially centers of IT parks and other areas?

Sameer Khetarpal : Of course, see you have the customer in India or anywhere in the world is very discerning, right? And if you see learnings in U.S. right, and you look at top brands which are doing well, Domino 's of course came with 5% SSG in the last quarter in U.S. and the other brands like McDonald 's, Wingstop, which are doing well, they are very value focused, great service, very consistent there. And then even in China, right, it is not that all brands are growing at the same SSG. There is a huge divergence between there.

But overall, as income levels go up, consumptions will go up and we see it there. And therefore, self-help coupled with the government initiatives of driving consumption, we believe Domino 's is very well placed and so is Popeyes by the way. So, there are no lotteries that way that everybody will grow at the same pace. So, we will have to differentiate and use self -help. That is the short answer over there.

On the tech side, right I think the sentiment is low and there were some of these geographies which are highly dense IT services zones, like in Bangalore and Hyderabad or Gurgaon. So, they have grown lesser, but this has been compensated by growth somewhere else. And not that our

business is so skewed towards these sectors and but the other sectors like energy, auto, services, those are growing. So, we are well spread out as a brand.

Tejas Shah : Thanks. That is all from my side.

Sameer Khetarpal : Thank you.

Moderator : Thank you. The next question is from Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal : Hi, Sameer. Thanks for taking my question. Sir, and actually I noticed that there is some base to your packaging charges, but you see the delivery in size that has been about 2% based in Q2.

So, I wanted to check on both fronts, whether actually we are making some changes to the packaging charges. And what is leading to this 2% this is in delivery business?

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Sameer Khetarpal : Sorry, your voice is not very clear. Which decline are you talking about 2%? If you can point to the metric and the from -to please?

Devanshu Bansal : Yes. So, I am pointing to the bill size for delivery channel because order growth is higher than

her than

the revenue growth. So, from that, I am back calculating that there is a dip of about 200 basis points in delivery channel bill size.

Sameer Khetarpal : Yes. So, I think the short answer over there is as delivery grows, it is becoming an acquisition channel for new customers. And new customers typically start at a lower price point and we have grown very handsomely in our new customer acquisition rate. And earlier, if I go back like three or four years ago or pre -COVID, majority of our new customers actually were dine -in and takeaway customers. So, that was the largest channel of new customer acquisition.

Today, Domino 's app is the largest channel for new customer acquisition. So, therefore, from that perspective, new customers come in at a lower average ticket size, but we are seeing no dilution in the repeat rates. So, like any customer that we acquire on an average is repeating three times in a year. So, that repeat rates have not changed.

On the other hand, it is marginally increased only. So, when we have to look at the lifetime value and any dilution in BPO is, I would say, is baked in into the plan. And we have launched initiatives on pricing and mix changes to drive the ticket size growth. Packaging charges they have remained more or less static. We have incurred around in a few places, but nothing structural that I want to report here.

Devanshu Bansal : Understood , sir. Second question, Sameer, we have been investing in terms of new innovations, expansion, even now we passed on the RM benefit , still the LFL has seen some big though its industry leading . So, if we were to compare our performance with ourselves, so what is the headwind that has impacted us? Also are these new launches, which are many over the last three, four quarters, also leading to some complexity . So, these are the questions.

Sameer Khetarpal : The second answer is no, because we have to reduce complexity and we have to take out products if the customer satisfaction and customer repeat is not there, that is a constant exercise and teams do it very religiously every quarter. And you will see, and some of the initiatives give a high initially, then they do not sustain and therefore we will also see if we have to rationalize those. But like I said, during our investors call, we are thinking of platforms, right? Like cheese is a platform. So, whether it is Volcano Pizza, Cheese Burst Pizza, Chicken Burst, we are -- we know cheese drives salience and cheese you want cheese when customers think about eating cheese, they should think about Domino 's.

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So, that is how we are building that platform. There are other platforms. The platforms are growing and to come back to your question number one, right? I think , I am not worried about any trajectory. I think if you look at the base, you will get your answers on what it is and adjusted for a little bit of Navratra here and there.

Actually, we are on the money completely. So, no alarms, no questions. We have to build a business that grows 5% to 7% LFL consistently. And on top of it, we add 8% to 10% of store growth. That is how we should think about the business.

Devanshu Bansal : Fair enough. Just last one, if I can squeeze in, you mentioned about this ad revenue stream. So, Sameer, what is the scale of the opportunity that we are targeting and how did this get recognized in the P&L or totally looking forward?

Sameer Khetarpal : I will let Suman answer how she will recognize this in the P&L. But I think I have my first goal is to build an awesome product tech capability that the users of this service love it. So, we launched this with ICICI, then got HDFC, then got Tata Neu, then Apple and Flipkart Minutes.

So, I think because we have a very large monthly active user base and almost 60% of the customers actually come to the rider tracking page and

they keenly watch where the rider is and

it is a very emotive page and track page. So, we have built a certain set of tools and properties.

My ambition would be to get at least 50 basis points of the revenue to flow in from this, but it will take time, right? It is not going to happen.

At the moment, I am just celebrating the launch by the tech teams. Suman can answer how she's recognizing it in the revenue.

Suman Hegde : So, Devanshu, just to clarify, are you asking where will it reflect in the P&L? Is that the question?

Devanshu Bansal : Yes, Suman.

Suman Hegde : So, it is other sources of revenue. So, typically will get reflected when it comes of a significant size and should then become visible as well in other operating revenue. That is normally where we park some of these initiatives and hence overall revenues of the company will go up to that extent.

Devanshu Bansal : Got it.

Moderator : Thank you. The next question is from Sabyasachi Mukerji from Bajaj Finserv. Please go ahead.

Sabyasachi Mukerji : Yes. Hi. Thanks for the opportunity. My first question is on the demand environment. I know it has been asked multiple times so sorry to harp on it. So, I mean, how do we see the demand panning out, especially after this GST rate cut? Though we are not a direct beneficiary, but still

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some customer sentiment, consumer sentiment across geographies, if you can highlight. And also, do we intend to kind of roll back the delivery fee waiver, or do not even think of it right now?

Sameer Khetarpal : So, I think demand, I can only talk about Domino's, right? And I do not have an industry view, and I would love the analyst community to maybe write more about demand, because you speak with more companies and have a much wider perspective on the market. But when I look at very narrowly on Domino's, there is enough and more demand for pizzas, which are high quality cheese, freshly baked, and delivered free, and provide a great customer experience, right?

So, from that perspective, there is enough and more demand. I am actually surprised by the uptake of sourdough pizza in Tier-2, Tier-3 cities. I would have never imagined that. So, therefore, it is indicating the demand does exist in India for a brand like Domino's.

The second question was on, I missed the second question. Delivery charge, no, there is no plan to roll back. However, we will continue to tinker with packaging charges as experiments and see where the sweet spot is. That is one piece that the team is experimenting very heavily to find opportunities. And second, of course, is the product.

At some point, we have to bring it into the product pricing, but without losing the value proposition. So, like I said, we had taken some price increases last quarter, and we will continue to look for those opportunities.

Sabyasachi Mukerji : Sorry, what has been the pricing action last quarter?

Sameer Khetarpal : Like I said, we have taken price increases in Cheese Volcano pizza. We have increased packaging charges in a few places. And some other products also, we have gone and increased the pricing.

Sabyasachi Mukerji : On a blended portfolio level, what could be that quantum of pricing action?

Sameer Khetarpal : Yes, I am not disclosing that. My apologies for that. But yes, again, we have to look at the business model per se, right, which is 5% to 7% SSG, LFL coming from 1% to 2% of price and mix actions.

Sabyasachi Mukerji : Understood. Sameer, my second question on the store additions. We have been adding stores and also entering new cities. So, Domino's is now available in 500 odd cities. But which are these new cities, let us say 16 odd cities we have entered this quarter, last quarter? Which are these cities? What are the typical store sizes? Are we entering with smaller store sizes? I mean what is the strategy over here?

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Sameer Khetarpal : Yes. No, I think it is horses for courses, right? And some of the cities that we have entered are Siwan in Bihar, Amroha in UP, and Dhubri in Assam, right? And again, if you ask me where these cities are, I will struggle to pinpoint it exactly on the map. What we obsess about is, I think, three things. Number one, there has to be a customer base.

So, we map the household, household incomes, number of things on our app. So, there are several customers who are in these cities. And they have downloaded the app. And they get us no service. So, that is the second thing we look at. And third thing is we obsess about the ROIC. Typically, these cities have much higher penetration of dine-in, because we are the first organized QSR to enter these cities. So, our store sizes have been around 1,200 square feet to 1,500 square feet, more closer to 1,500 square feet in these cities.

Sabyasachi Mukerji : Understood. Last question, if I may. This is just a clarification on the safe guidance of 200 basis point margin improvement over three years, FY '28. But this is on a base of FY '24, if I am not wrong. On the presentation, it was mentioned. So, that means that we have now to catch up 300 basis points other than what we discussed from the current level. Am I correct?

Suman Hegde : So, why would you? We would not look at a quarter-on-quarter number if that is what we are looking. So, yes, firstly, yes it is on FY '24 levels of numbers. We said a minimum of 200 bps is what, that is the bare minimum we will increase. So, it is not like if more is coming, we will stop the flow. And I am just trying to understand, when you say from the current level, are you looking at the quarter number? Are you looking at the year number? Which number are you looking at?

Sabyasachi Mukerji : Suman I am looking at H1 numbers. So, H1, we are somewhere around 19.2%.

Suman Hegde : I think you should look at full year to full year numbers right that we would need to increase on, because there is a bit of seasonality in our margins, right? You would also have realized in quarter three, given the high growth base on seasonality that is there. But yes, but we still stay committed to the number on what we have quoted, that we will see those improvements come through, right? So, just keep a long-term view, because we also do not manage the business for quarter-by-quarter.

Sabyasachi Mukerji : Absolutely. It is just a clarification that 200 basis point on FY '24 base. That is what I am getting.

Suman Hegde : Absolutely. FY '24, and I think we called out the metrics also very clearly on how we believe this will shape out, right? So, of course, the EBITDA margin improvement will be upwards of 200 bps and plus. Across Domino's, there will be strong growth on margins coming through. We will see the profitability improve on our emerging brands as we go through as well.

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If you recall in FY '24, and we had called that out, we almost had a 200 plus bps of drag on account of the emerging brands, which we expect to significantly bring down almost to half or below as a proportion. So, we know where we believe these numbers will come through on. And there is a bit of a back endedness on that, but confident of delivering to the projection and the commencement.

Sabyasachi Mukerji : That is very great to hear. Thanks Suman. Thanks Sameer and team. I wish you all the best. Thank you.

Sameer Khetarpal : Thank you.

Moderator : Thank you. Next question is from Gautam Rathi from CWC. Please go ahead.

Gautam Rathi : Hey, hi. Thanks for taking my question. Just two of them. The first one, can you just help me understand this Rs. 415 crores of investments in H1 for into fixed assets or CAPEX ? Can you just give me some more color, like what are store investments, tech investments, back-end?

estments, back-end?

Suman Hegde : So, we do not break that up, Gautam. And I think where we have said in the past also is a large part of our investment base is now, of course, shifting to store investment and it is very little.

So, it is between store and tech investments where now a majority of our investments are now going into.

Because our supply chain investments that we have done and we said it is a large cycle that was there. With our last big investment on commissaries, which is the Mumbai one, which will get commissioned by this quarter or early next quarter, we will be done with our large supply chain cycle of investments. So, predominantly, it is based on store and technology capital.

Gautam Rathi : But, Suman, is it fair to assume that there would have been some investment in the commissary in the first half? I am not asking you to break that up. Just trying to understand because if you just do a back-of-the-envelope, half of it seems to be explained by the store. So, we are just trying to understand that there has to be a component of the back-end in this first half, right?

Suman Hegde : Yes, yes. There is some amount of investment in the back-end as well in the store commissaries. I am just saying that it is not the material component of it. You are talking about the H1 numbers, right?

Gautam Rathi : Yes, the H1 number.

Suman Hegde : Yes, of course, there is. But it is not material, I can assure you that it is not a material number.

The materiality of the number fits on two accounts. One is our store CAPEX's, which is quite significant. The second is tech. And the third is in terms of our existing stores where we continue

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to put in maintenance CAPEX to ensure the stores are up and running to support the high LFL growth that are coming through.

So, we do as growth increases and LFL comes in, you do realize a large component, given we have our own delivery network, goes into bikes. So, a large part to support the growth has also

gone behind putting in more bikes on the ground. So, that is also a large part of our investment. It is over and above store investment. Yes. So, those are three big components. Commissary is very, very minimal.

Gautam Rathi : Got it. And just one small one. In the mix of the dine -in, right? How long before the takeaway part comes into the base?

Sameer Khetarpal : I do not know, I mean, to be very honest. We do not track it like that, right? So, we in fact want takeaway to also grow. I think I will say all channels have to grow. And well, somebody asked the question before, I gave a break up, right? So, from that perspective, what we care about is to be present on all channels. So, delivery, takeaway, aggregators, ONDC . That is the endeavor over here.

I do not know if there is an internal calculation that shows how long will it take. What is important is, are customers coming to the store and are they liking the product and the experience? The answer to that question is yes. And then there are a few places where obviously, we take the feedback and correct it.

Gautam Rathi : Got it. Thanks. Thanks a lot.

Sameer Khetarpal : Thank you so much.

Moderator : Thank you very much. We will take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Sameer Khetarpa I: Yes, thank you.

Suman Hegde : Thank you everyone for joining the call and for patient listening. As Apar said in the beginning, you will find the transcript and the earnings recording on our Investor Relations link on our website. Thank you. Have a good evening.

Apar : Thank you so much. For any other questions, please reach out to the Investor Relations team. Thank you.

Moderator : Thank you very much. On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen

. You may now disconnect your lines.

Call: Feb 2026

JFL/NSE -BSE/2025 -26/88 February 16, 2026

BSE Limited
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of Conference Call

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letter no. JFL/NSE -BSE/ 2025 -26/86 dated February 10, 2026 and pursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Conference Call for Analysts and Investors held on Tuesday, February 10, 2026 for Q3 FY'26 results.

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Suman S. Hegde
EVP and Chief Financial Officer
Investor E-mail id: investor@jublfood.com
Encl: A/a

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"Jubilant FoodWorks Limited
Q3 FY '26 Earnings Conference Call "
February 10, 2026

MANAGEMENT : MR. SHYAM S. BHARTIA – CHAIRMAN & DIRECTOR
MR. HARI S. BHARTIA - CO- CHAIRMAN & DIRECTOR
MR. SAMEER KHETARPAL – CEO & MD
MR. ASLAN SARANGA – CEO - TURKEY BUSINESS
MS. SUMAN HEGDE – CHIEF FINANCIAL OFFICER
MR. APAR – HEAD OF INVESTOR RELATIONS

Note: This transcript has been corrected for readability, clarity and accuracy at some instances.

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '26 Earnings Conference Call hosted by Jubilant FoodWorks Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Apar from Jubilant FoodWorks. Thank you, and over to you, sir.

Apar: Thank you so much, Rayo. Welcome to Jubilant FoodWorks quarter 3 FY '26 earnings call for investors and analysts. We are joined today by senior members of the management team, including our Chairman, Mr. Shyam S. Bhartia; our Co-Chairman, Mr. Hari S. Bhartia; our CEO and MD, Mr. Sameer Khetarpal; our Turkey Business CEO, Mr. Aslan Saranga; and our CFO, Ms. Suman Hegde. We will commence with key thoughts from the Chairman, followed by remarks from CEO and MD. After the opening remarks, the forum will be open for a Q&A session.

A cautionary note before we move ahead, some of the statements made on today's call would be forward-looking in nature, and the actual results could vary from such statements. We will also host a replay and transcript of the call on the company's website under the Investor Relations section.

I would now like to invite Mr. Hari S. Bhartia to share his views. Over to you, sir.

Hari S. Bhartia: Thank you Apar. Good evening everyone, and thank you for joining us today on our quarter 3 FY '26 Earnings Call. We are happy to share that our overall performance in the third quarter of FY '26 was strong, highlighted by 13.3% growth in revenue and a solid 20% rise in reported EBITDA.

Our business in India maintained its double-digit year-on-year growth, and the EBITDA margin improved by 109 basis points compared to the same period last year. Domino's India achieved positive LFL growth for the eighth quarter in a row. Popeyes also saw an impressive double-digit LFL growth indicating strong brand acceptance and high customer repeats. The Turkey business continued to give positive results. It gives us immense pleasure to share with you that along with strong revenue growth and PAT, the business is generating steady cash flows and over the last couple of quarters have been paying dividends to service JFL's acquisition-debt obligations. Our international business in Sri Lanka and Bangladesh also reported impressive top line growth and improvement in bottom line.

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We carried on our network expansion by adding 114 stores during the quarter across brands and markets. We now operate close to 3,600 stores, out of which, approximately 2,530 stores are in India. On the menu innovation front, we are really excited with the pace of innovation and the new product positionings being offered to our customers across our brands. The customer response to the new products over the last 12 months has been very encouraging. Going forward, we remain focused on delivering value to our customers. This has been possible because of strong foundation that we have built with technology, supply chain, delivery capability and most importantly, our people. Our focus behind the same will remain relentless and these are key to our long-term success.

With that, now I invite Sameer to provide you with further insights into our quarter 3 FY '26 performance.

Sameer Khetarpal: Thank you, Mr. Bhartia, and good evening to everyone. Q3 FY26 was a proof point quarter for us. Strategy is working, our technology and investments in AI are delivering impact and execution was rock solid. Q3 is our peak quarter and the ultimate stress test for the organization across operations, supply chain, technology and other functions.

O

Our store teams and delivery riders handled exceptionally high order volume with speed and consistency, demonstrating operational discipline at scale. I'm extremely proud and thankful to the team's performance.

Turning to financial performance. During the quarter, we reported consolidated revenue of

Rs. 24.4 billion, representing a growth of 13.3% year -on-year. Importantly, all our business segments, both domestic and international, contributed to top line growth. India revenues stood at Rs. 18 billion, growing at 11.8% Y -o-Y. Domino's India delivered a like-for-like growth of 5% on a strong base of 12.5% like -for-like growth , which was the growth in the same quarter last year. Revenue grew 10.7% year -on-year for Domino's, driven by healthy order growth of 10%. During the quarter, we undertook calibrated price increases on select products to strengthen margins and incentivize d favourable mix movements. Our recent new product launches, including Sourdough Pizza and Cheese Lava Pull Apart , have seen an overwhelming response and have scal ed rapidly in a short period. Also , these products are accretive to gross margin.

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Domino's in India added approximately 200 new stores over the first 9 months of the fiscal year and 75 stores in Q3 alone. This is the highest ever store expansion by Domino' s in India in the first 9 months of the year.

Popeyes continued its strong momentum, delivering high double -digit LFL growth for the second consecutive quarter. We rolled out the range of 7 flavour burst burgers. We topped it up with a 15 -piece chicken buc ket that has also received an excellent response.

Popeyes expanded to 73 stores, adding 5 stores in the quarter. We are now increasingly confident about Popeyes emerging as a powerful new growth vector for the company.

There are handsome gains on the marg in front. Gross margin in India business delivered a sequential expansion of 52 basis points to 74.9%, translating into an 80-basis point improvement over last 6 months. The improvement has been achieved despite persistent inflation in dairy, oil and flour . Supported by gross margin expansion and productivity -led efficiencies, reported EBITDA margins improved by 110 basis points year -on-year to 20.5%. On a pre -Ind AS basis, EBITDA margin expanded by around 90 basis points year -on-year and 120 basis points sequentially.

Our technology and AI initiatives continue to translate into tangible outcomes. Monthly transacting users on our apps grew over 20% year -on-year in each quarter of FY 2026. And the number of active c lients using post -order page advertising crossed 10 in the quarter. Standalone, profit after tax from continuing operations before exceptional items grew 27% year-on-year and PAT margin expanded by 54 basis points.

Turning to our international business. Turkey continued to deliver ahead of our pl ans. The business has consistently delivered double -digit year -on-year growth while maintaining strong PAT margins. We are pleased to share that Turkey is now servicing its acquisition -related debt entirely through internal cash flows. During the quarter, the business added 33 new stores, including 15 Domino's and 18 COFFY stores.

Sri Lanka and Bangladesh also delivered high double -digit growth during the quarter, and both countries have positive growth and margin expansion trajectory.

On a consolidated basis, EBITDA grew 20% year -on-year with EBITDA margin expanding by 110 basis points. Consolidated PAT from continuing operations before exceptional items grew 94% with PAT margin expanding 167 basis points year -on-year.

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In summary, Q3 FY26 delivered stron g growth across brands, disciplined execution and expanding profitability. Our growth vectors are clear. Our execution strategy is working, and we are dep

loying capital with discipline while investing ahead to build a large 5,000 -plus store business. We ar e confident that our continued investments in technology, supply chain and store expansion will drive durable long -term value for shareholders. I now request the moderator to commence the Q&A session.

Moderator: Ladies and gentlemen, we will wait for a mo ment while the question queue assembles . The first question is from Vivek M from Jefferies. Please go ahead.

Vivek M.: Two questions from my side. First, on the LFL number of 5%, what is your outlook because there was a bit of a festive season shift in this quarter. Where do you see this number, let's say, through the course of 2026? Because in your opening remarks, you al so mentioned about

the base, and that is going to stay stiff for the rest of the year this calendar. So how should we think about this?

Sameer Khetarpal: Yes. Vivek, see, the way we are building and shaping the entire standalone business is the following. Domino's should grow at 5% to 7% like-for-like growth. Overall top line should grow for standalone around 15%, and we should get closer to 15% pre-Ind AS margin, right? Now that's kind of how the math stacks up for me. And that's what we are internally always gunning for. And therefore, to answer your question, I don't see any headwinds in terms of building a 5% to 7% like-for-like growth business.

Vivek M.: Interesting. So, you do not think that this slips further down as we go forward through the course of the year? Because there has been this fear that now that the base is reasonably high, this will actually keep hitting down as we go forward?

Sameer Khetarpal: Yes. I think just to remind all the analysts and investors, we are now lapping in March. We will complete 2 years of free delivery, right? So, I think just want to clear that notion. So, we already lapped up high bases. And if you look at FY25 standalone basis, we grew 14.3%. That's when we started the free delivery. In the current year, 9-month growth rate is 15.1%. So, we are already growing on a large base, higher than the previous year. So, I am less worried on that particular piece. I think our businesses continue to do well. In fact, internally, we have started tracking, through AC Nielsen, market share gains.

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We have also gained market share, not only within pizza, but across the relevant segments from bowls to chicken to burgers. So, I think there is huge headroom to grow. And one quarter here or there, I will skip that. But overall 5% to 7%, I don't see that there is a challenge, and our business is geared for that.

Vivek M.: Got it, Sameer. Second question is if you're going back in the history as well as the conventional wisdom will say that as LFL accelerates, margins typically expand and reverse has also been true in the past. This time around, obviously, with the decelerating LFL, your margins expanded quite smartly. Can you just give your views on anything related to the quarter? We can, of course, see the numbers. And how do you think about the outlook, specifically for FY27?

Sameer Khetarpal: Yes. I'll let Suman to give any additional color, but it's important to note that I think this was a constant question that, hey, you are having a LFL of 10% to 12% and margins are not rising, right? So, we were investing for growth. We got the customer. We know customers repeat once we acquire them. And there is always an opportunity to take calibrated price increases but equally work on the efficiency.

So, we worked on both the fronts. And if you recall, when we did free delivery, we launched Big Big Pizza next year. And as a result, both were dilutive. But this year, we've come back and launched Cheese Lava Pull Apart, Sourdough Pizza. We've taken calibrated price increases. So, we are putting more levers to improve our gross margin and tightened our cost

structures to get more juice from our EBITDA.

So, I am actually less worried on margins, Vivek. There is always more room that I see in my organization. Growth is something that we have to always be paranoid about because we are building a 5,000-store network business and not just a 3,000-store network business. Suman, any color on this year, I think we are on track.

Suman Hegde: No, I think we are on track. And Vivek, Sameer has answered the question. But if you look at it also in terms of bases, one, of course, the constant conversation which has happened on gross margin. If you see over the last couple of quarters sequentially, and we had said that out in the market as well, what every investment meant in FY25 behind the product portfolio is to ensure that we give back value to customers.

And as we bring in new mixes on our innovation, we will see the accretiveness of those mixes playing out, which is happening in case of the new launches we have had in terms of Sourdough or be it the Cheese Lava Pull Apart that has now got launched.

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So that is, of course, reflecting in the margin improvement at the gross margin level. And then if you look at the other expenses, while they have grown as well. If you look at personnel expenses or manufacturing, they are, however, growing behind the growth that the business

is seeing. So the business is seeing about 12% growth approximately. The other expenses are not growing in tandem, right, which is the way it should be. And we still believe there is more optimization we can do.

So, all in all, that's how the margin profile is playing out. Operating leverage, of course, kicking in and the gross margin improvement profile that we are driving, which we believe will sustain going forward as well with the kind of growth aspirations that we have and which Sameer has called out.

Vivek M.: Got it. Thank you on that. And if I can add one more, which is when we look at, let's say, the two food delivery platforms, Swiggy as well as Zomato, both of them have quick commerce investments. And both of them, in some ways, are using food delivery as a, so to speak, cash cow business. They have introduced platform fees, high delivery fees. How do you benchmark yourself?

Do you take a clue from what they are doing, and therefore, do you plan your strategies? And what are your thoughts on your own delivery fees one way or the other? Can you just elaborate on that?

Sameer Khetarpal: Yes. Let's look at our strategic objectives. So, we want our own assets to grow the fastest, and be the channel where we really get the customer love and the most immersive and financially, the best reason for customers to shop. So, these tenets will continue to guide our investments and our pricing decisions for customers.

So I do agree that in the last quarter or so, aggregators have brought down their minimum order value to Rs. 99. And in some places, we had to go back and correct and match that to not lose market share. So, we've done that.

See they are platforms and therefore, they can charge platform fees or platform commission, etcetera. We're in the business of selling, shopping and giving an outstanding experience of pizzas. So for us, at least my own take is the things like platform fees, etcetera, are not relevant.

Having said that, that's an option that exists and if need be, we can again switch on that button at midnight tomorrow, and it will be available. So that lever stays for us. I want to remind

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everyone that we are building a 5,000 -store business that is most penetrated, and I believe these are actually barriers to acquiring customers.

Vivek M.: Got it, sir. We always like and respect your focus on growth. Thank you and wishing you and your team all the best

Moderator: We'll move to the next question. The next question is from Nihal Mahesh Jham from HSBC.

Nihal Mahesh Jham: Congratulations on the performance. I have three questions. Just starting off again on the margin bit. On the gross margin side, you mentioned about obviously that marginal price hikes along with new product launches, that were obviously one of the key drivers of gross margin improvement. Just moving below, what has been the incremental lever which has led to an operating leverage? Do you see that employee expenses have also gone down? And does the Labour Code in any way rehash our employee expense growth going forward? That was the first question.

Suman Hegde: So I think on gross margin, no more flavor to add on that, Nihal. So like we mentioned, predominantly driven by mix improvement that we have seen, led by further efficiency that we've brought in. We have again recalibrated our pricing to look at where we can get the most value without, of course, impacting growth in any way.

So that's what driven the gross margin trajectory, which we believe will also go on as we get into the future. On operating leverage, on personal expenses, honestly, if you look at increments and what the numbers are, that's the kind of increase you would see, so there's nothing out of the ordinary out there.

From a Labour Code impact perspective, we have taken, of course, the onetime exception. Going forward, yes, there will be some impact that will come into the cost line. We anticipate as of now, while there's no definitiveness on it because everybody is looking at restructuring their wages and what will be the definitions which are actually rolled out when the implementation happens in April. But maybe about 10 to 15 bps is the impact that we see at an overall level at an outer limit, but we, of course, continue to look at. So nothing material that I want to call out.

Sameer Khetarpal: Also we've been very disciplined in head count increase. We've also deployed technology and AI, we're beginning to use to drive efficiencies in our corporate G&A, and that has given the leverage. And I think we've been super disciplined in the last 2 years in where to deploy the technology. So that leverage is coming in.

Nihal Mahesh Jham: Got that. Sameer, the second question is you mentioned for the first time this AC Nielsen data and also tracking the growth for Domino's versus other categories like, say, burger. Now just one question that how do you, in a way, fight the lethargy that may come with the category of pizza itself?

And how do you sort of compete with other categories, whereas you are a single category brand and you're sort of competing with aggregators? So what is the insights or incremental steps that you are taking to sort of gain market share from the other categories, knowing the fact that you only work in one subcategory?

Sameer Khetarpal: Yes, that is the fundamental job, right, with almost nearly 2/3 of the market share in the category. The job for us is to grow penetration. And Nihal, it is actually not pizza versus burgers.

India is a \$60 billion food services market. So our competition is bhatura chana, dosa, idli, biryani, that is what India consumes. And the frequency of pizza is 3 in a year, and burger will be probably the same.

So the idea is not to bring burger from 3 to 2 and pizza from 3 to 4. But the idea is to, out of 200 occasions that Indian is consuming Indian food, get 1 additional share of pizza. So that is the job to be done. And therefore, you will see on the premium end, we are launching Sourdough Pizza because there are premium users who are doing it. On the lower end, we have 49, 59, 69, 79 pizza that competes with idli and dosa that India consumes every day. So that is our endeavour. And that is the task of our marketing team to come up with

products

that actually replaces, when there is light hunger where a samosa comes in, bring pizza into the mix.

Nihal Mahesh Jham: Got that. Just a quick final question, Suman. You could give the capex number you're targeting for this year and the years ahead given that you said you're optimizing on supply chain or you're already done with that?

Suman Hegde: So I think this question comes up all the time, Nihal. But the fact is supply chain, I think I mentioned in the last quarter's call as well. Our overall capex spend in the last couple of years have been in the range of anywhere between Rs. 700 crores to Rs. 850 crores.

Yes, the supply chain capex has peaked, but we do not expect a significant movement downwards on the capex bill because we are, of course, recalibrating. We've called out saying

we want to open 1,000 stores in the next 3 years, right, which means that the store capex will kick in.

We continue to invest heavily behind technology because we do believe that, that will not only drive growth but also efficiency for the business from the cost and margin profile perspective. These will have, of course, faster paybacks and ROI compared to a supply chain investment.

So we should see the return on capital employed on this going up, but not a significant movement on the overall capex spend. Of course, as we close the year in the final quarter, as we always do, we'll give a rough guidance on what we believe our capex budget for the subsequent financial year would be.

Moderator: Next question is from Ashish Kanodia from Citigroup. Please go ahead.

Ashish Kanodia: Sameer, your first question was on the LFL. So if I look at the last 8 quarters performance, the positive LFL was coming predominantly because of all the strategic intervention you have taken in terms of product innovation, free delivery, etcetera?

Now if I look at this quarter call commentary by other QSR players, there seems to be some uptick in demand. We don't know whether that flows through or not, but there is definitely some uptick in demand. So in that context, and I think in one of the earnings call, you called out that as well that if the industry starts to improve, there will be an upside risk? So looking ahead, do you see that if the industry starts to improve or start to see positive SSG overall, there is an upside risk to this 5% to 7% LFL, which we have discussed?

Sameer Khetarpal: I think, of course, that's why we have a 5% to 7% bracket. And I think the government has done a lot on consumption. I don't have a market view. I can talk about what we are doing. We are penetrating into schools, colleges, airports, railway stations at a pace that we have

never done before.

We are opening stores with very high -quality throughput in year 1 with a lower Capex , there is a lot of work that has gone into it. Our site selection is totally AI -enabled now and we have a list of 1,000 stores. So I do see that the brand is very strong. Our mature store ADS has been the highest ever in the last quarter. And we are very confident about our growth strategy, whether it's coming from both LFL and also organic expansion in white spaces. So that doesn't worry me. India is a very large opportunity and a multi -decadal opportunity, and we are finding large pockets of growth.

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Ashish Kanodia: Sorry, so maybe I'm just going to harp on this one. Last quarter let's assume if the industry listed payer wise, if the SSG was minus 3%, minus 4%, and you have still delivered 5% LFL. If hypothetically, you see industry QSR space starts to grow at say, 2%, 3% SSG, do you see this instead of 5% to 7%, this goes maybe to 8%, 9%?
Sameer Khetarpal: It should happen. I think, empirically, I would agree with you, right? So that we always outperformed in the

last 8 or 9 quarters, if you see. In fact, even before that, I have always gone on record and said because of our execution ability, self -help initiatives and the confidence in the brand, we should always be plus 3%, 4% versus the rest of the pack. And I say it with all humility because the brand is that powerful.
Ashish Kanodia: Sure. Sameer, thank you. The next question was on Popeyes. Like we have seen store growth slightly slower, but definitely the SSG being very strong in the last 2 quarters. How should we think about Popeyes over the next 18 months in terms of both store expansion? And also if you can throw some color in terms of your gross margin as well as on store level EBITDA margins, how it is trending now?
Sameer Khetarpal: So firstly, the SSG for Popeyes has been positive double digits for 3 quarters in a row . And the last quarter being the highest ever . And very strong growth numbers that I see. As a result, we are far more confident about Popeyes being able to scale and be the real speed boat for growth in our portfolio, right? That's kind of overarching and therefore, coming back to your question.
So what are we at a 5,000 feet optimizing for? At a 5,000 feet, we are optimizing for average daily sales that is equal to industry and gross margins that are at industry level . Once we do that, then we know that the model really works. There is customer adoption at a price that we are willing to command in the market as a challenger brand.
And second is we are able to bring the sourcing capabilities and technology of Jubilant to have the right gross margin. Once we do that, then we know how to open 300 stores in India . So that's kind of the equation over here. We have 1 or 2 pieces to crack . But I would say, bulk of work, 70% to 80% has been done.
We've seen highest ever ADSs in the last quarter. Gross margins have improved. Restaurant profitability has improved. And we are well on track. And in about 100 stores, we will start disclosing the numbers to all of you. And then we can scale faster from there.
But at no point, I want to make this as a land grab, right, where we are opening stores and then we have to shut down 1 year later . So very confident about this. We'll stay invested in

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this piece. In fact, in Bangalore, this quarter, we launched our first advertising campaign even just with 70 stores, no other QSR has done it with a celebrity film star as our lead anchor over there.

Ashish Kanodia: Thanks, Sameer. And just last question to Suman was on the Turkey part of the business. If you can share how much of the total dividend has been paid by DP Eurasia? And also what is the total debt outstanding pertaining to the acquisition?

Suman Hegde: So the debt outstanding, the debt we took on account of the acquisition of about EUR110 million in our Netherlands entity, Ashish. And that, of course, the repayment schedule has not come up. We will look at what we do with that repayment, most likely, of course, the way Turkey is generating cash flow, we will look at funding some of that also from the Turkey cash flows.

Having said that, and hence, right now, the obligation on debt is only with respect to the interest, 100% of the interest obligations are being paid by the Turkey business now since

the last 3 quarters. So there's no remitting of funds or cash flow from the India business on account of the acquisition debt that sits in Netherlands.

Moderator: The next question is from Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon: Team, I have only one question or a clarification, which is essentially a request for a refresh of something which would have been discussed in the past. Essentially, the growth divergence between dine-in and delivery, delivery brilliant performance continues to grow double digits comfortably for a long time. You have done

some interventions in the past to

get the dine-in throughput. Can you just talk about where we are in the dine-in, let's say, rejuvenation journey?

You had done some product pricing actions, etcetera. So that's one. One sub plot, which I just want to understand here is in your experience and your opinion, is this unique consumers.

Let's say what I mean is that if a consumer is buying in, let's say, if there is a dine-in shop nearby, I mean, is there a propensity to go and dine out? Or is it just an impulse consumer you are capturing there? Is that an either/or situation, or both are separate consumers?

Sameer Khetarpal: I think great question, Manoj. I think your analysis is right that delivery continues to power ahead our growth and dine-in and take away are two additional channels where we put in a lot of intervention, has not played out. And that's a fair and accurate representation of our performance.

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Having said that, firstly, we'll continue to fuel delivery tailwinds, world over that is the fastest channel growing, and we believe we have very strong capabilities over the rest to delight our customers.

Now coming to dine-in, takeaway, we are going back to the drawing board, relooking at our strategy, what is working, what is not. A few pieces are working. And last quarter, I generally believe, we should have done slightly better, but I will not give any excuses. We'll come back and fight hard for that piece of the pie.

Coming to what's happening on the new customers. So pre-COVID, the largest acquisition channel for us for new customers was dine-in and those customers moved to delivery. Post-COVID and more recently, because all the investments are in 20-minute delivery, free delivery, the largest new customer acquisition channel actually is our own app and dine-in or takeaway is lesser.

So therefore, both in terms of absolute and percentage growth, our own asset is the largest and the fastest-growing channel, so which augurs well for us. That's what we want. We have our own customer data. And now for dine-in and takeaway, when we acquire customers, they actually, after the first purchase, they move to our online channel. They know that this is a very convenient channel.

And therefore, the answer or the question that we have to solve for is to build a strong dine-in and takeaway proposition, which is very differentiated and compel the customer to go to the nearby store, which is the most penetrated and the easiest to access in terms of the store reach to go and do a dine-in or a takeaway along with certain occasions. So that piece, we are fully on, Manoj. And we believe there is some work to be done. But we'll get it. We are not leaving that problem.

Moderator: The next question is from Manish Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar: Just two bits. First is, let's say, can you help me understand how much of, let's say, the delivery orders will be happening through our app broadly? And this monetization of the ad page on our platform or the app, how big can this be because if you look at from a n MAU perspective, your numbers are significantly high. So let's say, how should I think of these two variables?

One is delivery from your app versus aggregators today versus, let's say, if you could help me understand 12, 18, 24 months back, some of it which you alluded earlier, and the second bit on this ad bit? Thanks.

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Sameer Khetarpal: Okay. So we don't disclose our share of our own channels versus the aggregators. What we control and we want to grow is our own channels. So I think that continues to grow. I think the momentum is strong and the share is very strong. That's one.

The second piece, we started this journey a quarter ago. In fact, this is exactly 4 months ago,

we started right after Diwali. We actually got into this, and we were experimenting with this particular piece. We are very positively surprised by the engagement and the quality of brands that we've been able to get from Flipkart Minutes to Tata Neu to Amazon Fresh to Apple. And there is a lot of interest from this. Because again, we have built a strong tech foundation where we can target by a zip code in India, gives more analytics back to the customer. And if our average frequency is 3, in a year, then will you, you're getting eyeballs of a product to a new user.

And like you said, 15 million, 16 million monthly active users is a very large consumer base. So at least my own take is at the right time, I'm not saying it short-term, we should get about 1% of our revenues on that channel. We should be able to monetize to that extent.

Having said that, we have taken a conscious call to not monetize preorder or the preorder journey. Only post order, we are monetizing it. If we open up more assets, there is more revenue to be earned. But at the moment, we are focused only on post-order journey.

We want to give an immersive and a friction-free shopping experience and a fast delivery to customers. Once they're on that page, we are actually experimenting a lot. So take, for example, if I get a credit card, right, if I get a credit card application, you get an immediate discount on that order funded by the credit card company.

So some of these things, we believe we are the only one who can use it, consider it, by zip code and target a customer cohort. Apple can target Android customers and Android can target Apple customers. Some of those things are very unique to us, and we will scale that up, and it's an important area. We know all of this flows into the bottom line.

Manish Poddar: Sameer, sorry, if I heard you right, you said 1% of online sales from our platforms will be able to, let's say, maybe some period down the line, is that the right understanding, first?

Sameer Khetarpal: Yes, that's correct. I think my own sense is 1% is minimum we should get to.

Manish Poddar: But Sameer, actually, I'm just trying to understand this number because, let's say, when you look at another BPC player, which has annual subscribers equal to your monthly subscribers,

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their ad revenues in my understanding are north of Rs. 500 crores annual number? So I'm just trying to think.

Sameer Khetarpal: That's not a right comparison. Yes, because they have the brand advertising.

Manish Poddar: But I'm just trying to think. I'm sorry, I'm just trying to speak aloud. Maybe 2, 3, 4 years down the line, can this not be a three-digit crore number? Thanks.

Sameer Khetarpal: We will get closer to that. That's what we aspire to get. But the only difference, and I have run these businesses a lot, right, in a grocery 8% to 9% of your revenue can come from advertising, right? Because the brands like, let's say, there is a noodle brand, that noodle brand is advertising for the brand and the click-through of that can directly lead into sales. It is like modern retail, where brands will do display advertising. And so we are different, right? Other than Coca-Cola, we can't advertise anything where customers can click and get that instantaneously. So same thing in BPC kind of a play, L'Oreal or Lakme or anybody will advertise upfront to drive the sales. It's a preorder journey that they try to intercept.

We are doing post order. And again, there is more money for sure. But we don't want to hurt the customer journey of ordering the pizza in 3 to 4 clicks and deliver that in 20 minutes.

That remains sacrosanct. Everything else, we will try. On post-order page, we are very confident. And in fullness of time, it can get to 3 digit or close to that. That's what we are also aspiring for.

Moderator: The next question

is from Amit Sachdeva from UBS. Please go ahead.

Amit Sachdeva: Sir, my question is on the margins bit. See my sense is that if I look at the margin expansion in pre-Ind AS, which seems very impressive and so it's a great job done. But can I sort of double click on a bit and ask whether rental saving is now part of the equation, which seems structural because now, I think delivery is largely part of the pie. So is there some ongoing rethinking of the store happening and rental as a percentage is declining?

Because I know that in the first half of this year, lease expenses from the cash flow, which I would say would be rental is 7%. Last year, that number was 7.4%. Is there a consistent saving now as part of the equation? And how sustainable that is and what the number could be?

So that is point number one. And on related points, my second question would be on Popeyes, whether in 15% growth ambition at stand-alone level, how much this will be contributed to

Popeyes over the next 3, 4 years? And how much margin at EBITDA level would be contributed by Popeyes as well? Because I think if the journey of that is also increasing, how one should think about that, these two pieces together?

Suman Hegde: Let me take the first one on rentals, Amit, and then I'll give Sameer for some question on growth and then come back on Popeyes margins. So I think on rental, you're absolutely right. I think you answered the question yourself. So yes, we are seeing leverage coming through on rental.

Part of it coming through on account of, of course, scale. They are generating more revenue, I mean, of course, better LFL gives us the scale operating leverage for rental, which we have seen coming through in our pre-Ind AS numbers.

Apart from that, there are also other opportunities we are looking at. Our per square footage of our stores is on a downward trend. Again, like you likely said, if you're hitting a 75% delivery mix now as a business, it could vary between the tiers of cities we operate in. But overall, the square footage of our stores is coming down, which will again be an additional flip to our rental, right, going forward.

So I think those are the 2 elements that we're also very focused on. Of course, also on renegotiation. In many of the new cities and towns that we are going into, we anchor volume for the landlord. So we do get better deals as we enter in there because it helps them get in more other businesses as well. So all of these 3 metrics, we'll continue focusing on.

Will there be a very big increase on the leverage coming through on rental? I don't think it's significant. Even now, it is not a significant part of that 90 bps of improvement that we are seeing. It's not like it is 60% of that comes from rental.

So it is a component, but not a significant one which will continue to be there. So that's on the rental part. If it answers your question. Maybe, Sameer can take the Popeyes growth piece and I'll come back on EBITDA.

Sameer Khetarpal: Yes. I think Popeyes, Amit, should add like 1%, 1.5% to growth, right? So that's what how we are building this, at least in the near term. And if we see more green shoots, we can actually accelerate the store expansion. What are the green shoots?

The green shoot is we should be industry leading or industry par on the average daily sales and the gross margin should be equal or higher, right. If these 2 things happen, then we know

other line items can take. And I think like if Domino's is adding like 75, 80 stores a quarter, there is no reason why we can't add 15, 20 stores of Popeyes in a quarter, right?

And most of those locations will be high street locations. Because there are so many malls or airports that you can get into. So that piece is remaining and the

therefore, this should make

money. But having said that, even at scale, right, even if you look at the fried chicken players, their margins are lower than that of Domino's.

So even at the fullness, it will be a drag compared to in terms of mix. But right now, I think we are far away from that. We want to make sure that we are getting closer to profitability at a restaurant level, we make money at the EBITDA level and then start generating more cash from that business. So that's how we are operating. But Amit, very positive story in terms of what the team has been able to do, differentiate in terms of bringing the freshness of that in the QSR, which is with a brand like Popeyes.

Amit Sachdeva: If you don't mind, is there a rough ADS that you can share, if possible, in say Bangalore, if not in all, but in typical ADS that store is getting, which you are satisfied with? And obviously, there will be a range, I don't want to ask too much of details that you don't share. But how do we make sense of it that how ADS is evolving for this, although the ADS, SSG looks very strong. But in terms of ADS, how it is kind of range could be?

Sameer Khetarpal: Give us 4 months, we will come back to you, Amit, on that when we are very close. Let us just get to 100 stores, we'll disclose everything. And like I said, our goal is to be at market beating ADSs and gross margin, right? So we are on that trajectory to be very honest. And many of our stores are actually operating much more than that.

So I'll assure you that our rates are positive. We are growing in terms of ADS, SSG and the underlying restaurant profitability. All three ticks for it. And we want to expand faster,

provided the location is right. That's our intent.

Amit Sachdeva: Just last bit, if I may squeeze in. Suman, this question for you. Like I remember discussing on the company level, pre -Ind AS margin was standalone 12%. We were talking about EBITDA margin for Domino's at 14.5% level. Now we are reaching 13.3%. I assume this is largely driven by Domino's, given the dominance of the format ? What could be the margin for Domino's be like -for-like, which was 14.5%? And what could be the sustainable margin that you're looking at? Assuming 15% is achievable, how one should think about Domino's margin on basically a sustainable basis?

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Suman Hegde: So Amit, I think we said that we will disclose Domino's margins once a year. We do know the numbers of Domino's of FY '24. We also disclosed in FY '25, it was around the 14.5% range that you only spoke about, right? So let us wait a quarter and we'll give the full year margins out again on Domino's.

I don't want to comment on it right now because you can't actually compare 13.3%. We know how quarter 3 is for our industry. Quarter 3 margins are always higher, correct? And you see that moderation in Q4. So I think it's better to compare it at a full year level.

Now coming to how should we look at it? I think our guidance has been consistent saying that above FY '24 margins, we want to improve by about 200 bps at an EBITDA level as a company. And a significant part of that will, of course, come from Domino's margins improving. And the reduction of the drag on the EBUs, at the point in time that we had disclosed our numbers, the drag was of Popeyes, Dunkin and Hong's was approximately about 230 bps, 250 bps.

And we should see that halving in that journey to getting to the overall margins up. So I think that's the way you should triangulate it. Of course, we'd be able to do a better guess of it as we come out with the full year numbers in the subsequent quarter.

Amit Sachdeva: Got it. Just to clarify, 200 above FY '24, right? That's what you said?

Suman Hegde: Yes.

Moderator: The next question is from Aditya Soman from CLSA. Please go ahead.

Aditya Soman: So a couple of questions. So firstly,

on Popeyes, now that you're seeing sort of steady and strong performance. From when will you report this as a separate segment? Will we start getting data on this in terms of ADS and SSG and even the revenues separately?

Sameer Khetarpal: Yes, I think we want to get to 100 stores. That's what we had committed earlier. As soon as we get it, I would have anticipated for that to happen in Q4, but it will not happen in Q4. It may happen by Q1. That's where we should start reporting the numbers.

Aditya Soman: I understand. And then just a journey of Popeyes that we've seen since you've launched it to where we are now. What has led to sort of the significant improvement in SSG? But do you think that the model now is at a point where the client model is the one that you will sort of roll out across the country overall?

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Sameer Khetarpal: I think we'll differentiate it from the competition. So I think if you just step back, so we have a 3-3.5 year-old brand. It will still probably be the fastest, if not the fastest, to get to 100 stores. And when we started, there was a playbook that the brand had guidelines. They were not meant to follow it strictly.

But still when you're building a brand, you have no knowledge and you are therefore trying to deploy a playbook that works everywhere, i.e., 4,000 to 5,000 square foot stores, large flagship, high -street stores, right, with very heavy capex in the kitchen, large area for the kitchen and the menu that we do not know will work for India or not.

So take, for example, biscuit is a very popular product in US, but that's not a biscuit that what you and I understand, right? It's kind of a corn bread or a bread. So we got -in all those equipment and assuming that this is how the brand works. So we corrected.

We also built our supply chain capabilities to source fresh chicken to invest in and never ever source antibiotics used chicken. So we did all of that. And we also equally, at the front end, started to differentiate versus consumers. So Popeyes world over stand for its boldness and flavors.

The Cajun flavor resonates more with Indians, and we brought more flavors to India. To give

you two examples. So we looked at chicken wings and brought 6 variants of chicken wings with 6 different sauces, indicating heat, taste, etcetera . Similarly, we launched 7 chicken sandwiches, which are Flavor Burst .

So I think we are taking the route where we believe this can be the most loved chicken brand in India. And I can only see that this to be a 250 store INR1,000 crores business in medium term and with very high profitability. And that's what we are building. That's where we are shaping the business towards. And we are getting closer to 1/10 th of that journey. And we have to continuously innovate . What worked last year, for sure will not work next year.

Aditya Soman: Understand . Thank you so much for that comprehensive response . And maybe just a follow - up on this. Would it, at some point, make sense to have a sort of common app across your platforms, just given the strength of the numbers with sort of MAUs and MTUs, particularly for Domino's. Is there a way you can also shift that to Popeyes and the other brands ?

Sameer Khetarpal: Yes. I've looked at these models very closely and also launched one of the food aggregator businesses in India 5 years ago, you need a certain threshold of brands for an app to work, right? And that threshold in my opinion, is 20 to 25 brands per zip code. Anything below that, a single app doesn't work.

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Just because we are Jubilant, customers will not open an app, right? And there are multiple models. As you see, there are dark kitchen models with 7, 8 brands. There are even more . Even their own app traffic is very limited, right? So they have not been able to

grow that. For

the very simple reasons, the customer inadvertently want more selection. And they may still choose Domino's among that 40, 50 brands that they are browsing, but there is innate need to have more.

So at least my past experience and knowledge suggest that this is not a good investment of technology. The two brands are different . Occasions are different . We've launched Popeyes ' own app. It is going to be the most immersive app for burger eating and chicken eating in the world. That much, I promise you.

And once customers like that, we will get great prices. Again, like the pizza box never leaves our hands , the bun never leaves our hand. We've followed that same approach in Popeyes, and we are building the business with the right fundamentals and and aspiring for a lot of customer love.

Moderator: In the interest of time, we'll be able to take one last question. We take the last question from Jay Doshi from Kotak. Please go ahead.

Jaykumar Doshi: Very quick bookkeeping questions. Are you expecting any upward revision or downward revision in your royalty expense? I vaguely remember that your franchise agreement with Domino's was due for renewal, but I don't know if it's already done. And do you have visibility in terms of next 5 years, 10 years, what your royalty for Domino's would be?

Sameer Khetarpal: I think we are not expecting any upward or downward movement. We believe we have a very good rate. We have outstanding relationships. We're all good over there.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference over to Mr. Apar for closing comments.

Apar: Thank you, everyone, for joining the call and for listening patiently. For any further questions, you may reach out to the Investor Relations team of the company. You will find the recording and transcript of this call on the Investor Relations page of our website very soon. Thank you. Have a good evening.

Suman Hegde: Thank you.

Sameer Khetarpal: Thank you, everyone.

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Moderator: Thank you very much. On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2026

JFL/NSE -BSE/2026 -27/18 May 27 , 2026

BSE Limited
P.J. Towers, Dalal Street
Mumbai – 400001

Scrip Code: 533155 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400051

Symbol: JUBLFOOD

Sub: Transcript of Conference Call

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letter no. JFL/NSE -BSE/2026 -27/13 dated May 20, 2026 and pursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Conference Call for Analysts and Investors held on Wednesday, May 20, 2026 for Q4 FY26 & FY26 results.

This is for your information and records.

Thanking you,
For Jubilant FoodWorks Limited

Mona Aggarwal
Company Secretary and Compliance Officer
Investor E-mail id: investor@jublfood.com
Encl: A/a

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Q4FY26 and FY26 Earnings Conference Call "
May 20, 2026

MANAGEMENT : MR. SHYAM S. BHARTIA – CHAIRMAN & DIRECTOR
MR. HARI S. BHARTIA - CO- CHAIRMAN & DIRECTOR
MR. SAMEER KHETARPAL – CEO & MD
MS. SUMAN HEGDE – CHIEF FINANCIAL OFFICER
MR. APAR – HEAD OF INVESTOR RELATIONS

Note: This transcript has been corrected for readability, clarity and accuracy at some instances.

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant FoodWorks Limited Q4 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listening mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Apar, Head, Investor Relations and M&A, Jubilant FoodWorks Limited. Thank you, and over to Mr. Apar.

Apar: Thank you, Neeerav. Welcome to Jubilant FoodWorks Quarter 4 and FY'26 earnings call for investors and analysts. We are joined today by senior members of the management team including our Chairman, Mr. Shyam S. Bhartia, Our Co-Chairman, Mr. Hari S. Bhartia; our CEO and MD, Mr. Sameer Khetarpal; and our CFO, Ms. Suman Hegde.

Please note that the earnings call is scheduled for a duration of 45 minutes, and we will commence directly with the Q&A session. Along with the financial results, we have also released a letter to our shareholders in which we have shared our outlook and have already answered certain pertinent questions about the performance. Hence, the participants are requested to limit the scope of discussion to only strategic questions and count of questions to only two.

If you wish to seek any accounting clarification, kindly get in touch with the Investor Relations team later. A cautionary note before we move ahead, some of these statements made on today's call will be forward-looking in nature, and the actual results could vary from such statements. I will now hand over the call to moderator to begin the Q&A session. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Nihal Jham from HSBC. Please go ahead.

Nihal Jham: Good evening, Sameer and team. You have highlighted in detail about the like-for-like performance. I just had one question to it with two subparts, that if I look at even the 2-year CAGR, there has been a deceleration from 9% to 6% from Q3 to Q4. And even if you bifurcated both for dine-in, which is anyway sitting on a low base, so that is not the case. And even delivery that I say, fell from 28% Y-o-Y growth to 10%. So if you could just give more clarity in detail about the sequential deceleration. I understand the long term 5% to 7% but the sequential deceleration and both the subsegments?

Sameer Khetarpal: Yes. I think, quarter-on-quarter is more noise, Nihal, right? Therefore, what we should look at is a full annual number, which actually for 2 years have been closer to 7%, right? So I think the double-click on dine-in is more important, right? And I think Delivery continues to grow strong, right? That's number one. That is our strength. We continue to have very strong operating metrics. We continue to see strong like-for-like growth.

There are two underlying headwinds, which are there, which we've called out in dine-in takeaway. And second was the average order volume drop. The average order value dropped because we have very consciously moved to match the competitors on the minimum order value

of Rs. 99. So just to recall, our minimum order value was Rs. 149. To gain market share to make sure that we are building a business for longer term and acquire new customers.

We have very consciously taken a call to reduce minimum order value from Rs.149 to Rs. 99.

And as a result, there was a drop in the average ticket size. And that is the subtext to it. So therefore, I'm not too worried on the variation of 9% to

6%. The real challenge to solve over there is the Dine-in and Takeaway sales.

Nihal Jham: Understood, Sameer. The other thought is that how was the discounting trends seen during this quarter? And to your 2-year goal of 5% to 7% growth and the 200 basis point margin improvement can they be achieved simultaneously?

Sameer Khetarpal: Yes. I think a great question, right? So from a priority standpoint, we've prioritized growth. And from a growth standpoint, we prioritize volume metric growth because we are building a business for the long run. And you're absolutely right.

If you drop the order value, it puts additional headwinds towards margins, but we believe in our business where almost more than 50% of the cost is fixed cost. Growth is the biggest driver of margins. And hence, I continue to remain optimistic about driving both growth and margins. Just to remind you, there is a drag of new businesses like Popeyes, Hong's and Dunkin. And we have taken very conscious calls to focus on a few areas and drive profitability. That drag or

dilution is actually ahead of the plan. So again, I continue to be optimistic on achieving both growth and margins.

Moderator: Next question is from Avi Mehta from Macquarie Capital.

Avi Mehta: Team, first of all, I must compliment you on the shareholders letter. It was extremely nicely done. I just had two questions. First, Sameer, on this the outlook as we speak. You have cited that there are some near-term headwinds. There is competition that has changed. I wanted to understand how do you look at store additions in this context and whether what is the pace that you would be more comfortable with as we go forward would be the first question, and I'll come later.

Sameer Khetarpal : Avi, I think , if I just cut the noise from all what's happening, right, there is one truth that Domino's has gained share. It has gained share in the category. It has gained share in the QSR space. And we have a separate panel of 50,000 customers run by Nielsen. They are also indicating that we have gained share, and we have gained share materially in pizza as a category. So this allows us to expand more aggressively. This allows us to penetrate more and invest more in brand building, right? So from a store addition standpoint, I also check how the new stores that we have opened are doing. So from all accounts, right, store addition and expansion is not a worry, we would open similar to about 230 to 250 kind of restaurants this year.

Suman Hegde : We have mentioned in the letter also.

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Avi Mehta: Okay. No, where I'm coming from, Sameer, maybe I'm just clarifying on this question. It was not on the quantity but also on the type because as you can see, Delivery is where the growth has been. Does that require a reset in the way we look at store additions? Does that mean we kind of look at change in capex and hence, that's where I was coming from. So that was the underlying question. I'm sorry for not clarifying.

Sameer Khetarpal : No problem, Avi. So see, we are constantly calibrating and learning, right? So if you look at our go-to model in large metros is actually a delivery carry-out store, right? So understandably, it is a mall which is put it like there is a food court or something. So we are opening more delivery carryout stores, which are about 600,700 square feet.

When I joined the company 4 years ago, there were a lot of store approvals we were giving, which were for 1,500, 1,600 square feet . We don't do that size of stores even in Tier 3, Tier 4 now. We have also resized and remodeled our kitchens to be more efficient and put more seating space and some of the...

Moderator: Sorry to interrupt, we are losing your audio.

Sameer Khetarpal : So we are constantly calibrating our store format , store model. And as a result,

our capex per

store has actually reduced year-on-year, and almost nearly 3 years in a row by 20%, right? So it has come down by 20%. And we are constantly calibrating that . And there are places where, in fact, we also realize that we need to add more seats. We are also doing that. So that's a constant exercise we have in the company.

Avi Mehta: Got it, sir. And just a follow-up on some bookkeeping questions and particularly on the gross margin. You've seen a very healthy sequential margin expansion at the gross margin side. And the drivers of it seem to be more stable and sustainable. Does that mean that we should kind of look at the 75.5% as the more steady-state run rate as we go forward? That was the first part. And the second part is, if you could also give us just what is the inflation levels that we are looking at in the input cost so that you can better understand the near-term margin pressures? That's all from my side.

Sameer Khetarpal : So Avi, we had actually mentioned, if you recall in our earnings call about 3 or 4 earnings calls ago that we'll improve the gross margin, right? And for the conscious choice we had taken, like, for example, we have taken calibrated price increases in Volcano Pizza. We had worked on our cost. We have reduced wastages materially. We launched Big Big Pizza , we launched Sourdough Pizza, we launched some of the more premium products.

So by conscious effort of wastage reduction, launch of premium products, mix changes and calibrated price increases, we have increased the margin, that bit has happened. In terms of inflation, I think , it is one number. At least I don't have a very good handle on at this stage because the numbers are moving very quickly.

We've been hit the most in the energy cost, right, which is very real, where the cost of LPG has increased, cost of PNG has increased. So that is one additional calibration that we have to do in

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our system between electric ovens and gas -based ovens, we are doing that. But that is the biggest piece, which has been hit .

If tomorrow war we re to die down and things were to go back to normal, we also know that the energy prices are at an all -time high elevated level , so it can also come down, but it can work on both sides. But I think there is inflation. We're entering an inflationary environment; at least near-term inflation pressure is high. To some extent it's been very hard to calibrate Avi, but the energy is definitely the tune of 100 to 120 basis points, that hit we are already beginning to see come into the P&L.

Avi Mehta : Sir, sorry, I missed , you said 100 to 120 basis points hit from energy, right?

Sameer Khetarpal : That's right.

Avi Mehta : When the price increases are around 1.2 percentage, that should kind of offset...

Suman Hegde : Yes. So energy is but also there are a couple of other things. Commodities, I think we'll all wait to see how it plays out in this right now. Some amount of commodity inflation has come, but as you would all well understand covering the consumer sector tha t if petrol diesel prices go up and as logistics cost goes up across the board , commodities w ill see further inflation. So we are also trying to model but we'll have to wait and watch.

While we will continue to drive, of course, efficiency at our end. The other big headwind, which has been coming our way and again, something we'll have to see how it materializes , is wage inflation. right? And that's also hit us . About 11 states have already increased minimum wages as the fiscal year started, plus the Labour Code also brought in further headwinds on labor inflation.

So those are the two inflations , which are already in . So if I look at it back to your question on saying 120 bps on energy, we have taken 120 bps of pricing, all of the pricing, of

course, doesn't

flow through into the margins to that extent. That's the one that flows through.

But we also have other headwinds. So, we do believe that in the near term, there might be some compression. But coming back to your point on structural improvement, they will stay the course. So, wastage reduction, improvement in mix and looking at the premium part of our portfolio , looking at productivity and better scale benefits from sourcing, that will continue to flow through and hopefully help mitigate some of the inflation coming our way.

Avi Mehta: And no ranges that you would kind of give us on labor that's the only probably request , it's possible or not?

Suman Hegde : On labor?

Avi Mehta : On labor because you said 10 to 15 basis points or if I remember, 10 to 20 basis points impact from the Labo ur Code. So I'm just trying to appreciate the extent of the impact. So it doesn't seem large. That's why I was coming from. So is that understanding correct?

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Suman Hegde : Yes, Lab our Code, I'll help you out with that. So, there are a few things on labor costs which are coming our way. One is, of course, Labo ur Code i s absolutely write -up of about 20 -odd bps. But the minimum wage increases that we have seen across some of the states that have already gone live over 11 states out of 29 have already announced, and we'll wait and see some more, but that's another 20, 30 bps, which is there.

And then even the delivery mix headwind, right? We've had a 76% delivery mix, and that is another inflation headwind on the labor cost. So there are 3 or 4 elements to it, which takes it higher than the 30 bps only on account of the Labour Code, which we h ad indicated in the past.

Avi Mehta : Got it. That's all from my side. I'll come back in the queue for the other questions. Thank you very much.

Moderator: Thank you. Next question is from the line of Dhruv Luthra from Bernstein. Please go ahead.

Dhruv Luthra : Yes. Thanks for taking my question. So my first question is, so through some of our channel checks, we saw that you took price increases in April, which have been rolled back. So could you walk us through what you observed during the period that led to the rollback?

Sameer Khetarpal : So there has been no price -increase , which has been rolled back in April or anything. I think our price increases are very calibrated after 14 to 16 weeks of strong experimentation. I can't recall something that has been rolled back.

Suman Hegde : No, We haven't rolled back anything. Is any specific instance, which makes you say that Dhruv?

Dhruv Luthra : Yes. So some of my order history in Apri l, the garlic bread stick a Rs. 10 price reduction I saw in May, versus my order in April.

Suman Hegde : That will be very store specific and discount specific variation . We do a lot of this recalibration of prices. At an overall level there's not any of that changes that have happened. We don't

anticipate anything like that.

Dhruv Luthra : Okay. And so, my next question is, so as you mentioned that we are seeing inflation in some of the raw materials, milk prices going up and with petrol and diesel going up. So how should we think about SSSG and margins going forward?

Sameer Khetarpal : So SS SG, we've given a commentary already, right, on Q1 and the longer term or the annual number, 5% to 7% remains. The quarter 1, we've already done better than Q4. And in terms of margins, actually, we are modeling our sales growth. Things are changing very rapidly.

One spoke about the three elements where there is inflation, i.e., energy, labor and commodity, right? So on all three accounts we are seeing. What we are doing is, of course, first tighten our belts and not pass on everything to the consumer and the resultant will have to pass on to the consumer after doing a thorough

rough calibration of price increases.

Moderator: Next question is from the line of Aditya Vikram from DB Securities.

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Aditya Vikram : So the optimism doesn't say, but the numbers are saying something else. And the way the story is panning out in terms of the war and everything along with the margin pressure. If I see your results this time around, right, the cost of goods purchased has slowed down drastically from Q3 to Q4.

I just want to know if that is sustainable, because I am assuming Jan -Feb would have been very good for you in terms of the raw material inflation. However, from March onwards, it would have started giving you jitters, right? So, do you see similar trajectory in the months of April and May as well?

Sameer Khetarpal: Actually, gross margin is sustainable. I think we answered that before. I think your assumptions are incorrect when you say Jan, Feb and March, I don't know where you have the data from. At least in our P&L, it doesn't say that.

Aditya Vikram: Okay. And in terms of the margin, right? So we already read the shareholders letter that there would be short-term margin pressures. So are you seeing, I understand that one of the aspects of this is war and how the global economy pans out in terms of the energy cost and everything. But do you see margin pressure for next couple of quarters? Or just one or two quarters at best and then all the initiatives which the company is taking will get us back to 20-plus-percent margins?

Suman Hegde : Aditya, I think at this point in time it's very difficult for anybody to anticipate, right? Every day, the inflation numbers change. We do hope that it will stay only for the next couple of quarters.

But if you guys have listened to more of the industry players, I'm sure you'll have a better view on that. Very difficult to predict. I can't really give you a guidance of that sort at this time.

Sameer Khetarpal : I think the broader question is Domino's is gaining share. The 5% to 7% is what is the business we are building. To do that, we have enough levers to get back to the margin that we wanted and that we had predicted.

Aditya Vikram: See, Sameer, I understand that and I completely appreciate the honesty behind all the statements which you are making, right? The Q4 like -to-like growth is only 0.2%. So I'm hoping that Q1 wouldn't be that bad, right? So that is well understood, right? However, only if you provide some calibrated view about margins, right, and then only we can actually go ahead and reprice any inputs which we have at our end. And that is why the question around that, right? Q4 cannot be a benchmark, a 0.2% like-for-like growth is not a benchmark. Q1 you will definitely do good, right?

But for the entire year, like -for-like growth as one of the other participants pointed out, Q3 to Q4 has been lower. Obviously, because of LPG issue, but LPG also now there are news floating around that LPG, there is a shortage.

So, you will see significant cost on that front. Now that is precisely why the other questions around that, right? But if the company hasn't calibrated it yet, it might be a good idea if the company can come back and at least give some guidance on the margin front because every other competitor of yours have said the same. However, they have given some margin guidance,

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which is off from where they are, right? Jubilant, we expect transparency to be very high, considering how the company works and performs.

Suman Hegde: Aditya, I would like to correct that. I think it's a long question, but we have said there's going to be short-term margin pressure. We're trying to be transparent on what's the kind of inflation

margin pre

ssure we're seeing on energy. We have also talked about labor, commodities where we see muted right impact now.

But I think at this stage, any company that we're seeing, when we also track all the companies and competitors. I think we're very hard pressed when you say what will the kind of inflation that will hit, right? And of course, we've internally calibrated our numbers. But the way the dynamics of the market are moving, we're having to recalibrate numbers ever two days. So of course, they have been transparent.

These are all the structural initiatives on getting the margin expansion going then. In the letter also we have said the long-term margin guidance on 200 bps holds and we'll try as quickly to get to that elevated number. But short-term pressure exist. Now will it be for a quarter, 2 quarters, 3 quarters, I think, at this stage, is anybody's guess, right?

And I don't think that takes away from the fact that, of course, the management is more concerned on ensuring that we keep calibrating this judiciously what needs to be done on pricing, on cost austerity measures, and to ensure that we still manage our consumer franchise, right? I hope that answers the question, but if there's more detail on the cost of purchase, we can take it off-line.

Aditya Vikram : See, that's what I'm saying, right? You are not able to quantify whether it's for one quarter, two quarter, three quarter. That does not give enough clarity and it has nothing to do against you, whether you are calibrating it or not. Just that how the market dynamics are. And the pricing pressure, competition and everything.

I'm just reading the shareholder letter, which is why I'm asking because it doesn't give enough visibility either we go ahead and say that the initiatives will do this and will help us gain X amount versus Y amount is on the cost side, right? Anyway, I'll take this offline. There are other participants as well. Thanks so much for answering.

Sameer Khetarpal: Thank you.

Moderator: Thank you very much. Next question is from the line of Karan Taurani from Elara Capital. Please go ahead.

Karan Taurani: Hi, thanks for taking my question pertaining to the cost inflation, right? So, from a commodity standpoint, it will be largely equivalent for other QSR chains versus yours. But from an LPG perspective, you've got a significantly higher exposure towards LPG basis Pizza category. And second, of course, is the employee cost as well, right, you have got your own delivery fleet. You run your own fleet, which means that the inflation, wage inflation costs, again, the petrol cost will also be hitting

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So, from that context, what is the kind of negative impact one can see on margins? Again, I know it's not possible to quantify. But can we say that you will have a significantly higher negative impact on margins versus your peers?

Sameer Khetarpal : Actually, no. And Suman can add. Firstly, like-for-like growth will help. Second is, the large part of our fleet is actually electric right? I think, therefore, we believe we have an advantage versus the rest of the market. Number three, I think there is an impact of LPG that we are calibrating and part of it, we have already mentioned in our newsletter, we have passed back to the consumer to tune of 1.2%.

Karan Taurani : And what is the potential for moving these LPG-based outlets towards electric. I mean what percentage of the outlets currently would have gone to electric or what is the kind of opex of running the outlets on a electric basis. And how can this number change? Let's say, if this war were to continue for the next 3, 4 months and the inflation pressure is very high on LPG as a commodity. Would you move to electric? And is the opex cost higher? And is it possible firstly to shift a large share of your

outlets towards electric?

Sameer Khetarpal : I think we're constantly doing that. Where the teams have done an amazing job of converting LPG to electric, we have developed our own solution kits. We've also been able to import quite a lot of electric ovens. And we are also converting very quickly to pipe natural gas, and there is a mandate from the government to convert to pipe natural gas.

So from a business continuity standpoint I don't see any risks unless until I'm surprised by the extent of war and constraint on LPG in India. So I think the teams have done an amazing job of managing the situation.

From a price standpoint, there was a positive delta towards LPG, but with the LPG price of commercial cylinders increasing, actually, the delta between electric and the LPG is no longer there. So, we'll be able to shift. I think, I want to assure the investors and we've released two

circulars also earlier, that the impact of LPG availability was very minimal on the business operations. On the cost we already said, the impacts to 120 basis points. We've already passed on the pricing to the tune of 120 basis points to the customers.

And there are other initiatives in the work. So I think we should assure you that as a team, we will continue, have the wherewithal to continue to grow at the desired pace we want and also improve our margins, barring one or two quarters. We will not do major price increases that is out of the table. Otherwise, we know what needs to be done on the margin front.

Karan Taurani : So if I may just squeeze in being the last question. So apart from the Dunkin' Donuts business, which has been hyped, apart from the lower losses in profile that you may see going ahead. What are the structural margin levers that you're building for the next 2 years for Domino's India? What should one pencil in the levers that could drive margin improvement of 200 bps in the next 2 years?

Sameer Khetarpal: So the biggest lever is the growth, which covers for inflation, the like-for-like growth. Second is the gross margins, have you seen already improved, right? On account of better management

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of operations. We've already launched premium products, which have better margins. And then there are several productivity initiatives at work. In fact, our supply chain cost has been lowest ever, right, in the history of this company. We believe there is even more juice over there.

Our logistics cost, we believe, we can improve further. So again, and I can go on and on. This is my favorite topic. So, there are enough productivity levers that exist across large line items. We are opening 250 stores every year. Therefore, we are able to go back and renegotiate with our landlords because this is giving them annuity rental income. So, there are several levers that we are pulling, and therefore, feel confident to meet our numbers on the margins too.

Karan Taurani : Thank you that my side.

Sameer Khetarpal: Thank you

Moderator: Thank you. Next question is from the line of Vishal Gutka from ASK Investment Managers. Please go ahead.

Vishal Gutka: I just had a simple question. I think during the World Cup final day, they suggested that our systems were down for 6 hours, maybe in the second half of the day, which impacted the sales to an extent. My questions are, what is the probable impact incurring the channel sector through. And sir, what steps are we taking that such instances do not remain in the future? Thank you.

Sameer Khetarpal: Firstly, the information is incorrect. The systems were not down for 6 hours. The systems were not down. There was a minor downtime on our app, but rest of the systems were working and we recovered very quickly. So, there was not even like a notable impact that is noteworthy of calling out over there. And systems

are very stable. So don't worry.

Vishal Gutka: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Nihal Jham from HSBC. Please go ahead

Nihal Jham: Yes, just one follow-up. Just one follow-up on the market share that you mentioned that as per the Nielsen panel, you've gained market share both on Dine-in and Delivery. The only data point, let's say we track is that if we look at aggregators, which is say sort of the larger QSR basket, but this is sort of the first quarter where the divergence in growth has been this much versus, say, Domino's and the aggregator. So just your comments on that.

Sameer Khetarpal: So, I think, firstly, the data that we track is only for Delivery, right the most accurate data available through consumer research. So, I was referring to that. And I think when I was saying that, among the 30-odd players that we track, we have gained share among that. Those are largely QSRs which will go to almost like 0.3%, 0.4% of market share.

So, I was mentioning against that. So, you are right, the aggregators have grown faster than the delivery of Domino's, that bit I agree, which would only indicate that the QSR as a basket has not grown as fast. And therefore, the aggregators are getting growth from other non-QSR players or premium players is what my sense is. I don't have their data. And we have plans to increase our delivery growth rate.

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Moderator: Ladies and gentlemen, we'll take the last question from the line of Avi Mehta from Macquarie Capital.

Avi Mehta: I just wanted to clarify on the gross margin bit a little bit. See, the reason why the confusion

stems from is we have seen almost a 5% realization decline, which means that the underlying cost of goods has essentially reduced. Does that mean that the expansion has more to do with the move towards Rs. 99? If you could just throw some light on that, please? on how do you reconcile the decline in realizations with the expansion in gross margin? Or is that method also inaccurate?

Sameer Khetarpal: So can you just maybe explain when you say expansion on gross margin.

Avi Mehta: No, no. The gross margin has gone up 100 basis points from 74.5% to 75.5%. And your realizations have gone down by 5 percentage points, which means that the cost of materials have to go down to almost 8%, 9% give or take percentage points. So, I'm just trying to understand that how is this kind of reconciling? Is it because the move towards the cheaper or the lower price point is actually towards better gross margin products?

Because the comment that you made about premium products, mix improvement should have also held realizations. That didn't pan out, but the margins panned out. So, I'm just wanting some help on how to reconcile these two?

Sameer Khetarpal : Maybe it is a more nuance question. Can I suggest we take it offline?

Avi Mehta : Okay, no problem.

Suman Hegde : No, we have a breakup but I think it's a reconciliation point. So maybe you can pick it up with Apar.

Avi Mehta : I will do that. That's all. Thank you very much.

Sameer Khetarpal : Thank you Avi .

Moderator: Thank you very much. I now hand the conference over to Apar for closing comments.

Apar : Thank you, everyone, once again for joining the call and for listening patiently. For any other further questions, reach out to the Investor Relations team . You will find the recording and transcript of this call on the Investor Relations page of our website very soon. Thank you, and have a very good evening.

Moderator: Thank you very much. On behalf of Jubilant FoodWorks Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.